

Message 1 of 230

GISB/EISB Workshop Nov. 9

Sender	ntillett@reliant.com
Recipients	[elizabeth.sager@enron.com]
File	sager-e/inbox/139.

Elizabeth,

Dede wants to talk to you about the message below when you have time. Please give her a call (713) 207-5240.

Thanks.

Nina Tillett Reliant Energy Law Department P.O. Box 1384 Houston, TX 77251-1384 1111 Louisiana St., Suite 4300 (77002) Phone: (713) 207-5241 Facsimile: (713) 207-0161 ntillett@reliant.com

The preceding e-mail message contains information that is confidential, may be protected by the attorney/client or other applicable privileges, and may constitute non-public information. It is intended to be conveyed only to the designated recipient(s). If you are not an intended recipient of this message, please do not read, copy or disclose the contents of this communication to others and please notify the sender at (713) 207-7414. If you are not the intended recipient, we would appreciate your forwarding the message back to us and deleting it from your system. Unauthorized use, dissemination, distribution, or reproduction of this message is strictly prohibited and may be unlawful. Thank you. ----- Forwarded by Nina Tillett/ADM/HouInd on 10/17/01 01:35 PM -----

Michael L. Jines To: Wade A Hoefling/ADM/HouInd@HouInd, Dianne H Russo/TTG/HouInd@HouInd 10/17/01 09:17 cc: AM Subject: GISB/EISB Workshop Nov. 9

Please evaluate the desirability/need for us to participate in this process.

Mike Jines 713-207-7465 713-207-0116 (Fax) 713-305-3006 (Mobile) mike_jines@imcingular.com (Pager) mjjines@reliant.com

The preceding e-mail message contains information that is confidential, may be protected by the attorney/client or other applicable privileges, and may constitute non-public information. It is intended to be conveyed only to the designated recipient(s). If you are not an intended recipient of this message, please do not read, copy or disclose the contents of this communication to others and please notify the sender at (713) 207-7414. If you are not the intended recipient, we would appreciate your forwarding the message back to us and deleting it from your system. Unauthorized use, dissemination, distribution, or reproduction of this message is strictly prohibited and may be unlawful. Thank you.

----- Forwarded by Michael L. Jines/ADM/HouInd on 10/17/2001 09:10 AM -----

EEL Legal Committee Electronic Mailing List To: "Legal Committee Mailing List" <legal@ls.eei.org> <legal@listserver.eei.org> Sent by: cc: bounce-legal-54079@listserv Subject: GISB/EISB Workshop Nov. 9 er.eei.org 10/16/2001 03:47 PM Please respond to "Legal Committee Mailing List"

We wanted to provide you information about this upcoming meeting, which may be of interest to your company. We would appreciate it if you would pass this along to the appropriate member of your staff.

EEL will conduct a one-day workshop to focus issues and discuss options related to the formation of the Energy Industry Standards Board (EISB). The workshop will take place on Friday, November 9, at the Hyatt Regency Hotel at Dallas-Fort Worth International Airport. The meeting will take place from 8 a.m. - 4 p.m. The purpose of the meeting is to gather EEL member input on EISB formation issues related to both wholesale and retail electric standards.

As you know, the Gas Industry Standards Board (GISB) recently expanded its charter to include the development of electricity standards. FERC Chairman Pat Wood has endorsed this action, as well as Commissioner Massey and Commissioner Brownell. Business practice standardization issues will be discussed this week at the FERC RTO workshops, focusing on a potential regulatory role in defining candidates for standardized business practices.

For hotel accommodations, please contact the hotel directly at 972-453-1234 and ask for the EEI GISB-EISB special room rate of \$119/night.

A meeting registration information and response form is attached. We will provide briefing materials to workshop participants in advance of the meeting.

For additional information, please contact Dave Dworzak, Manager, Transmission Policy at 202-508-5684 or at ddworzak@eei.org if you have any questions or need more information.

(See attached file: RegForm.Dallas.doc) You have received the above message as a subscriber to an EEI Legal Committee Electronic Mailing List: legal

Several EEI meetings have been postponed or canceled. For more information about a specific meeting, go to (<http://www.eei.org/resources/meetings/postponements.htm>)

- RegForm.Dallas.doc

Message 2 of 230

GISB/EISB Workshop Nov. 9

Sender	ntillet@reliant.com
Recipients	[]
File	sager-e/inbox/135.

Please see attached. While I am not opposed to the formation of the ESIB, I have several concerns based on preliminary indications that the EISB will publish a "standardized" contract for wholesale power transactions. I'd like to avoid a third or even fourth (if you consider ERCOT still to be a viable option) U.S. based wholesale power agreement. As it appears that the formation of EISB is going forward, and has FERC endorsement, it might be worthwhile to attend this workshop. Please let me know your thoughts.

Dede Russo Reliant Energy Law Department P.O. Box 1384 Houston, TX 77251-1384 1111 Louisiana St., Suite 4300 (77002) Phone: (713) 207-5240 Facsimile: (713) 207-0161 drusso@reliant.com

The preceding e-mail message contains information that is confidential, may be protected by the attorney/client or other applicable privileges, and may constitute non-public information. It is intended to be conveyed only to the designated recipient(s). If you are not an intended recipient of this message, please do not read, copy or disclose the contents of this communication to others and please notify the sender at (713) 207-7414. If you are not the intended recipient, we would appreciate your forwarding the message back to us and deleting it from your system. Unauthorized use, dissemination, distribution, or reproduction of this message is strictly prohibited and may be unlawful. Thank you. ----- Forwarded by Nina Tillet/ADM/Houlnd on 10/17/01 02:50 PM -----

Michael L. Jines To: Wade A Hoefling/ADM/Houlnd@Houlnd, Dianne H Russo/TTG/Houlnd@Houlnd 10/17/01 09:17 cc: AM Subject: GISB/EISB Workshop Nov. 9

Please evaluate the desirability/need for us to participate in this process.

Mike Jines 713-207-7465 713-207-0116 (Fax) 713-305-3006 (Mobile) mike_jines@imcingular.com (Pager) mjines@reliant.com

The preceding e-mail message contains information that is confidential, may be protected by the attorney/client or other applicable privileges, and may constitute non-public information. It is intended to be conveyed only to the designated recipient(s). If you are not an intended recipient of this message, please do not read, copy or disclose the contents of this communication to others and please notify the sender at (713) 207-7414. If you are not the intended recipient, we would

appreciate your forwarding the message back to us and deleting it from your system. Unauthorized use, dissemination, distribution, or reproduction of this message is strictly prohibited and may be unlawful. Thank you.

----- Forwarded by Michael L. Jines/ADM/Houlnd on 10/17/2001 09:10 AM -----

EEI Legal Committee Electronic Mailing List To: "Legal Committee Mailing List" <legal@ls.eei.org>
<legal@listserver.eei.org> Sent by: cc: bounce-legal-54079@listserv Subject: GISB/EISB Workshop Nov. 9 er.eei.org
10/16/2001 03:47 PM Please respond to "Legal Committee Mailing List"

We wanted to provide you information about this upcoming meeting, which may be of interest to your company. We would appreciate it if you would pass this along to the appropriate member of your staff.

EEI will conduct a one-day workshop to focus issues and discuss options related to the formation of the Energy Industry Standards Board (EISB). The workshop will take place on Friday, November 9, at the Hyatt Regency Hotel at Dallas-Fort Worth International Airport. The meeting will take place from 8 a.m. - 4 p.m. The purpose of the meeting is to gather EEI member input on EISB formation issues related to both wholesale and retail electric standards.

As you know, the Gas Industry Standards Board (GISB) recently expanded its charter to include the development of electricity standards. FERC Chairman Pat Wood has endorsed this action, as well as Commissioner Massey and Commissioner Brownell. Business practice standardization issues will be discussed this week at the FERC RTO workshops, focusing on a potential regulatory role in defining candidates for standardized business practices.

For hotel accommodations, please contact the hotel directly at 972-453-1234 and ask for the EEI GISB-EISB special room rate of \$119/night.

A meeting registration information and response form is attached. We will provide briefing materials to workshop participants in advance of the meeting.

For additional information, please contact Dave Dworzak, Manager, Transmission Policy at 202-508-5684 or at ddworzak@eei.org if you have any questions or need more information.

(See attached file: RegForm.Dallas.doc) You have received the above message as a subscriber to an EEI Legal Committee Electronic Mailing List: legal

Several EEI meetings have been postponed or canceled. For more information about a specific meeting, go to (
<http://www.eei.org/resources/meetings/postponements.htm>)

- RegForm.Dallas.doc

Message 3 of 230

please print all

Sender	elizabeth.sager@enron.com
Recipients	['brenda.whitehead@enron.com']
File	sager-e/sent/508.

----- Forwarded by Elizabeth Sager/HOU/ECT on 04/11/2001 08:54 AM -----

"Andy Katz" <AKatz@eei.org> 04/10/2001 04:42 PM

To: <beckykilbourne@aol.com>, <hemu@dynegy.com>, <rviola@edisonmission.com>, <elizabeth.sager@enron.com>, <wfhenze@jonesday.com>, <bobby.campo@mirant.com>, <dperلمان@powersrc.com>, <rosteen@powersrc.com>, <drusso@reliantenergy.com>, <shari_stack@reliantenergy.com>, <mgoldstein@stooock.com>, <small@wrightlaw.com>
cc: Subject: Presentations

To all:

I've put together a slide presentation that can be used for the 10am (Let's Make a Deal), 11:15 (When the Deal Does Not Go Down); 1:30 (Show Me the Money); and 2:30 (Major Meltdowns) panels. Please feel free to edit, supplement, comment or suggest alternatives. I am assuming that Harlan and Elizabeth will have other handouts for the 8:30am panel. Mike Small's handout is attached. I also plan to add: the model tariff and service agreement, slides concerning the EEI contract development process, a page showing the location of the eeI contract website, and list of upcoming activities. Please let me know if there is anything else you think should be added as a handout (preferably something that does not need to be created from scratch).

Patty, in addition to the attached slides, Bob Viola said he was comfortable with using John Varholys presentation, but wants to discuss further. I've asked Marvin Goldstein if he intends to use his forward contract and bankruptcy memo for his presentation. Its attached. Shari Stack said she will finish up her presentation and send it to you today. Contact info for your panels: Bob Viola 617-912-6256 (rviola@edisonmission.com); Marvin Goldstein 212-806-5629 (mgoldstein@stooock.com); Mike Small 202-393-1200 (small@wrightlaw.com); and Shari Stack 713-207-5233 (shari_stack@reliantenergy.com) . If you need Marvin's hotel number I can try and get it, he's on vacation this week. He did not return a message I left yesterday. David has a conference call scheduled for Friday for his panels and hopefully, you can set one up for yours this week.

Looking forward to speaking w/ you this week.

Andrew S. Katz, Director Industry Legal Affairs Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org

Andrew S. Katz, Director Industry Legal Affairs Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org - TEXT.htm - Newport Beach.ppt - SMALLPresentation.doc - Goldstein Bankruptcy memo.DOC - Andy Katz.vcf

Message 4 of 230

FW: Enron consent letter

Sender	elizabeth.sager@enron.com
Recipients	['alice.wright@enron.com']
File	sager-e/sent_items/276.

Alice

Can you call Janice and let her know status. Thanks

-----Original Message-----

From: "Moore, Janice R" <jmoore@mcguirewoods.com>@ENRON [mailto:IMCEANOTES-+22Moore+2C+20Janice+20R+22+20+3Cjmoore+40mcguirewoods+2Ecom+3E+40ENRON@ENRON.com] Sent: Monday, June 18, 2001 2:27 PM To: Sager, Elizabeth Subject: RE: Enron consent letter

I still have not received a package from you and am wondering if there's any problem that we need to address. Please advise. Thanks. Regards, Janice Janice R. Moore McGuireWoods LLP Washington Square, Suite 1200 1050 Connecticut Avenue, N.W. Washington, D.C. 20036 202-857-1752; fax 202-857-1737 Richmond: 804-775-1149

jmoore@mcguirewoods.com www.mcguirewoods.com This e-mail may contain confidential or privileged information. If you are not the intended recipient, please erase this e-mail immediately without reading it or sending it to anyone else. I would also appreciate your advising me (by return e-mail) if you have received this e-mail by mistake. Thanks for your kind assistance. -----Original Message----- From: Elizabeth.Sager@enron.com [mailto:Elizabeth.Sager@enron.com] Sent: Wednesday, June 13, 2001 9:34 AM To: jmoore@mcguirewoods.com Subject: RE: Enron consent letter I got the package - I just found out that Mark is out so I'm trying to get Lance to sign. Will email you when done. Thanks -----Original Message----- From: "Moore, Janice R" <jmoore@mcguirewoods.com>@ENRON [mailto:IMCEANOTES-+22Moore+2C+20Janice+20R+22+20+3Cjmoore+40mcguirewoods+2Ecom+3E+40ENRON@ENRON.com] Sent: Wednesday, June 13, 2001 7:53 AM To: Sager, Elizabeth Subject: Enron consent letter Hi Just wondering if you got the package I sent via

FedEx last week and had had a chance to get the letters signed. I heard that you got more reinforcements recently (Travis and Kaye), and I hope that things continue to go well there. Regards, Janice Janice R. Moore McGuireWoods LLP
Washington Square, Suite 1200 1050 Connecticut Avenue, N.W. Washington, D.C. 20036 202-857-1752; fax
202-857-1737 Richmond: 804-775-1149 jmoore@mcguirewoods.com www.mcguirewoods.com This e-mail may contain
confidential or privileged information. If you are not the intended recipient, please erase this e-mail immediately without
reading it or sending it to anyone else. I would also appreciate your advising me (by return e-mail) if you have received this
e-mail by mistake. Thanks for your kind assistance.

*Message 5 of 230***RE: December 6 Meeting Time & Scope**

Sender	drusso@reliant.com
Recipients	[ecomer@eei.org, 'elizabeth.sager@enron.com', 'fmdutton@aep.com', 'harlan.murphy@enron.com']
File	sager-e/inbox/954.

Rene Broussard our VP over East Trading will attend with me to discuss the RTO issues but has requested that the RTO discussion be held around or after lunch so he can fly in that morning from Houston. thanks, dede

Dede Russo Senior Attorney Reliant Resources Legal Department P.O. Box 1384 Houston, TX 77251-1384 1111
Louisiana St., Suite 4300 (77002) Phone: (713) 207-5240 E-Mail: drusso@reliant.com Fax: (713) 207-0161

The preceding e-mail message contains information that is confidential, may be protected by the attorney/client or other applicable privileges, and may constitute non-public information. It is intended to be conveyed only to the designated recipient(s). If you are not an intended recipient of this message, please do not read, copy or disclose the contents of this communication to others and please notify the sender at (713) 207-5241. If you are not the intended recipient, we would appreciate your forwarding the message back to us and deleting it from your system. Unauthorized use, dissemination, distribution, or reproduction of this message is strictly prohibited and may be unlawful. Thank you.

-----Original Message----- From: "Ed Comer" <EComer@eei.org>@HOUIND Sent: Tuesday, November 20, 2001 10:08 AM To: fmdutton@aep.com Cc: andrew.katz@constellation.com; Cynthia Trueheart; elizabeth.sager@enron.com; harlan.murphy@enron.com; martyjo.rogers@entergykoch.com; jcrespo@hess.com; wfhenze@jonesday.com; dperلمان@powersrc.com; rosteen@powersrc.com; ntrask@pwrteam.com; Russo, Dianne H; Shari_Stack@reliantenergy.com; pdondanville@schiffhardin.com; babak.pooya@southernenergy.com Subject: Re: December 6 Meeting Time & Scope Mitch - DeDe and I are each arriving the prior night, so we can begin early. I have not heard back from others as to when their planes arrive, so I suggested 10:30 in my original e-mail on this. But subject to plane schedules, the earlier the better. If I remember correctly, AEP uses business casual dress. Is that appropriate for this meeting? Your call, Mitch. It would be helpful if attendees advise me or my assistant of the names and e-mails of the perions you are bringing with, so we have a good talley of the attendees and can contact them, if necessary. Ed >>> <fmdutton@aep.com> 11/20/01 11:06AM >>> Recipients Noel Trask inquired when is the December 6 meeting supposed to start and end and whether we ask business people familiar with the MISO rules to also attend -- maybe allow each company to bring one person if they want to? I think it is important that we all agree how to proceed so, please advise how all of you would like to proceed. F. Mitchell Dutton Senior Counsel Wholesale & Energy Services American Electric Power audionet 205.4568 614.223.1605 Fax 614.324.5096 Cellular 614.203.7861

*Message 6 of 230***Re: Collateral Annex**

Sender	sstack@reliant.com
Recipients	[carol.st.@enron.com, 'elizabeth.sager@enron.com']
File	sager-e/inbox/186.

Hi Carol - It was good to hear from you. I have heard that they are keeping you pretty busy over there with Broadband and Power! With regard to Reliant's comments:

Mid-Calculation language: Our comment/thought on this was made because we did not recall that this concept was ever approved by the Working Group.

Current Mark-to-Market Value: I withdraw my comment. I have thought about it further and it is not relevant here.

LC Evergreen language: I guess I would say that most of the time, the form LC we send to counterparties has this language in since it makes sense if the parties are going to have an ongoing trading relationship. I think that the Enron form has evergreen language too. It is more of an administrative hassle if it is not there but I don't have a strong feeling either way since we can just keep using our own form. I don't recall the discussion on this point and thus don't know if it was one person objecting or several.

I hope this answers the questions. Thanks for doing all this work.

Sincerely,

Shari

Senior Counsel Reliant Resources, Inc. 1111 Louisiana, Ste. 4300 Houston, TX 77002 Tel.:713-207-5233 Fax: 713-207-0116 Email: sstack@reliant.com

The preceding e-mail message contains information that is confidential, may be protected by the attorney/client or other applicable privileges, and may constitute non-public information. It is intended to be conveyed only to the designated recipient(s). If you are not an intended recipient of this message, please do not read, copy or disclose the contents of this communication to others and please notify the sender at (713) 207-7414. If you are not the intended recipient, we would appreciate your forwarding the message back to us and deleting it from your system. Unauthorized use, dissemination, distribution, or reproduction of this message is strictly prohibited and may be unlawful. Thank you.

"St. Clair, Carol" To: <SStack@reliant.com> <Carol.St.Clair@ cc: "Sager, Elizabeth" enron.com> <Elizabeth.Sager@enron.com> Subject: Collateral Annex 10/05/2001 09:42 AM

Shari: Hope all is well with you. I agree with all of your comments. On Current Mark-to-Market Value why did you delete the "mid" calculation language? Also, I am not sure that understood your question about a party's credit rating. On the LC, I took out the evergreen language in response to a comment from someone. I need to put in at least expiration date language. Do you feel strongly about having evergreen language?

Carol St. Clair EB 4539 713-853-3989 (phone) 713-646-8537 (fax) 281-382-1943 (cell phone) 8774545506 (pager) 281-890-8862 (home fax) carol.st.clair@enron.com

***** This e-mail is the property of Enron Corp. and/or its relevant affiliate and may contain confidential and privileged material for the sole use of the intended recipient (s). Any review, use, distribution or disclosure by others is strictly prohibited. If you are not the intended recipient (or authorized to receive for the recipient), please contact the sender or reply to Enron Corp. at enron.messaging.administration@enron.com and delete all copies of the message. This e-mail (and any attachments hereto) are not intended to be an offer (or an acceptance) and do not create or evidence a binding and enforceable contract between Enron Corp. (or any of its affiliates) and the intended recipient or any other party, and may not be relied on by anyone as the basis of a contract by estoppel or otherwise. Thank you. *****

Message 7 of 230

RE: Power Company of America

Sender	bonnie.white@enron.com
Recipients	[elizabeth.sager@enron.com]
File	sager-e/inbox/857.

I received another call from Robert Minkoff on Friday, 11/09. His company is interested in purchasing EPMI's claim in the PCA bankruptcy. I know that we have filed a claim for \$1million plus, but that PCA had filed an adversary for an even larger amount. Your reply to my last e-mail indicates that we settled the adversary. Did we have to give up all or part of our claim to do that, or do we still hold a claim for any amount? If we still have a claim, do you have any interest in selling it to a claims broker. If not, let me know so that I can call him and tell him so that he will not continue to call. Thanks for your help!

Bonnie J. White Enron Litigation Unit 1400 Smith Street, Suite 4824 Houston, TX 77002 Ph: 713-853-7244 Fax: 713-853-6576 bonnie.white@enron.com

-----Original Message-----

From: Sager, Elizabeth Sent: Friday, October 19, 2001 4:36 PM To: White, Bonnie Subject: RE: Power Company of America

thanks-it was settled about 6 months ago. talk to you soon

-----Original Message-----

From: White, Bonnie Sent: Fri 10/19/2001 9:53 AM To: Sager, Elizabeth Cc: Subject: Power Company of America

I received a call this morning from Robert Minkoff. His company is interested in buying EPMI's claim in the PCA bankruptcy. I have not had any involvement in the PCA matter for quite some time, so I told him that I would pass along his name and number to someone who might know whether EPMI has any interest in selling its claim. His telephone number is 201-968-0001.

Thanks.

Bonnie J. White Enron Litigation Unit 1400 Smith Street, Suite 4824 Houston, TX 77002 Ph: 713-853-7244 Fax: 713-853-6576 bonnie.white@enron.com

Message 8 of 230

Fwd: MAPP Proposed Power and Energy Market Rate Tariff

Sender	akatz@eei.org
Recipients	[jrlilyestrom@hhlaw.com', 'klnewman@hhlaw.com', 'harlan.murphy@enron.com']
File	sager-e/inbox/253.

MAPP has incorporated the EEI Master Agreement as their membership tariff. See attached. They would EEI and NEM's ok to do this since the tariff is derived from our document. They have retained most of the core language from the EEI, but have added various tariff related provisions and a new Schedule Q for MAPP related products. I'd be interested in folks feedback on this.

Andrew S. Katz, Director Industry Legal Affairs Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org

Received: from mappcc.mapp.org (host1-60.mapp.org [148.142.1.60]) by mail.eei.org; Wed, 15 Aug 2001 12:43:28 -0400
Received: from dkovalak (root@localhost [127.0.0.1]) by mappcc.mapp.org (8.9.3/8.9.3) with SMTP id LAA08028; Wed, 15 Aug 2001 11:45:03 -0500 (CDT) From: "Drew J. Kovalak" <dj.kovalak@mapp.org> To: "Andy Katz" <AKatz@eei.org> Cc: <jrlilyestrom@hhlaw.com>, <klnewman@hhlaw.com> Subject: MAPP Proposed Power and Energy Market Rate Tariff
Date: Wed, 15 Aug 2001 11:45:06 -0500 Message-ID: <2C8A07CD911E91428F30DE6BE36A54A10165EE@python.mappnet.mapp.org> MIME-Version: 1.0 Content-Type: multipart/mixed; boundary="-----_NextPart_000_0000_01C1257F.BBD2E740" X-Priority: 3 (Normal) X-MSMail-Priority: Normal X-Mailer: Microsoft Outlook CWS, Build 9.0.2416 (9.0.2910.0) Importance: Normal In-Reply-To: <ED0E88060FF5D3118D75005004E0CB60013AD527@python.mappnet.mapp.org> X-MimeOLE: Produced By Microsoft MimeOLE V5.50.4133.2400

Hi, Andy.

Attached is the version of the Mid-Continent Area Power Pool Power and Energy Market Rate Tariff that has been sent to MAPP's Power and Market Committee for a vote for issuance and filing at FERC. The vote is due August 27, 2001.

As previously discussed, I would be grateful if you would secure EEI's and NEMA's permission to use the EEI Master Agreement as the basis for the proposed tariff. Please note that on the cover page of the proposed tariff attribution to the copyright owners has been provided as requested by EEI and NEMA.

Please call me if you have any questions regarding this matter.

Drew Kovalak General Counsel Mid-Continent Area Power Pool 1125 Energy Park Drive St. Paul, MN 55108 Ph: 651-632-8412 Cell Ph: 651-260-5526 Fax: 651-632-8417 dj.kovalak@mapp.org

- PEM Tariff-proposed final-ver.3(8-15-01).doc - Andy Katz.vcf

Message 9 of 230

Transition of Into Product To MISO

Sender	fmdutton@aep.com
Recipients	[djstephens@aep.com', 'nina.tillett@enron.com']
File	sager-e/inbox/898.

Recipients: I also have been meeting with AEP's Into Product traders to discuss the implications of moving to the MISO. Conceptually what we have been discussing is a "policy statement" of the "Best Practices" for allocating the rights, obligations and commercial risk as between Sellers and Buyers of existing Into Product transactions based on the current definition contained in the EEI contract in as much the same manner under an RTO structure as possible. Separately from that transition product issue, but somewhat related, is a need to define on a going-forward basis the products sold within these emerging RTO structures on the first day of operation and as a market rules emerge. I will endeavor to email a draft proposal Monday morning to this group.

I am NOT available to participate in a conference call from 2-3 PM Central time (3-4 PM Eastern Time) on Monday. I could do 4-5 PM Central (5-6 PM Eastern) on Monday. If that is agreeable, I will set up the conference call in number and pass code. Please let me know. . F. Mitchell Dutton Senior Counsel Wholesale & Energy Services American Electric Power audionet 205.4568 614.223.1605 Fax 614.324.5096 Cellular 614.203.7861

"Tillett, Nina" <NTillett@rel iant.com>

11/14/01 06:23 PM

Date: 11/14/2001 06:23:49 PM From: "Tillett, Nina"

To: <fmdutton@aep.com> cc: <david.perlman@powersrc.com>, <elizabeth.sager@enron.com>, <ntrask@pwrteam.com>, <nicole.daggs@mirant.com> Subject: "Into" Products

This is a reminder to Mitch that he is going to draft some language for our "going forward" transactions dealing with anticipated changes to "into" obligations. GO MITCH GO!

I met with our traders today and I am sure of only one thing -- it's a mess. Mitch - if you're not ready to draft, we should maybe just set up a conference call next week to discuss. If so, can we do it Monday, 11/19 between 2 p.m. and 3 p.m. (Houston time)?

Dede Russo Reliant Resources Legal Department P.O. Box 1384 Houston, TX 77251-1384 (713) 207-5240 (713) 207-0161 (fax) drusso@reliant.com

The preceding e-mail message contains information that is confidential, may be protected by the attorney/client or other applicable privileges, and may constitute non-public information. It is intended to be conveyed only to the designated recipient(s). If you are not an intended recipient of this message, please do not read, copy or disclose the contents of this

communication to others and please notify the sender at (713) 207-3331. If you are not the intended recipient, we would appreciate your forwarding the message back to us and deleting it from your system. Unauthorized use, dissemination, distribution, or reproduction of this message is strictly prohibited and may be unlawful. Thank you.

Message 10 of 230

RE: Conference Call re: Transition of Into Product to MISO

Sender	elizabeth.sager@enron.com
Recipients	['marcus.nettelton@enron.com']
File	sager-e/sent_items/422.

thanks

Elizabeth Sager 713-853-6349

-----Original Message-----

From: Nettelton, Marcus Sent: Monday, November 19, 2001 5:09 PM To: Sager, Elizabeth Subject: RE: Conference Call re: Transition of Into Product to MISO Importance: High Sensitivity: Confidential

Liz

Agreed that all parties would review the proposed framework with traders to try to "fill in the boxes". It was however recognised that there were difficulties in interpreting what was intended by the proposed RTO's and the relationship with the current Into Cinergy market.

AEP viewed that purchase of transmission was the critical area, who had to purchase what and several scenarios to work through. Whether Seller buys a wheel, whether buyer buys a wheel, or under MISO both parties buy a wheel. This clearly has knock on effect for obligations in respect of firm and non-firm transmission and curtailment. In particular, what if non-firm is elected and how this flows through into obligations of the parties to a transaction.

Perception that the framework prepared by AEP will start all interested parties in the same place to talk about the issues.

It was agreed to try to get a representative from Duke to join the next call as they were an Into Cinergy product trader as well.

The next call was scheduled for November 29th at 10 o clock Eastern time. It was suggested that everyone at least take first page of Mitch's schedule and talk to the traders, since this would probably be the best starting point, Mitch encouraged any comments to be shared earlier if possible.

Signed you up for this call in your absence.

Marcus

-----Original Message-----

From: Sager, Elizabeth Sent: Monday, November 19, 2001 3:59 PM To: Nettelton, Marcus Subject: FW: Conference Call re: Transition of Into Product to MISO

Elizabeth Sager 713-853-6349

-----Original Message-----

From: djstephens@aep.com@ENRON Sent: Monday, November 19, 2001 1:18 PM To: NTillett@reliant.com; drusso@reliantenergy.com; david.perlman@powersrc.com; Sager, Elizabeth; fmdutton@aep.com; nicole.daggs@mirant.com; ntrask@pwrteam.com; ecomer@aep.com; jcespo@hess.com Subject: Conference Call re: Transition of Into Product to MISO

Attached please find a copy of the memo from F. Mitchell Dutton regarding Into Product Definition and Formation of Regional Transmission Organization for the 5:00 p.m. (EST) Conference call today. Please contact Mitch Dutton at (614)

223-1605 or myself at (614) 324-6843 if you have any questions or comments.

(See attached file: 87712.DOC)

Thank you,

DJ Stephens

This e-mail message from the Legal Department of American Electric Power is for the sole use of the intended recipient(s) and may contain confidential and privileged information. Any unauthorized review, use, disclosure or distribution is prohibited. If you are not the intended recipient, please contact the sender by reply e-mail and destroy all copies of the original message. - 87712.DOC << File: 87712.DOC >>

Message 11 of 230

EEI - Ballot on Article 2.3

Sender	elizabeth.sager@enron.com
Recipients	['david.portz@enron.com', 'leslie.hansen@enron.com', 'christian.yoder@enron.com']
File	sager-e/all_documents/1338.

In what I'm sure is an oversight, EEI forgot to send me a ballot. After appealing for my right to vote, a ballot was forthcoming. I voted "NO" on the proposal. We will see what happens from here. ----- Forwarded by Elizabeth Sager/HOU/ECT on 02/28/2000 12:42 PM -----

"Andy Katz" <AKatz@eei.org> on 02/28/2000 11:52:31 AM To: Elizabeth Sager/HOU/ECT@ECT cc: Subject: Fwd: Ballot on Article 2.3

Here you go.

Andrew S. Katz, Senior Attorney Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org

Received: from listserver.eei.org by mail.eei.org; Fri, 25 Feb 2000 14:45:14 -0500 Return-Path: <AKatz@eei.org>
Received: from mail.eei.org ([204.254.108.2]) by listserver.eei.org with SMTP (Lyris Server version 3.0); Fri, 25 Feb 2000 14:37:08 -0500 Received: from WPDomain-Message_Server by mail.eei.org with Novell_GroupWise; Fri, 25 Feb 2000 14:44:59 -0500 Message-Id: <LYR9187-46755-2000.02.25-14.37.12--aKatz#eei.org@ls.eei.org> Date: Fri, 25 Feb 2000 14:44:28 -0500 From: "Andy Katz" <AKatz@eei.org> To: "Wholesale Electric Contract Standardization Group" <contract@ls.eei.org> Subject: Ballot on Article 2.3 Mime-Version: 1.0 Content-Type: text/plain; charset=US-ASCII Content-Transfer-Encoding: quoted-printable Content-Disposition: inline List-Unsubscribe: <mailto:leave-contract-9187S@ls.eei.org> List-Software: Lyris Server version 3.0 List-Subscribe: <mailto:subscribe-contract@ls.eei.org> List-Owner: <mailto:owner-contract@ls.eei.org> X-List-Host: EEI List Server <http://www.eei.org> Reply-To: "Wholesale Electric Contract Standardization Group" <contract@ls.eei.org> X-Message-Id: <s8b6956b.072@mail.eei.org> Sender: bounce-contract-9187@ls.eei.org Precedence: bulk

The following Message was sent to members of Contract List Server, the EEI Contract Standization Mailing List. To Members of the Working Group:

A proposal was considered at the meeting in Houston on January 26 to add language to Article 2.3 of the Master Agreement which would require an agreement of both parties before any contract terms not part of the oral Transaction (but added to the written Confirmation) could become binding. Those in favor of adding such language hope to avoid the "long form confirmations" which have proliferated in the marketplace in the absence of an underlying master agreement - those containing arbitration clauses, Y2K representations and other non-commercial terms. Those who oppose adding such language believe it is critical to market participants to know at some point, relatively promptly after the oral trade call, that the confirm represents the commercial Transaction, and that trade tapes can be overwritten. They ask only that counterparties accept or reject the commercial Transaction terms within two Business Days. If there is a dispute about the

terms of the Transaction as it appears in the Confirmation, they want to be notified so that tapes can be preserved and the issues can be addressed promptly.

After much discussion, the Drafting Committee has developed language that could be added. Given the strong feelings on both sides of this issue, however, the Drafting Committee decided to poll each company in the Working Group as to whether such additional language should be added at all. If the Working Group votes "yes", the additional language below would be inserted in Article 2.3 as an option that only would apply if selected on the cover sheet.

The following wording was developed by the Drafting Committee:

"If a Confirmation contains provisions, other than those provisions relating to the commercial terms of the Transaction (e.g., price, special transmission conditions), which modify or supplement the general terms and conditions of this Master Agreement (e.g., arbitration provisions, additional representations and warranties), then such provisions shall not be deemed to be accepted pursuant to this Article 2.3 unless agreed to either orally or in writing by the Parties; provided that the foregoing will not affect the validity and binding nature of the Transaction."

Accordingly, would ONE representative from each company in the Working Group please respond using the REPLY function of your email program to the following questions by cob Tuesday, February 29:

1. Should the language addressing this point be inserted into the Master Agreement? (If yes, the language will be an option selected on the Cover Sheet.)

Yes _____ No _____

Andrew S. Katz, Senior Attorney Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org

-----*** EEI - A Powerful Partner in a Competitive World sm ***-----

You have received the above message as a subscriber to the EEI Contract Standardization Electronic Mailing List: contract Your subscription address is listed as: [akatz@eei.org] To stop receiving these messages, send a blank message to the list administrator: kSeaman@eei.org with the subject as: UNSUBSCRIBE You can reply to the EEI Contract List by using your email program's "ReplyTo" function, or by sending a message to the list administrator.

Message 12 of 230

Drafting Committee Meeting - November 12

Sender	akatz@eei.org
Recipients	['ecomer@eei.org', 'harlan.murphy@enron.com', 'jcespo@hess.com']
File	sager-e/inbox/118.

The consensus of the group is to hold our meeting in Washington on November 12. We'll meet from 10-4. John Crespo has graciously offered to host the meeting at Hess' offices in Alexandria, Va. located at:

Amerada Hess Corporation 2800 Eisenhower Avenue -- Third Floor Alexandria, VA 22314 phone: (703) 317-2321 fax: (703) 317-2203 Their offices are about 10 minutes from National Airport by cab; 1/4 mile from the Washington Metro stop at Eisenhower Avenue; and next to the D.C. Beltway. John has information about nearby hotels. Please let John and me know if you can attend. Also, let us know if you are interested in getting together for dinner on Sunday night. We'll organize something for those who want to get together.

Andrew S. Katz, Director Industry Legal Affairs Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org - Andy Katz.vcf

Message 13 of 230

FW: Hotels in Colorado Springs for the August 10, 2001 Contracting

Sender	elizabeth.sager@enron.com
Recipients	[christian.yoder@enron.com]
File	sager-e/sent_items/282.

did you book?

-----Original Message-----

From: "WINNIE HOWARD" <HOWARD@wrightlaw.com>@ENRON [mailto:IMCEANOTES-+22WINNIE+20HOWARD+22+20+3CHOWARD+40wrightlaw+2Ecom+3E+40ENRON@ENRON.com] Sent: Thursday, June 14, 2001 8:17 AM To: Sager, Elizabeth; jhartso@enron.com Subject: Hotels in Colorado Springs for the August 10, 2001 Contracting Meeting

I understand that the Broadmoor is sold out for the night of the 9th, including the block of rooms held for the WSPP Contracting Meeting. There is a waiting list, but the waiting list is long. Here is a list of alternate hotels/resorts in the area, the hotels/resorts have been checked and they do have rooms available:

Cheyenne Mountain Conference Resort (2.5 miles away from Broadmoor) 3225 Broadmoor Valley Road Colorado Springs, CO 80906 719-538-4000

Doubletree World Arena (3 miles from Broadmoor) 1775 E. Cheyenne Mountain Boulevard Colorado Springs, CO 80906 719-576-8900

Sheraton Colorado Springs Hotel (3 miles from Broadmoor) 2886 South Circle Drive Colorado Springs, CO 80906 719-576-5900

Sorry for any inconvenience this may cause, but when the arrangements were made for the meeting, there were plenty of rooms available at that time.

Message 14 of 230

RE: Doctor

Sender	elizabeth.sager@enron.com
Recipients	[sheryl_gussett@reliantenergy.com]
File	sager-e/sent_items/5.

Hi

Dr's name is Dr Nemodo. Last telephone number I had is 713 467 2700. He worked out of Memorial Hospital off of I10. He was a solo flyer just getting starting when I saw him. See you tonight.

-----Original Message-----

From: sheryl_gussett@reliantenergy.com@ENRON Sent: Thu 10/25/2001 6:26 PM To: Sager, Elizabeth Cc: Subject: Doctor

Who was your doctor for the wonderful colonoscopy?

Sheryl Gussett

Reliant Resources, Inc.

P.O. Box 61867

Houston, Texas 77208

713-207-8538

713-207-0161 (fax)

s_gussett@reliant.com

The preceding e-mail message contains information that is confidential, may be protected by the attorney/client or other applicable privileges, and may constitute non-public information. It is intended to be conveyed only to the designated recipient(s). If you are not an intended recipient of this message, please do not read, copy or disclose the contents of this communication to others and please notify the sender at (713) 207-5243. If you are not the intended recipient, we would appreciate your forwarding the message back to us and deleting it from your system. Unauthorized use, dissemination, distribution, or reproduction of this message is strictly prohibited and may be unlawful. Thank you.

Message 15 of 230

Halloween Festival

Sender	sheryl_gussett@reliantenergy.com
Recipients	['elizabeth.sager@enron.com']
File	sager-e/inbox/154.

You forgot the small reminder on the festival Friday. Must have been all the football excitement at the end there. Anyway, the Houstonian carinval thing is Sunday October 28 from 4-6 pm. They request RSVPs at 713-685-6888 (although I'm sure they'd let you come anyway). There is also a "costume party" for the bigger kids one of those nights. If Ella and Sam were going I'm sure Eleanor would love to go (Alice is too young). I think it might be on that Friday or Saturday night (there is info. in the MDO on it). Have a good week.

Sheryl Gussett Reliant Resources, Inc. P.O. Box 61867 Houston, Texas 77208 713-207-8538 713-207-0161 (fax)
s_gussett@reliant.com

The preceding e-mail message contains information that is confidential, may be protected by the attorney/client or other applicable privileges, and may constitute non-public information. It is intended to be conveyed only to the designated recipient(s). If you are not an intended recipient of this message, please do not read, copy or disclose the contents of this communication to others and please notify the sender at (713) 207-7414. If you are not the intended recipient, we would appreciate your forwarding the message back to us and deleting it from your system. Unauthorized use, dissemination, distribution, or reproduction of this message is strictly prohibited and may be unlawful. Thank you.

Message 16 of 230

PG&E Meetings-- Contact List and Conference call information

Sender	elizabeth.sager@enron.com
Recipients	['taffy.milligan@enron.com']
File	sager-e/all_documents/528.

----- Forwarded by Elizabeth Sager/HOU/ECT on 04/07/2001 01:55 PM -----

Travis McCullough 04/06/2001 06:37 PM

To: Phillip K Allen/HOU/ECT@ECT, Tim Belden/HOU/ECT@ECT, William S Bradford/HOU/ECT@ECT, Rick Buy/HOU/ECT@ECT, Wanda Curry/HOU/EES@EES, Mark E Haedicke/HOU/ECT@ECT, Travis McCullough/HOU/ECT@ECT, Richard B Sanders/HOU/ECT@ECT, Vicki Sharp/HOU/EES@EES, Mike D Smith/HOU/EES@EES, Michael Tribolet/Corp/Enron@Enron, Robert Williams/ENRON@enronxgate, Greg Wolfe/HOU/ECT@ECT, Christian Yoder/HOU/ECT@ECT, Greg Whalley/HOU/ECT@ECT, John J Lavorato/Enron@EnronXGate, Louise Kitchen/HOU/ECT@ECT, ceklund@llgm.com, jklauber@llgm.com, jlhuemoe@llgm.com, Peter Keohane/CAL/ECT@ECT, Carol St Clair/HOU/ECT@ECT, Elizabeth Sager/HOU/ECT@ECT, Jeffrey T Hodge/HOU/ECT@ECT cc: Subject: PG&E Meetings-- Contact List and Conference call information

Attached is the telephone contact list for all of the Enron personnel that have been working on the California crisis.

For those calling in to the meetings over the weekend:

The call-in number for the 3:00 p.m. (Houston time) Saturday call is:

888-422-7128 Code: 610989

The purpose of this call is primarily for the legal team to discuss the due diligence process.

The call-in number for the 3:00 p.m. (Houston time) Sunday call is:

888-422-7128 Code: 835002

The purpose of this call is to review the results of the due diligence process and prepare summaries and recommendations to be discussed at the 7:00 meeting.

The call-in number for the 7:00 p.m. (Houston time) Sunday meeting is:

888-422-7101 Code: 337268

The purpose of this call is to report the results of the due diligence investigation and make appropriate recommendations regarding the open PG&E positions.

The legal team will be meeting in conference rooms on 38 over the weekend. I understand that the 7:00 meeting will be held in EB3321.

Please call if you have any questions.

Travis McCullough Enron North America Corp. 1400 Smith Street EB 3893 Houston Texas 77002 Phone: (713) 853-1575 Fax: (713) 646-3490

Message 17 of 230

Re: Next Meeting of Drafting Committee

Sender	fmdutton@aep.com
Recipients	['elizabeth.sager@enron.com', 'akatz@eei.org']
File	sager-e/inbox/130.

Drafting Committee: I apologize for the delay in responding. If still interested, AEP would be glad to host the drafting committee. I would proposed dinner the night before on Sunday evening November 11 and meeting November 12. The meeting could start around 10 AM and lunch will be provided. Further details to follow but let me know if my unfortunate delay has made alternative plans more attractive. F. Mitchell Dutton Senior Counsel Wholesale & Energy Services American Electric Power audionet 205.4568 614.223.1605 Fax 614.324.5096 Cellular 614.203.7861

"Andy Katz" <AKatz@eei.or g>

10/17/01 04:55 PM

Date: 10/17/2001 04:55:18 PM From: "Andy Katz"

To: <fmdutton@aep.com>, <elizabeth.sager@enron.com>, <harlan.murphy@enron.com>, <martyjo.rogers@entergykoch.com>, <jcrespo@hess.com>, <wfhenze@jonesday.com>, <dperلمان@powersrc.com>, <rosteen@powersrc.com>, <ntrask@pwrteam.com>, <drusso@reliantenergy.com>, <Shari_Stack@reliantenergy.com>, <pdondanville@schiffhardin.com>, <babak.pooya@southernenergy.com> cc: "Ed Comer" <EComer@eei.org> Subject: Next Meeting of Drafting Committee

I have been unable to confirm a meeting for the week of November 12 at AEP in Columbus. I would like to propose an alternative, which is to meet in Washington, D.C. on the 12th. Although EEI's offices will be closed that day, Ed Comer said we could use the meeting space. EEI would be unable to arrange any catering however. Alternatively, we might be able to rely on the good graces of member company Washington counsel. Please let me know if the 12th in D.C. from 10-4 works for people. Liz Sager says that the collateral annex will be ready for review by then. The concern is that if we wait too long we are into the holidays and I think there needs to be a meeting of the working group and a workshop on the collateral annex no later than January. Although my last day at EEI is the 22nd, I will be keeping this email address for purposes of communications regarding the EEI Contract.

Andrew S. Katz, Director Industry Legal Affairs Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org(See attached file: Andy Katz.vcf)

- Andy Katz.vcf

Message 18 of 230

RE: NYISO collateral due FRIDAY 12/7

Sender	marcus.nettelton@enron.com
Recipients	['rogers.herndon@enron.com', 'travis.mccullough@enron.com', 'wade.stubblefield@enron.com', 'juan.padron@enron....
File	sager-e/deleted_items/25.

In addition to other issues, we will need to check that the DIP financing arrangements will permit the posting of collateral and in the amount required. Travis McCullough is well placed to address this issue.

-----Original Message-----

From: Padron, Juan Sent: Thursday, December 06, 2001 9:30 AM To: Stubblefield, Wade; Herndon, Rogers; Steffes, James D.; Nicolay, Christi L.; Sager, Elizabeth; Smith, Mike B; Sharp, Vicki; Dietrich, Janet Cc: Nettelton, Marcus Subject: NYISO collateral due FRIDAY 12/7

Wade,

In order for EES to participate in the Monthly ICAP Auction on 12/13, we need to wire cash collateral of \$750,000 to NYISO by COB Friday 12/7. The cash collateral must be adequate to allow the amount of ICAP we need to clear in the market (or we will be exposed to the Monthly Deficiency Auction -- which could be much higher than the "regular" Monthly Auction). Our Physical Delivery Load will increase significantly starting 01/01/02 (and stabilize, thereafter) to ~ 70 MW.

In addition, NYISO is offsetting the cash collateral of \$680,000 that was wired to them last Friday against previous month's Energy and ICAP bills. While we can attempt to technically argue against this offset due to the bankruptcy, the loss of status to continue transacting with the NYISO will violate the reps in our customer agreements, and, thus, risk the validity of the book (est. \$60MM). The calculation of the offset is below. Therefore, we will then need to wire additional collateral of \$760,500 by COB TUES. 12/11 (based on 3 X highest month of \$235,500 (Nov. 01)). Keep in mind that the collateral for Energy will increase even more in January due to our increase in Load, as previously mentioned.

\$680,000 Collateral sent 11/30 (Friday) (255,000) Nov. Energy bill (will be sent 12/7--due 12/17) (125,000) Nov. ICAP bill (same) (32,000) Oct. true-up (127,000) Dec. ICAP bill (due 1/02)

\$141,000 left will be kept by NYISO until it is certain that true-ups from past invoices are complete (which can take awhile for this ISO).

Please wire cash collateral to the following:

Key Bank, N.A. 66 South Pearl Street Albany, NY 12207 ABA 021300077 Account 329681005271 Tax ID: 14-1815612

Mary McGarvey Controller & Assistant Treasurer 518-356-6125 (phone) 518-356-6232 (fax)

Let us know if you need additional information.

Juan Padron 31751

Christi Nicolay 37007 and cell 713-301-3421

Message 19 of 230

BNP Paribas-Enron Master Netting Agreement	
Sender	harlan.murphy@enron.com
Recipients	['carol.st.@enron.com', 's..bradford@enron.com', 'elizabeth.sager@enron.com', 'john.powers@americas.bnpparibas...]
File	sager-e/inbox/1051.

The events in the Underlying Master Agreements that should be excluded from the definition of an event of default that would trigger an Underlying Master Agreements Close-Out are as follows:

- (i) the unexcused failure of a party to deliver a specified quantity of a commodity;
- (ii) a change in the extent to which a party is regulated; and
- (iii) events described in Section 3(f) ("Default under Relevant Transaction") and 3(g) ("Material Adverse Change") of the GT&C for the sale and purchase for Flat UK Beach Trades.

In addition, all third party debt cross default thresholds in the UMAs should be revised to be \$100,000,000.

Also, please incorporate the language regarding the Commodity Exchange Act provided in the e-mail attached below.

Please forward a copy of the draft to me, Lech, and all of the addresses cc'd above.

Thanks,

Harlan E. Murphy Enron Wholesale Services - Legal 1400 Smith Street, EB 3811 Houston, Texas 77002 Tel: 713.345.2679 Fax: 713.646.3490 E-mail: Harlan.Murphy@Enron.com

-----Original Message-----

From: "Lech Kalemka" <Lech.Kalemka@cwt.com>@ENRON Sent: Tuesday, November 27, 2001 2:24 PM To: Cook, Mary; Murphy, Harlan Cc: David Mitchell Subject: BNP

Regarding the commodity law issue, we suggest the following language:

"The rights of the Parties under Sections 3, 4 and 7 of this Agreement are subject to, and qualified by, the applicable provisions of the Commodity Exchange Act, 7 U.S.C. Sec. 1 et seq., and the rules and regulations thereunder."

This could be new section or, perhaps, folded into existing boilerplate.

Please let me know if you have any questions or comments.

Lech Kalemka Cadwalader, Wickersham & Taft 100 Maiden Lane New York, NY 10038 Tel.: (212) 504-6918 Fax: (212) 504-6666 E-mail: lech.kalemka@cwt.com

NOTE: The information in this email is confidential and may be legally privileged. If you are not the intended recipient, you must not read, use or disseminate the information. Although this email and any attachments are believed to be free of any virus or other defect that might affect any computer system into which it is received and opened, it is the responsibility of the recipient to ensure that it is virus free and no responsibility is accepted by Cadwalader, Wickersham & Taft for any loss or damage arising in any way from its use.

Message 20 of 230

RE: Next Meeting of Drafting Committee

Sender	martyjo.rogers@entergykoch.com
Recipients	['ecomer@eei.org', 'katz'.andy@enron.com', 'harlan.murphy@enron.com', 'ekt <.rogers@enron.com>']
File	sager-e/inbox/120.

If EKT is able to attend we are flexible on the location.

Marty

Marty Jo Rogers Assistant General Counsel Entergy-Koch Trading, LP 7th Floor 20 Greenway Plaza Houston, Texas 77046 (713) 544-5282 Phone (713) 544-5551-Facsimile E-Mail martyjo.rogers@entergykoch.com

ATTORNEY COMMUNICATIONS PRIVILEGED & CONFIDENTIAL This e-mail, and any attachments thereto, are intended only for use by the addressee(s) named herein and may contain legally privileged and/or confidential information. If you are not the intended recipient of this e-mail, you are hereby notified that any dissemination, distribution or copying of this e-mail, and any attachments thereto, is strictly prohibited. If you have received this e-mail in error, please immediately notify me by telephone and permanently delete the original and any copy of any e-mail and any printout thereof.

-----Original Message----- From: Andy Katz [SMTP:AKatz@eei.org] Sent: Wednesday, October 17, 2001 3:55 PM To: fmdutton@aep.com; elizabeth.sager@enron.com; harlan.murphy@enron.com; martyjo.rogers@entergykoch.com; jcrespo@hess.com; wfhenze@jonesday.com; dperلمان@powersrc.com; rosteen@powersrc.com; ntrask@pwrteam.com; drusso@reliantenergy.com; Shari_Stack@reliantenergy.com; pdondanville@schiffhardin.com; babak.pooya@southernenergy.com Cc: Ed Comer Subject: Next Meeting of Drafting Committee I have been unable to confirm a meeting for the week of November 12 at AEP in Columbus. I would like to propose an alternative, which is to meet in Washington, D.C. on the 12th. Although EEI's offices will be closed that day, Ed Comer said we could use the meeting space. EEI would be unable to arrange any catering however. Alternatively, we might be able to rely on the good graces of member company Washington counsel. Please let me know if the 12th in D.C. from 10-4 works for people. Liz Sager says that the collateral annex will be ready for review by then. The concern is that if we wait too long we are into the holidays and I think there needs to be a meeting of the working group and a workshop on the collateral annex no later than January. Although my last day at EEI is the 22nd, I will be keeping this email address for purposes of communications regarding the EEI Contract. Andrew S. Katz, Director Industry Legal Affairs Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org <mailto:akatz@eei.org> << File: Andy Katz.vcf >>

Message 21 of 230

FW: Houston Meetings 8/7, 8/8

Sender	elizabeth.sager@enron.com
Recipients	['alice.wright@enron.com']
File	sager-e/sent_items/177.

please print all - thanks

Elizabeth Sager 713-853-6349

-----Original Message-----

From: "Andy Katz" <AKatz@eei.org>@ENRON

[mailto:IMCEANOTES+22Andy+20Katz+22+20+3CAKatz+40eei+2Eorg+3E+40ENRON@ENRON.com] Sent: Friday, August 03, 2001 10:46 AM To: louv@acespower.com; fhilton@aep.com; fmdutton@aep.com; lrgroff@aep.com; Christine_Schwab@dom.com; Francine_Mathews@dom.com; rsbaker@duke-energy.com; pjpa@dynegy.com; mtwilliams@edisonmission.com; RReyna@energyusa.com; St. Clair, Carol; Sacks, Edward; Sager, Elizabeth; Murphy, Harlan; Radous, Paul; Ngo, Tracy; Conwell, Wendy; martyjo.rogers@entergykoch.com; jcrespo@hess.com; wfhenze@jonesday.com; ed.zabrocki@msdw.com; william.mccoy@msdw.com; daniel.sarti@neg.pge.com; Jeremy.Weinstein@pacificorp.com; PamelaA.Erickson@pgnmail.com; dperlman@powersrc.com; kabedin@powersrc.com; rosteen@powersrc.com; drusso@reliantenergy.com; Shari_Stack@reliantenergy.com; pdondanville@schiffhardin.com; babak.pooya@southernenergy.com; cward@utilicorp.com; mcrocker@utilicorp.com; pharrod@utilicorp.com; bill.dudley@xemkt.com Cc: nina.tillett@reliant.com Subject: Houston Meetings 8/7, 8/8

Meeting Attendees:

For those who were planning to join us for dinner on the night of the 7th, the location of the restaurant HAS CHANGED to MAGGIANO'S LITTLE ITALY, 2019 South Post Oak Blvd. Houston, TX 77056 713-961-2700. It's between Westheimer and San Felipe (see map attached). I've made a reservation in a private room there for 20 at 6:30pm, based on contact from those who had previously indicated they were joining us. Please check the attached attendance roster to make sure my list of those who are attending the dinner (and the meetings) is correct. If you are not listed and would like to join us please let Nina Tillett at Reliant know by COB Monday (her email is nina.tillett@reliant.com - please note I had an incorrect email for her previously). Also note that continental breakfast and lunch will be provided at both meetings.

Also, please find attached the following:

Optional EEI Contract Provisions/sponsor: Unilateral Language - Marty Jo Rogers Market Disruption - Elizabeth Sager
Incorporation of Prior Transactions - Elizabeth Sager Arbitration - Patty Dondanville Additional Products - Dede Russo
Other Optional Provisions - Miscellaneous sponsors

Collateral Annex - Carol St. Clair (for discussion at 8/7 meeting)

I look forward to seeing you there.

Regards,

Andrew S. Katz, Director Industry Legal Affairs Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org - TEXT.htm - Unilateral Language.doc - Market Disruption Optional Language.doc - Prior Transactions Optional Language.doc - Additional Products Presentation 051501.doc - sample arbitration clause.PDF - EEI Collateral Annex version 2 - 112400.doc - Houston Attendance Chart.doc - Maggiano's Little Italy.gif - Optional Provisions Presentation 051701.doc

Message 22 of 230

Re: Meeting on December 14

Sender	akatz@eei.org
Recipients	['rsbaker@duke-energy.com', 'hemu@dynegy.com', 'lrgroff@aep.com', 'fmdutton@aep.com']
File	sager-e/all_documents/1903.

Whenever or wherever people want to meet is fine with me. Just remember there seemed to be a lot of interest in having a credit annex at the meeting on October 13th. I think the drafting committee should be responsive to that interest and not wait too long to produce a draft for consideration by the larger group. Also, be mindful that for a lot of counterparties, a really complex document will be difficult to execute. It essential to have a credit annex ready for the EEI Credit workshop in January or February (date is still to be determined).

Andrew S. Katz, Director Industry Legal Affairs Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org

<lrgroff@aep.com> 12/05/00 01:53PM >>>

Just a suggestion, it may be a better use of everyone's time if the Credit Managers met to discuss the draft of the Credit Support Annex prepared by Bill before we get the drafting committee involved. I don't know about the other Credit Managers but I am in the process of going through and making comments to Bill's draft. I was thinking we could gain consensus amongst the Credit Managers and then get the drafting committee involved. Maybe even have a conference call or two before we actually meet. Any thoughts? ----- Forwarded by Lisa R Groff/OR4/AEPIN on 12/05/2000 01:44 PM -----

F Mitchell Dutton 12/05/2000 01:38 PM

To: Franklin Hilton/OR3/AEPIN@AEPIN, Lisa R Groff/OR4/AEPIN@AEPIN cc:

Subject: Meeting on December 14

----- Forwarded by F Mitchell Dutton/OR2/AEPIN on

12/05/2000 01:39 PM -----

"Andy Katz" <AKatz@eei.org> on 12/05/2000 01:30:29 PM

Date: 12/05/2000 01:30:29 PM From: "Andy Katz"

To: <fmdutton@aep.com>, <Lgroff@aep.com>, <rsbaker@duke-energy.com>, "Harlan Murphy" <hemu@dynegy.com>, "Elizabeth Sager" <elizabeth.sager@enron.com>, "Marty Rogers" <mroger3@entergy.com>, "Fritz Henze" <wfhenze@jonesday.com>, "David Perlman" <dperlman@powersrc.com>, "Randall Osteen" <rosteen@powersrc.com>, "Patti Dondanville" <pdondanville@schiffhardin.com>, "Babak Pooya" <babak.pooya@southernenergy.com> cc: <William.McCoy@msdw.com>

Subject: Meeting on December 14

Would the drafting committee and representative credit managers be interested in meeting in New York City on December 14 to discuss credit annex draft. Bill McCoy is giving a brown bag discussion on trading documentation at a law firm in NYC and perhaps we could meet with him afterwards? Let me know asap and I'll ask Marving Goldstein, a partner at the firm, if we can meet after the brown bag. Of course, that depends on Bill's availability too.

Andrew S. Katz, Director Industry Legal Affairs Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org

(See attached file: Andy Katz.vcf)

- Andy Katz.vcf

Message 23 of 230

FW: WSPP Proposal

Sender	christian.yoder@enron.com
Recipients	['john.malowney@enron.com', 'tim.belden@enron.com', 'elizabeth.sager@enron.com', 'legal <.hall@enron.com', 'pa...]
File	sager-e/inbox/740.

Here is a good example of exactly what I was talking about in our EEI/WSPP = comparison session yesterday. Today and tomorrow the WSPP contract committ= ee is meeting in a palatial setting in southern California, many Club Membe= rs taking two and a half days off from their "busy" schedules to go there, = AG warnings of terrorism threats notwithstanding, and, what are they doing?= they are discussing another piece of the EEI agreement and deciding wheth= er or not to adopt it, (which they will in a botched up form) this particu= lar item is a Collateral Annex document, designed to

strengthen the margin = taking aspect of the WSPP agreement. Nobody can complain that this topic is not a relevant topic, but, what nobody seems to be noticing, as the years go by, is that this catch up side show by these guys is a big waste of the industry's time and money, and, the whole thing could be brought to a tidy ending by a Joint WSPP/EEI drafting Committee. Why should the market be confused by having two agreements, one of which is forever amending itself to look ever more and more like the other, all the while pretending to be vitally and significantly different? The WSPP is like the Emperor's new clothes story. It is proudly standing up there in front of the world but it has nothing on, it looks ever more like the very agreement it tries to be different from. This fundamental absurdity of creeping imitation needs to be recognized for what it is. This really is our biggest beef against the WSPP: CREEPING IMITATION. As mid-marketers, you could begin planting the seed of the idea, (couching it all in very positive remarks about the wonderful efforts of the WSPP), that we have made enough progress now and that the time for merger is upon us. The solution is a joint drafting committee to harmonize the agreements once and for all. If enough counterparties began talking about this, it might happen. If we, as Enron lawyers bring it up, we are sarcastically dismissed for being cruel and unusual punishers of Mike Small. Please think about this and factor it into your conversations with counterparties. While you are doing that, we lawyers will have the pleasure of another four to 6 hours of phone conference work as the committee toils on, the comic and absurd road show entering at least its 4th year of this debacle. ----cgy

-----Original Message-----

From: Sager, Elizabeth Sent: Thursday, November 01, 2001 8:02 AM To: Yoder, Christian; Hall, Steve C. (Legal) Subject: FW: WSPP Proposal

This is Reliant's version - while I haven't read it I'm sure it is the best proposal yet.

Elizabeth Sager 713-853-6349

-----Original Message-----

From: ntill@reliant.com@ENRON On Behalf Of drusso@reliant.com Sent: Monday, October 29, 2001 5:08 PM To: lrgroff@aep.com; rosteen@powersrc.com; fmdutton@adep.com; Sager, Elizabeth; SStack@reliant.com Subject: WSPP Proposal

Attached is the most current draft WSPP Proposal and Cover Sheet.

Give me your comments/thoughts.

Dede Russo Senior Attorney Reliant Energy Law Department P.O. Box 1384 Houston, TX 77251-1384 1111 Louisiana St., Suite 4300 (77002) Phone: (713) 207-5240 E-Mail: drusso@reliant.com Fax: (713) 207-0161

(See attached file: WSPP Collateral Annex 102901.doc) (See attached file: WSPP Collateral Annex Cover Sheet 102901.doc)

The preceding e-mail message contains information that is confidential, may be protected by the attorney/client or other applicable privileges, and may constitute non-public information. It is intended to be conveyed only to the designated recipient(s). If you are not an intended recipient of this message, please do not read, copy or disclose the contents of this communication to others and please notify the sender at (713) 207-5241. If you are not the intended recipient, we would appreciate your forwarding the message back to us and deleting it from your system. Unauthorized use, dissemination, distribution, or reproduction of this message is strictly prohibited and may be unlawful. Thank you. - WSPP Collateral Annex 102901.doc=20 - WSPP Collateral Annex Cover Sheet 102901.doc

Message 24 of 230

Re: BPA and EEI	
Sender	steve.hall@enron.com
Recipients	['Steve C Hall/PDX/ECT@ECT', 'christian.yoder@enron.com', 'elizabeth.sager@enron.com']
File	sager-e/all_documents/3132.

A house divided against itself cannot stand!

Christian Yoder 04/16/2001 09:58 AM To: Elizabeth Sager/HOU/ECT@ECT cc: Steve C Hall/PDX/ECT@ECT

Subject: Re: BPA and EEI

Very interesting. We are coming to an inevitable point. The industry wants a standard agreement. Agreement is expressed in the singular. There cannot be two standard agreements, it defeats the whole idea of set off and consistency. I see the Newport session as perhaps akin to Fort Sumter itself. Somebody has got to step up to the big public plate and fire a massive broadside at the WSPP and get it started. Only one can survive. Or, I can hear that weazely politician saying, "why can't we have a "western EEI?" ----cgy

From: Elizabeth Sager on 04/16/2001 08:21 AM CDT To: Steve C Hall/PDX/ECT@ECT, Christian Yoder/HOU/ECT@ECT cc: Subject: BPA and EEI

fyi ----- Forwarded by Elizabeth Sager/HOU/ECT on 04/16/2001 08:21 AM -----

"Andy Katz" <AKatz@eei.org> 04/14/2001 07:08 AM

To: <elizabeth.sager@enron.com>, <sonnet.edmonds@mirant.com>, <dperلمان@powersrc.com>, <drusso@reliantenergy.com> cc: Subject: Fwd: RE: April Western Power Contract Workshop

I thought you may find this message from one of BPA's attorney's of interest. Received: from marble.bpa.gov by mail.eei.org; Fri, 13 Apr 2001 20:02:47 -0400 Received: from brick2.bpa.gov (brick2 [170.160.1.251]) by marble.bpa.gov (8.9.3/8.9.3) with ESMTP id RAA24066 for <AKatz@eei.org>; Fri, 13 Apr 2001 17:02:13 -0700 (PDT) Received: from exch03.bpa.gov ([53.180.254.193]) by brick2.bpa.gov (8.9.3/8.9.3) with ESMTP id RAA16580 for <AKatz@eei.org>; Fri, 13 Apr 2001 17:02:13 -0700 (PDT) Received: by exch03.wins.bpa.gov with Internet Mail Service (5.5.2650.21) id <2V5XTADZ>; Fri, 13 Apr 2001 17:02:14 -0700 Message-ID: <199D87AC6D89D211B0C60000F8FA5F2102F89052@exch09.wins.bpa.gov> From: Hull Gerit F - LP <gfhull@bpa.gov> To: "Andy Katz" <AKatz@eei.org> Cc: "Anderson, Brenda S - PTF-5" <bsanderson@bpa.gov>, "Mills, David - PTF-5" <demills@bpa.gov> Subject: RE: April Western Power Contract Workshop Date: Fri, 13 Apr 2001 17:02:13 -0700 MIME-Version: 1.0 X-Mailer: Internet Mail Service (5.5.2650.21) Content-Type: text/plain; charset="iso-8859-1"

Andy,

We still have some internal work to do before we can say whether there is any chance BPA will use the EEI contract in the future. Personally, I think this depends largely on what the prevailing industry trading arrangements are, and that seems to be the WSPP agreement right now. But our eyes and ears are open. I will be attending the conference and expect it to be very informative. Thanks for sending out the brochure.

Gerit Hull

-----Original Message-----

From: Andy Katz [mailto:AKatz@eei.org] Sent: Tuesday, March 27, 2001 2:38 PM To: gfhull@bpa.gov Subject: RE: April Western Power Contract Workshop

Here's the final conference brochure. The last panel of the day has a comparison of the EEI and the WSPP and what the future holds for each. If you were inclined, having your thoughts on which agreement the BPA would likely embrace in the future would be helpful. If you speak, you get to attend the entire conference for free. Also, please feel free to pass the brochure on to any counterparties in the west that you think would benefit. FYI, if there is enough interest we can try to arrange getting additional rooms at the Four Seasons at the conference rate. If that is not an option, there is a Marriott that we have a national account w/ that is only 5 minutes from the Four Seasons. If we get enough overflow we will guarantee the Marriott a block of rooms to get a discount rate. I

Andrew S. Katz, Director Industry Legal Affairs Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org

Hull Gerit F - LP <gfhull@bpa.gov> 03/27/01 05:30PM >>>

Thanks Andy.

I'm hoping to come to Newport, but am not yet sure it will work out. What did you have in mind re: the EEI presentation? (It looks like you have some time on the Newport agenda.)

Gerit

-----Original Message-----

From: Andy Katz [mailto:AKatz@eei.org] Sent: Tuesday, February 20, 2001 2:16 PM To: gfhull@bpa.gov Subject: April Western Power Contract Workshop

I don't have a final brochure on this, but here is a draft. I've also attached my law review article on the EEI Contract. I can't recall if I gave you one at the WSPP meeting in S.F. Hope all is going well. If BPA would like me to do a separate presentation on the EEI Contract, I can arrange that as well.

Andrew S. Katz, Director Industry Legal Affairs Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org

Message 25 of 230

RSVPs for Nov. 12 EEI Drafting Committee Meeting

Sender	jcrespo@hess.com
Recipients	['mdelgado@hess.com', 'trueheart.cynthia@enron.com', 'delgado@enron.com', 'harlan.murphy@enron.com']
File	sager-e/inbox/830.

Here are the RSVP's I've received for the meeting on the 12th:

Ed Comer Stephen Beard Nicole Daggs Patti Dondanville Mitch Dutton Fritze Henze Andy Katz David Perlman
DeDeRusso Elizabeth Sager Noel Trask

Please let me know if I've left anyone out. Also, unlike our other Hess offices, our Alexandria, VA office dress code is casual.

If you have any difficulty getting here on Monday and you can't reach me in my office, please call Madde Delgado (703 317 2377) or try me on my cell phone (703 597 6243). --JCC John C. Crespo General Attorney Amerada Hess Corporation 2800 Eisenhower Avenue -- Third Floor Alexandria, VA 22314 phone: (703) 317-2321 fax: (703) 317-2203

Message 26 of 230

RE: Elizabeth Sager - Vacation

Sender	elizabeth.sager@enron.com
Recipients	['alice.wright@enron.com']
File	sager-e/sent_items/219.

GREAT THANKS

-----Original Message-----

From: Wright, Alice Sent: Monday, July 16, 2001 10:03 AM To: Haedicke, Mark E.; Elbertson, Janette Cc: Sager, Elizabeth Subject: Elizabeth Sager - Vacation Importance: High

Good morning Mark and Janette,

Elizabeth Sager will be out of the office on vacation July 23 - July 27. She will be staying with her in-laws and listed below is her contact information.

Ronnie and Glenn Cox 281 Lemond Snow Mass Village, CO 81615 970-923-6279 713-854-5747 (cell)

Please do not hesitate to call if you have any questions. Thanks.

Alice Wright Enron Wholesale Services Assistant to Elizabeth Sager 713-853-5438 713-646-3491 (fax)
alice.wright@enron.com

Message 27 of 230

PacifiCorp Deal Term Sheets	
Sender	elizabeth.sager@enron.com
Recipients	['harlan.murphy@enron.com']
File	sager-e/sent_items/338.

----- Forwarded by Elizabeth Sager/HOU/ECT on 05/31/2001 02:32 PM -----

Sanjeev Khanna/ENRON@enronXgate 05/31/2001 11:04 AM To: Elizabeth Sager/HOU/ECT@ECT cc: Subject: PacifiCorp Deal Term Sheets

Please find enclosed the term sheet for the physical deal we are working on.

The Unit Outage (Gurantee Generation) deal is primarily physical but can be settled financially.

The Stream Flow deal and a standard CDD Call deal is financial only.

PI call me if you need further information.

Thanks,

Sanjeev

Sanjeev K Khanna Email: Sanjeev.Khanna@enron.com Director Tel: (713) 853-3849 Enron Global Markets Cell: (713) 594-1832 1400 Smith Street, Suite 3004F Pager: (877) 497-1217 Houston TX 77002 Fax: (713) 646-3220

Message 28 of 230

PacifiCorp Deal Term Sheets	
Sender	elizabeth.sager@enron.com
Recipients	['harlan.murphy@enron.com']
File	sager-e/sent/656.

----- Forwarded by Elizabeth Sager/HOU/ECT on 05/31/2001 02:32 PM -----

Sanjeev Khanna/ENRON@enronXgate 05/31/2001 11:04 AM

To: Elizabeth Sager/HOU/ECT@ECT cc: Subject: PacifiCorp Deal Term Sheets

Please find enclosed the term sheet for the physical deal we are working on.

The Unit Outage (Gurantee Generation) deal is primarily physical but can be settled financially.

The Stream Flow deal and a standard CDD Call deal is financial only.

PI call me if you need further information.

Thanks,

Sanjeev

Sanjeev K Khanna Email: Sanjeev.Khanna@enron.com Director Tel: (713) 853-3849 Enron Global Markets Cell: (713) 594-1832 1400 Smith Street, Suite 3004F Pager: (877) 497-1217 Houston TX 77002 Fax: (713) 646-3220

Message 29 of 230

RE: ISDA NA Energy and Developing Products Committee Meeting

Sender	elizabeth.sager@enron.com
Recipients	['scarey@isda.org']
File	sager-e/sent_items/78.

Hi Stacy

October 23rd would be fine with my schedule. Thanks

Elizabeth Sager 713-853-6349

-----Original Message-----

From: Stacy Carey <SCAREY@ISDA.ORG>@ENRON
[mailto:IMCEANOTES-Stacy+20Carey+20+3CSCAREY+40ISDA+2EORG+3E+40ENRON@ENRON.com] Sent: Friday, September 21, 2001 3:48 PM To: Taylor, Mark E (Legal); Sager, Elizabeth Subject: ISDA NA Energy and Developing Products Committee Meeting

We are looking to schedule our next meeting for OCT. 23 as this works w/Mark H's schedule. Before I set-up the video conferencing, would you ket me know if 10/23 works for you w/ a 10/9 date as a back-up? Thanks --- Stacy

Stacy Carey Policy Director International Swaps and Derivatives Association 600 5th Avenue, 27th Floor Rockefeller Center New York, NY 10020 (212) 332-1202 ph (212) 332-1212 fax (917) 543-9622 cell scarey@isda.org

Message 30 of 230

Re: Out of Office AutoReply: PG&E Standstill - Final Draft

Sender	lisa.mellencamp@enron.com
Recipients	['elizabeth.sager@enron.com']
File	sager-e/all_documents/680.

i have talked to him and he is ok Lisa J. Mellencamp Enron North America Corp. - Legal 1400 Smith St. Houston, TX 77002 Tel: (713) 853-7986 Fax: (713) 646-3393 E-mail: Lisa.Mellencamp@enron.com

Elizabeth Sager 05/09/2001 04:04 PM

To: Lisa Mellencamp/HOU/ECT@ECT cc: Subject: Out of Office AutoReply: PG&E Standstill - Final Draft

Lisa can you let me know if if we should contact Michael or will you be doing so any way ----- Forwarded by Elizabeth Sager/HOU/ECT on 05/09/2001 04:03 PM -----

Michael Tribolet/ENRON@enronXgate 05/09/2001 03:56 PM

To: Elizabeth Sager/HOU/ECT@ECT cc: Subject: Out of Office AutoReply: PG&E Standstill - Final Draft

I am out of the office until Friday, May 11. If you need to contact me, please leave a message at 713 853-3820 or contact Emy Geraldo @ 713 853-5391 or Pam Metoyer X3-6707. Thanks.

Message 31 of 230

Doctor	
Sender	sheryl_gussett@reliantenergy.com
Recipients	[elizabeth.sager@enron.com]
File	sager-e/inbox/40.

Who was your doctor for the wonderful colonoscopy? Sheryl Gussett Reliant Resources, Inc. P.O. Box 61867 Houston, Texas 77208 713-207-8538 713-207-0161 (fax) s_gussett@reliant.com

The preceding e-mail message contains information that is confidential, may be protected by the attorney/client or other applicable privileges, and may constitute non-public information. It is intended to be conveyed only to the designated recipient(s). If you are not an intended recipient of this message, please do not read, copy or disclose the contents of this communication to others and please notify the sender at (713) 207-5243. If you are not the intended recipient, we would appreciate your forwarding the message back to us and deleting it from your system. Unauthorized use, dissemination, distribution, or reproduction of this message is strictly prohibited and may be unlawful. Thank you.

Message 32 of 230

FW:	
Sender	tammie.schoppe@enron.com
Recipients	[elizabeth.sager@enron.com]
File	sager-e/deleted_items/93.

Louise wanted to know if you would like to invite anybody else to the below conf. call at 11:30 a.m. in ECS 06716?

Tammie Schoppe Enron Americas-Office of the Chair Assistant to Louise Kitchen 713.853.4220 office 713.646.8562 fax 713.253.2131 mobile

-----Original Message-----

From: Kitchen, Louise Sent: Wednesday, January 02, 2002 8:40 AM To: Sager, Elizabeth Cc: Schoppe, Tammie Subject: RE:

If you are in - please can you come to my office if not Tammie please organize a dial in

-----Original Message-----

From: Sager, Elizabeth Sent: Wednesday, January 02, 2002 8:37 AM To: Kitchen, Louise Subject: RE:

sure, love to, but where or at what number to call. happy new year

Elizabeth Sager 713-853-6349

-----Original Message-----

From: Kitchen, Louise Sent: Wednesday, January 02, 2002 8:33 AM To: Sager, Elizabeth Subject:

Portland Meeting 11:30am

Please could you attend.

Message 33 of 230

Re: Comments on Master Agreement for Drafting Committee

Sender	akatz@eei.org
Recipients	['harlan.murphy@enron.com', 'tmullooly@foleylaw.com']
File	sager-e/inbox/256.

Your comments were circulated and discussed at our Drafting Committee meeting yesterday and we will be preparing a response to your memorandum. Thank-you for your comments and interest in the EEI Master Agreement.

Regards,

Andrew S. Katz, Director Industry Legal Affairs Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org

"Mullooly, Thomas McCann" <TMullooly@foleylaw.com> 08/03/01 08:15PM >>>

Andy, Please accept the attached document containing comments for consideration by the EEI Master Agreement drafting committee. Eric Nelson or I would be available to answer any questions about the issues we raise. Thanks for all the time and effort you've put into this project.

Tom Mullooly (414-297-5566) Eric Nelson (414-297-5666) Foley & Lardner

<<Drafting Comments on EEI Master>> - TEXT.htm - Andy Katz.vcf

Message 34 of 230

Electrobolt - Consortium Agreement Risks

Sender	bbradsha@skadden.com
Recipients	['lisa.alfaro@enron.com', 'tweil@skadden.com', 'elizabeth.sager@enron.com', 'john.novak@enron.com']
File	sager-e/notes_inbox/354.

Attached hereto is a draft of the above-referenced memorandum.

Regards,

Brian A. Bradshaw Skadden, Arps, Slate, Meagher & Flom LLP 1600 Smith, Suite 4400 Houston, Texas 77002
713-655-5100 (main) 713-655-5141 (direct) 713-655-5181 (fax) bbradsha@skadden.com

This e-mail, and any attachments thereto, is intended only for use by the addressee(s) named herein and may contain legally privileged and/or confidential information. If you are not the intended recipient of this e-mail, you are hereby notified that any dissemination, distribution or copying of this e-mail, and any attachments thereto, is strictly prohibited. If you have received this e-mail in error, please immediately notify me at (212) 735-3000 and permanently delete the original and any copy of any e-mail and any printout thereof.

Further information about the firm, a list of the Partners and their professional qualifications will be provided upon request.

- 41370_1.doc

Message 35 of 230

WSPP Proposal

Sender	drusso@reliant.com
Recipients	[]
File	sager-e/inbox/5.

Attached is the most current draft WSPP Proposal and Cover Sheet.

Give me your comments/thoughts.

Dede Russo Senior Attorney Reliant Energy Law Department P.O. Box 1384 Houston, TX 77251-1384 1111 Louisiana St., Suite 4300 (77002) Phone: (713) 207-5240 E-Mail: drusso@reliant.com Fax: (713) 207-0161

(See attached file: WSPP Collateral Annex 102901.doc) (See attached file: WSPP Collateral Annex Cover Sheet 102901.doc)

The preceding e-mail message contains information that is confidential, may be protected by the attorney/client or other applicable privileges, and may constitute non-public information. It is intended to be conveyed only to the designated recipient(s). If you are not an intended recipient of this message, please do not read, copy or disclose the contents of this communication to others and please notify the sender at (713) 207-5241. If you are not the intended recipient, we would appreciate your forwarding the message back to us and deleting it from your system. Unauthorized use, dissemination, distribution, or reproduction of this message is strictly prohibited and may be unlawful. Thank you. - WSPP Collateral Annex 102901.doc - WSPP Collateral Annex Cover Sheet 102901.doc

Message 36 of 230

Attached

Sender	drusso@reliant.com
Recipients	[elizabeth.sager@enron.com]
File	sager-e/inbox/737.

We are considering including the attached provision (or something) similar in our Transaction Confirmations. I would also like to propose it to EEI and WSPP for sample language that could be included on confirms. Would any of you have a problem agreeing to this? If so, what are your concerns? I know you are all real busy right now and appreciate your consideration of this matter.

Thanks in advance.

Dede Russo Senior Attorney Reliant Energy Law Department P.O. Box 1384 Houston, TX 77251-1384 1111 Louisiana St., Suite 4300 (77002) Phone: (713) 207-5240 E-Mail: drusso@reliant.com Fax: (713) 207-0161

(See attached file: No Challenge; Defense of Transaction Lang 102301.doc)

The preceding e-mail message contains information that is confidential, may be protected by the attorney/client or other applicable privileges, and may constitute non-public information. It is intended to be conveyed only to the designated recipient(s). If you are not an intended recipient of this message, please do not read, copy or disclose the contents of this communication to others and please notify the sender at (713) 207-5241. If you are not the intended recipient, we would appreciate your forwarding the message back to us and deleting it from your system. Unauthorized use, dissemination, distribution, or reproduction of this message is strictly prohibited and may be unlawful. Thank you. - No Challenge; Defense of Transaction Lang 102301.doc

Message 37 of 230

NRG - Energy Purchase and Sale Agreement

Sender	elizabeth.sager@enron.com
Recipients	['leslie.hansen@enron.com']
File	sager-e/all_documents/1478.

Leslie Can you please forward to the appropriate person ----- Forwarded by Elizabeth Sager/HOU/ECT on 05/25/2000 12:50 PM -----

"Adams, David" <David.Adams@leonard.com> 05/24/2000 04:21 PM

To: "Elizabeth.Sager@enron.com" <Elizabeth.Sager@enron.com>, "gloria.cruz@enron.com" <gloria.cruz@enron.com>
cc: "Bertrand, James" <james.bertrand@leonard.com>, "Balder, Lisa" <lisa.balder@leonard.com> Subject: Energy
Purchase and Sale Agreement

Ms. Sager, the attached document includes revisions to the Master Energy Purchase and Sale Agreement between NRG Power Marketing Inc. and Enron. After you have had an opportunity to review the agreement, please give me a call at 612-335-1400. Thanks.

<<15rrr01!.DOC>>

David M. Adams Attorney Leonard, Street and Deinard 150 South Fifth Street, Suite 2300 Minneapolis, MN 55402 Phone: 612-335-1400 Fax: 612-335-1657 Email: david.adams@leonard.com

This electronic mail transmission and any accompanying documents contain information belonging to the sender which may be confidential and legally privileged. This information is intended only for the use of the individual or entity to whom this electronic mail transmission was sent as indicated above. If you are not the intended recipient, any disclosure, copying, distribution, or action taken in reliance on the contents of the information contained in this transmission is strictly prohibited. If you have received this transmission in error, please call me collect at 612-335-1400 to notify me and delete the message. Thank you.

- 15rrr01!.DOC

Message 38 of 230

RE:

Sender	elizabeth.sager@enron.com
Recipients	['earthur@hupk.com']
File	sager-e/sent_items/108.

Great - go ahead and overnight to my home (I'm assuming email is unavailable?). Check it for early delivery and tell carrier service to leave on porch if nobody is home. My home address is 822 Columbia Street, Houston Tx., 77007. Thanks

Elizabeth Sager 713-853-6349

-----Original Message-----

From: Ellen Arthur <EArthur@hupk.com>@ENRON
[mailto:IMCEANOTES-Ellen+20Arthur+20+3CEArthur+40hupk+2Ecom+3E+40ENRON@ENRON.com] Sent: Wednesday, September 05, 2001 7:46 AM To: Sager, Elizabeth Subject:

Elizabeth- the figures arrived yesterday after my e-mail to you. Would you like me to overnight the draft of the return? If so, to home or office? Ellen H. Arthur Hodes, Ulman, Pessin & Katz, PA 901 Dulaney Valley Road, Suite 400 Towson, MD 21204 (410)769-6146 NOTICE: The information contained in this electronic mail transmission is intended by Hodes, Ulman, Pessin & Katz, P.A. for the use of the named individual or entity to which it is directed and may contain information

that is privileged or otherwise confidential. It is not intended for transmission to, or receipt by, anyone other than the named addressee (or a person authorized to deliver it to the named addressee). It should not be copied or forwarded to any unauthorized persons. If you have received this electronic mail transmission in error, please delete it from your system without copying or forwarding it, and notify the sender of the error by reply email or by calling Hodes, Ulman, Pessin & Katz, P.A. at (410) 938-8800 or 1-800-276-0806 so that our address record can be corrected.

*Message 39 of 230***Flights for WSPP Contracting Committee Meeting 11/1/01**

Sender	drusso@reliant.com
Recipients	[elizabeth.sager@enron.com]
File	sager-e/inbox/157.

Elizabeth,

Below is the flight information I had Nina check into for the trip to California to attend the WSPP meeting on Nov. 1st.

Continental

11/1 Departs IAH 9:18 a.m., arrives in San Diego 10:40 a.m. (Nonstop)

11/2 Departs San Diego 7:20 a.m., arrives at IAH 9:15 a.m. (Nonstop); or 11/2 Departs San Diego 9:30 a.m., arrives at IAH 2:36 p.m. (Nonstop).

America West

11/1 Departs San Diego 6:25 p.m.; arrives in Phoenix at 8:39 p.m.; leaves Phoenix at 9:29 p.m.; arrives at IAH 12:49 a.m. (Note: Continental does not have a return flight that can accommodate you.)

This round trip ticket is going for approximately \$1,768.00.

Dede Russo Senior Attorney Reliant Energy Law Department P.O. Box 1384 Houston, TX 77251-1384 1111 Louisiana St., Suite 4300 (77002) Phone: (713) 207-5240 E-Mail: drusso@reliant.com Fax: (713) 207-0161

The preceding e-mail message contains information that is confidential, may be protected by the attorney/client or other applicable privileges, and may constitute non-public information. It is intended to be conveyed only to the designated recipient(s). If you are not an intended recipient of this message, please do not read, copy or disclose the contents of this communication to others and please notify the sender at (713) 207-5241. If you are not the intended recipient, we would appreciate your forwarding the message back to us and deleting it from your system. Unauthorized use, dissemination, distribution, or reproduction of this message is strictly prohibited and may be unlawful. Thank you.

*Message 40 of 230***WSPP Proposal**

Sender	drusso@reliant.com
Recipients	[elizabeth.sager@enron.com]
File	sager-e/inbox/29.

Would both of you mind taking a look at this first thing Monday and, if possible, give me your comments by COB. (So sorry for the crunch!) I need to send something to Mike by Monday evening for distribution Tuesday for Thursday's meeting.

Shari - I know this is a little more detailed than the one you sent out to potential supporters, but we can resend it telling them that we added several items at the request of some of the other potential supporters. If you feel strongly about not including some of this, lets talk.

Elizabeth - you too - if I included stuff that might be a "turn off" - or failed to include critical components, please let me know.

Thanks.

Dede Russo Senior Attorney Reliant Energy Law Department P.O. Box 1384 Houston, TX 77251-1384 1111 Louisiana St., Suite 4300 (77002) Phone: (713) 207-5240 E-Mail: drusso@reliant.com Fax: (713) 207-0161

(See attached file: WSPP Collateral Annex 102501.doc) (See attached file: WSPP Collateral Annex Cover Sheet 102501.doc)

The preceding e-mail message contains information that is confidential, may be protected by the attorney/client or other applicable privileges, and may constitute non-public information. It is intended to be conveyed only to the designated recipient(s). If you are not an intended recipient of this message, please do not read, copy or disclose the contents of this communication to others and please notify the sender at (713) 207-5241. If you are not the intended recipient, we would appreciate your forwarding the message back to us and deleting it from your system. Unauthorized use, dissemination, distribution, or reproduction of this message is strictly prohibited and may be unlawful. Thank you. - WSPP Collateral Annex 102501.doc - WSPP Collateral Annex Cover Sheet 102501.doc

Message 41 of 230

Re: Setoff Provisions

Sender	carol.clair@enron.com
Recipients	[elizabeth.sager@enron.com]
File	sager-e/notes_inbox/235.

Elizabeth: I agree with their comments, although credit may have something to say about the change made in the ISDA language from "owed" to "payable". Alos, should we include affiliates on both sides?

Carol St. Clair EB 3889 713-853-3989 (Phone) 713-646-3393 (Fax) carol.st.clair@enron.com

Elizabeth Sager 05/08/2001 08:20 AM

To: Carol St Clair/HOU/ECT@ECT cc: Subject: Setoff Provisions

per our discussion yesterday - let me know if you have any thoughts. thanks ----- Forwarded by Elizabeth Sager/HOU/ECT on 05/08/2001 08:19 AM -----

"Lech Kalembka" <Lech.Kalembka@cwt.com> 05/04/2001 09:07 AM

To: elizabeth.sager@enron.com cc: "David Mitchell" <David.Mitchell@cwt.com> Subject: Setoff Provisions

We have attached comments on the provisions you sent to David, together with a brief cover memo. Please feel free to call us if you have any questions or comments.

(See attached file: Rider.pdf)

(See attached file: #563799 v1 - Setoff Memo for Sager.doc)

Lech Kalembka Cadwalader, Wickersham & Taft 100 Maiden Lane New York, NY 10038 Tel.: (212) 504-6918 Fax: (212) 504-6666 E-mail: lech.kalembka@cwt.com

NOTE: The information in this email is confidential and may be legally privileged. If you are not the intended recipient, you must not read, use or disseminate the information. Although this email and any attachments are believed to be free of any virus or other defect that might affect any computer system into which it is received and opened, it is the responsibility of the recipient to ensure that it is virus free and no responsibility is accepted by Cadwalader, Wickersham & Taft for any loss or damage arising in any way from its use.

- Rider.pdf - #563799 v1 - Setoff Memo for Sager.doc

Message 42 of 230

Proposed Agenda/Panelist Assignments for Workshops

Sender	akatz@eei.org
Recipients	['pyoung@eei.org', 'hemu@dynegy.com', 'elizabeth.sager@enron.com', 'fmdutton@aep.com']
File	sager-e/epmi___power/43.

Dear Workshop Participants:

Please review the attached agenda proposal for the Houston and NY workshops. Generally, participants in the November workshop were placed on the same panels and given the same topics for the upcoming workshops. I reviewed the audio tapes of the November workshop to determine these topics. If you want, I can send you a tape of your presentations. Other than the panelists noted, I am assuming you will be participating in both workshops. Please let me know asap if you want to change what you do in the program.

Generally, I think we need to highlight the changes to the Master since the November workshop, esp. product definitions, transmission contingency option, and confirmation procedures. Of course, we need to get version 2.1 of the contract ready in advance of the Houston meeting. We will do a postcard mailing to registrants letting them know the revised contract is up on our web site.

I also attached the power point presentation used by the contract panels. If you want to change any of the existing slides, please make the change on hardcopy and FAX to me - 202-508-5673. Liz and Fritz, I would like to use your into product slides. If you want to add slides to the contract presentations, I would prefer they be handwritten and Faxed to me. Our art department uses a formatting template.

Deadlines: I need all new and revised presentations & bios, by cob February 25 for the Houston workshop and cob April 11 for the New York workshop.

Audio visual: We plan to have an LCD projector for powerpoint and a slide projector at the conferences. Let me know if you have any other requirements.

Speaker's Dinners: We plan to organize speaker dinners the night before the workshops. Details to follow.

Finally, feel free to market the workshops to your colleagues and counterparties. I am attaching the latest version of our conference brochure (w/ corrected titles & firm names).

If you have any questions please contact either me or my assistant, Patricia Young 202-508-5757, pyoung@eei.org

Let's knock 'em dead!

Andrew S. Katz, Senior Attorney Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org

- Workshop Agenda H NY.doc - master contracts 2.ppt - _pwr mktg.pdf

Message 43 of 230

FW: Enron Control Area Request

Sender	kevin.presto@enron.com
Recipients	['dtaylor@powersrc.com', 'michael_h_knapp@aep.com', 'kevin.presto@enron.com', 'tomk@ecar.org', 'tgeswein@cine...']
File	sager-e/epmi___power/44.

As you know, Enron does not own transmission facilities and therefore is not subject to the FERC code of conduct rules with respect to functional separation of generation and transmission.

However, when Enron established 3 control areas in the SERC region in June-July 1999, a separate legal entity (Enron SE Corp) was created to provide the reliability/control area operation function for Enron's Southeast generation assets. Although functional separation is not required by FERC, Enron chose to do so because marketing/trading is indeed separate from the control area reliability function at Enron. Additionally, Enron SE Corp. (as a certified control area) is entitled to ISN and IDC data that is subject to NERC confidentiality provisions and cannot be disclosed and/or utilized by the merchant function.

In order to protect the IDC and ISN information consistent with the NERC Confidentiality Agreement (for ISN data) and the OATI/NERC Non-Disclosure Agreement (for IDC data), only employees within the control area reliability function have access to the data. To highlight the importance of this confidential information, verbal and written correspondence has been provided by Enron's legal and regulatory counsel to each control area employee with specific instructions to keep all required information confidential as set forth in the NERC Confidentiality Agreement.

I hope this adequately answers your question. If you have any additional questions, please feel free to call me at 713-853-5035.

Thanks, Kevin Presto

----- Forwarded by Kevin M Presto/HOU/ECT on 02/08/2000

12:38 PM -----

TomK@ecar.org on 02/08/2000 12:14:49 PM To: kpresto@enron.com, lwill@enron.com cc: dtaylor@powersrc.com, Michael_H._Knapp@aep.com, tgeswein@cinergy.com, dhils@cinergy.com, rarness@ipalco.com, brad.young@lgeenergy.com, richard.doying@gen.pge.com Subject: FW: Enron Control Area Request

Hi Kevin and Lloyd, Please respond to Dave Taylor's question listed below. Please copy me on your response so I can forward it to the rest of the CARTF. Call me on 330-580-8004 if you have any questions. Thanks

Hi Everybody Else, For Your Information. Tom Kraynak

-----Original Message-----

From: Taylor, David W. [mailto:David.Taylor@powersrc.com] Sent: Tuesday, February 08, 2000 9:19 AM To: 'TomK@ecar.org' Cc: Wagoner, Greg Subject: Enron Control Area Request

Tom,

Please e-mail to me a copy of the presentation you gave to the ECAR Executive Board last Thursday regarding Enron's request for a new control area. I attended the meeting but the presentation was not part of the agenda package. During your presentation you mentioned that Enron has agreed to separate their marketing function from their control area function. Can you please provide a brief explanation on what this means and how Enron plans to accomplish this?

Dave Taylor

David W. Taylor Constellation Power Source 111 Market Place, Suite 500 Baltimore, MD 21202 Phone: (410) 468-3478
Pager: (888)645-1697 Fax: (410) 468-3541

Message 44 of 230

Bankrutpcy Update

Sender	mary.cook@enron.com
Recipients	[elizabeth.sager@enron.com]
File	sager-e/notes_inbox/849.

Cordially, Mary Cook Enron North America Corp. 1400 Smith, 38th Floor, Legal Houston, Texas 77002-7361 (713) 345-7732 (phone) (713) 646-3490 (fax) mary.cook@enron.com ----- Forwarded by Mary Cook/HOU/ECT on 04/24/2001 08:54 AM -----

Carol St Clair 04/24/2001 08:44 AM

To: Mark Taylor/HOU/ECT@ECT, Sara Shackleton/HOU/ECT@ECT, Mary Cook/HOU/ECT@ECT, Brent Hendry/NA/Enron@Enron, Tana Jones/HOU/ECT@ECT, Robert Bruce/NA/Enron@Enron, Anne C Koehler/HOU/ECT@ECT, Cheryl Nelson/NA/Enron@Enron, Francisco Pinto Leite/ENRON_DEVELOPMENT@ENRON_DEVELOPMENT, Frank Sayre/ENRON_DEVELOPMENT@ENRON_DEVELOPMENT, Susan Bailey/HOU/ECT@ECT, Samantha Boyd/NA/Enron@Enron, Stephanie Panus/NA/Enron@Enron, Mark Greenberg/NA/Enron@ENRON cc: Subject: Bankruptcy Update

Carol St. Clair EB 3889 713-853-3989 (Phone) 713-646-3393 (Fax) carol.st.clair@enron.com ----- Forwarded by Carol St Clair/HOU/ECT on 04/24/2001 08:44 AM -----

Chris Long@ENRON 04/24/2001 08:33 AM

To: Mark Taylor/HOU/ECT@ECT, Carol St Clair/HOU/ECT@ECT, Teresa G Bushman/HOU/ECT@ECT cc: Linda Robertson/NA/Enron@ENRON, Larry Decker/NA/Enron@Enron Subject: Bankruptcy Update

No. 79 Tuesday April 24, 2001 Page A-33 ISSN 1523-567X Regulation, Law & Economics

BankruptcyDaschle Says Bankruptcy Reform Stuck As Party Roles in Conference Still in Limbo

Bankruptcy legislation (S. 420/H.R. 333) that separately passed the Senate and House earlier this spring remains in limbo, as the Senate still cannot agree on how to proceed to conference with the House, Senate Minority Leader Thomas Daschle (D-S.D.) told reporters April 23. The question of party representation in conference continues to stall efforts to bring the issue of bankruptcy reform to a close. Democrats, who occupy half of the Senate's seats, are insisting upon equal representation in conference, while Republicans oppose it. Efforts to forego a conference with the House are unlikely to succeed given House leadership concerns about a number of controversial amendments the Senate made to S. 420 before passing it. In particular, many Republicans object to provisions opposed by President Bush that are intended to make it harder for debtors to shield assets by purchasing expensive homes in states that bar creditors from seizing the homes in bankruptcy auctions. "There has been no resolution yet," Daschle said. "I would say that I think both [Senate Majority Leader Trent Lott (R-Miss.)] and I and our staffs are working to try to resolve his concern, which is what do you do in a tie ... You know, I think what happens in a tie is [that] you just keep talking until you break the tie." Daschle said he is looking for an "opportunity to break through," but has yet to find one. Regardless, Daschle said he does not think "tie votes are all that big a problem, either in conference or in committee." With Daschle voting in the affirmative, the Senate March 14 approved 80-19 a cloture motion Lott filed late March 12. Sen. Paul Wellstone (D-Minn.), the bill's most outspoken opponent, argued passionately against cloture and Sen. Harry Reid (D-Nev.) foiled an attempt by Lott to secure unanimous consent to prepare the bill for a conference with House members after the bill passed the Senate March 15. In general, the bills aim to force more bankruptcy filers to file under Chapter 13, which requires some repayment of debts, instead of Chapter 7. The bills are a copy of last year's conference report worked out between the House and the Senate, which former President Clinton pocket-vetoed in December.

Copyright , 2001 by The Bureau of National Affairs, Inc., Washington D.C.

Message 45 of 230

RE: Singles

Sender	elizabeth.sager@enron.com
Recipients	[ckmadi@aol.com]
File	sager-e/sent_items/97.

OOPs again - I gave you my phone number. My fax is 713 646 3490. Thanks

Elizabeth Sager 713-853-6349

-----Original Message-----

From: CKMADI@aol.com@ENRON [mailto:IMCEANOTES-CKMADI+40aol+2Ecom+40ENRON@ENRON.com] Sent: Monday, September 10, 2001 3:25 PM To: Sager, Elizabeth Subject: Singles

Elizabeth, I just realized, since you weren't on my original roster...you may not be a HTA member. If you're not, you will need to pay your dues before you play. I can fax you a form, and you can mail it in ASAP. The dues are \$10 for an individual and \$12.50 for a family for the Fall League Season (Aug-Dec 2000). HTA memberships should be mailed to: HTA P.O. Box 79341 Houston, TX 77279-9341

Message 46 of 230

Follow-up re: West Linn Paper Company

Sender	samantha.boyd@enron.com
Recipients	['legal <.hall@enron.com', 'legal <.taylor@enron.com', 'elizabeth.sager@enron.com']
File	sager-e/inbox/962.

Mark:

I have drafted an ISDA Master Agreement for the above referenced Counterparty. Steve Hall is an attorney in our Portland office and wishes to negotiate the ISDA with the Counterparty. I have informed Steve that I must get approval from you before I can give him the OK. From my conversation with Steve, it seems that he is working on other issues with Elizabeth Sager and she is to speak with you about Steve working on the ISDA. Please let me know how to handle this issue. If you need to contact Steve his number is (503) 464-7795.

Samantha M. Boyd Senior Legal Specialist Enron Wholesale Services 1400 Smith Street, EB3803 Houston, Texas 77002
Ph: (713) 853-9188 Fax: (713) 646-3490

Message 47 of 230

RE: Master Netting Projects

Sender	elizabeth.sager@enron.com
Recipients	['carol.st.@enron.com', 'legal <.taylor@enron.com', 'mary.cook@enron.com']
File	sager-e/sent_items/43.

I agree

Elizabeth Sager 713-853-6349

-----Original Message-----

From: Cook, Mary Sent: Wednesday, October 03, 2001 3:04 PM To: Taylor, Mark E (Legal) Cc: St. Clair, Carol; Sager, Elizabeth Subject: Master Netting Projects Importance: High

I spoke with Antonoff at CWT who has assisted and is assisting with the form. He and others can be available to assist with our teams on negotiating the master netting agreements and I think CWT should be employed to do so as we move forward for both staff capacity reasons and consistency reasons.

Cordially, Mary Cook Enron North America Corp. 1400 Smith, 38th Floor, Legal Houston, Texas 77002-7361 (713) 345-7732 (713) 646-3393 (fax) mary.cook@enron.com

Message 48 of 230

RE: Singles

Sender	elizabeth.sager@enron.com
Recipients	[ckmadi@aol.com]
File	sager-e/sent_items/99.

I am not an HTA member. Can you fax me a form at 713 853 6349 and I'll send it in. Thanks

Elizabeth Sager 713-853-6349

-----Original Message-----

From: CKMADI@aol.com@ENRON [mailto:IMCEANOTES-CKMADI+40aol+2Ecom+40ENRON@ENRON.com] Sent: Monday, September 10, 2001 3:25 PM To: Sager, Elizabeth Subject: Singles

Elizabeth, I just realized, since you weren't on my original roster...you may not be a HTA member. If you're not, you will need to pay your dues before you play. I can fax you a form, and you can mail it in ASAP. The dues are \$10 for an individual and \$12.50 for a family for the Fall League Season (Aug-Dec 2000). HTA memberships should be mailed to: HTA P.O. Box 79341 Houston, TX 77279-9341

Message 49 of 230

EEI coversheet

Sender	david.portz@enron.com
Recipients	[paul.radous@enron.com', 'edward.sacks@enron.com', 'jeff.gollomp@cinergy.com', 'elizabeth.sager@enron.com']
File	sager-e/inbox/1020.

Following upon our telephone discussion this afternoon, attached is the redlined draft Kim Twele had forwarded on 11/2/01 of the EEI coversheet, CSA and Paragraph 10, with (a) credit discussion points remaining unchanged pending discussion by the parties' credit representatives, and (b) showing our resolution as to certain legal points, viz, acceptance of Section 2.4, rejection of amendment to Section 3.2, deletion of Section 6.2 amendment, acceptance of amendment to Section 6.3, rejection of proposed new Section 9.3, and modification of Section 10.1(a). Please contact me with any questions or comments. David

David A. Portz Senior Counsel Enron North America Corp. 1400 Smith, EB 3805a Houston, Texas 77002-7361 Phone: 713-853-9239 Fax: 713-646-3491 Assistant: Linda Simmons (Ext. 57851)

Message 50 of 230

RE: Euromoney seminar

Sender	elizabeth.sager@enron.com
Recipients	['Sager', 'travis.mccullough@enron.com', 'kay.mann@enron.com', 'Elizabeth', 'c.koehler@enron.com']
File	sager-e/sent_items/159.

Hi Travis

I already told Mark that I wanted you and Kay to go and he seemed to think that it was a good idea. For safety, would you leave him a reminder vm that you guys are scheduled to go in Sept and that the seminar is in NY with class expenses of 3200. Thanks

Elizabeth Sager 713-853-6349

-----Original Message-----

From: McCullough, Travis Sent: Monday, August 13, 2001 9:39 AM To: Koehler, Anne C.; Mann, Kay Cc: Sager, Elizabeth
Subject: Euromoney seminar

I'm getting ready to make plans to go to this seminar on Sept. 19 -21. Elizabeth, is there any particular approval process we need to go through -- it's \$3,200 a head

Please note new address and fax number:

Travis C. McCullough Enron North America Corp. 1400 Smith Street EB 824 Houston, Texas 77002 Phone: (713) 853-1575 Fax: (713) 646-8860

Message 51 of 230

Tomorrow's Energy Meeting - HELP!

Sender	scarey@isda.org
Recipients	[elizabeth.sager@enron.com]
File	sager-e/inbox/337.

Hello Elizabeth -- sorry to have missed your calls today but was wondering if you might be available to call-in to tomorrow's meeting for the discussion on standardizing Master energy contract provisions. This is where will launch the working group but I thought it would be helpful to give folks some background first. Hoping you might be able to do this tomorrow. Also wondering if you would be able to forward me a copy of your table on Standard Documentation for OTC Commodity Trading in North America so that I may be able to circulate to the committee. Attached is the agenda (with a new call-in number). Many thanks! -- Stacy

Stacy Carey Policy Director International Swaps and Derivatives Association 600 5th Avenue, 27th Floor Rockefeller Center New York, NY 10020 (212) 332-1202 ph (212) 332-1212 fax (917) 543-9622 cell scarey@isda.org

Message 52 of 230

presentation

Sender	elizabeth.sager@enron.com
Recipients	[genia.fitzgerald@enron.com]
File	sager-e/all_documents/123.

Could you also please send a copy to Andy ----- Forwarded by Elizabeth Sager/HOU/ECT on 10/09/2000 12:57 PM -----

"Andy Katz" <AKatz@eei.org> 09/25/2000 10:16 AM

To: <Elizabeth.Sager@enron.com> cc: Subject: Re: Law Review

I'd love to go over the law review with you. Thanks so much for helping out.

Andrew S. Katz, Director Industry Legal Affairs Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org

<Elizabeth.Sager@enron.com> 09/25/00 10:54AM >>>

Hi Andy

I read through all of your Article this weekend .

What a job!

I will forward to you this afternoon or first thing tomorrow an electronic copy of my suggested changes, which also attempts to pick up those given to me by Dede. After you receive it, I thought it might be helpful to talk over the changes so you can see where I was coming from.

Thanks Elizabeth 713 853 6349

- Andy Katz.vcf

Message 53 of 230

please print, thanks

Sender	elizabeth.sager@enron.com
Recipients	['alice.wright@enron.com']
File	sager-e/sent_items/129.

Elizabeth Sager 713-853-6349

-----Original Message-----

From: ntillett@reliant.com@ENRON [mailto:IMCEANOTES-ntillett+40reliant+2Ecom+40ENRON@ENRON.com] On Behalf Of drusso@reliant.com Sent: Monday, August 06, 2001 11:38 AM To: Sager, Elizabeth Subject: Enron Canada EEI

This communication is CONFIDENTIAL and protected by the ATTORNEY-CLIENT and WORK PRODUCT privileges.

Elizabeth,

Attached for your review are:

1) Enron Canada EEI Cover Sheet; 2) Enron Canada EEI Base Master; and 3) Enron Canada EEI Master Schedule

Dede Russo Senior Attorney Reliant Energy Law Department 1111 Louisiana Houston, TX 77002 Phone: (713) 207-5240 Fax: (713) 207-9572 E-Mail: drusso@reliantenergy.com

(See attached file: Enron Canada EEI Cover Sheet 080601.doc) (See attached file: Enron Canada EEI Base Master 080601.doc)

(See attached file: Enron Canada EEI Master Schedule 080601.doc) - Enron Canada EEI Cover Sheet 080601.doc - Enron Canada EEI Base Master 080601.doc - Enron Canada EEI Master Schedule 080601.doc

Message 54 of 230

FW: Updated Agenda

Sender	elizabeth.sager@enron.com
Recipients	['travis.mccullough@enron.com']
File	sager-e/sent_items/215.

-----Original Message-----

From: Stacy Carey <SCAREY@ISDA.ORG>@ENRON [mailto:IMCEANOTES-Stacy+20Carey+20+3CSCAREY+40ISDA+2EORG+3E+40ENRON@ENRON.com] Sent: Monday, July 16, 2001 6:30 PM To: Haedicke, Mark E. Cc: Taylor, Mark E (Legal); Ruth Ainslie; Sager, Elizabeth Subject: Updated Agenda

Hello Mark -- I have attached an updated agenda with a minor adjustment: Emerging Market Forms is changed to Developing Products Market Forms to better flow with the Committee focus on developing products with an additional focus on weather derivatives and bandwidth. This also appears to be the appropriate place to explore the need to update

ISDA's Commodity Definitions.

Unless you have any objections or additional thoughts I'll go ahead and issue this agenda with the invitation tomorrow.

<<Agenda - July 27.doc>>

Stacy Carey Policy Director International Swaps and Derivatives Association 600 5th Avenue, 27th Floor Rockefeller Center New York, NY 10020 (212) 332-1202 ph (212) 332-1212 fax (917) 543-9622 cell scarey@isda.org

- Agenda - July 27.doc

Message 55 of 230

PG&E	
Sender	elizabeth.sager@enron.com
Recipients	['brenda.whitehead@enron.com']
File	sager-e/all_documents/582.

----- Forwarded by Elizabeth Sager/HOU/ECT on 04/23/2001 04:37 PM -----

Peter Keohane Sent by: Sharon Crawford 04/23/2001 03:29 PM

To: Elizabeth Sager/HOU/ECT@ECT cc: Subject: PG&E

The addresses for service are:

Street Address:

Pacific Gas and Electric Company Gas Procurement, P.O. Box 770000 - Mail Code B5F San Francisco, California 94177

Attention: Contract Administrator Telephone No.: (415) 973-6720 Facsimile No.: (415) 973-9213

Federal Express/Courier Address:

Gas Procurement 77 Beale Street - Mail Code B5F San Francisco, California 94105

The Re: line is:

PG&E Core Agreement 5763 Dated: October 1, 1999, Master Gas Purchase and Sales Agreement between PG&E On Behalf of Its Core Customers and Enron Canada Corp. ("ECC") (the "Canadian Gas Agreement")

Elizabeth, I was also wondering whether you should include a statement in the enclosure letter to the effect that the amounts referred to do not include amounts that may be owing under any of the agreements in respect of the period from and after the termination dates.

Message 56 of 230

Short Form WSPP Collateral Annex	
Sender	sstack@reliant.com
Recipients	['drusso@reliant.com', 'kminear@reliant.com', 'carol.st.@enron.com', 'elizabeth.sager@enron.com', 'laurie.ruth...]
File	sager-e/inbox/183.

Attached please find the short form collateral support annex to the WSPP Agreement which we are planning to propose at the WSPP Collateral Annex meeting. Please let me know if you have any comments.

Thanks, Shari

Reliant Resources, Inc. 1111 Louisiana, Ste. 4300 Houston, TX 77002 Tel.:713-207-5233 Fax: 713-207-0116 Email: sstack@reliant.com

The preceding e-mail message contains information that is confidential, may be protected by the attorney/client or other applicable privileges, and may constitute non-public information. It is intended to be conveyed only to the designated recipient(s). If you are not an intended recipient of this message, please do not read, copy or disclose the contents of this communication to others and please notify the sender at (713) 207-7414. If you are not the intended recipient, we would appreciate your forwarding the message back to us and deleting it from your system. Unauthorized use, dissemination, distribution, or reproduction of this message is strictly prohibited and may be unlawful. Thank you.

(See attached file: WSPP Collateral Amendment (9.26.01).doc) - WSPP Collateral Amendment (9.26.01).doc

Message 57 of 230

RE: Enron consent letter

Sender	elizabeth.sager@enron.com
Recipients	['jmoore@mcguirewoods.com']
File	sager-e/sent_items/286.

I got the package - I just found out that Mark is out so I'm trying to get Lance to sign. Will email you when done. Thanks

-----Original Message-----

From: "Moore, Janice R" <jmoore@mcguirewoods.com>@ENRON [mailto:IMCEANOTES-+22Moore+2C+20Janice+20R+22+20+3Cjmoore+40mcguirewoods+2Ecom+3E+40ENRON@ENRON.com] Sent: Wednesday, June 13, 2001 7:53 AM
To: Sager, Elizabeth Subject: Enron consent letter

Hi Just wondering if you got the package I sent via FedEx last week and had had a chance to get the letters signed. I heard that you got more reinforcements recently (Travis and Kaye), and I hope that things continue to go well there. Regards, Janice Janice R. Moore McGuireWoods LLP Washington Square, Suite 1200 1050 Connecticut Avenue, N.W. Washington, D.C. 20036 202-857-1752; fax 202-857-1737 Richmond: 804-775-1149 jmoore@mcguirewoods.com www.mcguirewoods.com This e-mail may contain confidential or privileged information. If you are not the intended recipient, please erase this e-mail immediately without reading it or sending it to anyone else. I would also appreciate your advising me (by return e-mail) if you have received this e-mail by mistake. Thanks for your kind assistance.

Message 58 of 230

"Into" Products

Sender	ntillett@reliant.com
Recipients	['fmdutton@aep.com']
File	sager-e/inbox/887.

This is a reminder to Mitch that he is going to draft some language for our "going forward" transactions dealing with anticipated changes to "into" obligations. GO MITCH GO!

I met with our traders today and I am sure of only one thing -- it's a mess. Mitch - if you're not ready to draft, we should maybe just set up a conference call next week to discuss. If so, can we do it Monday, 11/19 between 2 p.m. and 3 p.m. (Houston time)?

Dede Russo Reliant Resources Legal Department P.O. Box 1384 Houston, TX 77251-1384 (713) 207-5240 (713) 207-0161 (fax) drusso@reliant.com

The preceding e-mail message contains information that is confidential, may be protected by the attorney/client or other applicable privileges, and may constitute non-public information. It is intended to be conveyed only to the designated recipient(s). If you are not an intended recipient of this message, please do not read, copy or disclose the contents of this communication to others and please notify the sender at (713) 207-3331. If you are not the intended recipient, we would appreciate your forwarding the message back to us and deleting it from your system. Unauthorized use, dissemination, distribution, or reproduction of this message is strictly prohibited and may be unlawful. Thank you.

*Message 59 of 230***please print - Main Power Point**

Sender	elizabeth.sager@enron.com
Recipients	['brenda.whitehead@enron.com']
File	sager-e/sent/936.

----- Forwarded by Elizabeth Sager/HOU/ECT on 03/06/2000

09:32 AM -----

"Andy Katz" <AKatz@eei.org> on 03/03/2000 05:32:46 PM To: fmdutton@aep.com, Jhopf@amerenenergy.com, hemu@dynegy.com, Elizabeth Sager/HOU/ECT@ECT, mroger3@entergy.com, wfhenze@jonesday.com, dmperlman@powersrc.com, rosteen@powersrc.com, drusso@reliantenergy.com, rbaker@reliantenergy.com, john.varholy@troutmansanders.com cc: Subject: Main Power Point

This is an updated version of the main contract panels slide show. I've already sent this to Houston to be copied for the conference binders. All slide shows received as of today were also sent for copying. Thanks Joe Hopf, David Portz, & Randy Baker. If you want to provide supplemental material to hand out make sure its delivered to the Marriott by Monday night.

I'll be traveling Monday morning and will be in Houston around 12pm. Again, anyone who wishes to join us for dinner Monday night at Molina's around 7pm is welcome. My cell phone number is 301-213-0288.

Andrew S. Katz, Director Industry Legal Affairs Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org

- houston slides.ppt - EEI Presentation 2000.ppt

*Message 60 of 230***hi**

Sender	wsager@geophysics.rice.edu
Recipients	['elizabeth.sager@enron.com']
File	sager-e/sager___general/46.

Dear Liz,

Hello from Rice. Just thought I'd drop an email to see it works. The above address is my email here at Rice on sabbatical. If you mail to wsager@ocean.tamu.edu, that's my address at TAMU. I recommend the TAMU address because I have those messages copied here, so I will get them no matter where I am. But I sometimes don't see the Rice messages if they come while I am back home.

So last I heard, I thought you were working as an attorney in a private practice. But now you must be working for Enron. Seems like everybody in Houston is working in the awl bidness these days. I hosted a career discussion group for our grad students last week and invited TAMU alums to come talk about careers in oceanography. All were driven by the offshore

energy industry in some way (either energy companies, service companies, or regulatory agencies), except for one guy from the Navy. And they all said "don't plan to keep the same job for more than ~10 years."

Nice to see you at the wedding. We'll have to plan to get together some time.

Bye, Will +++++ William W. Sager Department of Oceanography Texas A&M University College Station, TX 77843-3146 ph. 409-845-9828 cell ph. 409-219-0471 fax 409-845-6331

On Sabbatical Rice University Department of Geology & Geophysics Houston, TX

Message 61 of 230

RE:	
Sender	elizabeth.sager@enron.com
Recipients	['earthur@hupk.com']
File	sager-e/sent_items/105.

ok to provide info to Hunt

Elizabeth Sager 713-853-6349

-----Original Message-----

From: Ellen Arthur <EArthur@hupk.com>@ENRON
[mailto:IMCEANOTES-Ellen+20Arthur+20+3CEArthur+40hupk+2Ecom+3E+40ENRON@ENRON.com] Sent: Friday, September 07, 2001 7:21 AM To: Sager, Elizabeth Subject:

Elizabeth- I got a call from Hunt Mitchell requesting information. I wanted to verify that it was OK to give to him. Ellen H. Arthur Hodes, Ulman, Pessin & Katz, PA 901 Dulaney Valley Road, Suite 400 Towson, MD 21204 (410)769-6146
NOTICE: The information contained in this electronic mail transmission is intended by Hodes, Ulman, Pessin & Katz, P.A. for the use of the named individual or entity to which it is directed and may contain information that is privileged or otherwise confidential. It is not intended for transmission to, or receipt by, anyone other than the named addressee (or a person authorized to deliver it to the named addressee). It should not be copied or forwarded to any unauthorized persons. If you have received this electronic mail transmission in error, please delete it from your system without copying or forwarding it, and notify the sender of the error by reply email or by calling Hodes, Ulman, Pessin & Katz, P.A. at (410) 938-8800 or 1-800-276-0806 so that our address record can be corrected.

Message 62 of 230

RE: Collateral Annex	
Sender	elizabeth.sager@enron.com
Recipients	['carol.st.@enron.com', 'akatz@eei.org']
File	sager-e/sent_items/234.

Hi Andy

I apologize for the delay in turning the Morgan draft of Collateral Annex - regular business got in the way and we were finishing the final touches on the Collateral Annex that Enron will use pending "adoption" by EEI of its collateral annex (I will forward a copy to you when done). This process of discussing our internal draft really helped frame some issues in general and will facilitate our putting together a good draft for the EEI group. I talked to Carol this morning and she is working this week on incorporating all the comments received into the Morgan draft and we should have something to you no later than the 16th.

Carol's number is 713 853 3989 if you need to reach her for any reason.

Thanks and I look forward to seeing you in August. -----Original Message----- From: "Andy Katz"

<AKatz@eei.org>@ENRON

[mailto:IMCEANOTES--22Andy+20Katz+22+20+3CAKatz+40eei+2Eorg+3E+40ENRON@ENRON.com] Sent: Friday, July 06, 2001 9:43 AM To: Sager, Elizabeth Subject: Collateral Annex

Folks have been asking about the draft Carol is working on. Could you check on the status and also forward contact info for her? Thanks.

Andrew S. Katz, Director Industry Legal Affairs Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org - TEXT.htm << File: TEXT.htm >> - Andy Katz.vcf << File: Andy Katz.vcf >>

Message 63 of 230

RE: AEP Master Netting Agr

Sender	david.portz@enron.com
Recipients	['mary.cook@enron.com', 'elizabeth.sager@enron.com', 'marie.heard@enron.com', 'lech.kalembka@cwt.com']
File	sager-e/inbox/781.

Resending, with the intended attachment. FYI, the Credit Support Annex has been removed and and portions of the Netting Agreement dealing with collateral have been altered, so that the Netting Agreement is mainly focused on installing setoff and cross default rights.

-----Original Message-----

From: Portz, David Sent: Monday, November 05, 2001 2:33 PM To: 'Lech.Kalembka@cwt.com' Cc: Sager, Elizabeth; Heard, Marie; Cook, Mary; Williams, Jason R (Credit) Subject: AEP Master Netting Agr

Lech - A high priority Master Netting and Setoff Agreement (see attached) is in the late stages of negotiation with the below-referenced AEP affiliates. The agreement is currently intended to be limited to masters/ transactions between ENA &/or EPMI and two major AEP trading affiliates, American Electric Power Service Corporation as Agent for the AEP Operating Companies ("AEP") and AEP Energy Services, Inc. ("AEPESI"). The Netting Agreement explicitly identifies enabling agreements between those entities relating to trading physical gas, physical power, and financial swaps. Earlier today the Enron Credit group indicated that ENA trades (using GTCs) physical coal and physical synfuel with American Electric Power Service Corporation. Please contact me with any questions. -- David

David A. Portz Senior Counsel Enron North America Corp. 1400 Smith, EB 3805a Houston, Texas 77002-7361

Phone: 713-853-9239 Fax: 713-646-3491 Assistant: Linda Simmons (Ext. 57851)

Message 64 of 230

Three-Way Trade

Sender	elizabeth.sager@enron.com
Recipients	['tracy.ngo@enron.com']
File	sager-e/all_documents/296.

----- Forwarded by Elizabeth Sager/HOU/ECT on 12/19/2000 11:34 AM -----

"Rick Antonoff" <Rick.Antonoff@cwt.com> 12/15/2000 02:17 PM

To: elizabeth.sager@enron.com, mary.cook@enron.com cc: "David Mitchell" <David.Mitchell@cwt.com> Subject: Three-Way Trade

Further to our telephone conversation on Tuesday, attached is our memorandum setting forth certain provisions that may be included in the relevant documentation of the three-way exposure reducing trades.

We look forward to speaking with you later today.

(See attached file: Three-Way Trade.doc)

Rick B. Antonoff Cadwalader, Wickersham & Taft 100 Maiden Lane New York, NY 10038 Phone: 212 504-6759 Fax: 212 504-6666 Mobile: 917 287-6391 Email: rick.antonoff@cwt.com

NOTE: The information in this email is confidential and may be legally privileged. If you are not the intended recipient, you must not read, use or disseminate the information. Although this email and any attachments are believed to be free of any virus or other defect that might affect any computer system into which it is received and opened, it is the responsibility of the recipient to ensure that it is virus free and no responsibility is accepted by Cadwalader, Wickersham & Taft for any loss or damage arising in any way from its use.

- Three-Way Trade.doc

Message 65 of 230

Power Marketing Transactions Using the EEI/NEM Master Contract from	
Sender	elizabeth.sager@enron.com
Recipients	['shari.stack@enron.com', '(bcc: Elizabeth Sager/HOU/ECT)']
File	sager-e/sent/932.

let me know if this enough. ps we are not a member of eei for payment puposes ----- Forwarded by Elizabeth Sager/HOU/ECT on 03/02/2000 10:36 AM -----

"Andy Katz" <AKatz@eei.org> on 02/04/2000 09:33:28 AM Please respond to "Wholesale Electric Contract Standardization Group" <contract@ls.eei.org> To: "Wholesale Electric Contract Standardization Group" <contract@ls.eei.org> cc: (bcc: Elizabeth Sager/HOU/ECT) Subject: Power Marketing Transactions Using the EEI/NEM Master Contract from Deal to Payment

Mark your calendar to attend the special workshop entitled Power Marketing Transactions Using the EEI/NEM Master Contract from Deal to Payment taking place in Houston, Texas on March 7th and in New York City on April 25th.

Attached is the brochure (in Acrobat format) detailing the workshop. In addition to the panelists listed in the brochure, also joining our Power Contract Team Panelists will be:

Randy Baker, Manager of Credit Risk, Reliant Energy Edward Kim, Director of Financial Risk, PSE&G Ronald Barone, Director, Corporate Ratings Group, Standard & Poor's

Don't miss this opportunity! Space is limited, so register as soon as possible. We look forward to seeing you!

For further information about registration contact Wanda Green at 202-508-5182 or wgreen@eei.org

Andrew S. Katz, Senior Attorney Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org

- pwr mktg trnsactns.pdf

Message 66 of 230

Drafting Committee

Sender	akatz@eei.org
Recipients	['martyjo.rogers@axiaenergy.com', 'elizabeth.sager@enron.com', 'hemu@dynegy.com']
File	sager-e/all_documents/615.

I've received requests to convene a meeting of the Drafting Committee. The purpose of the meeting would be to reach closure on the optional product definitions and other provisions (esp. the credit annex) that would be made available on the EEI website. We should also discuss how to rectify the numerous typos that have been identified on the cover sheet and the GT&Cs. Would meeting sometime during late May or during June pose a problem? I am also pretty much open during July and the first two weeks of August. I've attached a calendar w/ dates I'm not available. If you could print the calendar; fill dates you are not available and fax to Patricia at 202-508-5673 by COB Friday we can come up with a meeting date. My first choice would be to have the meeting in D.C., but would be willing to go to another location.

FYI, John Varholly and I will be speaking at a conference on competitive electricity markets from 5/7-5/10 in Zagreb Croatia hosted by USAID. I'll be talking about U.S. standard commodity contracts and John will be discuss EFET and Nordpool. Also, I'll be speaking in Houston on May 15 at Energy & Power Risk Management 2001 on the EEI. If you want to talk about the drafting committee meeting I'll been in the office for the rest of the week and then out for two weeks.

Andrew S. Katz, Director Industry Legal Affairs Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org - TEXT.htm - 5-6sched.doc - Andy Katz.vcf

Message 67 of 230

RE: 8/8 EEI Contract Drafting Committee Meeting

Sender	elizabeth.sager@enron.com
Recipients	['carol.st.@enron.com', 'akatz@eei.org']
File	sager-e/sent_items/189.

Hi Andy Attached are drafts of language relating to prior transactions and market disruption. Hope all is well and I'm looking forward to seeing you next week.

Elizabeth Sager 713-853-6349

-----Original Message-----

From: "Andy Katz" <AKatz@eei.org>@ENRON
[mailto:IMCEANOTES-+22Andy+20Katz+22+20+3CAKatz+40eei+2Eorg+3E+40ENRON@ENRON.com] Sent: Monday, July 30, 2001 10:30 AM To: martyjo.rogers@axiaenergy.com; Sager, Elizabeth; Murphy, Harlan; jcrespo@hess.com; wfhenze@jonesday.com; dperلمان@powersrc.com; rosteen@powersrc.com; drusso@reliantenergy.com; babak.pooya@southernenergy.com Cc: Shari_Stack@reliantenergy.com Subject: 8/8 EEI Contract Drafting Committee Meeting

Dear Committee Members:

For those of you who volunteered to work on optional contract provisions, please circulate in advance of our 8/8 drafting committee meeting the provision(s) you are sponsoring. These are the assignments from our meeting last September:

Incorporating Prior Transactions: Liz Market Disruption: Liz Unilateral Contract: Marty Jo (inherited from Buddy) New Taxes: Fritz Regulatory Out: Randy/John Arbitration: Patty Electronic Transactions: Babak Additional Products: Dede, Liz (?)

Thanks. Details on dinner the night of the 7th remain to be firmed up. I made a reservation at a new trendy place downtown called Zula, but have been told that Damian's is a better choice. Any thoughts from you Houstonians?

Andrew S. Katz, Director Industry Legal Affairs Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org - TEXT.htm << File: TEXT.htm >> - Andy Katz.vcf << File: Andy Katz.vcf >>

Message 68 of 230

RE: Availability for Conference Call

Sender	elizabeth.sager@enron.com
Recipients	['katz'.\''andy@enron.com']
File	sager-e/sent_items/71.

oct 3 at 200 also works for me

Elizabeth Sager 713-853-6349

-----Original Message-----

From: "Andy Katz" <AKatz@eei.org>@ENRON
[mailto:IMCEANOTES-+22Andy+20Katz+22+20+3CAKatz+40eei+2Eorg+3E+40ENRON@ENRON.com] Sent:
Wednesday, September 26, 2001 7:47 AM To: fmdutton@aep.com; Sager, Elizabeth; Murphy, Harlan;
martyjo.rogers@entergykoch.com; jcrespo@hess.com; wfhenze@jonesday.com; dperlman@powersrc.com;
rosteen@powersrc.com; drusso@reliantenergy.com; Shari_Stack@reliantenergy.com; pdondanville@schiffhardin.com;
babak.pooya@southernenergy.com Subject: Availability for Conference Call

To All:

Please let me know your availability for a conference call next week on 10/1-10/3 or 10/5 at 2pm Eastern Time to discuss the following:

- 1) Getting a EEI Contract Working Group organizational plan in place asap. The best antidote for preventing an Energy Industry Standards Board from taking over the EEI Contract management is to have a separate, well-defined and broadly-supported group in place.
 - 3) Agenda and schedule for the next meeting of the Working Group.
 - 3) Adding new members to the drafting committee. In particular, Noel Trask of the Excelon Power Team has asked to join.
- ASAP, I would like to get the optional provisions circulated earlier this week up on the website and through the listserver along w/ the announcement of our organizational proposal and future working group meetings.

Thanks.

Andrew S. Katz, Director Industry Legal Affairs Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org << File: mailto:akatz@eei.org >> - Andy Katz.vcf << File: Andy Katz.vcf >>

Message 69 of 230

asset management agreement

Sender	steve.hooser@enron.com
Recipients	['elizabeth.sager@enron.com']
File	sager-e/notes_inbox/226.

Liz,

Please disregard the following message. I did get your voicemail. The AMA that we are doing started with basically this form and has been pretty watered down as to the decision process we must follow. Thanks for your help.

Steve

Steve Van Hooser Enron North America Corp. 1400 Smith EB3877 Houston, Texas 77002 713-853-7238 ----- Forwarded by Steve Van Hooser/HOU/ECT on 05/09/2001 03:33 PM -----

Steve Van Hooser 05/09/2001 03:32 PM

To: Elizabeth Sager/HOU/ECT@ECT cc: Subject: asset management agreement

Liz,

For some reason I didn't get your voicemail. I'll stop by this afternoon to double check that you are OK with the EPMI entity in the role of Asset Manager/Marketing Agent in the North Carolina Power Holdings transaction that we are structuring with AIG/Highstar.

Steve

Steve Van Hooser Enron North America Corp. 1400 Smith EB3877 Houston, Texas 77002 713-853-7238 ----- Forwarded by Steve Van Hooser/HOU/ECT on 05/09/2001 03:29 PM -----

Elizabeth Sager 05/09/2001 03:24 PM

To: Steve Van Hooser/HOU/ECT@ECT cc: Subject: asset management agreement

per my vm ----- Forwarded by Elizabeth Sager/HOU/ECT on 05/09/2001 03:24 PM -----

Kay Mann@ENRON 05/08/2001 01:23 PM

To: Steve C Hall/ENRON@enronXgate, Christian Yoder/Enron@EnronXGate cc: Elizabeth Sager/HOU/ECT@ECT
Subject: asset management agreement

Steve/Christian,

The attached file is a draft of an asset management agreement prepared by Stu Zisman. The later version obviously contained more negotiated points, so I think this one is more helpful.

I'm working on a transaction now which involves serving load as well as selling power. I found this one helpful for issue identification and exculpatory language, however.

Kay

Message 70 of 230

RE: Estate of Joan M. Sager

Sender	elizabeth.sager@enron.com
Recipients	['earthur@hupk.com']
File	sager-e/sent_items/130.

Hi Ellen

I will have some new expenses ie federal and state income taxes that have not been paid. Expenses paid up to June 30th I paid from the estate, depleting cash so I assume we wouldn't list them. Right? I will provide you with things I can think of by the 27th. What is happening in the VA probate? When will I receive a draft of the return? I assume we can if necessary file an extension so long as we pay the estimated tax? is that right?

Elizabeth Sager 713-853-6349

-----Original Message-----

From: Ellen Arthur <EArthur@hupk.com>@ENRON

[mailto:IMCEANOTES-Ellen+20Arthur+20+3CEArthur+40hupk+2Ecom+3E+40ENRON@ENRON.com] Sent: Tuesday, August 21, 2001 10:17 AM To: Sager, Elizabeth Subject: Estate of Joan M. Sager

Elizabeth- I am working on the Federal Estate Tax Return for your mother's Estate and I notice that I don't have any expenses in my file. Do you have a list of expenses such funeral expenses, etc.? Ellen H. Arthur Hodes, Ulman, Pessin & Katz, PA 901 Dulaney Valley Road, Suite 400 Towson, MD 21204 (410)769-6146 NOTICE: The information contained in this electronic mail transmission is intended by Hodes, Ulman, Pessin & Katz, P.A. for the use of the named individual or entity to which it is directed and may contain information that is privileged or otherwise confidential. It is not intended for transmission to, or receipt by, anyone other than the named addressee (or a person authorized to deliver it to the named addressee). It should not be copied or forwarded to any unauthorized persons. If you have received this electronic mail transmission in error, please delete it from your system without copying or forwarding it, and notify the sender of the error by reply email or by calling Hodes, Ulman, Pessin & Katz, P.A. at (410) 938-8800 or 1-800-276-0806 so that our address record can be corrected.

Message 71 of 230

please print - Final Version 2-1 of Master Agreement

Sender	elizabeth.sager@enron.com
Recipients	['David Portz/HOU/ECT@ECT', 'brenda.whitehead@enron.com']
File	sager-e/sent/937.

----- Forwarded by Elizabeth Sager/HOU/ECT on 03/06/2000

09:33 AM -----

"Andy Katz" <AKatz@eei.org> on 03/03/2000 07:12:16 AM To: fmdutton@aep.com, Jhopf@amerenenergy.com, hemu@dynegy.com, Elizabeth Sager/HOU/ECT@ECT, Mark E Haedicke/HOU/ECT@ECT, mroger3@entergy.com, elapson@fitchibca.com, wfhenze@jonesday.com, dperlman@powersrc.com, rosteen@powersrc.com, drusso@reliantenergy.com, rbaker@reliantenergy.com, john.varholy@troutmansanders.com cc: David Portz/HOU/ECT@ECT Subject: Final Version 2-1 of Master Agreement

I am circulating the final of version 2-1 of the Master Agreement. Those making presentations at the March 7 workshop should refer to this version in their presentations. After the thorough going over by our reviewers the past two days, I can't imagine anything got missed. Many thanks to the word processing dept. at Jones Day in NY and Fritz for getting the document formatted. If something did not get picked up let me know asap. No unilateral changes will be made unless it was an omission or overlooked typo. Remember, I have all your faxes!

I am also attaching a new flowchart of the into product that Fritz prepared.

Remember, today is the last day we can accept presentations for reproduction and insertion in the March 7 conference binders. Materials must be received by 4pm Eastern. Otherwise, please arrange to have 110 copies of any material you want to hand out at the conference sent to the hotel no later than Monday, March 6.

J.W. Marriott Houston 5150 Westheimer Houston, TX 77056 Hotel: 713/961-1500 Fx:713/599-2102

Andrew S. Katz, Director Industry Legal Affairs Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org

- MASTER POWER.doc - into.ppt

Message 72 of 230

Section 5.04 - for future insertion into revised ppa

Sender	elizabeth.sager@enron.com
Recipients	['Michael.Payne@enron.com', 'Jeff.Maurer@enron.com', 'brenda.whitehead@enron.com']
File	sager-e/all_documents/40.

----- Forwarded by Elizabeth Sager/HOU/ECT on 08/08/2000 08:44 AM -----

Mike Curry 08/07/2000 11:13 AM

To: Doug Gilbert-Smith/Corp/Enron@ENRON, Ben Jacoby/HOU/ECT@ECT, Zachary Sampson/NA/Enron@ENRON, David Portz/HOU/ECT@ECT, Joseph Piotrowski/NA/Enron@Enron, Elizabeth Sager/HOU/ECT@ECT cc: Subject: Wind Section 5.04

FYI ----- Forwarded by Mike Curry/HOU/ECT on 08/07/2000 10:55 AM

KWong@milbank.com on 08/04/2000 06:24:09 PM To: mcurry@enron.com, dportz@enron.com, dsmith3@enron.com cc: Michael.Payne@enron.com, Jeff.Maurer@enron.com, Stephen.H.Friedlander@enron.com, John.Lamb@enron.com, Adam.Umanoff@enron.com Subject: RE: Wind Agreements

Dear Gentlemen:

At the request of John Lamb, I am forwarding a revised version of Section 5.04 which has been marked to show changes against the clean version of the file named WIND PPA 8-1-00.doc forwarded to me by Michael Payne.? Please note that this revised version is being sent concurrently to you and our clients and, as such remains subject to their comments.?

If you have any questions, please do not hesitate to give me a call.

Best regards, Karen?

Karen B. Wong Milbank, Tweed, Hadley & McCloy LLP 601 South Figueroa Street, 30th Floor Los Angeles, California 90017 USA kwong@milbank.com (email) (213) 892-4419 (office telephone) (213) 892-4719 (office fax) (213) 479-3129 (cellular telephone)

This e-mail message may contain legally privileged and/or confidential information. If you are not the intended recipient(s), or the employee or agent responsible for delivery of this message to the intended recipient(s), you are hereby notified that any dissemination, distribution or copying of this e-mail message is strictly prohibited. If you have received this message in error, please immediately notify the sender and delete this e-mail message from your computer.

?

? - Section 5.04 0804bk.doc

Message 73 of 230

FW: Houston Meetings for EEI Contract

Sender	elizabeth.sager@enron.com
Recipients	['carol.st.@enron.com']
File	sager-e/sent_items/245.

-----Original Message-----

From: "Andy Katz" <AKatz@eei.org>@ENRON

[mailto:IMCEANOTES+22Andy+20Katz+22+20+3CAKatz+40eei+2Eorg+3E+40ENRON@ENRON.com] Sent: Friday, June 29, 2001 1:15 PM To: louv@acespower.com; fhilton@aep.com; lrgroff@aep.com; martyjo.rogers@axiaenergy.com;

Christine_Schwab@dom.com; Francine_Mathews@dom.com; rsbaker@duke-energy.com; pjpa@dynegy.com; mtwilliams@edisonmission.com; RReyna@energyusa.com; Sager, Elizabeth; Murphy, Harlan; Ngo, Tracy; jcrespo@hess.com; wfhenze@jonesday.com; ed.zabrocki@msdw.com; william.mccoy@msdw.com; daniel.sarti@neg.pge.com; Jeremy.Weinstein@pacificorp.com; dperلمان@powersrc.com; kabedin@powersrc.com; rosteen@powersrc.com; drusso@reliantenergy.com; Shari_Stack@reliantenergy.com; babak.pooya@southernenergy.com; cward@utilicorp.com; mcrocker@utilicorp.com; pharrod@utilicorp.com; bill.dudley@xemkt.com Subject: Houston Meetings for EEI Contract

The Master Power Contract Group Collateral Annex group will meet on August 7 and the Drafting Committee will meet on August8 at:

Reliant Energy, Inc 1111 Louisiana Houston, Texas 77002 713/207-5241 713/207-0703

Your contact in Houston is Nina Tillett 713/207-5241, she works w/ DeDe Russo who will be hosting. Please let her know if you would like to participate by conference call.

The meetings will be held between 9am and 4pm and include a working lunch. EEI will host a dinner in a local restaurant (TBD) on the evening of July 7th for those who will be available to attend.

The closest hotel is the Hyatt Regency, 1200 Louisiana (next to Reliant) 713/951-0934*rooms start at \$165/night*a back-up hotel is Doubletree, 400 Dallas St., Houston 713/752-2734*rooms start at \$209.

Reliant will need a list of meeting attendee names for both days for security reasons.

Please contact me if you have any questions.

Andrew S. Katz, Director Industry Legal Affairs Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org - TEXT.htm - Andy Katz.vcf

Message 74 of 230

Group Meeting in July	
Sender	akatz@eei.org
Recipients	['fhilton@aep.com', 'martyjo.rogers@axiaenergy.com', 'hemu@dynegy.com', 'lrgroff@aep.com', 'elizabeth.sager@en...]
File	sager-e/all_documents/821.

All of you have expressed an interest in having a collateral annex to use with the EEI Master Contract. A small group began working on an annex last winter. Bill McCoy from Morgan Stanley circulated a "conceptual" draft which was commented on by a few companies. Due to the intervening California market crisis, the group did not undertake further work. After our credit workshop in Atlanta in March, many of you have asked to bring the working group together in order to reach closure on the annex. As a starting point I've attached Bill McCoy's draft and the comments circulated to date. I suggest that we develop a strawman from these documents that would serve as the basis for a consensus document adopted at a drafting meeting during the summer. Before that meeting we could collaborate via email and conference calls. Reliant has agreed to host a meeting in July which would coincide with a meeting of the EEI contract drafting committee. No specific date has been set, but many in the drafting committee are leaning towards meeting after mid-July. Please use the attached calendar to show dates you would be unavailable in July so we can set a date. Please fax this to Patricia Young at 202-508-5673 or email to pyoung@eei.org

So, we are looking for people who are willing to roll up their sleeves and get the job done. We need the following to do this efficiently: (1) someone to chair the group; (2) people willing to draft language; (3) someone to act as "scribe" to maintain the working draft and incorporate comments; and (4) input on what is drafted. I propose holding a conference call next Friday to select a chair, set a schedule, and make assignments. Please let me know your thoughts on this process.

Andrew S. Katz, Director Industry Legal Affairs Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org - TEXT.htm - EEI Collateral Annex version 2 -

112400.doc - Collateral Annex Comments (1.19.01).doc - AEP's Comments to EEI Collateral Annex version 2 -
112400.doc - July Schedules.doc - Andy Katz.vcf

Message 75 of 230

RE:

Sender	elizabeth.sager@enron.com
Recipients	[earthur@hupk.com]
File	sager-e/sent_items/172.

Ellen

We did not sell anything until after June 30th. Go ahead and call Lou, but why would you use December 31st; clearly things are lower in June. Do you get to pick and choose by each stock which date to use? I'm in the office today but traveling a lot this week. If you need to reach me after today, please leave me a message at work and I will call you back. Also Do we need to include the 2,400 from Suntrust in my mom's estate since it was held by both my brother (who closed the account this weekend) and my mother? Thanks

Elizabeth Sager 713-853-6349

-----Original Message-----

From: Ellen Arthur <EArthur@hupk.com>@ENRON
[mailto:IMCEANOTES-Ellen+20Arthur+20+3CEArthur+40hupk+2Ecom+3E+40ENRON@ENRON.com] Sent: Monday, August 06, 2001 9:01 AM To: Sager, Elizabeth Subject:

Elizabeth- I got the statements you sent me and it looks like the value of some or all of the stock went down in between December and June. Were any of the securities in the accounts sold or have you just held onto everything? If its OK with you, I would like to call Louis Alexander at Morgan Stanley and ask him to prepare a formal appraisal of the securities as of December 31 and June 30. He might be able to do this without charge since the accounts are at Morgan Stanley. Let me know. Ellen H. Arthur Hodes, Ulman, Pessin & Katz, PA 901 Dulaney Valley Road, Suite 400 Towson, MD 21204 (410)769-6146 NOTICE: The information contained in this electronic mail transmission is intended by Hodes, Ulman, Pessin & Katz, P.A. for the use of the named individual or entity to which it is directed and may contain information that is privileged or otherwise confidential. It is not intended for transmission to, or receipt by, anyone other than the named addressee (or a person authorized to deliver it to the named addressee). It should not be copied or forwarded to any unauthorized persons. If you have received this electronic mail transmission in error, please delete it from your system without copying or forwarding it, and notify the sender of the error by reply email or by calling Hodes, Ulman, Pessin & Katz, P.A. at (410) 938-8800 or 1-800-276-0806 so that our address record can be corrected.

Message 76 of 230

Master Netting Agreement

Sender	mary.cook@enron.com
Recipients	[tanya.rohauer@enron.com', 'carol.st.@enron.com', 'mary.perkins@enron.com', 'elizabeth.sager@enron.com', 'leg...
File	sager-e/inbox/195.

All, attached is a redline of Master Netting Agreement against the previous Cook c draft and the proposed Collateral Annex. Please review and provide your comments to me by first thing Tuesday morning.

Major issues for resolution:

1. We have determined that we should file on cash collateral in Canada. Peter Keohane is reviewing the forms and processes for such, including how to determine and establish priority with respect to same. Peter will coordinate with

Credit concerning the mechanics of accomplishing the filings.

2. Due to the continued concern by some counsel in respect of mutuality issues for setoff and netted settlement (another form of setoff) "aggregate liability clauses" set forth in 3a and 3b have been included for our consideration. We must come to a consensus as to whether this language/concept should/must be included. If the answer is yes, is the language included the best tactic?

3. Mary Perkins is reviewing LC matters with banks to be sure the modified format set forth in this draft is satisfactory.

Timing Objective: Our objective is to provide everyone another draft on Tuesday and finalize on Wednesday. This will require a conference call sometime Monday afternoon. Carol, Rick, David, Peter and Elizabeth please provide Esmeralda Gonzalez, my assistant, at 713 345-7621 with your Monday afternoon availability and she will set a time and advise you.

For those of you who had a prior draft of the Collateral Annex, I could not get this redlined for some reason, I apologize.

Carol, since I am out Friday will you please call Cadwalader and be sure they received this. Further, will you ask them to review the NY choice of law provision in light of Canada cash collateral issue. Thank you.

David and Rick, in your review please give special attention to the calculation mechanisms utilized for the determination of the Collateral Requirement.

Esmeralda, after you have determined availability, please send email to Carol, Elizabeth, Rick Antonoff, David Mitchell and Peter Keohane advising of the time (Houston time). We will call other parties and do not need a call in number.

Cordially, Mary Cook Enron North America Corp. 1400 Smith, 38th Floor, Legal Houston, Texas 77002-7361 (713) 345-7732 (713) 646-3393 (fax) mary.cook@enron.com

Message 77 of 230

FW: ERCOT Confirms

Sender	elizabeth.sager@enron.com
Recipients	['david.portz@enron.com']
File	sager-e/sent_items/187.

fyi

Elizabeth Sager 713-853-6349

-----Original Message-----

From: ntillett@reliant.com@ENRON [mailto:LMCEANOTES-ntillett+40reliant+2Ecom+40ENRON@ENRON.com] Sent: Wednesday, August 01, 2001 11:28 AM To: martyjo.rogers@axiaenergy.com; Sager, Elizabeth Subject: ERCOT Confirms

PRIVILEGED AND CONFIDENTIAL THIS DOCUMENT IS PROTECTED BY ATTORNEY/CLIENT PRIVILEGE AND IS ATTORNEY WORK PRODUCT

FYI - Dede requested that I forward this to the both of you.

Nina Tillett Reliant Energy Law Department 1111 Louisiana Houston, TX 77002 Phone: (713) 207-5241 Facsimile: (713) 207-9572 ntillett@reliant.com

----- Forwarded by Nina Tillett/ADM/HouInd on 08/01/01 11:24 AM -----

Dianne H Russo To: Christy B Brinkman/TTG/HouInd@HouInd, Sent by: Nina Terri A Parrish/TTG/HouInd@HouInd, Nicole D Tillett Alpough/TTG/HouInd@HouInd, Tonya J Brewer/TTG/HouInd@HouInd, Alva H Perry/TTG/HouInd@HouInd, Wayne 08/01/01 Oliphant/TTG/HouInd@HouInd 11:25 AM cc: Wade A Hoefling/ADM/HouInd@HouInd, Shari Stack/ADM/HouInd@HouInd, Rene L Broussard/TTG/HouInd@HouInd, John H Ritch/TTG/HouInd@HouInd Subject: ERCOT Confirms

This communication is CONFIDENTIAL and protected by the ATTORNEY-CLIENT and WORK PRODUCT privileges.

In response to the ERCOT market transition, and the fact that "UB" is no longer an accurate ERCOT product description, on a going forward basis, unless otherwise specifically instructed by the Trade Floor or the Origination Group, please identify ERCOT products as "Firm-LD" [as defined under Schedule P of the EEI Agreement] (obviously, if we have an EEI in place with a counterparty the bracketed part is not necessary, but if not, it needs to be included). Under the "Delivery Point" heading please state: "Seller's choice of any available interface(s) within the ERCOT control area." I will let you know if/when any of this changes. In the meantime, refer any customer response to this confirmation change to the Trade Floor and/or Legal.

Thank you.

Dede Russo 7-5240

P.S. To John Ritch: Please let me know if this is OK or if you want to change it in any way. If OK, please forward this to your traders.

Message 78 of 230

Fwd: Independent Amount	
Sender	elizabeth.sager@enron.com
Recipients	['brenda.whitehead@enron.com']
File	sager-e/all_documents/1349.

please print ----- Forwarded by Elizabeth Sager/HOU/ECT on 03/02/2000 02:20 PM -----

"Andy Katz" <AKatz@eei.org> on 03/02/2000 09:03:29 AM To: Elizabeth Sager/HOU/ECT@ECT cc: Subject: Fwd: Independent Amount

As per our discussion. Patty is expecting us to conference when fax arrives. Also, would it possible for you to mark up and FAX back the attached power point slides on the into product to reflect changes to definition. Thanks.

Andrew S. Katz, Director Industry Legal Affairs Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org

Received: from smtp1.reliantenergy.com by mail.eei.org; Wed, 01 Mar 2000 18:54:15 -0500 Received: from MTA001.hlp.com ([10.12.7.8]) by smtp1.reliantenergy.com (8.9.3/8.9.3) with SMTP id RAA11078; Wed, 1 Mar 2000 17:49:43 -0600 (CST) From: rbaker@reliantenergy.com Received: by MTA001.hlp.com (Lotus SMTP MTA v4.6.3 (778.2 1-4-1999)) id 86256895.00832FB3 ; Wed, 1 Mar 2000 17:52:54 -0600 X-Lotus-FromDomain: HOUIND To: "Andy Katz" <AKatz@eei.org>, "William F Henze" <William_F_Henze@jonesday.com> cc: drusso@reliantenergy.com Message-ID: <86256895.00832E4F.00@MTA001.hlp.com> Date: Wed, 1 Mar 2000 17:51:53 -0600 Subject: Independent Amount Mime-Version: 1.0 Content-type: text/plain; charset=us-ascii Content-Disposition: inline

Andy / Fritz: *Please forward this e-mail to Patty Dondanville as I did not have her e-mail address* THANKS!

DeDe and I spoke this afternoon regarding the "Independent Amount" term in the EEI Agreement.

Just to provide some feedback from a "users" perspective, the "Independent Amount" concept was something that Elizabeth Sager suggested we use as a proxy for bilateral margining which I introduced at the Sept. EEI meeting in D.C. This term was literally "borrowed" from the ISDA Agreement.

The definition used in the ISDA Credit Support Annex is as follows: "Independent Amount" means, with respect to a party, the amount specified as such for that party in Paragraph 13; if no amount is specified, zero. (The ISDA Paragraph 13 is synonymous with the EEI Cover Sheet)

There isn't a "definition" per se. The term comes into play in 8.3 as it is added to the Termination Payment and compared to the Collateral Threshold. To put it in another way, it acts as "buffer" Termination Payment to handle additional potential credit exposure created by transactions valued against extremely volatile price indices.

Please call me in Houston should you have additional questions (713) 207-1211.

Thanks, Randy

- intoproduct2.ppt - examples.ppt

Message 79 of 230

RE: EEI Master Contract Products and new RTO/ISO rules

Sender	elizabeth.sager@enron.com
Recipients	[e..haedicke@enron.com]
File	sager-e/sent_items/226.

Yes - we will likely need to draft new product definitions as well as determine the impact on our long dated Into products. I have a meeting w Christi Nicolay at 400 to start discussing. I'll keep you updated as I learn more . Thanks.

-----Original Message-----

From: Haedicke, Mark E. Sent: Thursday, July 12, 2001 3:18 PM To: Sager, Elizabeth Subject: FW: EEI Master Contract Products and new RTO/ISO rules

Elizabeth: Does the RTO order require a task force to draft new language? Let me know. Mark

-----Original Message-----

From: bounce-contract-9348@listserver.eei.org@ENRON
[mailto:IMCEANOTES-bounce-contract-9348+40listserver+2Eeei+2Eorg+40ENRON@ENRON.com] On Behalf Of "Aria, Lora" <lora.aria@lgeenergy.com> Sent: Wednesday, July 11, 2001 7:23 AM To: Wholesale Electric Contract Standardization Group Cc: Phillips, Steven; Little, Lisa Subject: EEI Master Contract Products and new RTO/ISO rules

Has anyone begun to address the issues surrounding the EEI product definitions and the new rules associated with "transporting" power across the new RTO/ISO control areas? Upon discussions with parties involved with the Midwest ISO ("MISO") when scheduling power through the MISO control area a party will no longer designate an interface but only a source and a sink and the Control Area will determine the best path through its system. How will this affect the obligations of the products as defined under EEI. In particular how will this affect the "Into" product definition if the buyer and seller no longer have the ability to select an Interface? Lora Herff Aria Sr. Contract Administrator LG&E Energy Marketing Inc. Louisville Gas and Electric Company/Kentucky Utilities Company 220 West Main Street, 7th Floor Louisville, KY 40202 Phone: (502) 627-4251 Fax: (502) 627-4222 e-mail: lora.aria@lgeenergy.com

This e-mail message is confidential, intended only for the named recipient(s) above and may contain information that is privileged, attorney work product or exempt from disclosure under applicable law. If you have received this message in error, please immediately notify the sender at (502) 627-4251 and delete this e-mail from your computer. Thank you.

The preceding message was sent to members of Contract List Server, the EEI Contract Standardization Mailing List.-----

*** EEI - A Powerful Partner in a Competitive World sm ***----- You have received the above message as a subscriber to the EEI Contract Standization Electronic Mailing List: contract Your subscription address is listed as:

[mhaedic@ect.enron.com] To stop receiving these messages, send a blank message to the list administrator:

kSeaman@eei.org with the subject as: UNSUBSCRIBE You can reply to the EEI Contract List by using your email

program's "ReplyTo" function, or by sending a message to the list administrator. ***** Log on to Our Energy Future (<http://www.eei.org/>) to get the facts on today's issues and learn about solutions in which we can all take part.

Message 80 of 230

EEI meeting fyi	
Sender	elizabeth.sager@enron.com
Recipients	[david.portz@enron.com]
File	sager-e/sent/110.

----- Forwarded by Elizabeth Sager/HOU/ECT on 10/05/2000 10:00 AM -----

"Patricia Young" <PYoung@eei.org> Sent by: bounce-contract-9369@ls.eei.org 10/04/2000 09:17 AM Please respond to "Wholesale Electric Contract Standardization Group"

To: "Wholesale Electric Contract Standardization Group" <contract@ls.eei.org> cc: Subject: PLEASE RESPOND IMMEDIATELY

The following Message was sent to members of Contract List Server, the EEI Contract Standization Mailing List. Andy Katz sent out the following message...We have had many undeliverables...I would appreciate your letting me know if you receive this message...thanks. Working Group Members:

The drafting committee met on September 15 to discuss the status of the Master Agreement and the agenda for the October 13 meeting at EEI's offices. The general consensus of the drafting committee is that the Master Agreement is sound and there is no need for revision to the base terms and conditions of version 2.1. Based on that meeting, the drafting committee would like to cover the following at the October 13 meeting :

GETTING CONTRACT IN PLACE. The drafting committee believes that the number one priority is to get the Master Agreement used by more participants in the marketplace. We would like to hear from the working group about the status of the Master Agreement in their organizations and issues about the contract that are holding up its use. We will solicit suggestions on how to get wider acceptance of the Master Agreement. The drafting committee has thought of holding another workshop in late January to address implementation issues such as establsihing credit thresholds.

STANDARDIZED SUPPLEMENTAL PROVISIONS. There are several areas not addressed in the base contract that are frequently used as customized supplemental provisions identified on many parties' cover sheets. The drafting committee identified the following as useful to develop as suggested optional supplemental provisions that could be used in negotiating a cover sheet with a counterparty: (1) the incorporation of prior transactions as being governed by the Master Agreement; (2) the use of the Master Agreement for electronic trading; (3) alternative dispute resolution mechanisms; (4) treatment of new taxes or changes in regulatory policy; (5) additional products (e.g. Western firm or CAISO energy); (6) agreements with respect to agency relationships; (7) "regulatory out" provisions; and (8) provisions involving "one-way" counterparty relationships, i.e. sales only or purchases only.

The drafting committee will ask the working group to allow it to develop these provisions and once consensus on language is reached among the drafting committee members, they would be made available for downloading on the EEI website for use by the industry as suggested optional provisions. We will also discuss the ways to tie these provisions to the Master Agreement general terms.

PROCEDURE FOR GETTING CONTRACT INTERPRETATION. The drafting committee will discuss ways to get answers about the contract disseminated quickly. One suggestion is to have a frequently asked questions section up on the EEI website.

As a reminder, the meeting will be held from 10-4. Please contact me if you have any questions or comments about the agenda. If you plan to attend or need information about hotels or transportation, please contact Patricia Young at 202-508-5757 or pyoung@eei.org. Thank-you.

Andrew S. Katz, Director Industry Legal Affairs Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org

-----*** EEI - A Powerful Partner in a Competitive World sm ***-----

You have received the above message as a subscriber to the EEI Contract Standization Electronic Mailing List: contract
Your subscription address is listed as: [Elizabeth.Sager@enron.com] To stop receiving these messages, send a blank
message to the list administrator: kSeaman@eei.org with the subject as: UNSUBSCRIBE You can reply to the EEI
Contract List by using your email program's "ReplyTo" function, or by sending a message to the list administrator.

Message 81 of 230

RE: TCA question

Sender	l.nicolay@enron.com
Recipients	['susan.lindberg@enron.com', 'elizabeth.sager@enron.com', 'dave.perrino@enron.com', 'alan.comnes@enron.com']
File	sager-e/deleted_items/38.

This language looks fine to me, but ELIZABETH is the structure ok with you? (The participating transmission owners (PTO) will be getting paid their revenue requirements by the RTO, so I think the RTO and the PTOs having a lock box is fine. (from what I can recall from my old accountant days). Thanks.

-----Original Message-----

From: Perrino, Dave Sent: Friday, September 14, 2001 10:30 AM To: Nicolay, Christi L.; Lindberg, Susan Cc: Comnes, Alan Subject: FW: TCA question

Christi and Susan,

Below is a message that I had sent to Steve Walton earlier this morning asking for his assessment of a section of the Acme (DSTAR) TCA. Can you tell me if the text below is standard practice or is it more than favorable to the PTO?

Thanks,

Dave

-----Original Message-----

From: Perrino, Dave Sent: Friday, September 14, 2001 7:42 AM To: Walton, Steve Subject: TCA question

Steve,

Are you familiar with any fund(s) management in the context of RTO West or other such entity. Below is some of the language in the "Acme" aka DSTAR TCA, I am not experienced in this at all, but some of this looks suspect to me (Too may PTO rights). Any comments you have would be helpful.

Thanks,

Dave

" Acme shall enter into a lockbox account agreement (the "Lockbox Account Agreement") with all of the Participating TOs and the Lockbox Bank in form and substance satisfactory to the Participating TOs, providing among other things for the following: (i) the transmission of the netted TCA fees, due and payable to the Participating TO, in the Operating Account, on the Acme Payment Date, by the Lockbox Bank to the Payment Account for each Participating TO, and the Participating TOs' right, without the consent of Acme, to withdraw amounts on deposit in such Participating TO's Payment Account as and when desired by such Participating TO;

(ii) the Participating TO's right to receive, on a monthly basis, statements from the Lockbox Bank detailing all activity in the Operating Account and the Participating TO's Payment Account, and copies of all correspondence received by Acme or the Lockbox Bank in connection with the Operating Account and such Participating TO's Payment Account;

the Participating TO's right at any time to audit the cash flow, investments, and the books and records of the Lockbox Bank related to the Operating Account and such Participating TO's Payment Account and to request and receive copies of information relating to the cash flow, investments, books and records and other documentation related to the Operating Account and the Participating TO's Payment Account in connection with any such audit or otherwise;

the Operating Account's establishment for the benefit of each of the Participating TOs, as their interest may appear and Acme's pledge and grant of a security interest in all sums therein as collateral for its obligations to all Participating TOs under the TCAs and all other Acme Grid Agreements;

the Payment Account's establishment for the benefit of the Participating TOs and Acme's pledge and grant of a security interest in all sums therein as collateral for its obligations to all Participating TOs under the TCAs and all other Acme Grid Agreements.

with respect to the Operating Account, the Lockbox Bank's status solely as the agent of the Participating TOs and, upon written instruction by a majority such Participating TOs, taking possession of the collateral in the Operating Account as the Participating TOs' bailee so as to perfect the Participating TOs' first security interest, to the exclusion of Acme and any creditor of Acme;

with respect to the Payment Account, the Lockbox Bank's status solely as the agent of each Participating TO and, upon written instruction by a Participating TO, taking possession of the collateral in such Participating TOs Payment Account as such Participating TO's bailee so as to perfect the Participating TO's first security interest, to the exclusion of Acme and any creditor of Acme;

the distribution of the proceeds of foreclosures, sales, or possession of collateral in the Operating Account among the Participating TOs pari passu as their interests may appear; and

appropriate procedures for the investment of amounts in the Operating Account by the Lockbox Bank, at the direction and for the sole benefit of the Participating TOs "

David F. Perrino Director, Government Affairs Enron Corporation 101 California Street, Suite 1950 San Francisco, CA 94111 Phone: 415.782.7801 Fax: 415.782.7854 Mobile: 415.794.8740

Message 82 of 230

Saturday	
Sender	sgussett@bracepatt.com
Recipients	['elizabeth.sager@enron.com']
File	sager-e/notes_inbox/531.

Phil's birthday is the 21st, so I was thinking that I might want to have a birthday type dinner for him this Saturday. Some place relatively casual but good food (I obviously have put a lot of thought into this). I was thinking about dinner around 7:30. Are you and Grant interested in joining us? Julie is babysitting for us. I am going to see if she can come over around 3 so Phil and I can also finish our Christmas shopping. S.

Sheryl A. Gussett Bracewell & Patterson, L.L.P. 711 Louisiana, Suite 2900 Houston, Texas 77002-2781 (713) 221-1210 (713) 221-2132 (fax) sgussett@bracepatt.com

Message 83 of 230

FW: Proposed Settlement Procedures/Assumptions	
Sender	carolyn.george@enron.com
Recipients	['elizabeth.sager@enron.com']
File	sager-e/inbox/478.

I forgot the attachment.

-----Original Message-----

From: George, Carolyn Sent: Monday, December 17, 2001 10:25 AM To: Sager, Elizabeth Subject: Proposed Settlement Procedures/Assumptions

Following is the typing that was left in your chair. I will be your originals up in a while. I am entering today - so I have your calendar. If any of your estimated time for Thur, Fri or Sat is different - let me know and I can make the adjustments.

Carolyn George Sr. Administrative Assistant Enron Global Finance 1400 Smith, ECN2080 Houston, TX 77002 (713) 853-3439 Fax: (713) 853-9252 email: carolyn.george@enron.com

Message 84 of 230

RE: Meet

Sender	elizabeth.sager@enron.com
Recipients	['drusso@reliant.com']
File	sager-e/sent_items/256.

yes positively- this day has been horrible - I'll call you on Wed

-----Original Message-----

From: drusso@reliant.com@ENRON [mailto:IMCEANOTES-drusso+40reliant+2Ecom+40ENRON@ENRON.com] Sent: Tuesday, June 26, 2001 1:41 PM To: Sager, Elizabeth Subject: Re: Meet

can we meet thursday anytime just so we can finish before 2:30 or friday later in the afternoon

This communication is CONFIDENTIAL and protected by the ATTORNEY-CLIENT and WORK PRODUCT privileges.

Dede Russo Senior Attorney Reliant Energy Law Department 1111 Louisiana Houston, TX 77002 Phone: (713) 207-5240 Fax: (713) 207-9572 E-Mail: drusso@reliantenergy.com

Message 85 of 230

Meeting on December 14

Sender	akatz@eei.org
Recipients	['william.mccoy@msdw.com', 'rsbaker@duke-energy.com', 'hemu@dynegy.com', 'lgroff@aep.com']
File	sager-e/notes_inbox/384.

Would the drafting committee and representative credit managers be interested in meeting in New York City on December 14 to discuss credit annex draft. Bill McCoy is giving a brown bag discussion on trading documentation at a law firm in NYC and perhaps we could meet with him afterwards? Let me know asap and I'll ask Marving Goldstein, a partner at the firm, if we can meet after the brown bag. Of course, that depends on Bill's availability too.

Andrew S. Katz, Director Industry Legal Affairs Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org

- Andy Katz.vcf

Message 86 of 230

Draft EEI Collateral Annex

Sender	akatz@eei.org
Recipients	['tracy.ngo@enron.com', 'harlan.murphy@enron.com']
File	sager-e/elizabeth_sager/15.

Please find attached a revised draft of Morgan Stanley's original EEI Collateral Annex document. It was prepared by Carol St. Clair at Enron. Please forward any comments you may have about the draft in advance of the August 7 meeting to Carol at carol.st.clair@enron.com and kindly cc: me as well. Also, let me know if the group would like to have a conference call in advance of the meeting. Thank-you.

Andrew S. Katz, Director Industry Legal Affairs Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org - TEXT.htm - Morgan Stanley EEI Collateral Annex Revised.doc

Message 87 of 230

Conference Call Info

Sender	akatz@eei.org
Recipients	['harlan.murphy@enron.com']
File	sager-e/inbox/207.

The dial in number for the 3pm Eastern Time call on 10/3 is (800/860-2442). Ask for the EEI/Andy Katz call. The agenda is to discuss the following:

- 1) The plan for forming a contract organization.
- 2) The agenda and schedule for upcoming Working Group/Drafting Committee meetings
- 3) Adding new members to the Drafting Committee.
- 4) Development of an Alberta Power Pool Annex (by expanding the drafting committee to key players in Alberta).

Andrew S. Katz, Director Industry Legal Affairs Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org - Andy Katz.vcf

Message 88 of 230

Proposed Statement of Organization

Sender	akatz@eei.org
Recipients	['harlan.murphy@enron.com']
File	sager-e/inbox/241.

Please review and comment on the attached draft statement of organization for the EEI contract working group. Once the statement is agreed to by the drafting committee, I suggest we present it at the next meeting of the Working Group. Given the press of time, I would suggest holding that meeting at EEI the week of October 22. I would propose holding the next meeting of the Drafting Committee in early January around the 15th.

Andrew S. Katz, Director Industry Legal Affairs Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org - EEI Contract Organizational Plan.doc - Andy Katz.vcf

Message 89 of 230

Master Netting

Sender	mary.cook@enron.com
Recipients	['elizabeth.sager@enron.com', 'edmund.cooper@enron.com']
File	sager-e/notes_inbox/122.

Elizabeth Sager forwarded your message to me. I am currently working on the ENA form of master netting agreement. The current state of the form is attached below. The trading committee will be reviewing and commenting on it in the next few months as well. We have used the agreement with a few counterparties. In so doing we have coordinated with New York counsel. Please remember, this is currently still work in progress. If you have any questions or want to discuss this matter further, feel free to call me.

Cordially, Mary Cook Enron North America Corp. 1400 Smith, 38th Floor, Legal Houston, Texas 77002-7361 (713) 345-7732 (phone) (713) 646-3490 (fax) mary.cook@enron.com

Message 90 of 230

Houston Meetings

Sender	akatz@eei.org
Recipients	['martyjo.rogers@axiaenergy.com', 'elizabeth.sager@enron.com', 'hemu@dynegy.com']
File	sager-e/all_documents/903.

After our conference call last week, I received word from Reliant (who has offered to host our meetings) that they cannot do meetings on 7/30, 7/31, or 8/1. Please respond to this email and indicate whether you would be available on either 7/23 - 7/26 or 8/8 - 8/10. Again, one day would be used for the Collateral Annex and the other for the optional provisos to be used with the Master Agreement. I have sent a separate message to the Collateral Annex Group. Thank-you.

Andrew S. Katz, Director Industry Legal Affairs Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org - TEXT.htm - Andy Katz.vcf

Message 91 of 230

Into Product - FYI background

Sender	elizabeth.sager@enron.com
Recipients	['david.portz@enron.com']
File	sager-e/all_documents/46.

----- Forwarded by Elizabeth Sager/HOU/ECT on 08/14/2000 05:11 PM -----

"Andy Katz" <AKatz@eei.org> 08/11/2000 02:55 PM

To: <elizabeth.sager@enron.com> cc: Subject: Into Product

By the end of the weekend I will finish an article on the EEI-NEM Master Agreement for publication in the Energy Law Journal. I would appreciate it if you could take the time to review and comment on the draft. I am especially interested in feedback on the description of the Into product. THanks.

Andrew S. Katz, Director Industry Legal Affairs Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org

- Andy Katz.vcf

Message 92 of 230

LIH	
Sender	sgussett@bracepatt.com
Recipients	['elizabeth.sager@enron.com']
File	sager-e/all_documents/1949.

Just making sure that you all were still planning on coming by and walking around Lights in the Heights with us on Saturday. We'll have some snacks and toddies (sp? and I'm not looking it up) ready around 5:30ish. I have invited Gail to come also, maybe she can fit it her busy social schedule.

Word around here spread like wildfire about my leaving. I told 3 partners before I left to go out of town last week and by the time I got back, even my secretary knew. It was a bit awkward. I wanted to personally tell her. Oh well.

See you guys Saturday.

Sheryl A. Gussett Bracewell & Patterson, L.L.P. 711 Louisiana, Suite 2900 Houston, Texas 77002-2781 (713) 221-1210 (713) 221-2132 (fax) sgussett@bracepatt.com

Message 93 of 230

Calpine damages calculation ATTORNEY CLIENT PRIVILEGED	
Sender	bonnie.white@enron.com
Recipients	['david.portz@enron.com', 'edward.baughman@enron.com', 'doug.gilbert-smith@enron.com', 'elizabeth.sager@enron....']
File	sager-e/all_documents/3216.

Doug and Ed,

Based upon the additional information you have provided to me, I have revised our draft of EPMI's damages calculation. Please review it ASAP, as I would like to be able to send it to our outside counsel this afternoon. Also, there are a couple of blanks/question marks: Doug, you indicated that you thought you could calculate our sales price per MWH for sales to LCRA during the months of June-September 2000 by getting an index price from your analyst. Also, are we quoting natural gas prices in mcf or mmbtu? Please call with your comments. Thanks.

Bonnie J. White Enron Litigation Unit 1400 Smith Street, Suite 4824 Houston, TX 77002 Ph: 713-853-7244 Fax: 713-853-6576 bonnie.white@enron.com

Message 94 of 230

Calpine meeting	
Sender	elizabeth.sager@enron.com
Recipients	['brenda.whitehead@enron.com']
File	sager-e/all_documents/543.

----- Forwarded by Elizabeth Sager/HOU/ECT on 04/11/2001 02:02 PM -----

Bonnie White/ENRON@enronXgate 04/11/2001 09:43 AM

To: Elizabeth Sager/HOU/ECT@ECT, Edward D Baughman/ENRON@enronXgate, David Portz/HOU/ECT@ECT, Andrew Edison/NA/Enron@Enron, lgibson@ogwb.com@SMTP@enronXgate cc: Subject: Calpine meeting

This will confirm our meeting tomorrow morning, Thursday, April 12, at 9:00 am, to discuss our response to Calpine's motion for summary judgment and to work on affidavits to respond to the motion. The meeting will take place in Conference Rm. EB 4837.

Bonnie J. White Enron Litigation Unit 1400 Smith Street, Suite 4824 Houston, TX 77002 Ph: 713-853-7244 Fax: 713-853-6576 bonnie.white@enron.com

Message 95 of 230

Settlement Agreement

Sender	travis.mccullough@enron.com
Recipients	['s..bradford@enron.com', 'elizabeth.sager@enron.com', 'mary.cook@enron.com']
File	sager-e/inbox/19.

Attached is the template settlement agreement for the EPMI assignment transactions. Bill and Tanya, can we get an updated copy of the transaction list (I think you may have identified some additional transactions since you ran the copy that I have in front of me).

Bill, has anyone discussed with you the "message" that these transactions may be sending to counterparties ... you have probably already discussed this with Louise and John and others, but if not, we may want to make sure we are on the same page as to communications with counterparties before we get the ball rolling.

Travis C. McCullough Enron North America Corp. 1400 Smith Street EB 824 Houston, Texas 77002 Phone: (713) 853-1575 Fax: (713) 646-8860

Message 96 of 230

guaranty

Sender	elizabeth.sager@enron.com
Recipients	['jklauber@llgm.com']
File	sager-e/all_documents/344.

----- Forwarded by Elizabeth Sager/HOU/ECT on 01/22/2001 11:43 AM -----

Lisa Mellencamp Sent by: Linda J Simmons 01/17/2001 06:38 PM

To: peter.meier@neg.pge.com, joe.barker@neg.pge.com, daniel.sarti@neg.pge.com, jklauber@llgm.com, ceklund@llgm.com cc: Elizabeth Sager/HOU/ECT@ECT, Travis McCullough/HOU/ECT@ECT, William S Bradford/HOU/ECT@ECT Subject:

attached is assignment and assumption and restated guaranty as we discussed. master netting to follow. everyone is looking at at the same time here in the interests of time. not internally approved and for discussion purposes only.

Lisa J. Mellencamp Enron North America Corp. - Legal 1400 Smith St. Houston, TX 77002 Tel: (713) 853-7986 Fax: (713) 646-3393 E-mail: Lisa.Mellencamp@enron.com

Message 97 of 230

RE: Help Has Arrived!

Sender	christian.yoder@enron.com
Recipients	['carol.clair@enron.com', 'elizabeth.sager@enron.com']
File	sager-e/all_documents/659.

Carol, From our discussion today it is obvious that we who are toiling with West Desk legal coverage are all going to get a big boost from your involvement. I will send a draft e'mail message to you and Elizabeth setting forth how I think we should best explain our EEI teamwork dynamics to the traders. ---cgy -----Original Message----- From: St Clair, Carol Sent: Tuesday, May 08, 2001 11:56 AM To: Yoder, Christian Subject: Help Has Arrived!

Christian: Elizabeth has suggested that I assist you with the "West" work, particularly negotiating EEI's. Can we set up a time to talk about what work is out there and how I can assist? Suzanne Adams (37340) is my assistant and has my schedule. Thanks.

Carol St. Clair EB 3889 713-853-3989 (Phone) 713-646-3393 (Fax) carol.st.clair@enron.com

Message 98 of 230

SWAP FORMS

Sender	elizabeth.sager@enron.com
Recipients	['janice.moore@enron.com']
File	sager-e/all_documents/417.

fyi ----- Forwarded by Elizabeth Sager/HOU/ECT on 02/28/2001 04:28 PM -----

Susan Bailey 02/28/2001 01:50 PM

To: Elizabeth Sager/HOU/ECT@ECT, Jeffrey T Hodge/HOU/ECT@ECT, Harry M Collins/HOU/ECT@ECT, Alan Aronowitz/HOU/ECT@ECT, Clement Abrams/Enron@EnronXGate cc: Carol St Clair/HOU/ECT@ECT Subject: SWAP FORMS

All,

Carol asked that I provide you all with a "redlined" and "clean" version of the: (a) updated Enron Corp. Guaranty form, and (b) updated Counterparty Guaranty form.

The attached updated form of Guaranty will be used by Enron Corp. and a Counterparty in connection with financial trading arrangements.

Cordially, Susan S. Bailey Enron North America Corp. 1400 Smith Street, Suite 3806A Houston, Texas 77002 Phone: (713) 853-4737 Fax: (713) 646-3490 E:mail: Susan.Bailey@enron.com

Message 99 of 230

SWAP FORMS -- Multiproduct/Multiaffiliate Guaranty

Sender	elizabeth.sager@enron.com
Recipients	['janice.moore@enron.com', 'genia.fitzgerald@enron.com']
File	sager-e/all_documents/419.

fyi ----- Forwarded by Elizabeth Sager/HOU/ECT on 03/01/2001 09:23 AM -----

Susan Bailey 03/01/2001 08:55 AM

To: Alan Aronowitz/HOU/ECT@ECT, Harry M Collins/HOU/ECT@ECT, Jeffrey T Hodge/HOU/ECT@ECT, Elizabeth Sager/HOU/ECT@ECT, Mark Taylor/HOU/ECT@ECT cc: Carol St Clair/HOU/ECT@ECT Subject: SWAP FORMS -- Multiproduct/Multiaffiliate Guaranty

All,

Carol asked that I provide you all with a "redlined" and "clean" version of the updated form of Guaranty to be used by Enron Corp. and a Counterparty, for "multiproduct/multiaffiliate" deals.

Attached are the forms

I. Enron Corp.

II. Counterparty

Cordially, Susan S. Bailey Enron North America Corp. 1400 Smith Street, Suite 3806A Houston, Texas 77002 Phone: (713) 853-4737 Fax: (713) 646-3490 E:mail: Susan.Bailey@enron.com

Message 100 of 230

West U softball registration time

Sender	lowman@sparta.rice.edu
Recipients	['morrison.alyssa@enron.com', 'boerwinkle.anna@enron.com', 'jeffjoylee@earthlink.net']
File	sager-e/inbox/850.

Hello first grade parents- I wanted to let everyone know that registration for West U softball is now open. Forms are available on the West U softball association website at: <http://www.wusa.org>

New players should register by January 5. Tryouts are scheduled for January 12 (Saturday), with practices starting in late February. Practices are generally held at Colonial Park, with games held at the field near the West U scout house on Edloe Street. Lots of AOS girls play in this league, including my older daughter, Abby. She really enjoyed playing in the freshmen division, and made some new friends. FYI--Sara

Sara Lowman Director of Fondren Library and Associate University Librarian Fondren Library MS 44 Rice University P.O. Box 1892 Houston, TX 77251-1892 phone: (713) 348-2457 fax: (713) 348-5859

Message 101 of 230

Trading Contracts Memo of 3/9

Sender	mary.cook@enron.com
Recipients	['elizabeth.sager@enron.com']
File	sager-e/notes_inbox/856.

Great memo!

Just a couple of notes.

B 1 (b): I think the master gas contract form includes Affiliates on non-defaulting party side--see end of Article 4.

If a Triggering Event occurs, the Notifying Party may (at its election) set off any or all amounts which the Affected Party owes to the Notifying Party or its Affiliates (under this Agreement or otherwise) against any or all amounts which the Notifying Party owes to the Affected Party (either under this Agreement or otherwise).

B 2 (f): The analysis is based upon Enron default. If counterparty default analysis is used, Enron benefits; and don't all contracts at least have all transactions terminating if bankruptcy is the triggering event?

Cordially, Mary Cook Enron North America Corp. 1400 Smith, 38th Floor, Legal Houston, Texas 77002-7361 (713) 345-7732 (phone) (713) 646-3490 (fax) mary.cook@enron.com

Message 102 of 230

FW: Vacation Carryover

Sender	genia.fitzgerald@enron.com
Recipients	['alan.wright@enron.com', 'elizabeth.sager@enron.com', 'carolyn.george@enron.com']
File	sager-e/inbox/362.

EAS,

To use up the rest of my vacation for this year, I would like to take as vacation days December 19, 20 & 21 if it is OK with you?

Thanks, Genia -----Original Message----- From: Wright, Alice Sent: Friday, November 16, 2001 2:07 PM To: Terrell, Margo Cc: Sager, Elizabeth; George, Carolyn; Fitzgerald, Genia Subject: Vacation Carryover Importance: High

Margo, Elizabeth Sager has approved a total of 64 hours of vacation to carry-over to 2002 for Genia FitzGerald. The breakdown is as follows.

40 hours - Supervisor approval not needed 24 hours - Approved by Elizabeth Sager (11/15/01)

Please make sure Genia's file reflects this change. Should you have any questions, please do not hesitate to contact me. Thanks.

Alice Wright Assistant to Elizabeth Sager 1400 Smith St., EB3809A Houston, Texas 77002 Tel: 713-853-5438 Fax: 713-646-3491 alice.wright@enron.com

Message 103 of 230

Re: meeting

Sender	drusso@reliant.com
Recipients	['elizabeth.sager@enron.com']
File	sager-e/notes_inbox/612.

I cannot hit on wed. how about thursday maybe we could hit at hcc around 5:30 or so and the kids could eat and swim allie could "babysit" sam---just to help him order and play with him if that plan is no good then we could try for friday did you go to the master swim on sunday ?

This communication is CONFIDENTIAL and protected by the ATTORNEY-CLIENT and WORK PRODUCT privileges.

Dede Russo Senior Attorney Reliant Energy Law Department 1111 Louisiana Houston, TX 77002 Phone: (713) 207-5240 Fax: (713) 207-9572 E-Mail: drusso@reliantenergy.com

Elizabeth.Sager @enron.com To: drusso@reliantenergy.com cc: 06/05/2001 Subject: meeting 12:47 PM

Hi

Can you can hit on Wed (lunch or afternoon fine for me)? Talk to you soon.

*Message 104 of 230***Intro to ISDA**

Sender	akatz@eei.org
Recipients	['ecomer@eei.org', 'elizabeth.sager@enron.com', 'mhaedic@ect.enron.com']
File	sager-e/all_documents/1941.

Dear Mark and Liz::

I'm going to be in NYC for a mid-day meeting on 12/14 and was hoping to meet later with someone at ISDA to discuss how they operate. I know you are both active in ISDA and was hoping you could help me set up a meeting with the right person(s). Please let me know if you can help.

The reason for the request is that I am in the information gathering stage of developing a business plan to establish a membership organization to manage the EEI contract process. Once my plan is fleshed out, I would like to come down to Houston and make a presentation to the participating members of the EEI-NEM contract group to get their reaction.

Regards,

Andrew S. Katz, Director Industry Legal Affairs Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org

- Andy Katz.vcf

*Message 105 of 230***ISDA Energy Conference**

Sender	losullivan@isda.org
Recipients	['elizabeth.sager@enron.com']
File	sager-e/all_documents/1951.

Dear Elizabeth:

Thank you for accepting our invitation to speak at the Energy and Developing Products conference in Houston on March 6th, 2001 at The Four Seasons Hotel.

I will need to finalize the agenda by next week in order to begin promoting the conference. For marketing purposes, all I need at this stage is a heading for your section followed by a few bullet points to describe the contents of the discussion.

Also, we would welcome any suggestions you may have on inviting speakers to help you discuss topic.

I will be in the office all week and can be reached at 212-332-2559 or let me know any suggestions you may have via email.

Again thanks and regards, Liz

<<Houston Agenda 2001.doc>>

Ms. Liz O'Sullivan International Swaps and Derivatives Association, Inc. 600 Fifth Avenue - 27th Floor Rockefeller Center New York, NY 10020 (212) 332-2559

- Houston Agenda 2001.doc

Message 106 of 230

Re: meeting

Sender	drusso@reliant.com
Recipients	[elizabeth.sager@enron.com]
File	sager-e/notes_inbox/606.

i have sharis you can borrow it anytime

This communication is CONFIDENTIAL and protected by the ATTORNEY-CLIENT and WORK PRODUCT privileges.

Dede Russo Senior Attorney Reliant Energy Law Department 1111 Louisiana Houston, TX 77002 Phone: (713) 207-5240
Fax: (713) 207-9572 E-Mail: drusso@reliantenergy.com

Elizabeth.Sager @enron.com To: drusso@reliant.com cc: 06/05/2001 Subject: Re: meeting 02:06 PM

Thurs at 530 would work great - See ya there

PS I didn't make the masters yet but soon? I'm talking to my brother who is having some rough times about doing another family triathlon together at a Delaware beach. Of course I'd have to somehow find a bike to practice on - I haven't been on one since Sam was born. See ya Thurs.

Message 107 of 230

Enron Corp. Guarantee for CP&L

Sender	janice.moore@enron.com
Recipients	[genia.fitzgerald@enron.com', 'steve.hooser@enron.com', 'clement.abrams@enron.com']
File	sager-e/all_documents/630.

Clem: North Carolina Power Holdings, LLC is a wholly owned sub of ENA and owns some power plants in NC. On March 26, 2001, NCPH sold a daily call option for May through Dec 2001 to Carolina Power & Light Co. in March, and promised to deliver an Enron Corp. guarantee. But it hasn't been delivered yet, and the counterparty has asked about its status. The guarantee is attached -- standard form, describing the transaction. Would you please date it and have it executed early week of May 7 and have it delivered to Genia Fitzgerald for delivery to the counterparty (Genia, the file is on your chair -- Paul Radous has been in touch w/ CP&L on this recently). If you have any questions, please call Steve Van Hooser (EB3877, ext. 37238). Thanks so much -- hope to be in touch soon.

Regards, Janice

EB3861 Assistant General Counsel, Enron North America Corp. 713-853-1794 (Fax: 713-646-4842)

Message 108 of 230

pg&e

Sender	lisa.mellencamp@enron.com
Recipients	[elizabeth.sager@enron.com]
File	sager-e/all_documents/712.

assume that when the standstill signed you will get to bill to implement the extensions and revised draw language?? i am going to california tonight for creditors' committee meeting tomorrow if i can do anything while there. i did talk to larry on friday and he said the px/iso discovery delayed to hearing on june 4 . iso cooperating but px not. you got michael's numbers that he sent them on it. larry said dave sena was he thought done with his review of our termination amounts and

methodology and should be talking to roy and fong shortly. michael was going to call to see status. he is in leadership training thing today and tomorrow, so may be weds. larry did say that they were trying to get claim amounts done sooner rather than later.

Lisa J. Mellencamp Enron North America Corp. - Legal 1400 Smith St. Houston, TX 77002 Tel: (713) 853-7986 Fax: (713) 646-3393 E-mail: Lisa.Mellencamp@enron.com

Message 109 of 230

Model Tariff

Sender	akatz@eei.org
Recipients	['contract@ls.eei.org']
File	sager-e/all_documents/1282.

The following Message was sent to members of Contract List Server, the EEI Contract Standardization Mailing List. Please send me any comments on the Model Tariff that was distributed Monday by COB Thursday.

Andrew S. Katz, Senior Attorney Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org

-----*** EEI - A Powerful Partner in a Competitive World sm ***-----

You have received the above message as a subscriber to the EEI Contract Standardization Electronic Mailing List: contract Your subscription address is listed as: [esager2@ect.enron.com] To stop receiving these messages, send a blank message to the list administrator: kSeaman@eei.org with the subject as: UNSUBSCRIBE You can reply to the EEI Contract List by using your email program's "ReplyTo" function, or by sending a message to the list administrator.

Message 110 of 230

RE: Draft Settlement Agreement

Sender	elizabeth.sager@enron.com
Recipients	['travis.mccullough@enron.com']
File	sager-e/sent_items/4.

Travis

I read through the document this am and made very few changes. Attached are my minor insignificant comments. I will be in likely on 28 hopefully by 730. See you then.

-----Original Message-----

From: McCullough, Travis Sent: Sun 10/28/2001 9:31 PM To: Sager, Elizabeth Cc: Subject: Draft Settlement Agreement
Elizabeth:

Here is the draft. To the extent that it is helpful, EPMI is where PGET was in the last deal; Party A is where EPMI was last time; and Party B is Avista. It's late, and the document is getting confusing, so I'm sending it to you now without proofing it. I'm taking it home with me and will read it again tonight. Have an 8:00 conference call in Mary Cook's office or in the office that I am sitting in right now (Harry Collins' old office).

Take care.

Travis C. McCullough Enron North America Corp. 1400 Smith Street EB 824 Houston, Texas 77002 Phone: (713) 853-1575 Fax: (713) 646-8860

Message 111 of 230

RE: Calpine

Sender	elizabeth.sager@enron.com
Recipients	['edward.baughman@enron.com', 'andrew.edison@enron.com', 'bonnie.white@enron.com']
File	sager-e/sent/555.

I have never heard of Jeff.

Edward D Baughman/ENRON@enronXgate 04/26/2001 08:14 AM

To: Bonnie White/ENRON@enronXgate, Elizabeth Sager/HOU/ECT@ECT cc: Andrew Edison/NA/Enron@Enron Subject: RE: Calpine

I remember hearing Jeff Rawls' name a few years ago, however I never new him. I think he may have worked on the Texas gas desk, probably for Janet Dietrich.

-----Original Message-----

From: White, Bonnie Sent: Wednesday, April 25, 2001 6:47 PM To: Baughman, Edward D.; Sager, Elizabeth Cc: Edison, Andrew Subject: Calpine

In Carey Jordan's deposition today, he mentioned that Paul Posoli was recruited to become employed with Calpine in part because another former Enron employee and current Calpine employee named Jeff Rawls recommended him. What, if anything, do you know about Jeff Rawls?

Thanks.

Bonnie J. White Enron Litigation Unit 1400 Smith Street, Suite 4824 Houston, TX 77002 Ph: 713-853-7244 Fax: 713-853-6576 bonnie.white@enron.com

Message 112 of 230

Re: meeting

Sender	elizabeth.sager@enron.com
Recipients	['drusso@reliant.com', 'elizabeth.sager@enron.com']
File	sager-e/sent_items/320.

That would be great! Lets investigate immediately. I think I remember the Broadmore being listed in Tennis magazine as one of the top 10 places to play.

drusso@reliant.com 06/05/2001 01:55 PM To: Elizabeth.Sager@enron.com cc: Subject: Re: meeting

next wspp meeting is on aug 10 at the broadmore in colorado maybe they have a tennis clinic and we could stay the week-end

This communication is CONFIDENTIAL and protected by the ATTORNEY-CLIENT and WORK PRODUCT privileges.

Dede Russo Senior Attorney Reliant Energy Law Department 1111 Louisiana Houston, TX 77002 Phone: (713) 207-5240 Fax: (713) 207-9572 E-Mail: drusso@reliantenergy.com

Elizabeth.Sager @enron.com To: drusso@reliantenergy.com cc: 06/05/2001 Subject: meeting 12:47 PM

Hi

Can you can hit on Wed (lunch or afternoon fine for me)? Talk to you soon.

*Message 113 of 230***Re: meeting**

Sender	elizabeth.sager@enron.com
Recipients	['drusso@reliant.com', 'elizabeth.sager@enron.com']
File	sager-e/sent/2363.

That would be great! Lets investigate immediately. I think I remember the Broadmore being listed in Tennis magazine as one of the top 10 places to play.

drusso@reliant.com 06/05/2001 01:55 PM

To: Elizabeth.Sager@enron.com cc: Subject: Re: meeting

next wspp meeting is on aug 10 at the broadmore in colorado maybe they have a tennis clinic and we could stay the week-end

This communication is CONFIDENTIAL and protected by the ATTORNEY-CLIENT and WORK PRODUCT privileges.

Dede Russo Senior Attorney Reliant Energy Law Department 1111 Louisiana Houston, TX 77002 Phone: (713) 207-5240 Fax: (713) 207-9572 E-Mail: drusso@reliantenergy.com

Elizabeth.Sager @enron.com To: drusso@reliantenergy.com cc: 06/05/2001 Subject: meeting 12:47 PM

Hi

Can you can hit on Wed (lunch or afternoon fine for me)? Talk to you soon.

*Message 114 of 230***Availability for Conference Call**

Sender	akatz@eei.org
Recipients	['harlan.murphy@enron.com']
File	sager-e/inbox/227.

To All:

Please let me know your availability for a conference call next week on 10/1-10/3 or 10/5 at 2pm Eastern Tlme to discuss the following:

1) Getting a EEI Contract Working Group organizational plan in place asap. The best antidote for preventing an Energy Industry Standards Board from taking over the EEI Contract management is to have a separate, well-defined and broadly-supported group in place.

3) Agenda and schedule for the next meeting of the Working Group.

3) Adding new members to the drafting committe. In particular, Noel Trask of the Excelon Power Team has asked to join.

ASAP, I would like to get the optional provisions circulated earlier this week up on the website and through the listserver along w/ the announcement of our organizational proposal and future working group meetings.

Thanks.

Andrew S. Katz, Director Industry Legal Affairs Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org - Andy Katz.vcf

*Message 115 of 230***FW: Seminar Invitation**

Sender	amy.blumrosen@bakerbotts.com
Recipients	[]
File	sager-e/inbox/70.

A friend is giving a seminar next week if anyone is interested in going.

With the uncertainty in financial markets and changes taking place in everything from the way we do business to how we think about our lives, this seminar will address how to plan our financial futures from where to invest now to planning techniques in investments and estate planning.

Having navigated client investments through previous wars and shocks to the economy, I will discuss the state of the economy and asset allocation techniques for your investments in this precarious time. Other topics discussed : retirement planning under the new tax act and determining your risk tolerance.

I look forward to seeing you at this informative seminar. Feel free to bring interested parties.

regards,

Laurie A. McRay, CPA, RIA McRay Money Management, L.L.C. 622 Teetshorn St. Houston, Texas 77009-7536 email: laurie@mcraymoney.com www.mcraymoney.com 713.861.8253 (o) 281.788.0817 (cell) "Inspiring your investment path"

- seminar_invitation.doc

*Message 116 of 230***Next Meeting of Drafting Committee**

Sender	akatz@eei.org
Recipients	['martyjo.rogers@axiaenergy.com', 'elizabeth.sager@enron.com', 'hemu@dynegy.com']
File	sager-e/notes_inbox/193.

Reliant has offered to host the next meeting of the drafting committee at their Houston offices. I have also been asked to set up a drafting meeting for the purpose of finishing the collateral annex. The participants in that process would like to hold that meeting in July in Houston. Reliant is willing to host that meeting as well. Let me know if its ok to take Reliant up on their offer to host one or both meetings. Also, would holding both meetings consecutively over two days make sense? Would July work for both meetings for everyone? Holding a meeting in July will give ample time to review suggested language and prepare comments. Please let me know.

As a starting point for the optional provisions, I've attached the ones Dede handed out at our workshop. We still need an electronic trading platform provision (Babak).

Andrew S. Katz, Director Industry Legal Affairs Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org - TEXT.htm - Optional Provisions Presentation 051701.doc - Andy Katz.vcf

Message 117 of 230

Re: December 14

Sender	akatz@eei.org
Recipients	['fhilton@aep.com', 'rsbaker@duke-energy.com', 'pdondanville@schiffhardin.com', 'lrgroff@aep.com', 'fmdutton@a...]
File	sager-e/all_documents/1978.

Let me try and clear this up. Based on the email thread, a conference call on the 14th is favored. Since Bill McCoy is speaking at the NYC brown bag, my suggestion is to set up the conference call with the parties you identified for after the brown bag, which would be sometime after 2pm NY time. I have a call in to Michael Shenberg at Strook, Strook & Lavan to see if it would be ok for Bill Fritz, (he's going to lunch) and I to stay at their offices for the call. Otherwise we'd go somewhere else. I would set up the call through our service. ok?

On another note. We will find out on the 11th what Southern wants to do for the credit workshop in February (January is too early). Because of turmoil in the markets out west, Randy has now asked me to draft a program. Any suggestions would be greatly appreciated. Also, I am now going ahead and planning to do a California workshop for April 20th that would precede the EEI Legal Committee conference.

Andrew S. Katz, Director Industry Legal Affairs Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org

Message 118 of 230

RE: Letter of Credit

Sender	elizabeth.sager@enron.com
Recipients	['carol.st.@enron.com', 'kevin.cini@sce.com', 's..bradford@enron.com', 'benny.wu@sce.com', 'lisa.mellencamp@en...]
File	sager-e/sent_items/216.

Hi Ken

In accordance with Lisa's call to you, here are revised drafts of the Modification Agreement and LC for your review. By copy of this email I am at the same time circulating the documents for review by others at Enron. I apologize in advance for not sending a blackline (a glitch here prevented me from making final changes in blackline) - if you are unable to make a marked copy from your prior version, let me know and I will attempt Tuesday morning to send you one. Thanks again for your help in getting this finalized.

-----Original Message-----

From: Kenneth.Stewart@sce.com@ENRON
[mailto:IMCEANOTES-Kenneth+2EStewart+40sce+2Ecom+40ENRON@ENRON.com] Sent: Monday, July 16, 2001 1:18 PM
To: Mellencamp, Lisa
Cc: Benny.Wu@sce.com; Sager, Elizabeth; Jill.Horswell@sce.com; Kevin.Cini@sce.com; Timothy.Bint@sce.com
Subject: Letter of Credit

Lisa, as we discussed, here is a revised version of the letter of credit.

(See attached file: Letter of Credit.doc)

Ken Stewart Edison Law Dept. (Rm. 360, GO1) 2244 Walnut Grove Ave. Rosemead, CA 91770 626-302-6601
626-302-4106 (fax) kenneth.stewart@sce.com

- Letter of Credit.doc << File: Letter of Credit.doc >>

Message 119 of 230

Drafting Committee Meeting for Products Definition

Sender	elizabeth.sager@enron.com
Recipients	[david.portz@enron.com', 'hemu@dynegy.com', 'MPhilips@pwrteam.com', 'drusso@reliantenergy.com']
File	sager-e/sent/848.

----- Forwarded by Elizabeth Sager/HOU/ECT on 12/30/99 09:22

AM -----

"Andy Katz" <AKatz@eei.org> on 12/22/99 03:50:04 PM To: fmdutton@aep.com, Elizabeth Sager/HOU/ECT@ECT, mroger3@entergy.com, wfhenze@jonesday.com, KDLEITAO@LLGM.COM, rosteen@powersrc.com cc: hemu@dynegy.com, MPhilips@pwrteam.com, drusso@reliantenergy.com Subject: Drafting Committee Meeting for Products Definition

The Drafting Committee will meet on January 13 at EEI's offices to develop consensus language for products definitions in the Contract. This would be in preparation for a meeting of the entire working group in Houston on either January 25 or 26. We would like to have Reliant, Dynegy, and PECO serve on the drafting committee since your companies' have concrete proposals on the table. Several of you have already indicated that you will be available for this meeting, will the others please let me know your availability. Thanks.

Have a great holiday and a Happy New Year!

Andrew S. Katz, Senior Attorney Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org

Message 120 of 230

here's a website for the kids...probably more for Ella

Sender	gdavid@mdck.com
Recipients	['gacox@gsi-net.com', 'elizabeth.sager@enron.com']
File	sager-e/all_documents/3558.

<http://kids.msn.com/kidz/featurediscovery5.asp>

of course, I tried the dog one and couldn't finish it!! probably a six year old can do better

Abigail David Mayor, Day, Caldwell & Keeton, L.L.P. 700 Louisiana, Suite 1900 Houston, Texas 77002-2778 Telephone: (713) 225-7064 Fax Number: (713) 225-7047 email: gdavid@mdck.com

CONFIDENTIALITY NOTICE

THIS MESSAGE AND ALL DOCUMENTS TRANSMITTED HERewith ARE STRICTLY CONFIDENTIAL AND ARE INTENDED ONLY FOR THE USE OF THE SPECIFIC INDIVIDUAL OR ENTITY LISTED ABOVE. THEY MAY CONTAIN INFORMATION THAT IS ATTORNEY-WORK PRODUCT, THAT IS SUBJECT TO THE ATTORNEY-CLIENT PRIVILEGE, OR THAT CONSTITUTES TRADE SECRETS OR IS OTHERWISE PROPRIETARY. Dissemination, distribution or copying of this communication to anyone other than the specific individual or entity listed above (or the person responsible for delivering this communication to the specific individual or entity listed herein) is STRICTLY PROHIBITED. If you have received this communication in error, please notify the sender immediately by telephone (collect), and return the original communication to us at the above address via the U.S. Postal Service. Thank you.

Message 121 of 230

RE: ERMT Templates Power and Gas

Sender	legal <taylor@enron.com>
Recipients	['travis.mccullough@enron.com', 'carol.st.@enron.com', 'c.koehler@enron.com']
File	sager-e/inbox/751.

Anne's been working too hard. She meant Financial masters. -----Original Message----- From: Koehler, Anne C. Sent: Thursday, November 01, 2001 4:00 PM To: McCullough, Travis; St. Clair, Carol; Murray, Julia; Taylor, Mark E (Legal); Van Hooser, Steve; Sager, Elizabeth; Hodge, Jeffrey T.; Cook, Mary; Nettelton, Marcus Subject: RE: ERMT Templates Power and Gas

Here is a draft of the Adoption Template for the Physical Masters. The marked version is marked against Travis's previous draft of the Power agreement.

-----Original Message-----

From: McCullough, Travis Sent: Thursday, November 1, 2001 3:55 PM To: St. Clair, Carol; Murray, Julia; Taylor, Mark E (Legal); Koehler, Anne C.; Van Hooser, Steve; Sager, Elizabeth; Hodge, Jeffrey T.; Cook, Mary; Nettelton, Marcus Subject: ERMT Templates Power and Gas

Here are revised templates for the adoption by ERMT of the Power and Gas Masters. Note that adopted gas masters should provide for two-way payments.

Please provide any comments to these templates to Steve as soon as possible, particularly with respect to the new paragraphs 3 and 4.

Travis C. McCullough Enron North America Corp. 1400 Smith Street EB 824 Houston, Texas 77002 Phone: (713) 853-1575 Fax: (713) 646-8860

Message 122 of 230

Hotel Reservations

Sender	djstephens@aep.com
Recipients	[]
File	sager-e/inbox/953.

If you are planning to attend the December 6, 2001 Drafting Committee meeting here in Columbus, Ohio and have not already made your hotel reservations please do so as soon as possible in order to get the discount AEP rate. Their discount rate for AEP is \$92 per night plus tax. Apparently, they only have so many rooms with the discount rate. The hotel is Courtyard by Marriott - Downtown, 35 W. Spring St., Columbus, Ohio 43215, (614) 228-3200. I will be checking other hotels in the area to find out about discount rates and forward to you the information.

Please forward any names of individuals that you know will be attending the meeting who are not listed.

Please contact me if you have any questions.

Thank you,

DJ Stephens, (614) 324-6843 Assistant to F. Mitchell Dutton

This e-mail message from the Legal Department of American Electric Power is for the sole use of the intended recipient(s) and may contain confidential and privileged information. Any unauthorized review, use, disclosure or distribution is prohibited. If you are not the intended recipient, please contact the sender by reply e-mail and destroy all copies of the original message.

Message 123 of 230

FW: Amendment re EPMI Collateral

Sender	david.portz@enron.com
Recipients	['s..bradford@enron.com', 'elizabeth.sager@enron.com']
File	sager-e/inbox/725.

Elizabeth --The changes by AEP are on the 6th page, Par. 8 and second last paragraph. I've called Dave Musselman to say we would accept those, and that I understood from Louise Kitchens that the Collateral Threshold number on page 2 should be \$190M -- he's waiting on feedback from Frank Hilton in their credit group. I told him if they accepted the \$190M number then AEP should fill it in, sign the document and fax it here for countersignature and dispatch of our wire. I gave him my fax no. (713-646-3491) but said if AEP had been provided a different fax no. by the Enron Credit group, he should use that one as well. -David

[Portz, David] -----Original Message----- From: dtmusselman@aep.com@ENRON Sent: Tuesday, October 30, 2001 5:28 PM To: Portz, David Subject: Re: Amendment re EPMI Collateral

As discussed.(See attached file: 85892.DOC)

This e-mail message from the Legal Department of American Electric Power is for the sole use of the intended recipient(s) and may contain confidential and privileged information. Any unauthorized review, use, disclosure or distribution is prohibited. If you are not the intended recipient, please contact the sender by reply e-mail and destroy all copies of the original message. - 85892.DOC

Message 124 of 230

RE: Kay Mann's Father

Sender	kathleen.carnahan@enron.com
Recipients	['carlos.sole@enron.com', 'sheila.tweed@enron.com', 'elizabeth.sager@enron.com', 't..hodge@enron.com']
File	sager-e/inbox/38.

The funeral for Kay's father will be on Saturday at 2 p.m. at Laurel Land Funeral Home; 7100 Crowley Road, Fort Worth. In lieu of flowers, memorials can be made to the American Heart Association.

-----Original Message-----

From: Hodge, Jeffrey T. Sent: Thu 10/25/2001 2:46 PM To: Carnahan, Kathleen Cc: Subject: FW: Kay Mann's Father

Kathleen:

Per our discussion.

Jeff

-----Original Message-----

From: Wright, Alice Sent: Thursday, October 25, 2001 7:33 AM To: Sager, Elizabeth; Sole III, Carlos; Tweed, Sheila; Hodge, Jeffrey T.; Schuler, Lance (Legal); Rozycki, Joanne; Haldeman, Sandy; Adams, Suzanne; Fitzgerald, Genia; Hall, Steve C. (Legal); Hansen, Leslie; McCullough, Travis; Moore, Janet H.; Murphy, Harlan; Nettelton, Marcus; Portz, David; St. Clair, Carol; Yoder, Christian; Zucha, Theresa; Keesler, Martha; Simmons, Linda J.; Elbertson, Janette

Subject: Kay Mann's Father Importance: High

I regret to inform you that Kay Mann's father passed away this morning. I will get funeral arrangement details to you as soon as I receive them. I will also send flowers on behalf of the company. Please keep Kay's family in your thoughts and

prayers today. Thanks.

Alice Wright Enron Wholesale Services - Legal 1400 Smith St., EB3809A Houston, Texas 77002 Tel: 713-853-5438 Fax: 713-646-3491 alice.wright@enron.com

Message 125 of 230

Estate of Joan Sager

Sender	earthur@hupk.com
Recipients	[elizabeth.sager@enron.com]
File	sager-e/inbox/52.

Elizabeth: Now that the Federal Estate Tax Return has been filed, you should think about making a substantial distribution from the Trust to the individual trust accounts for you and your siblings. Some funds should be held back in case of an audit of the Return. I think \$100,000 would be a safe number to keep in the account. I called the Virginia attorney and left a message for him. I hope he has gotten the Estate opened by now. How have you progressed with getting the IRA distributed. Please give me an update. Ellen H. Arthur Hodes, Ulman, Pessin & Katz, PA 901 Dulaney Valley Road, Suite 400 Towson, MD 21204 (410)769-6146 NOTICE: The information contained in this electronic mail transmission is intended by Hodes, Ulman, Pessin & Katz, P.A. for the use of the named individual or entity to which it is directed and may contain information that is privileged or otherwise confidential. It is not intended for transmission to, or receipt by, anyone other than the named addressee (or a person authorized to deliver it to the named addressee). It should not be copied or forwarded to any unauthorized persons. If you have received this electronic mail transmission in error, please delete it from your system without copying or forwarding it, and notify the sender of the error by reply email or by calling Hodes, Ulman, Pessin & Katz, P.A. at (410) 938-8800 or 1-800-276-0806 so that our address record can be corrected.

Message 126 of 230

Public Utilities Fortnightly

Sender	elizabeth.sager@enron.com
Recipients	[brenda.whitehead@enron.com]
File	sager-e/sent/1037.

Can you print this? ----- Forwarded by Elizabeth Sager/HOU/ECT on 06/05/2000 10:52 AM -----

"Andy Katz" <AKatz@eei.org> Sent by: bounce-contract-9369@ls.eei.org 06/02/2000 03:27 PM Please respond to "Wholesale Electric Contract Standardization Group"

To: "Wholesale Electric Contract Standardization Group" <contract@ls.eei.org> cc: "Richard McMahon" <RMcMahon@eei.org> Subject: Public Utilities Fortnightly

The June 1 issue of PUF contains an article about the Master Contract. The reporter interviewed me and Richard McMahon, another EEI staffer, after our NY workshop. The reporter promised that I would see the article before publication. This never occurred. Had I had seen it I would have tried to correct several errors. At the outset, I want to apologize for the mischaracterization of me and Richard McMahon as "architects" of the contract. The true architects are the many industry representatives who devoted their time, energy, and company resources to participating in the year and a half drafting process. EEI's role was only as a facilitator; hosting meetings; disseminating information, and sponsoring our series of contract workshops. I intend to correct this error in a letter to the editor.

Andrew S. Katz, Director Industry Legal Affairs Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org

- Andy Katz.vcf

Message 127 of 230

Prepay Transactions: Physical and Swaps

Sender	mary.cook@enron.com
Recipients	['rob.walls@enron.com', 'e..haedicke@enron.com', 'elizabeth.sager@enron.com']
File	sager-e/inbox/786.

To my knowledge there are a variety of prepay forms of transactions. 1. Some older forms were physically based (I think primarily with respect to gas and with Chase). Teresa Bushman and/or Dan Lyons worked on these transactions). 2. Newer forms are triangulated swaps. There are a series with Citibank, related to credit link notes (see Gareth Bahlmann re link notes), known as Yosemite/Delta Transactions. There are 4 in the series (4th series had three prepays, US, Sterling and Euro). The 5th did not close. 3. There is at least one other with Citibank, dated June 2001 and it is being wrapped into the pipeline credit facility and will be extinguished via the placement of the pipeline facility. 4. I am aware of one other (via the London office) which was extended September 2001, among Credit Suisse First Boston and ENA and Barclays.

I suggest you contact Lisa Bills, Joe Deffner and Dan Boyle to determine a complete list. I believe that this detail may have been determined by one of the teams formed last week. You may wish to check with Haedicke. In respect of accounting treatment, and book treatment, I suggest the following names: Alan Quaintance, Clint Walden re accounting. Dan Boyle has a name of someone who worked on placing the Delta transactions in the risk books, but I cannot remember the name.

Cordially, Mary Cook Enron North America Corp. 1400 Smith, 38th Floor, Legal Houston, Texas 77002-7361 (713) 345-7732 (713) 646-3393 (fax) mary.cook@enron.com

Message 128 of 230

Re: Master netting agreement

Sender	mary.cook@enron.com
Recipients	['elizabeth.sager@enron.com', 'paul_puchot@enron.net']
File	sager-e/notes_inbox/51.

Here it is in its current draft.

Cordially, Mary Cook Enron North America Corp. 1400 Smith, 38th Floor, Legal Houston, Texas 77002-7361 (713) 345-7732 (phone) (713) 646-3490 (fax) mary.cook@enron.com

Elizabeth Sager 06/07/2001 02:31 PM

To: Paul_Puchot@enron.net@ENRON, Mary Cook/HOU/ECT@ECT cc: elizabeth.sager@enron.com, Steven_McCarrel@enronxgate.enron.net Subject: Re: Master netting agreement

By copy of this email, I am asking Mary Cook to send to you a draft of the latest form of MNA. This MNA, I believe, is still a work in progress and is intended to include only Master Agreements for which we are comfortable that the underlying transactions are commodities subject to the special bankruptcy code protections. Hope it helps.

Paul_Puchot@enron.net 06/07/2001 11:28 AM

To: elizabeth.sager@enron.com cc: Steven_McCarrel@enronxgate.enron.net Subject: Master netting agreement

Elizabeth,

We are working on a settlement transaction which will leave a variety of relationships in place with a group of financially troubled companies. We'd been negotiating a netting agreement, and after you spoke to our group, it occurred to us that we ought to take a look at your netting agreements for potential use in our transaction. Could you please forward an example of one to me? We would be netting with multiple parties on both sides, so it will be a "rectangular" netting

arrangement, if I recall your descriptive terminology correctly.

Thanks much.

Paul Puchot

Message 129 of 230

Calpine: ATTORNEY CLIENT PRIVILEGED COMMUNICATION

Sender	bonnie.white@enron.com
Recipients	[elizabeth.sager@enron.com]
File	sager-e/notes_inbox/681.

Elizabeth, Your deposition has been rescheduled for Wednesday, June 13, 2001, at 10:00 am. I understand from your assistant that you are available on that date. (I remain hopeful that we will have the matter resolved by then, but we were not in a position to indefinitely postpone rescheduling the depo, and we pushed it out about as far as we reasonably could). Please review the subpoena duces tecum that was attached to your original deposition notice to determine whether you have any responsive documents that have not been previously produced. In particular, please determine whether you have any notes, calendar entries, or contract negotiation files that have not been previously produced. If you have any responsive documents that you believe are covered by the attorney-client privilege or attorney work product privilege, please let me know about them anyway, so that we can make sure to disclose them properly to preserve the privilege. Also, we will need to schedule a deposition prep meeting, assuming the deposition goes forward. Please let me know when you have a couple of hours to meet with me and outside counsel to prepare. If you have time available on Thursday, June 7, that would be a good time to try to schedule it. Otherwise, let me know your availability. We will do what we can to make this as painless as possible. Thanks.

Bonnie J. White Enron Litigation Unit 1400 Smith Street, Suite 4824 Houston, TX 77002 Ph: 713-853-7244 Fax: 713-853-6576 bonnie.white@enron.com

Message 130 of 230

please print files

Sender	elizabeth.sager@enron.com
Recipients	[alice.wright@enron.com]
File	sager-e/sent_items/119.

Elizabeth Sager 713-853-6349

-----Original Message-----

From: "BENNETT YOUNG" <BYOUNG@LLGM.COM>@ENRON [mailto:IMCEANOTES+22BENNETT+20YOUNG+22+20+3CBYOUNG+40LLGM+2ECOM+3E+40ENRON@ENRON.com] Sent: Friday, August 31, 2001 3:28 PM To: Huddleson, Diann; Sager, Elizabeth; Steffes, James D.; Mellencamp, Lisa; Tribolet, Michael; Williams, Robert C.; Hall, Steve C. (Legal); vsharp@enron.com; Curry, Wanda Cc: CARL EKLUND; John Klauberg Subject: Attached Files

I attach what I believe to be the final versions of the riders to the proofs of claim for EPMI, EES, ENA, EEMC and ECC. Please contact me as soon as possible with any additional comments.

Ben Young

Bennett G. Young One Embarcadero Center, Suite 400 San Francisco, California 94111 (415) 951-1167
byoung@llgm.com

This e-mail, including attachments, contains information that is confidential and may be protected by the attorney/client or other privileges. This e-mail, including attachments, constitutes non-public information intended to be conveyed only to the designated recipient(s). If you are not an intended recipient, please delete this e-mail, including attachments, and notify me. The unauthorized use, dissemination, distribution or reproduction of this e-mail, including attachments, is prohibited and may be unlawful.

- RIDERTO.E.DOC - ridertoE.DOC - ridertoE.DOC - ridertoE.DOC - ridertoE.DOC

Message 131 of 230

Re: WSPP Contracting Meeting-January 12, 2001

Sender	shari.stack@enron.com
Recipients	['christian.yoder@enron.com', 'howard@wrightlaw.com', 'small@wrightlaw.com', 'elizabeth.sager@enron.com']
File	sager-e/all_documents/1821.

Please add the following item to the agenda:

Governmental/Municipality Authorization Issue

Thank you,

Shari Stack Enron North America, Legal Department Tel: (713) 853-9477

"WINNIE HOWARD" <HOWARD@wrightlaw.com> 11/29/2000 02:06 PM

To: <elizabeth.sager@enron.com>, <jhartso@enron.com>, <sstack@enron.com> cc: Subject: WSPP Contracting Meeting-January 12, 2001

There will be a WSPP Contracting meeting on January 12, 2001 at the following hotel which is located near the San Francisco airport: ? ? Sheraton Gateway Hotel 600 Airport Boulevard Burlingame, CA?? 94010 650-340-8500 ? The meeting will start at 9 a.m. and end at 3 p.m. ? My initial list of agenda items includes: 1. How to deal with regulatory risks of retroactive price changes?? 2.? Cal. ISO market definition.? 3.? How to facilitate using the WSPP Agreement for Eastern markets to reduce credit risks?? 4.? Retail customers as members.? 5.? Financial products under agreement.? 6.? Waiver of common law impossibility/impracticability arguments.? 7.? Language to clarify service companies as agents.? 8.? Additional forms of documents to be attached to agreement. ? Please let me know by December 15, 2000, whether you have any additional agenda items so that I can send out an agenda well in advance of the meeting.? Email me at small@wrightlaw.com. ? Please also note that I expect that we will need to hold another meeting before the Operating Committee meeting.? I would propose Feb. 16 or another day around that time in a warm weather spot.? The following Monday is a holiday.

Message 132 of 230

FW: Mega Reconfirmation

Sender	alice.wright@enron.com
Recipients	['Alice', 'elizabeth.sager@enron.com', 'Wright']
File	sager-e/inbox/164.

Which lucky lawyer gets this? Please advise.

Alice Wright Enron Wholesale Services - Legal 1400 Smith St., EB3809A Houston, Texas 77002 Tel: 713-853-5438 Fax: 713-646-3491 alice.wright@enron.com

-----Original Message-----

From: Denton, Rhonda L. Sent: Thursday, October 11, 2001 8:55 AM To: St. Clair, Carol Cc: Wright, Alice Subject: RE: Mega Reconfirmation

Alice, please reassign to an attorney. Thanks.

-----Original Message-----

From: St. Clair, Carol Sent: Thursday, October 11, 2001 8:54 AM To: Denton, Rhonda L. Cc: Fitzgerald, Genia; Wright, Alice; Cason, Sharen Subject: RE: Mega Reconfirmation

Rhonda and Alice: Could you ask someone else in the power group to handle this? I am swamped with EBS stuff and can't get to it. Thanks.

-----Original Message-----

From: Denton, Rhonda L. Sent: Thu 10/4/2001 2:57 PM To: St. Clair, Carol Cc: Fitzgerald, Genia; Wright, Alice; Cason, Sharen Subject: Mega Reconfirmation

Here's the deal on this one. This deal is part of the deals assigned to Morgan Stanley. This index deal has delivery in 2001 (never exercised) and 2002 (may be exercised). As Sharen indicated in her email, we are reconfirming (confirming to Morgan) all forward parts of the deals assigned. This confirm was prepared by Steve Wang without benefit of legal review. We need legal to review this new confirm. It looks just like the old one but without the 2001 part in it, but there may be language that Steve put in it that could cause heartburn, maybe. We are just unsure of the language since legal did not prepare the confirm and it is not standard boilerplate confirmation language.

<<megaconfirm.pdf>>

Message 133 of 230

North American Energy and Developing Products Committee

Sender	elizabeth.sager@enron.com
Recipients	['mark.haedicke@enron.com', 'janette.elbertson@enron.com']
File	sager-e/sent/133.

Janette

Mark had asked me to call Williams and invite them to the ISDA Energy meeting in Houston last week. Tim at Williams very much wanted to participate. As you can see from his email, he must not be on the distribution list for ISDA. Can you see if it is OK to add him to the distribution list for future meetings. Also, I called Dynegy at Mark's request and they very much want to participate as well - Harlan Murphy called me afterwards to ask that he also get notice of the meetings because they fully support the idea of one Master for all trades. I will get Genia to forward Harlan's address info to you. Thanks for your help.

Elizabeth 36349

PS Mark

At the EEI meeting last week there was a fair bit of discussion about cross defaulting all commodity lines and using a single master for all trades. It seems that there is alot of interest in this idea. ----- Forwarded by Elizabeth Sager/HOU/ECT on 10/18/2000 09:58 AM -----

"Neuman, Tim" <Tim.Neuman@Williams.com> 10/18/2000 07:32 AM

To: "'Elizabeth.Sager@enron.com'" <Elizabeth.Sager@enron.com> cc: "Dawson, Doug" <Doug.Dawson@Williams.com>
Subject: North American Energy and Developing Products Committee

Elizabeth, Is it possible that we can be included on future mailings/meetings of the North America Energy and Developing Products Committee - due to the late notice of the last meeting on 10/10 in Houston we were unable to send a representative. We will, with ample notice, attempt to send a representative to future meetings as Williams has an interest

in the topics that would be discussed. Thanks for your assistance. Tim

Tim Neuman Sr. Credit Analyst Williams Energy Marketing & Trading 918 573-4880 (P) 918 573- 4815 (F) 1 888 417 5099 (pager)

Message 134 of 230

Master Contract Available in Word Format

Sender	elizabeth.sager@enron.com
Recipients	['(bcc: Elizabeth Sager/HOU/ECT)', 'brenda.whitehead@enron.com']
File	sager-e/sent/1001.

Brenda

please download this document and put in my directory in new file EEI Contract. After pulling down email copies to Sandra Hrna and Robbi Rossi. thanks ----- Forwarded by Elizabeth Sager/HOU/ECT on 04/26/2000 12:45 PM

"Andy Katz" <AKatz@eei.org> on 04/10/2000 08:03:58 AM Please respond to "Wholesale Electric Contract Standardization Group" <contract@ls.eei.org> To: "Wholesale Electric Contract Standardization Group" <contract@ls.eei.org> cc: (bcc: Elizabeth Sager/HOU/ECT) Subject: Master Contract Available in Word Format

The latest version of the EEI-NEM Master Contract now can be downloaded from EEI's website at <http://www.eei.org/issues/contract/>. We only ask that a short registration form be filled out first so that we can better serve the community interested in using the contract. We are making the contract freely available, multiple copies may be made, our only restriction is that the contract not be resold. We also request that attribution to EEI and NEM be given in all copies of the contract.

Our intention is to use the EEI website and listserver as tools to help promote dissemination and use of the contract. For instance, we could make a listing of companies using the contract on the website. Also, we are considering posting on a periodic basis responses to requests for clarification or interpretation of the contract terms that would be of interest to the user community. Please let me know if there are other enhancements that you would find helpful

Regards,

Andrew S. Katz, Director Industry Legal Affairs Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org

- Andy Katz.vcf

Message 135 of 230

FW: Attached Files

Sender	elizabeth.sager@enron.com
Recipients	['s..bradford@enron.com']
File	sager-e/sent_items/117.

Here are the files I received. Lisa will be working with Ben to file the proof of claim on Wed. I'm looking at this am. fyi - we are likely going to move the negative ctc claim back to EES and EEMC. That decision is also being made today. Thanks for your help - I'll let you know what date to calculate the receivable from after I hear final confirmation from Ben. Elizabeth Sager 713-853-6349

-----Original Message-----

From: "BENNETT YOUNG" <BYOUNG@LLGM.COM>@ENRON [mailto:IMCEANOTES-+22BENNETT+20YOUNG+22+20+3CBYOUNG+40LLGM+2ECOM+3E+40ENRON@ENRON.com] Sent: Friday, August 31, 2001 6:44 PM To: Huddleson, Diann; Sager, Elizabeth; Steffes, James D.; Mellencamp, Lisa; Tribolet, Michael; Williams, Robert C.; Hall, Steve C. (Legal); vsharp@enron.com; Curry, Wanda Cc: CARL EKLUND; John Klauberg Subject: Attached Files

I enclose the final versions of the riders to the EEMC, EES, EPMI, ECC and ENA claims. Please call with your comments.

Bennett G. Young One Embarcadero Center, Suite 400 San Francisco, California 94111 (415) 951-1167
byoung@llgm.com

This e-mail, including attachments, contains information that is confidential and may be protected by the attorney/client or other privileges. This e-mail, including attachments, constitutes non-public information intended to be conveyed only to the designated recipient(s). If you are not an intended recipient, please delete this e-mail, including attachments, and notify me. The unauthorized use, dissemination, distribution or reproduction of this e-mail, including attachments, is prohibited and may be unlawful.

- RIDERTO.E.DOC - ridertoE.DOC - ridertoE.DOC - ridertoE.DOC - ridertoE.DOC

Message 136 of 230

Optional Provisions for EEI Contract

Sender	elizabeth.sager@enron.com
Recipients	[shari.stack@enron.com]
File	sager-e/all_documents/449.

Shari

Would you please send to Dede and Andy Enron's EEI language re

1. Incorporation of prior trades 2. Market Disruption Language 3. Cover Sheet Set Off Language (set off if \$ owed to DP) , including paragraph re no payments until legal opinion

Thanks

----- Forwarded by Elizabeth Sager/HOU/ECT on 03/13/2001 12:20 PM -----

"Andy Katz" <AKatz@eei.org> 03/12/2001 05:08 PM

To: <martyjo.rogers@axiaenergy.com>, <elizabeth.sager@enron.com>, <jcrespo@hess.com>, <wfhenze@jonesday.com>, <rosteen@powersrc.com>, <babak.pooya@southernenergy.com> cc: <dmpelman@powersrc.com>, <drusso@reliantenergy.com>, <pdondanville@schiffhardin.com> Subject: Optional Provisions for EEI Contract

Dede Russo plans to prepare a presentation on the optional provisions that were assigned to members of the drafting committee last October. Other than the CAISO Firm Energy and Patty's arbitration provisoin, we have not received additional language. Dede is going to put together a handout by next Tuesday, if she does not receive any provisions from those listed below, she will use Reliant's language. It would be presented for illustrative purposes, but could sway the audience. Here is your chance to get your organization's preferred provisions out at the conference. So, send your draft provisions to me and Dede by cob on Friday 3/16 please. For those who may have forgotten, these are the assignments:

Prior Transactions: Liz Unilateral Contract: MartyJo (sucessor in interest to Buddy Broussard) New Taxes: Fritz Reg Out: Randy/John New Products: Dede will handle this Collateral Annex: will be a separate panel Electronic Transactions: Babak Agency: No one assigned

Andrew S. Katz, Director Industry Legal Affairs Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org - TEXT.htm - Andy Katz.vcf

Message 137 of 230

Calpine discovery responses

Sender	elizabeth.sager@enron.com
Recipients	['bonnie.white@enron.com']
File	sager-e/sent/482.

Modified slightly (sorry no blackline). Call w questions. ----- Forwarded by Elizabeth Sager/HOU/ECT on 04/02/2001 03:41 PM -----

Bonnie White/ENRON@enronXgate 04/02/2001 03:19 PM

To: Elizabeth Sager/HOU/ECT@ECT cc: Subject: Calpine discovery responses

Here are proposed responses to these discovery requests:

Request for Admission - Admit that CPSC agreed to go forward with the transaction proposed in the July 30, 1999 letter absent a guarantee from CPSC's parent company.

Answer: EPMI objects to this request in that it is vague and ambiguous, particularly in its use of the term "agreed to go forward." Subject to and without waiving this objection, EPMI denies this request.

Interrogatory - If your answer to the preceding request for Admission is other than an unqualified admission, state in detail the basis for your denial or qualification of the admission.

Answer: EPMI objects to this interrogatory for the reasons stated in its response to the preceding request for admission. Subject to and without waiving this objection, EPMI states that CPSC made no apparent effort to seek LCRA's consent to an assignment as contemplated by the July 30, 1999. In telephone conversations in the late afternoon of the last day for the parties to have entered into such an assignment pursuant to the terms of the July 30, 1999 letter agreement (which conversations were initiated by EPMI several days earlier) CPSC indicated that it would begin to negotiate an assignment without a parent guarantee, but CPSC did not, in fact, agree to an assignment before the expiration of the time period contemplated by the July 30, 1999 letter agreement. After that time had expired, CPSC did not continue negotiations with EPMI. Let me know what you think.

Bonnie J. White Enron Litigation Unit 1400 Smith Street, Suite 4824 Houston, TX 77002 Ph: 713-853-7244 Fax: 713-853-6576 bonnie.white@enron.com

Message 138 of 230

RE: Need to pay PJM bill by COB Tues 11/27. NOTICE OF PJM

Sender	l.nicolay@enron.com
Recipients	['elizabeth.sager@enron.com', 'd.steffes@enron.com', 'j..kean@enron.com', 'tom.hoatson@enron.com', 'richard.s...']
File	sager-e/deleted_items/35.

Bill -- My understanding was that Enron had satisfied PJM's credit requirements last week; however, below is a notice that the bill has not been paid and Enron will not be able to participate in PJM markets if the bill is not paid by 11/27 COB.

Please let us know if Gov't Affairs needs to call PJM to try to discuss this. Christi 37007.

-----Original Message-----

From: Hartsoe, Joe Sent: Wed 11/21/2001 9:20 AM To: Nicolay, Christi L.; Steffes, James D. Cc: Kean, Steven J.; Shapiro, Richard Subject: FW: NOTICE OF PJM OPERATING AGREEMENT BREACH - November 20th PAYMENT TO PJM IS OVERDUE

FYI

-----Original Message-----

From: daughes@pjm.com [<mailto:daughes@pjm.com>] Sent: Tuesday, November 20, 2001 8:43 PM To: bpitre@enron.com; jhartso@enron.com Cc: drausl@www1.pjm.com; lynchmr@www1.pjm.com Subject: NOTICE OF PJM OPERATING AGREEMENT BREACH - November 20th PAYMENT TO PJM IS OVERDUE Importance: High

This is your formal notice that PJM now considers your company in breach of the PJM Operating Agreement for non-payment of your November 7, 2001 PJM invoice by 1 p.m. today. In accordance with the current provisions of Section 15.1.3 of PJM's Operating Agreement, you have three business days to rectify this breach by making full payment to PJM. If this breach is not rectified by the end of PJM's business day on Tuesday, November 27, 2001, PJM will declare your company in default and terminate your rights to participate at PJM committee meetings, to transact business in PJM's markets, and to receive transmission service from PJM. Additionally, all PJM Members will receive a list tomorrow of companies that did not pay their invoice for October activity on the due date. If you have any questions regarding this notice or the amount your company owes to PJM, please contact Molly Lynch at 610-666-8876 or Lisa Drauschak at 610-666-4247. Suzanne Daugherty Controller

Message 139 of 230

please print - into product definition slides

Sender	elizabeth.sager@enron.com
Recipients	['brenda.whitehead@enron.com']
File	sager-e/all_documents/1355.

----- Forwarded by Elizabeth Sager/HOU/ECT on 03/06/2000

09:34 AM -----

"Andy Katz" <AKatz@eei.org> on 03/03/2000 09:58:41 AM To: fmdutton@aep.com, hemu@dynegy.com, Elizabeth Sager/HOU/ECT@ECT, mroger3@entergy.com, wfhenze@jonesday.com, dperلمان@powersrc.com, rosteen@powersrc.com, drusso@reliantenergy.com cc: Subject: into product definition slides

I made the following changes to these hypotheticals as I understand the changes made to the product:

Example #1

3. Buyer puts in request for Firm transmission within 30 minutes of Seller's notification and request is accepted and purchased by Buyer. Entergy is sinking in Cinergy.

Seller must move to another interface (either on Cinergy's border (NIPSCO, LG&E, AEP. . .) or in Cinergy's control area (Wabash) at which Buyer can receive energy such that energy can sink in Cinergy. Seller can require Buyer to purchase Non-Firm transmission (or Firm, if available) but each party will be responsible for any additional transmission costs incurred to reschedule to another delivery point.

Ex #2

3. Buyer puts in request for Firm transmission within 30 minutes of Seller's notification and receives response that Firm is available. Buyer purchases Non-Firm instead. Entergy is sinking in Cinergy.

Ex #3

3. Buyer puts in request for Firm transmission from Cinergy within 30 minutes of Seller's notification and request is accepted and purchased by Buyer. Buyer also secures Firm transmission from LG&E to sink energy in LG&E.

There are references to specific sections in the product definition, I don't know if they are still valid in light of the latest changes.

Could someone help me out before 4pm Eastern? Thanks.

Andrew S. Katz, Director Industry Legal Affairs Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org

- examples.ppt

Message 140 of 230

Enron Guaranties supporting EEI Maste, other commodities

Sender	david.portz@enron.com
Recipients	['mary.cook@enron.com', 'clement.abrams@enron.com', 'elizabeth.sager@enron.com', 'andrew.edison@enron.com']
File	sager-e/elizabeth_sager/miscellaneous/3.

Clement -- Attached are redlined and clean formats of (1) EPMI Amended and Restated Guarantee [multicommodity, excepting power] Agreement and (2) Enron Corp. Guaranty supporting wholesale power trading activities of EPMI which I am printing and sending to you in signature counterpart. Please note in the last paragraph of the second guaranty referenced above that the earlier-issued guaranty of the same date is being superseded and cancelled upon issuance of item 2. Please call me with any questions. David

execution copy of multicommodity gty:

execution copy of wholesale power gty: -----Original Message----- From: "Hamm, Jean"

<Jean.Hamm@leonard.com>@ENRON [mailto:IMCEANOTES-+22Hamm+2C+20Jean+22+20+3CJean+2EHamm+40leonard+2Ecom+3E+40ENRON@ENRON.com] Sent: Monday, July 30, 2001 3:12 PM To: Portz, David Cc: Jim Croyle (E-mail); Striker, Bob Subject: Enron and NRG Guaranties

David, Confirming our phone conversation earlier today, the changes you recommend to the NRG and Enron power guaranties (June 29, 2001) are acceptable. These changes pertain to documenting in the power guaranties the partial cancellation of the prior multi-commodity guaranties issued in 2000.

In addition, the proposed "Amended and Restated" Enron multi-commodity guaranty is acceptable, although NRG views the current multi-commodity guaranties as interim guaranties, pending negotiation of the ISDA credit terms. At that time NRG plans to cancel its year 2000 guaranty and issue a new guaranty reflecting the ISDA negotiations. How does Enron plan to accommodate the ISDA negotiations in its multi-commodity guaranty?

In my absence, Bob Striker will continue to work with you to complete these documents.

Jean

Jean M. Hamm Leonard, Street and Deinard 150 South Fifth Street, Suite 2300 Minneapolis, MN. 55402 Phone: (612) 335-1955 Fax: (612) 335-1657 e-mail: jean.hamm@leonard.com

Message 141 of 230

Bookouts

Sender	akatz@eei.org
Recipients	['mgoldstein@stroock.com', 'martyjo.rogers@axiaenergy.com', 'hemu@dynegy.com', 'elizabeth.sager@enron.com']
File	sager-e/notes_inbox/150.

EEI has been participating in discussion with FASB concerning the application of SFAS 133 and 138 to utility power purchase agreements where power is obtained to serve load obligations, as opposed to power marketing. EEI's position is that such contracts should be treated under the normal purchase and normal sale contracts exception under SFAS 138, for which derivatives accounting treatment would not apply. Occasionallly a utility may agree to bookout certain

transactions. EEI's position is that a bookout is not a net settlement of the underlying purchase and sale contract because every party must fulfill each and every contractual transaction. EEI also has maintains that even if there is a bookout title passes under the terms of the underlying contract. See attached letter to FASB.

FASB has asked for additional information on the bookout issue. In particular, it wants more information on the passing of title between entities in a bookout chain; what are the legal requirements for title to pass to another entity in a bookout chain?

FASB also wants to know whether under bookouts are cash payments always settled gross with each company paying the total contract price for the purchase involved and receiving the total contract price for its sale or are there exceptions in normal practice? I assume settlement in gross does not occur in the case of a buyer and seller in the chain whose underlying contract(s) provide for payment and/or transaction netting.

The close of the comment period is on Friday, so we are trying to get a letter back to FASB asap. I would appreciate it if anyone in our group could comment on the questions FASB asks and/or the letter we previously sent to FASB. Thanks in advance.

Andrew S. Katz, Director Industry Legal Affairs Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org - TEXT.htm - FASB 133 Bookouts.pdf - Andy Katz.vcf

Message 142 of 230

Option B Into Product	
Sender	elizabeth.sager@enron.com
Recipients	['david.portz@enron.com', 'leslie.hansen@enron.com', 'janet.moore@enron.com']
File	sager-e/sent/874.

----- Forwarded by Elizabeth Sager/HOU/ECT on 01/24/2000

03:38 PM -----

"Andy Katz" <AKatz@eei.org> on 01/24/2000 02:26:43 PM To: fmdutton@aep.com, HEMU@dynegy.com, Elizabeth Sager/HOU/ECT@ECT, mroger3@entergy.com, wfhenze@jonesday.com, kdleita@llgm.com, rosteen@powersrc.com, MPhilips@pwrteam.com, drusso@reliantenergy.com cc: Subject: Fwd: Option B Into Product

Just received the Option B Into Product. Marji is available for a conference call tomorrow at 10:30 am est. to discuss, but unless I hear objection their definition will go to the working group today along w/ option A.

Andrew S. Katz, Senior Attorney Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org

Received: from pwrteam.com by mail.eei.org; Mon, 24 Jan 2000 15:12:22 -0500 Message-ID: <OF92F70AD3.C81863B0-ON85256870.00687914@com> To: akatz@eei.com Cc: hemu@dynegy.com Subject: Document From: MPhilips@pwrteam.com Date: Mon, 24 Jan 2000 15:10:28 -0500 X-MIMETrack: Serialize by Router on PTN02/Power Team(Release 5.0.2b |December 16, 1999) at 01/24/2000 03:09:47 PM MIME-Version: 1.0 Content-type: multipart/mixed; Boundary="0__=vwvTCyrq7WIS5kEINw1Jvu7zFUQ2Ec8p9UV0A6RKSPtd3laX81u67oCs" Content-Disposition: inline

Attached is a re-write of Product B, based on a general agreement between Harlan and myself. I apologize but I had a tremendous amount of problems with redlining, and so have sent you a document that accepted all changes. Hopefully someone has a comparereit program. Andy would you please circulate this product. I will be glad to write up a summary in plain English if you think that would be helpful. All errors are my responsibility alone, not Harlan's! Look forward to seeing you on Wed. Marji

PS: My email was wiped out since 1/3, what time do we meet, and would you please provide Reliant's address. Thanks. M.

(See attached file: INTOEEICtrcEnronclean12400.doc) - INTOEEICtrcEnronclean12400.doc

Message 143 of 230

RE: Master Netting: A few items to READ

Sender	tanya.rohauer@enron.com
Recipients	['s..bradford@enron.com', 'r..brackett@enron.com', 'mary.cook@enron.com']
File	sager-e/deleted_items/106.

Please be certain that I am copied on all negotiations with any master netting agreement of any kind. Thanks.

-----Original Message-----

From: Cook, Mary Sent: Monday, November 12, 2001 11:04 AM To: Brackett, Debbie R.; Bradford, William S.; Alexander, Athena; Antonoff, Rick; Aronowitz, Alan; Clark, Morris; Cook, Mary; Davis, Angela; Del vecchio, Peter; Douglas, Stephen H.; Evans, Mark (London Legal); Gaffney, Chris; Gray, Barbara N.; Hansen, Leslie; Heard, Marie; Hendry, Brent; Hodge, Jeffrey T.; Johnston, Greg; Jones, Tana; Kalemka, Lech; Keohane, Peter; Koehler, Anne C.; Leite, Francisco Pinto; McCullough, Travis; Mellencamp, Lisa; Mitchell, David; Morelle, Marissa; Murphy, Harlan; Murray, Julia; Nemec, Gerald; Portz, David; Rohauer, Tanya; Sager, Elizabeth; Saxena, Rahul; Sayre, Frank; Schuh, Michael; Shackleton, Sara; Simons, Paul; St. Clair, Carol; Van Hooser, Steve; Viverito, John; Von Bock Und Polach, Marcus; Williams, Jason R (Credit) Subject: Master Netting: A few items to READ Importance: High

1. Should any of your counterparties possibly be a transmitting utility as defined in UCC 9 102, please add a representation in the MNA to determine the issue. It matters only in respect of where the UCC filing should be made. The rep will help Cadwalader in its filing processes. X [is] [is not] a "transmitting utility" within the meaning of Section 9-102(a) of the Uniform Commercial Code.
2. If you are involved in any master netting agreement wherein the parties include both US and English counterparties, advise Tanya Rohauer, as well as Jay Williams, so that Tanya can coordinate (Paul Simons in London should also be advised).
3. London: Please advise Tanya of all master netting agreements that have been executed and that are currently under negotiation. In the future, at the commencement of consideration of any new master netting arrangements, please advise Tanya.

Thank you.

Cordially, Mary Cook Enron North America Corp. 1400 Smith, 38th Floor, Legal Houston, Texas 77002-7361 (713) 345-7732 (713) 646-3393 (fax) mary.cook@enron.com

Message 144 of 230

Upcoming EEI Contract Activities

Sender	akatz@eei.org
Recipients	['ecomer@eei.org', 'harlan.murphy@enron.com']
File	sager-e/inbox/184.

To All:

The following was decided at the conference call on October 3:

(1) The participants asked that the organization plan reflect that the Drafting Committee performs the executive function and heavy lifting for the EEI Contract Working Group. The Drafting Committee will be redesignated the Executive Committee and the Working Group called the Membership Group. New members of the Drafting Committee will be appointed by the Co-Chairs and ratified by the Membership Group. I've attached a revised organizational plan to reflect these and other points raised during the conference call.

(2) The Drafting Committee should meeting sometime during the first two weeks of November. Both AEP and Jones Day have offered to host the meeting in Columbus, Ohio. The dates under consideration are 11/6,11/7, 11/8, 11/13, 11/14, or 11/15. The Drafting Committee would give final approval for the optional provisions and collateral annex before they are posted on the EEI website. In addition, the Drafting Committee would discuss the future organization of the contract group and a proposal for non-EEI members to contribute membership fees.

(3) Subject to any objection by those not on the call, Noel Trask of the Exelon Power Team will be permitted to join the Drafting Committee.

Finally for those who do not know yet, I will be taking a position with Constellation Power Source effective November 5. At this time it is not clear who will be the EEI point of contact for the Master Contract group. EEI, however, is committed to continued sponsorship of the agreement and related activities. It is unclear what role I will have with the group's activities as a Constellation employee. I've thoroughly enjoyed working with you over the past three years and hope to stay in contact with all of you.

Regards,

Andrew S. Katz, Director Industry Legal Affairs Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org - Revised Organizational Plan.doc - Andy Katz.vcf

Message 145 of 230

INTO definition

Sender	elizabeth.sager@enron.com
Recipients	['rodney.malcolm@enron.com', 'stuart.zisman@enron.com']
File	sager-e/all_documents/1224.

As you requested, attached as "INTO4R" is a draft definition of an INTO Product that I prepared for EEI. -----
Forwarded by Elizabeth Sager/HOU/ECT on 12/20/99 01:25 PM -----

"Andy Katz" <AKatz@eei.org> on 12/10/99 05:29:45 PM Please respond to "Wholesale Electric Contract Standardization Group" <contract@ls.eei.org> To: "Wholesale Electric Contract Standardization Group" <contract@ls.eei.org> cc: (bcc: Elizabeth Sager/HOU/ECT) Subject: Agenda and Product Definitions for Dec. 15 Meeting

Attached is the agenda and draft revised definitions for the "into" and "system reliability" products. These files are in Rich Text Format.

As part of our discussion of the product definitions, we will discuss the effect of transmission curtailments on the parties' obligation to perform. We want to focus on the words on the page in Schedule P. If anyone thinks the words on the page do not accurately reflect the business people's understanding of the allocations of risk and responsibilities in trading that product, please let them come to Houston with alternative WORDS that they feel better reflect the business relationships that exist in the marketplace. The goal of the Houston meeting is to have FINALIZED the WORDS, so that the document is ready to present to the industry and FERC.

We will convene at 10 am and adjourn at 4pm. Lunch will be provided. Dynegy's offices are located in Houston at 1000 Louisiana, Suite 5800. If you need directions or information about hotels, please contact Michelle Cantu, at Dynegy, 713/767-5981.

If you plan to attend, please inform Patricia Young at EEI, 202/508-5757, or respond to this message by using your e-mail program's "ReplyTo" function by COB MONDAY. If you have any questions or concerns, you can reach Patricia at

202/508-5757 or Andy Katz at 202/508-5616.

Andrew S. Katz, Senior Attorney Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org

- EEI-NEMA AGENDA.rtf - Into 4R.rtf - 12071_v1.rtf

Message 146 of 230

January 26 Standard Contract Working Group Meeting

Sender	elizabeth.sager@enron.com
Recipients	['leslie.hansen@enron.com', 'janet.moore@enron.com', '(bcc: Elizabeth Sager/HOU/ECT)']
File	sager-e/sent/873.

----- Forwarded by Elizabeth Sager/HOU/ECT on 01/24/2000

03:10 PM -----

"Andy Katz" <AKatz@eei.org> on 01/06/2000 04:32:38 PM Please respond to "Wholesale Electric Contract Standardization Group" <contract@ls.eei.org> To: "Wholesale Electric Contract Standardization Group" <contract@ls.eei.org> cc: (bcc: Elizabeth Sager/HOU/ECT) Subject: January 26 Standard Contract Working Group Meeting

The following Message was sent to members of Contract List Server, the EEI Contract Standization Mailing List. Happy New Year! The first 21st Century meeting of the Standard Contract Working Group will be held in Houston at Reliant Energy's offices on January 26 from 10-4 (Central Tlme). Reliant's offices are located at 1111 Louisiana, Houston TX.

The purpose of the meeting will be to reach final consensus on product definitions. The Drafting Committee will meet next week to prepare revised product definitions based on the discussions at the last working group meeting. If anyone has any comments or proposals about the definitions under discussion in December (or any new product definitions), please forward them to me by cob on the 11th. Definitions prepared by the drafting committee will be circulated in advance of the January 26 meeting.

If you plan to attend the January 26 meeting please contact Patricia Young at 202/508-5757 or pyoung@eei.org .

Andrew S. Katz, Senior Attorney Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org

-----*** EEI - A Powerful Partner in a Competitive World sm ***-----

You have received the above message as a subscriber to the EEI Contract Standization Electronic Mailing List: contract Your subscription address is listed as: [esager2@ect.enron.com] To stop receiving these messages, send a blank message to the list administrator: kSeaman@eei.org with the subject as: UNSUBSCRIBE You can reply to the EEI Contract List by using your email program's "ReplyTo" function, or by sending a message to the list administrator.

Message 147 of 230

BECo WPSA per John Klauberg

Sender	shari.stack@enron.com
Recipients	['elizabeth.sager@enron.com']
File	sager-e/all_documents/1884.

I wonder if Section 2.7 may need to go into the SD Warren K in some fashion... I will discuss this with you tomorrow.

----- Forwarded by Shari Stack/HOU/ECT on 12/04/2000 04:37 PM -----

Janice R Moore 12/04/2000 04:34 PM

To: Shari Stack/HOU/ECT@ECT cc: Subject: BECo WPSA per John Klauberg

Here's the draft I was telling you about earlier today. The CMS is addressed in sec. 2.7 I think. The New Market Products concept was aimed at making sure that Enron wouldn't have responsibility for any ancillary services "invented" after the deal was signed, unless, of course, we had new negotiations w/ new price, etc. Regards, Janice

EB3861 Assistant General Counsel, Enron North America Corp. 713-853-1794 (Fax: 713-646-4842) ----- Forwarded by Janice R Moore/HOU/ECT on 12/04/2000 04:13 PM -----

"MICHAEL W E DIDRIKSEN" <MDIDRIKSEN@LLGM.COM> 11/16/2000 09:23 AM

To: janice.r.moore@enron.com cc: "JOHN G KLAUBERG" <JKLAUBER@LLGM.COM> Subject: BECo WPSA per John Klauberg

Janice:

John Klauberg asked that I send you a copy of the long-term version of the Wholesale Power Supply Agreement that we were working on for BECo (and the rest of the NSTAR companies). Please see the attached and let me know if you have any questions or need anything further. I can be reached at (212)424-8352.

Mike Didriksen

NOTICE: This e-mail, including attachments, contains information that is confidential and it may be protected by the attorney/client or other privileges. This e-mail, including attachments, constitutes non-public information intended to be conveyed only to the designated recipient(s). If you are not an intended recipient, please delete this e-mail, including attachments, and notify me by return mail, e-mail or at (212)424-8352. The unauthorized use, dissemination, distribution or reproduction of this e-mail, including attachments, is prohibited and may be unlawful.

Michael Didriksen LeBoeuf, Lamb, Greene & MacRae, L.L.P. 125 West 55th Street New York, NY 10019 (212)424-8352 fax: (212)424-8500 mdidriksen@llgm.com

- BECo WPSA 9-26.doc

Message 148 of 230

RE: Brownies! - Scouting for Food

Sender	elizabeth.sager@enron.com
Recipients	['jeffjoylee@earthlink.net']
File	sager-e/sent_items/82.

Hi Joy

Ella and I will be there on the 20th. Thanks. Also, sorry for the delay on getting the \$7.00 to you - its in the mail today. Thanks again for everything.

-----Original Message-----

From: "Joy and Jeff Lee" <jeffjoylee@earthlink.net>@ENRON Sent: Thu 9/20/2001 9:36 PM To: Anna Boerwinkle; Alicia Lee; Alyssa Walker Morrison; Becky Aksamit; Carly Rapp; Claire Cooper; "Emily Micheals"@harrier.mail.pas.earthlink.net; Erin Granberry; Esther Huang; Kate Lowman; Morgan Brown; Sager, Elizabeth; Emma Morgan; Paige Matson; Leslie Moseley; Camille Greiner; Anastasia Zavitsanos; Alexandra Cokinos; Frankie Demeris; Ally Crain; Francesca Sartori; "Katrina Stevens"@harrier.mail.pas.earthlink.net Cc: Subject: Brownies! - Scouting for Food

Hello Brownie Families,

Our 1st grade Brownie troop is starting up! During our first meeting, the girls learned a bit of GS history, said the Girl Scout Promise and Law, sang two new GS songs and talked about the many activities that they might participate in as a Girl

Scout. We also made 55 greeting cards for a Council sponsored service project where cards will be sent to residents of nursing homes in Texas. It was a great meeting!

A few days after our troop meeting, we learned of an interesting service opportunity.

Scouting for Food is a special day, October 20th, for Girl Scouts to help feed the hungry. Girls ages 6-11years old will tour the Houston Food Bank, participate in a service project, have a snack and receive a "Scouting for Food" patch.

The specifics are:

Saturday, October 20th, 9:00 a.m. - 11:15 a.m.

Houston Food Bank, 3811 Eastex Freeway, Houston, TX 77026

A parent needs to accompany each child.

Response deadline: Wednesday, September 25, email Joy Lee jeffjoylee@earthlink.net
<<mailto:jeffjoylee@earthlink.net>> , or 713-660-8764

There is a fee of \$3 per girl for this event. The troop will be paying for the girls, therefore it is VERY IMPORTANT that we have an accurate count. There is no fee for the parents.

Sorry for the short deadline, but we have to pay to reserve our spots and this event will fill up.

If you are interested in attending or have any questions, please contact Joy quickly.

FYI... more will be arriving soon about other troop activities.

Troop #12478 Leaders - Claire, Sheryl, Barbara and Joy

Message 149 of 230

please print all March 7 Workshop

Sender	elizabeth.sager@enron.com
Recipients	['brenda.whitehead@enron.com']
File	sager-e/sent/929.

----- Forwarded by Elizabeth Sager/HOU/ECT on 03/01/2000

01:47 PM -----

"Andy Katz" <AKatz@eei.org> on 03/01/2000 08:08:11 AM To: fmdutton@aep.com, Jhopf@amerenenergy.com, hemu@dynegy.com, Elizabeth Sager/HOU/ECT@ECT, Mark E Haedicke/HOU/ECT@ECT, David Portz/HOU/ECT@ECT, mroger3@entergy.com, elapson@fitchibca.com, wfhenze@jonesday.com, dmperلمان@powersrc.com, rosteen@powersrc.com, drusso@reliantenergy.com, rbaker@reliantenergy.com, john.varholy@troutmansanders.com cc: Subject: March 7 Workshop

I'm attaching my proposed schedule and panel assignments for the March 7 workshop. I've already spoken with several of you about your assignments. The panel moderators should have a conference call with their panels either Thursday or Friday this week to discuss the timing and assignments I put in the schedule. I'd be happy to participate with you.

Materials. For most of the contract-specific panels, I think we should use an updated version of the slides we used in November. I am attaching the original slides and updated versions I've used subsequently. Please make any changes you feel are needed and FAX them to me by noon Eastern tomorrow. I am also attaching Fritz' flowchart (into product 2.ppt) of the Into Product A and Liz' hypotheticals (examples.ppt). Liz or Fritz, in light of the latest changes to the Into product, do these need to change?

Anyone with separate presentations they want distributed at the workshop has two options: they can email them no later than cob Thursday or, if you can't make that deadline, make arrangements to have 110 copies delivered to the conference hotel on Monday March 6. Stapled, 3 hole punched, double sided copies would be preferable.

AV - we will have a laptop, LCD, overhead and slide projector available.

Any speaker who can make it for 7 o'clock dinner at Molina's on Westheimer is welcome as EEI's guest. Houston-based speakers are welcome to invite their colleagues to the reception.

Please contact me if you have any questions

Andrew S. Katz, Director Industry Legal Affairs Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org

- Houston Workshop Agenda.doc - master contracts 2.ppt - EEIpresentationnew.ppt - intoproduct2.ppt - Contract FERC.ppt - examples.ppt

Message 150 of 230

Conference on Standardized Contract

Sender	elizabeth.sager@enron.com
Recipients	['EComer@eei.org', 'mark.haedicke@enron.com']
File	sager-e/all_documents/1145.

Mark

Attached is the preliminary outline of a conference EEI is considering holding on November 17, 1999 to introduce the form of standardized power contract developed through EEI. You will note that EEI listed you as a potential speaker. EEI has also called me to discuss my role in this presentation but I wanted to get your thoughts first.

Thanks Elizabeth 36349 ----- Forwarded by Elizabeth Sager/HOU/ECT on 08/16/99 03:24 PM

Enron Capital & Trade Resources Corp.

From: "Andy Katz" <AKatz@eei.org> 08/06/99 05:15 PM

To: fmdutton@aep.com, SturdyR@dteenergy.com, hemu@dynegy.com, Elizabeth Sager/HOU/ECT, Jberna2@entergy.com, wfhenze@jonesday.com, kdleita@llgm.com, dperlman@powersrc.com, drusso@reliantenergy.com, pdondanville@schiffhardin.com, sonnet.edmonds@southernenergy.com, Jcrespo@statoilenergy.com, john.varholy@troutmansanders.com, Martin_Bregman@wstnres.com cc: EComer@eei.org
Subject: Conference on Standardized Contract

As part of our outreach process for the standardized contract, EEI is planning to offer a conference for the industry and regulators on November 17, 1999 in Washington, D.C. We would like to invite you to participate in the conference as speakers because of your roles in developing the Master Agreement. I've attached a proposed program for the conference would appreciate your comments. Not all the issues need to be part of the oral presentation, but could be included in the written handouts.

Please review the program to see which issues you might want to address. Let me know if you are interested in being on the program, are available, or have someone else to recommend as a speaker. As co-chairs of the working group, it seems logical to make Patti and Dave moderators. for the main sessions on the contract. I've filled in some other potential speakers. Also, we were thinking of having speakers on managing trading floor operations and credit ratings for power marketers. Any suggestions there would be welcome. If need be, we can set up a conference call to discuss working out the rest of the presenters for the program.

***** Andrew S. Katz, Senior Attorney Edison Electric Institute
akatz@eei.org PH (202) 508-5616 FAX (202) 508-5673

- Fleshed out conference topics.doc

Message 151 of 230

RE: Brownies! - Scouting for Food

Sender	elizabeth.sager@enron.com
Recipients	['jeffjoylee@earthlink.net']
File	sager-e/sent_items/31.

Hi Joy

I RSVP'd yes to this but did not know of the about Indian Princesses schedule- Ella and Grant will be out of town on the 20th so will not be able to make the Scouting for Food event. Sorry. Thanks and talk to you soon.

-----Original Message-----

From: "Joy and Jeff Lee" <jeffjoylee@earthlink.net>@ENRON Sent: Thu 9/20/2001 9:36 PM To: Anna Boerwinkle; Alicia Lee; Alyssa Walker Morrison; Becky Aksamit; Carly Rapp; Claire Cooper; "Emily Micheals"@harrier.mail.pas.earthlink.net; Erin Granberry; Esther Huang; Kate Lowman; Morgan Brown; Sager, Elizabeth; Emma Morgan; Paige Matson; Leslie Moseley; Camille Greiner; Anastasia Zavitsanos; Alexandra Cokinos; Frankie Demeris; Ally Crain; Francesca Sartori; "Katrina Stevens"@harrier.mail.pas.earthlink.net Cc: Subject: Brownies! - Scouting for Food

Hello Brownie Families,

Our 1st grade Brownie troop is starting up! During our first meeting, the girls learned a bit of GS history, said the Girl Scout Promise and Law, sang two new GS songs and talked about the many activities that they might participate in as a Girl Scout. We also made 55 greeting cards for a Council sponsored service project where cards will be sent to residents of nursing homes in Texas. It was a great meeting!

A few days after our troop meeting, we learned of an interesting service opportunity.

Scouting for Food is a special day, October 20th, for Girl Scouts to help feed the hungry. Girls ages 6-11years old will tour the Houston Food Bank, participate in a service project, have a snack and receive a "Scouting for Food" patch.

The specifics are:

Saturday, October 20th, 9:00 a.m. - 11:15 a.m.

Houston Food Bank, 3811 Eastex Freeway, Houston, TX 77026

A parent needs to accompany each child.

Response deadline: Wednesday, September 25, email Joy Lee jeffjoylee@earthlink.net <<mailto:jeffjoylee@earthlink.net>> , or 713-660-8764

There is a fee of \$3 per girl for this event. The troop will be paying for the girls, therefore it is VERY IMPORTANT that we have an accurate count. There is no fee for the parents.

Sorry for the short deadline, but we have to pay to reserve our spots and this event will fill up.

If you are interested in attending or have any questions, please contact Joy quickly.

FYI... more will be arriving soon about other troop activities.

Troop #12478 Leaders - Claire, Sheryl, Barbara and Joy

Message 152 of 230

EEI Meeting on Dec. 15 Meeting - Product Definitions

Sender	elizabeth.sager@enron.com
Recipients	[david.portz@enron.com', 'mark.haedicke@enron.com', 'leslie.hansen@enron.com', 'christi.nicolay@enron.com']
File	sager-e/all_documents/1221.

Here are materials I recieved from EEI in anticipation of the EEI product description meeting on Wed. I would guess that the bulk of the meeting will be spent on the "Into" definition, which draft was prepared by David and myself, but we will also need to provide requested alterations to the other product definitions (unit firm and system firm). If you have any questions/thoughts about the Into definiton, please call either David or me. ----- Forwarded by Elizabeth Sager/HOU/ECT on 12/14/99 08:48 AM -----

"Andy Katz" <AKatz@eei.org> on 12/10/99 05:29:45 PM Please respond to "Wholesale Electric Contract Standardization Group" <contract@ls.eei.org> To: "Wholesale Electric Contract Standardization Group" <contract@ls.eei.org> cc: (bcc: Elizabeth Sager/HOU/ECT) Subject: Agenda and Product Definitions for Dec. 15 Meeting

Attached is the agenda and draft revised definitions for the "into" and "system reliability" products. These files are in Rich Text Format.

As part of our discussion of the product definitions, we will discuss the effect of transmission curtailments on the parties' obligation to perform. We want to focus on the words on the page in Schedule P. If anyone thinks the words on the page do not accurately reflect the business people's understanding of the allocations of risk and responsibilities in trading that product, please let them come to Houston with alternative WORDS that they feel better reflect the business relationships that exist in the marketplace. The goal of the Houston meeting is to have FINALIZED the WORDS, so that the document is ready to present to the industry and FERC.

We will convene at 10 am and adjourn at 4pm. Lunch will be provided. Dynegy's offices are located in Houston at 1000 Louisiana, Suite 5800. If you need directions or information about hotels, please contact Michelle Cantu, at Dynegy, 713/767-5981.

If you plan to attend, please inform Patricia Young at EEI, 202/508-5757, or respond to this message by using your e-mail program's "ReplyTo" function by COB MONDAY. If you have any questions or concerns, you can reach Patricia at 202/508-5757 or Andy Katz at 202/508-5616.

Andrew S. Katz, Senior Attorney Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org

- EEI-NEMA AGENDA.rtf - Into 4R.rtf - 12071_v1.rtf

Message 153 of 230

Distibution of EEI draft

Sender	elizabeth.sager@enron.com
Recipients	[david.portz@enron.com']
File	sager-e/all_documents/1218.

Into product should be distributed to Andy and Patricia Young. Emails in this email ----- Forwarded by Elizabeth Sager/HOU/ECT on 12/09/99 03:07 PM -----

"Andy Katz" <AKatz@eei.org> on 12/08/99 04:16:29 PM To: HEMU@dynegy.com, Elizabeth Sager/HOU/ECT@ECT, rosteen@powersrc.com, pdondanville@schiffhardin.com cc: Subject: Re: Draft Agenda for 12/15/99 EEI/NEMA Contract Group Meeting

I've been hiding in the weeds. Hisss. I agree w/ Patty and Liz that product definition should be the primary focus of the meeting. It would seem most of the transmission related issues PECO (or Dynegy) have could be addressed in the context of the force majeure definition and how specific product definitions tighten or loosen FM excuses for non-performance.

I think we can represent that discussions w/ FERC staff will take place during January. Our meeting coordinator is talking w/ Mariott about roll out meetings in Houston during the first week of March and in NYC late April/early May. Let me know if you have any scheduling conflicts during those timeframes and I'll circulate some proposed dates w/ the product definitions. Also, let me know if you are not interested in participating in one of or both roll-outs.

I will gladly circulate product definitions, but will be out of town after the 10th. Could you CC: Patricia Young at EEI 202/508-5757 pyoung@eei.org with any definitions you want circulated.

Another topic I would suggest discussing briefly if time is available is the results of the contract survey. We have received many responses. Tabulation of the results should be done by our meeting.

Andrew S. Katz, Senior Attorney Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org

<HEMU@dynegy.com> 12/07/99 07:40PM >>>

Please take a look at this and give me your thoughts. One area that I believe needs more work in particular is the item referring to FERC policies; I think this is PECO's issue, but I'm not sure what FERC policies they are concerned about.

I would like to attach the current definitions of the products to the agenda. Do we have a definition of the "Into ___" product that has been updated since the November 9 conference call? Is there a new definition of the "Firm (LD-System Reliability)" product?

What about trying to tackle bookouts if we have the time? Is there any conceivable way we will have the time?

Thanks,

Harlan

(See attached file: EEI-NEMA AGENDA.DOC)

Message 154 of 230

RE: ISDA Energy Conference	
Sender	losullivan@isda.org
Recipients	['elizabeth.sager@enron.com', 'brenda.whitehead@enron.com']
File	sager-e/notes_inbox/495.

Elizabeth:

Thank you so much for modifying agenda and recommending speakers to help discuss topic. I will go ahead and officially invite Diane Russo and Harlan Murphy to speak at conference.

Elizabeth, in regards to Constellation Power, we only invite ISDA members to speak at our conferences and they are not members. However, if you think we need another speaker for your panel, please recommend and we will invite them.

Again thanks and regards, Liz 212-332-2559

-----Original Message-----

From: Brenda.Whitehead@enron.com [mailto:Brenda.Whitehead@enron.com] Sent: Monday, December 11, 2000 2:52 PM To: losullivan@isda.org Cc: Elizabeth.Sager@enron.com Subject: ISDA Energy Conference

per Elizabeth Sager's requests, attached are her revisions to your agenda.

(See attached file: ISDA outline.doc)

----- Forwarded by Brenda Whitehead/HOU/ECT on 12/11/2000 01:50 PM -----

Elizabeth

Sager To: Brenda Whitehead/HOU/ECT@ECT cc:

12/11/2000 Subject: ISDA Energy Conference

12:01 PM

----- Forwarded by Elizabeth Sager/HOU/ECT on 12/11/2000 12:05 PM -----

"Liz

O'Sullivan" To: "elizabeth.sager@enron.com" <elizabeth.sager@enron.com> <LOSULLIVAN@i cc:

sda.org> Subject: ISDA Energy Conference

11/27/2000

02:49 PM

Elizabeth:

ISDA is holding an Energy conference on March 6th, 2001 at The Four Seasons Hotel in Houston. We would be delighted to have you speak again on the same issues you discussed at our North American Energy and Developing Products Committee meeting last October at The Regency Hyatt.

Please find attached a DRAFT agenda for the morning discussion for your information. I am in the process of finalizing the agenda and would appreciate advice on selecting bullet points to describe briefly the discussion on the Comparison of Master Agreements used in North America and Europe. I have allowed 45 minutes for the discussion (12:15 PM - 1:00 PM). In addition, we would welcome any suggestions you may have on inviting an ISDA member from a another company to help you discuss topic.

<<elizabeth.sager.doc>>

I will call you soon to discuss.

Thanks and regards, Liz

Ms. Liz O'Sullivan International Swaps and Derivatives Association, Inc. 600 Fifth Avenue - 27th Floor Rockefeller Center New York, NY 10020 (212) 332-2559

(See attached file: elizabeth.sager.doc)

Message 155 of 230

RE: consent for Janice R. Moore

Sender	elizabeth.sager@enron.com
Recipients	['elizabeth.sager@enron.com', 'jmoore@mcguirewoods.com', 'moore@enron.com']
File	sager-e/sent_items/314.

Looks OK

"Moore, Janice R" <jmoore@mcguirewoods.com> 06/05/2001 04:22 PM To: "Elizabeth.Sager@enron.com" <Elizabeth.Sager@enron.com>, "Williams, Stephen E." <sewilliams@mcguirewoods.com> cc: "Moore, Janice R" <jmoore@mcguirewoods.com>, "Legal.Temp.3@enron.com" <Legal.Temp.3@enron.com> Subject: RE: consent for Janice R. Moore

This looks good -- we just left you a message to that effect. Let one of us know when Mark approves the wording so we can print it, sign it, and send it on. Thanks for your help.

Regards, Janice

Janice R. Moore McGuireWoods LLP Washington Square, Suite 1200 1050 Connecticut Avenue, N.W. Washington, D.C. 20036 202-857-1752; fax 202-857-1737 jmoore@mcguirewoods.com www.mcguirewoods.com This e-mail may contain confidential or privileged information. If you are not the intended recipient, please erase this e-mail immediately without reading it or sending it to anyone else. I would also appreciate your advising me (by return e-mail) if you have received this e-mail by mistake. Thanks for your kind assistance.

-----Original Message-----

From: Elizabeth.Sager@enron.com [mailto:Elizabeth.Sager@enron.com] Sent: Tuesday, June 05, 2001 4:29 PM To: sewilliams@mcguirewoods.com Cc: 'elizabeth.sager@enron.com'; Moore, Janice R; 'Legal.Temp.3@enron.com' Subject: Re: consent for Janice R. Moore

A couple of minor changes - let me know if this is OK with you and then I will discuss with Mark Haedicke. Thanks

(See attached file: moore.DOC)ps blacklining seems to be all messed up but I tried

"Williams, Stephen

E." To: "elizabeth.sager@enron.com" <elizabeth.sager@enron.com>, <sewilliams@mcguire "Legal.Temp.3@enron.com" <Legal.Temp.3@enron.com> woods.com> cc: "Moore, Janice R" <jmoore@mcguirewoods.com>

Subject: consent for Janice R. Moore

06/05/2001 10:04 AM

<<1F1901!.DOC>> Attached is a slightly-revised version of your revision of the consent regarding Janice Moore. We will call you shortly to discuss this matter. Steve Williams Janice Moore

(See attached file: 1F1901!.DOC)

Message 156 of 230

Here is Bill's break down of post filling receivables. Amounts

Sender	elizabeth.sager@enron.com
Recipients	['jklauber@llgm.com', 'ceklund@llgm.com', 'young'.\''benett@enron.com', 'lisa.mellencamp@enron.com']
File	sager-e/sent_items/110.

Elizabeth,

I have utilized the structuring spreadsheets Tanya used in the original calculations to determine the PG&E receivables. To the best of my knowledge the following are the settlement numbers for PG&E:

Enron Canada Corp. April 1-5 C\$2,195,876.67 US\$387,627.50 April 6-11 C\$2,635,052.00 US\$465,153.00 March receivables unchanged.

Enron North America Corp. No physical flow in April. All receivables from March. No change.

Enron Power Marketing, Inc. April 1-5 US\$374,720.00 April 6-10 US\$374,720.00 March receivables unchanged.

Please call if you have any questions. Bill

Elizabeth Sager 713-853-6349

-----Original Message-----

From: "BENNETT YOUNG" <BYOUNG@LLGM.COM>@ENRON [mailto:IMCEANOTES-+22BENNETT+20YOUNG+22+20+3CBYOUNG+40LLGM+2ECOM+3E+40ENRON@ENRON.com] Sent: Tuesday, September 04, 2001 11:39 AM To:

Sager, Elizabeth; Mellencamp, Lisa; Tribolet, Michael Cc: CARL EKLUND; John Klauberg Subject: 00001948.pdf

Liz,

Here is the administrative claim order. Paragraph 2 provides that "This Order applies only to administrative expense claims pursuant to Bankruptcy Code section 503(a) arising from the sale of electric energy or services for PG&E's customers through the California Independent System Operator (the "ISO") or from the sale of electric energy or services by the California Department of Water Resources (the "DWR") (collectively , "ISO/DWR Administrative Claims"). For purposes of this Order, ISO/DWR Administrative Claims shall not include the following: (i) claims arising from "reliability must run" ("RMR") charges, (ii) claims by the ISO, and (iii) claims by the DWR based solely on power purchased for direct sale to customers of PG&E, and for which the DWR asserts no independent claim against PG&E or PG&E's bankruptcy estate."

I understand that EPMI sold power to PG&E between April 6, the filing date, and April 9, the date on which EPMI terminated the contract. Are these considered sales through the ISO? If they are, we will need to file a separate administrative proof of claim for them by September 20. If they are not sales through the ISO, the deadline does not apply.

Ben Young

http://www.pge.com/court_docs/pdf/00001948.pdf

Bennett G. Young One Embarcadero Center, Suite 400 San Francisco, California 94111 (415) 951-1167
byoung@llgm.com

This e-mail, including attachments, contains information that is confidential and may be protected by the attorney/client or other privileges. This e-mail, including attachments, constitutes non-public information intended to be conveyed only to the designated recipient(s). If you are not an intended recipient, please delete this e-mail, including attachments, and notify me. The unauthorized use, dissemination, distribution or reproduction of this e-mail, including attachments, is prohibited and may be unlawful.

- 00001948.url << File: 00001948.url >>

Message 157 of 230

EEI Update- Standardized Master Purchase and Sale Agreement and

Sender	elizabeth.sager@enron.com
Recipients	['mark.haedicke@enron.com', 'christian.yoder@enron.com', '(bcc: Elizabeth Sager/HOU/ECT)', 'jeffrey.hodge@enro...]
File	sager-e/all_documents/1195.

Attached is the latest EEI contract for your review. If you have any changes you think should be incorporated, please let me know before the the 16th of November.

As you all are aware, I have been working with EEI to come up with the definition of an "Into" product. I circulated a draft definition at the last EEI meeting. There will be a conference call on Tuesday Nov.9th from 230 to 430 to further discuss with EEI members. Let me know if you would like to participate. In the meanwhile if you have any comments on the draft Into definition I circulated, please get me our comments as soon as possible. I will be meeting with the traders later today to discuss with them.

Thanks for everybody's help on this project. The end may be near. ----- Forwarded by Elizabeth Sager/HOU/ECT on 11/03/99 03:05 PM -----

"Andy Katz" <AKatz@eei.org> on 11/02/99 04:11:13 PM Please respond to "Wholesale Electric Contract Standardization Group" <contract@ls.eei.org> To: "Wholesale Electric Contract Standardization Group" <contract@ls.eei.org> cc: (bcc: Elizabeth Sager/HOU/ECT) Subject: Standardized Master Purchase and Sale Agreement

The attached Master Purchase and Sale Agreement represents the culmination of a tremendous effort by the Standard Contract Working Group and Drafting Committee. Every effort has been made to be as inclusive in the process of creating this document as possible. Many compromises were made in creating this contract and is not necessarily everyone's ideal agreement. Nevertheless, the contract should be a workable tool that hopefully will benefit the power market. A clean and redline version of the contract are attached. They were prepared by the Drafting Committee and every effort was made to include comments received during and since the September 24 meeting at EEI.

At this stage of the initiative, it would not be productive to circulate non-substantive comments (word smithing/formatting). On the other hand, it would be useful to send any substantive comments or questions about the mechanics of the contract and how the contract language might apply under certain scenarios. The best forum to respond to your questions or comments will be the November 17 Power Marketing Transactions conference in Washington, D.C. Accordingly, it would be helpful to tailor your comments to the conference program. Questions, comments, and hypotheticals could be worked into the panel discussions. Moreover, many of your colleagues from the Working Group will be on the panels or attending the conference. For your convenience, a copy of the conference program is attached. Send your comments to either Patty Dondanville, pdondanville@schiffhardin.com, or David Perlman, dmpperlman@pwrsrc.com

Feel free to contact me if you have any questions.

Andrew S. Katz, Senior Attorney Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org

- oct31clean.rtf - oct31red.rtf - Pwrmtkt2.pdf

Message 158 of 230

FW: draft of comments on Reporting Requirements NOPR

Sender	elizabeth.sager@enron.com
Recipients	['susan.lindberg@enron.com', 'harlan.murphy@enron.com']
File	sager-e/sent_items/65.

Susan Looks like there is alot of work needed on Cathy's draft. I'm working this weekend and hopefully we all can meet on Monday. Meanwhile can you get from John anything in writing that we used in connection with opposing the Bingham bill. Those arguments would be very helpful to maybe repeat in the FERC response

-----Original Message-----

From: Shelk, John Sent: Fri 9/28/2001 3:34 PM To: Lindberg, Susan; Comnes, Alan; Sager, Elizabeth; Novosel, Sarah; Alvarez, Ray; Robertson, Linda; Roan, Michael; Nicolay, Christi L.; Yoho, Lisa Cc: Murphy, Harlan Subject: RE: draft of comments on Reporting Requirements NOPR

Answering Susan's question, the EPMI's draft comments on the reporting requirement NOPR are in fact consistent with our position on the Bingham bill. As initially drafted, that bill would essentially require FERC to do what it proposes in this NOPR to under its existing discretionary authority. We have used many of the arguments in the draft comments in our discussions against this aspect of the Bingham draft.

-----Original Message-----

From: Lindberg, Susan Sent: Thursday, September 27, 2001 10:47 AM To: Comnes, Alan; Sager, Elizabeth; Novosel, Sarah; Alvarez, Ray; Shelk, John; Robertson, Linda; Roan, Michael; Nicolay, Christi L.; Yoho, Lisa Cc: Murphy, Harlan Subject: FW: draft of comments on Reporting Requirements NOPR

Attached is a draft of EPMI's comments on the Reporting Requirements NOPR. Alan Comnes and I will be working with ENA Legal on some revisions to the draft and will circulate those revisions within the next few days. Of course we would welcome your comments at any time. John, I assume this is consistent with our position on the Bingham bill but let us know if anything needs to be changed.

EPMI's comments are due next Friday, October 5.

Susan Lindberg 713.853.0596

-----Original Message-----

From: Catherine McCarthy [<mailto:CPMCCART@LLGM.COM>] Sent: Wednesday, September 26, 2001 4:25 PM To: Murphy, Harlan; Lindberg, Susan Cc: Samuel Backfield; Samuel Behrends Subject: EPMI Comments.DOC

Attached are the draft comments. I apologize for the delay. We were distracted by the FERC meeting - exciting day. You all must be happy about the Commission's discussions on RTOs but uncertain about the market power initiatives.

Please call Sam or me with any comments on the filing.

Thank you,

Cathy

Catherine P. McCarthy LeBoeuf, Lamb, Greene & MacRae, LLP 1875 Connecticut Avenue, NW Washington, DC 20009
(202) 986-8253 cpmccart@llgm.com

This e-mail, including attachments, contains information that is confidential and may be protected by the attorney/client or other privileges. This e-mail, including attachments, constitutes non-public information intended to be conveyed only to the designated recipient(s). If you are not an intended recipient, please delete this e-mail, including attachments, and notify me. The unauthorized use, dissemination, distribution or reproduction of this e-mail, including attachments, is prohibited and may be unlawful.

Message 159 of 230

RE: Sysco Energy Services and Sales Agreement

Sender	bradmonovich@lockeliddell.com
Recipients	['bswanstrom@lockeliddell.com', 'taylor.terry@corp.sysco.com', 'pthompson@akllp.com', 'hgutier@enron.com', 'ch...]
File	sager-e/all_documents/797.

At Bill's request, I am attaching his comments to the latest draft of the agreement. Barbara

Barbara H. Radmonovich Locke Liddell & Sapp LLP 600 Travis 3300 Chase Tower Houston, Texas 77002 713/226-1310
FAX: 713/223-3717 bradmonovich@lockeliddell.com <mailto:bradmonovich@lockeliddell.com>

-----Original Message-----

From: Swannstrom, Bill Sent: Tuesday, May 22, 2001 5:13 AM To: 'Thompson, Peter J.'; taylor.terry@corp.sysco.com; katz.aaron@corp.sysco.com; Swannstrom, Bill Cc: Chuck Randall (E-mail); Hector Gutierrez (E-mail); Debbie Asmus (E-mail); Mike Smith (E-mail); Chris Riley (E-mail); elizabeth.sager@enron.com; Radmonovich, Barbara Subject: RE: Sysco Energy Services and Sales Agreement

The following are my thoughts on the draft (without discussion with Sysco):

1.? In Section 1.3.2, why should curtailed usage be applied towards Excess Usage?? How is EESI at risk if Actual Usage (not including curtailed energy) is within the permitted band?? Same comment in Section 2.2.4.

2.????? In Section 3.5, if we don't elect to treat the Facility as a Closed Facility for purposes of Schedule 2.0 within 24 months, your draft would have us making Deficiency Usage payments forever, which is inconsistent with the rationale you provided for requiring a 24 month cut-off.? We assumed that after 24 months, if we didn't make an election, we would be required to make an Early Termination Payment.

3.????? In Section 3.6, I will send some changes that reflect the fact that we can substitute a Closed Facility with multiple Substitute Facilities, so long as we bear any additional costs (which I think is what we discussed).? Also, in the last sentence of that Section, we had discussed treating Excess and Deficiency Usage situations the same as we usually do,

which means that EESI might end up owing Sysco money for such Usage.? I'll send proposed changes on this point.

4.????? In Section 4.6, the language you deleted still needs to apply to (b)(iii), unless EESI is willing to agree to continue to be obligated.

I'll follow up with a mark-up later.

Thanks.

H. William Swanstrom Locke Liddell & Sapp LLP bswanstrom@lockeliddell.com <mailto:bswanstrom@lockeliddell.com> (713) 226-1143 ?

-----Original Message-----

From: Thompson, Peter J. [mailto:pthompson@akllp.com] Sent: Tuesday, May 22, 2001 12:02 AM To: taylor.terry@corp.sysco.com; katz.aaron@corp.sysco.com; bswanstrom@lockeliddell.com Cc: Chuck Randall (E-mail); Hector Gutierrez (E-mail); Debbie Asmus (E-mail); Mike Smith (E-mail); Chris Riley (E-mail); elizabeth.sager@enron.com Subject: Sysco Energy Services and Sales Agreement

??? ??????? Pursuant to the request of our client, Enron Energy Services, Inc., attached please find a clean copy of the most recent draft of the Sysco Energy Services and Sales Agreement (second document below), as well as a blackline (first document below) showing changes to the version sent to Sysco on May 18.? The 80% of Anticipated Usage concept could not be included in Section 3.5 due to time constraints.? Section 3.5 will be revised to include such concept and provided as soon as possible. ?<<Sysco Energy Sales and Service Agt - 5/21 blackline.DOC>>? <<Last Energy Sales Agreement to Sysco.DOC>>

? - 52201 redline Energy Sales Agreement to Sysco1.DOC

Message 160 of 230

FW: Master Netting Agreements and Prior Physical Gas Receivable

Sender	lisa.mellencamp@enron.com
Recipients	[elizabeth.sager@enron.com]
File	sager-e/inbox/162.

more fun

-----Original Message-----

From: Ephross, Joel Sent: Monday, October 15, 2001 10:50 AM To: Cook, Mary; Proffitt, Tim Cc: Taylor, Mark E (Legal); Mellencamp, Lisa Subject: RE: Master Netting Agreements and Prior Physical Gas Receivable Financing

Since all receivables that meet the definition of Receivables are transferred from ENA to Sweet's [the first step in the 2 step sale process to ASCC], I think what we need to consider is a mechanism to remove account obligors from the program as we execute new master netting agreements [and also carve out PGE going forward]. This may entail an amendment to the Transfer Agreement between ENA and Sweet's to carve out whatever is on a schedule, and have ENA change that schedule from time to time....I will need to consider in light of Sweet's being a QSPE, and the "brain dead" characteristics of Sweet's.

-----Original Message-----

From: Cook, Mary Sent: Monday, October 15, 2001 10:36 AM To: Proffitt, Tim; Ephross, Joel Cc: Taylor, Mark E (Legal) Subject: RE: Master Netting Agreements and Prior Physical Gas Receivable Financing

I will discuss this with Lisa Mellencamp and with Mark Taylor at 11 today and get back to you.

-----Original Message-----

From: Proffitt, Tim Sent: Monday, October 15, 2001 10:22 AM To: Ephross, Joel; Cook, Mary; Taylor, Mark E (Legal); Hodge, Jeffrey T.; Bradford, William S.; St. Clair, Carol; Sager, Elizabeth; Murphy, Harlan Cc: Rohauer, Tanya; Herron,

Chris Subject: RE: Master Netting Agreements and Prior Physical Gas Receivable Financing

Joel you are right, PG&E accounted for 3,340,000/167,000,000 th's of ASCC's interest in the receivables.

-----Original Message-----

From: Ephross, Joel Sent: Monday, October 15, 2001 10:20 AM To: Cook, Mary; Taylor, Mark E (Legal); Proffitt, Tim; Hodge, Jeffrey T.; Bradford, William S.; St. Clair, Carol; Sager, Elizabeth; Murphy, Harlan Cc: Rohauer, Tanya; Herron, Chris Subject: RE: Master Netting Agreements and Prior Physical Gas Receivable Financing

According to the monthly settlement report for September, PG&E Corporation had a balance of \$8,676,000 for physical gas receivables, a concentration limit of \$3,340,000 and an excess concentration limit of \$5,336,000 -- I assume that the amount reflected in the concentration limit was included in determining ASCC's ownership interest in the pool of receivables, and that the assumption below is incorrect.

-----Original Message-----

From: Cook, Mary Sent: Monday, October 15, 2001 10:10 AM To: Ephross, Joel; Taylor, Mark E (Legal); Proffitt, Tim; Hodge, Jeffrey T.; Bradford, William S.; St. Clair, Carol; Sager, Elizabeth; Murphy, Harlan Cc: Rohauer, Tanya Subject: Master Netting Agreements and Prior Physical Gas Receivable Financing

I assume, unless I hear from Joel or Tim to the contrary, that none of the PGE Entities receivables were included in the referenced financing, and therefore, the financing does not relate to the master netting agreement between the PGE Entities and various Enron entities.

At this time no further master netting agreements should be implemented without coordination with Ephross on these issues in respect of the inclusion of physical gas contracts.

Cordially, Mary Cook Enron North America Corp. 1400 Smith, 38th Floor, Legal Houston, Texas 77002-7361 (713) 345-7732 (713) 646-3393 (fax) mary.cook@enron.com

Message 161 of 230

Fwd: Revised Documents

Sender	jklauber@llgm.com
Recipients	['Christian Yoder' <cyoder@ect.enron.com>, 'Elizabeth Sager', 'elizabeth.sager@enron.com', 'cyoder@ect.enron.c...
File	sager-e/all_documents/3302.

Christian & Elizabeth: here is a copy of the 3/23 draft of the CDWR contract. I'll also forward a copy of the 3/27 draft which reflected some additional changes. I'll check further but we really had not reached closure on those additional items., although most of them were in CDWR's "favor." Thanks John

John Klauber LeBoeuf, Lamb, Greene & MacRae, L.L.P. 212 424-8125 jklauber@llgm.com

This e-mail, including attachments, contains information that is confidential and may be protected by the attorney/client or other privileges. This e-mail, including attachments, constitutes non-public information intended to be conveyed only to the designated recipient(s). If you are not an intended recipient, please delete this e-mail, including attachments, and notify me. The unauthorized use, dissemination, distribution or reproduction of this e-mail, including attachments, is prohibited and may be unlawful.

Content-Transfer-Encoding: 7bit Date: Thu, 10 May 2001 09:41:41 -0400 From: "MICHAEL DIDRIKSEN" <MDIDRIKSEN@LLGM.COM> To: "JOHN KLAUBER" <JKLAUBER@LLGM.COM> Subject: Fwd: Revised Documents MIME-Version: 1.0 Content-Type: multipart/mixed; boundary="=_1D46D028.58393AD0"

As discussed.

Michael Didriksen LeBoeuf, Lamb, Greene & MacRae, L.L.P. 125 West 55th Street New York, NY 10019 (212)424-8352 fax: (212)424-8500 mdidriksen@llgm.com Content-Transfer-Encoding: 7bit Date: Fri, 23 Mar 2001 15:43:15 -0500 From: "JOHN G KLAUBERG" <JKLAUBER@LLGM.COM> To: "John Pirog" <jpirog@water.ca.gov> cc: "Christian Yoder" <cyoder@ect.enron.com>, "Elizabeth Sager" <Elizabeth.Sager@enron.com>, "MICHAEL W E DIDRIKSEN" <MDIDRIKSEN@LLGM.COM> Subject: Revised Documents MIME-Version: 1.0 Content-Type: multipart/mixed; boundary="=_1D46D028.59383BD1"

John: Following up on your voice mail, attached are revised drafts of the Confirm and the Master Agreement. Please note that, as you may recall, Elizabeth Sager is out of town today and I have not been able to catch up with her to get her views on the things set forth in your e-mail to me, or with Christian. However, we had a brief conversation after our call yesterday about some of the points on your "list" and I have tried to generally work with what you have proposed on a few of the points in light of my conversations with Elizabeth and Christian. Since I have to leave the office within an hour or so today, I thought I would forward some proposed language on some of the points for your consideration with the hope of expediting the process. These drafts, therefore, are subject to Enron's review and comment.

Please call me if you wish to discuss.

John

"This e-mail, including attachments, contains information that is confidential and it may be protected by the attorney/client or other privileges. This e-mail, including attachments, constitutes non-public information intended to be conveyed only to the designated recipient(s). If you are not an intended recipient, please delete this e-mail, including attachments and notify me by return mail, e-mail or by phone at 212 424-8125. The unauthorized use, dissemination, distribution or reproduction of the e-mail, including attachments, is prohibited and may be unlawful.

John Klauber LeBoeuf, Lamb, Greene & MacRae, L.L.P. 212 424-8125 jklauber@llgm.com

- CDWR-Mast.doc.rtf - Confirm1.rtf - MICHAEL DIDRIKSEN.vcf

Message 162 of 230

Fw: What Can We Do to Help?	
Sender	jeffjoylee@earthlink.net
Recipients	['duconge.sarah@enron.com', 'trout.zoe@enron.com', 'ott.sarah@enron.com']
File	sager-e/inbox/236.

Hello Brownie Families, Below is an e-mail from our local Girl Scout council. It provides links and suggestions about discussing the recent terrorism with children. I pass it on as a potential resource for you. There are also ideas for ways we might provide service to help out. Joy Lee

Sent: Friday, September 14, 2001 7:17 AM Subject: What Can We Do to Help?

This is from Council. ++++++ Dear members of the Girl Scout family: Thank you for all of your thoughts and prayers for our sister Girl Scouts and fellow Americans in New York and Washington, D.C. The Council has received a number of calls from troop leaders and parents seeking advice on how to work with the girls in the Girl Scout setting related to the terrorism coverage. Many leaders are interested in identifying service projects as well. We have asked the national organization for guidance on projects we can adopt that can support the relief efforts and healing process. We will let you know if there is a national project adopted. In the meantime, there are things you can do in this community to help the girls be pro-active, such as: 1 Make thank you cards for your local firefighters, police officers, and medical professionals. 2 Bake and take cookies to firefighters and police officers. 3 Donate stuffed animals to fire stations. 4 Learn about local blood banks and the importance of donating blood year-round. We will continue to post ideas to the Council web site - www.gssjc.org. Continue to check the web site for more information. If you have an idea, let us hear about it. The following e-mail was received by the Council from the United Way of the Texas Gulf Coast and is an excellent guide and reference for working with children during this time: Subject: FW: Talking with Children about Terrorism and War Today's events will certainly be in news for quite some time, and many of our lives may be disrupted in different ways for a long time. As many of

US

watch the news and talk to others about the days events, our children will certainly notice that something is going on. Parents may want to talk with older children about the days events and

what

it might mean, but young children (under the age of 7 or 8) may be

disturbed

by witnessing scenes of destruction on television or by listening in on adult conversations. It may not be unusual if some young children react

by

being more clinging, seeming a bit more concerned, or having difficulty at bedtime. Although it might be important to allow older children to participate in viewing and talking about the news, it might be wise to limit young children's exposure to TV news. It is important that young children be reassured about their own safety

and

the safety of their parents and loved ones. Subtle changes in parent's

moods

and behaviors can have an affect on children especially if they witness reactions in their parents that they have not seen before. Be prepared to spend extra time with children if necessary, and continue normal routines and activities. Use the opportunity to explain how and

why

people are reacting the way they are. In the days that come, we may be witness to preparations for retaliation (or at least threats of retaliation). Certain groups of people may be identified as terrorists. It will be a challenge for all of us to remind ourselves and our children that we value peace. For more information and suggestions on how to talk with your children about the today's events and the events in the coming days, see: Talking to Kids About War AboutOurKids.org New York University Child Study Center <http://www.aboutourkids.org/articles/war.htm> <http://www.aboutourkids.org/articles/war.htm> Talking About Conflict and War The Learning Network <http://www.familyeducation.com/article/0,1120,20-6055,00.html> <http://www.familyeducation.com/article/0,1120,20-6055,00.html> Talking with Children about War - Pointers for Parents The Learning Network <http://www.familyeducation.com/article/0,1120,1-4412,00.html> Talking with Kids about the News Children Now <http://www.childrennow.org/television/twk-news.htm>

===== Aaron T. Ebata, Ph.D. Associate Professor and Extension Specialist Department of Human & Community Development University of Illinois Extension Sharon M. Donovan, Ph.D., R.D. Director, Division of Nutritional Sciences <http://www.nutrsci.uiuc.edu> Professor of Nutrition Dept. of Food Science & Human Nutrition <<http://www.fshn.uiuc.edu>> Adjunct Professor of Pediatrics, College of Medicine University of Illinois 449 Bevier Hall 905 S. Goodwin Avenue Urbana, IL 61801 phone: (217) 333-2289 or 333-4177 (secretary) fax: (217) 333-9368

Message 163 of 230

Fwd: Proposed Draft for an EEI Collateral Annex

Sender	shari.stack@enron.com
Recipients	['janet.moore@enron.com', 'leslie.hansen@enron.com', 'janice.moore@enron.com', 'elizabeth.sager@enron.com']
File	sager-e/epmi___power/14.

Elizabeth asked me to let you all know that MS has proposed to have a conf. call on the 14th to discuss their draft Collateral Support Annex. We plan to participate. Please email me any comments you may have - in advance of the 14th of course!

Thank you,

Shari

----- Forwarded by Shari Stack/HOU/ECT on 12/08/2000 05:37 PM -----

Elizabeth Sager 11/27/2000 11:28 AM

To: Leslie Hansen/HOU/ECT@ECT, Shari Stack/HOU/ECT@ECT, David Portz/HOU/ECT@ECT, Janice R Moore/HOU/ECT@ECT, Janet H Moore/HOU/ECT@ECT, Christian Yoder/HOU/ECT@ECT, Genia

FitzGerald/HOU/ECT@ECT, Tracy Ngo/PDX/ECT@ECT, Edward Sacks/Corp/Enron@Enron, William S Bradford/HOU/ECT@ECT cc: Subject: Fwd: Proposed Draft for an EEI Collateral Annex

At the last EEI meeting there was a strong interest in beefing up the collateral provisions of the EEI (what a great idea). Bill McCoy at Morgan Stanley was asked to prepare the first draft, a copy of which I am forwarding to you for your review. Please review and let either Shari or I know if you have any comments or thoughts - while EEI's message does not indicate when comments are due (I have a call into EEI but have not yet heard back), I have asked Shari to help coordinate all comments so we can get back in touch with EEI within the next week or so. Thanks for your input. ----- Forwarded by Elizabeth Sager/HOU/ECT on 11/27/2000 11:18 AM -----

"Andy Katz" <AKatz@eei.org> 11/27/2000 10:37 AM

To: <fmdutton@aep.com>, <hemu@dynegy.com>, <elizabeth.sager@enron.com>, <mroger3@entergy.com>, <wfhenze@jonesday.com>, <dperلمان@powersrc.com>, <rosteen@powersrc.com>, <drusso@reliantenergy.com>, <pdondanville@schiffhardin.com>, <babak.pooya@southernenergy.com> cc: <Fhilton@aep.com>, <Lrgroff@aep.com>, <memclendon@duke-energy.com>, <rsbaker@duke-energy.com> Subject: Fwd: Proposed Draft for an EEI Collateral Annex

To All:

Bill McCoy has completed an initial draft of a credit annex for consideration by the drafting committee and interested working group participants. If you provide your comments to me, I'll circulate them. Bill is willing to have a conference call to discuss when everyone is ready.

Andrew S. Katz, Director Industry Legal Affairs Edison Electric Institute 701 Pennsylvania Avenue, N.W. Washington, D.C. 20004 Voice: 202-508-5616 Fax: 202-508-5673 e-mail: akatz@eei.org Received: from pivsbh1.ms.com by mail.eei.org; Fri, 24 Nov 2000 15:28:47 -0500 Received: (from uucp@localhost) by pivsbh1.ms.com (8.9.3/fw v1.30) id PAA05635 for <AKatz@eei.org>; Fri, 24 Nov 2000 15:27:57 -0500 (EST) Received: from localhost(127.0.0.1) by pivsbh1 via smap (4.1) id sma.9750976711.005572; Fri, 24 Nov 00 15:27:51 -0500 Received: (from uucp@localhost) by pivsbh1.ms.com (8.9.3/8.9.3(vs)) id PAA05566 for <AKatz@eei.org>; Fri, 24 Nov 2000 15:27:50 -0500 (EST) X-Authentication-Warning: pivsbh1.ms.com: Processed from queue /var/spool/mqueue-vs X-Authentication-Warning: pivsbh1.ms.com: Processed by uucp with -C /etc/mail/sendmail.vs.cf Received: from hqsmh2.ms.com(144.14.70.179) by pivsbh1 via smap (4.1) id sma.9750976681.005562; Fri, 24 Nov 00 15:27:48 -0500 Received: from msdw.com (bmccoypc.morgan.com [144.14.40.37]) by hqsmh2.ms.com (8.8.5/imap+ldap v2.4) with ESMTP id PAA21970; Fri, 24 Nov 2000 15:27:47 -0500 (EST) Message-ID: <3A1ECF44.BA40A978@msdw.com> Date: Fri, 24 Nov 2000 15:27:48 -0500 From: William McCoy <William.McCoy@msdw.com> Reply-To: William.McCoy@msdw.com Organization: Morgan Stanley Dean Witter & Co. X-Mailer: Mozilla 4.7 [en]C-CCK-MCD (WinNT; U) X-Accept-Language: en,ja MIME-Version: 1.0 To: Andy Katz <AKatz@eei.org> CC: Edward J Zabrocki <Ed.Zabrocki@msdw.com> Subject: Proposed Draft for an EEI Collateral Annex Content-Type: multipart/mixed; boundary="-----E36A7CD4CD12DC11F94F8638"

Andy, As discussed, heer is MSDW's proposal for a draft version of a Collateral Annex that can be used in connection with the EEI Agreement (it would be advisable for a clause to be included in the EEI cover sheet incorporating the collateral annex by reference). We are offering this draft as a starting point for the industry's efforts to develop an EEI Collateral Annex. Please feel free to distribute it and let Ed or me know if you would like to have a conference call with others to determine the next steps in getting feedback. Bill McCoy

-- This e-mail, and any attachments hereto, is intended only for use by the addressee(s) named herein and may contain legally privileged and/or confidential information. If you are not the intended recipient of this e-mail, you are hereby notified that any dissemination, distribution or copying of this e-mail, and any attachments hereto, is strictly prohibited. If you have received this e-mail in error, please immediately notify me by reply e-mail and permanently delete all copies of this e-mail and destroy any printouts of it.

- EEI Collateral Annex version 2 - 112400.doc - Andy Katz.vcf

Message 164 of 230

August 10, 2001 Meeting

Sender	elizabeth.sager@enron.com
Recipients	[alice.wright@enron.com]
File	sager-e/sent_items/292.

While I'm still making plans, go ahead and reserve room for August 9, 10, 11. thanks ----- Forwarded by Elizabeth Sager/HOU/ECT on 06/11/2001 04:04 PM -----

"WINNIE HOWARD" <HOWARD@wrightlaw.com> 06/11/2001 02:52 PM To: <elizabeth.sager@enron.com>, <jhartso@enron.com> cc: Subject: August 10, 2001 Meeting

We have set up a meeting at the Broadmoor Hotel in Colorado Springs:

The Broadmoor Hotel 1 Lake Avenue Colorado Springs, CO 80906 719-577-5777

The meeting will run from 8:00 a.m. - 2:00 p.m. on August 10.

Please note that the WSPP has guaranteed 10 rooms at the rate of \$269.00/night. [Other rooms will also be available.] You need to reserve by July 16, 2001 or the WSPP will be charged. Please refer to the Western Systems Power Pool in making your arrangements.

Message 165 of 230

August 10, 2001 Meeting

Sender	elizabeth.sager@enron.com
Recipients	[alice.wright@enron.com]
File	sager-e/all_documents/1060.

While I'm still making plans, go ahead and reserve room for August 9, 10, 11. thanks ----- Forwarded by Elizabeth Sager/HOU/ECT on 06/11/2001 04:04 PM -----

"WINNIE HOWARD" <HOWARD@wrightlaw.com> 06/11/2001 02:52 PM

To: <elizabeth.sager@enron.com>, <jhartso@enron.com> cc: Subject: August 10, 2001 Meeting

We have set up a meeting at the Broadmoor Hotel in Colorado Springs:

The Broadmoor Hotel 1 Lake Avenue Colorado Springs, CO 80906 719-577-5777

The meeting will run from 8:00 a.m. - 2:00 p.m. on August 10.

Please note that the WSPP has guaranteed 10 rooms at the rate of \$269.00/night. [Other rooms will also be available.] You need to reserve by July 16, 2001 or the WSPP will be charged. Please refer to the Western Systems Power Pool in making your arrangements.

Message 166 of 230

Re: Tennis Anyone?

Sender	elizabeth.sager@enron.com
Recipients	[carol.clair@enron.com]
File	sager-e/all_documents/58.

Hi Carol

My home number is 713 864 4023 - weekends would work fine so give me a call any time.

This heat is unbelievable. I've become weak in body and have recently only played inside at the Met - I'm playing this weekend outside for the first time in weeks - I'll probably get killed. Just FYI I will be out of town next weekend but around after that. Anytime you want to play, just give me a call.

Lucky you - as I struggle at my desk dealing with the fallout from extreme volatility in Western power prices, I can think of nothing more pleasant then holding a newborn (they never cry and don't eat that much - right?), luxuriously watching the drama unfold at the US Open. Go Davenport. Lets hope Martina fares as well.

Hope all is well and I'll talk to you soon.

Elizabeth 36349

Message 167 of 230

SPSA	
Sender	david.portz@enron.com
Recipients	['elizabeth.sager@enron.com']
File	sager-e/all_documents/927.

I'm providing you this to keep you informed on the marketing services deal being pitched to the operator of a Norfolk VA. garbage burning facility. Below are a letter of intent and attached term sheet being made into clean copies and circulated this evening to SPSA for their review and signature. Heather Hearn and the 'Services Desk' folks are involved. It is interesting -- please come back to me with any questions you may have. --David

----- Forwarded by David Portz/HOU/ECT on 06/05/2001 06:06 PM -----

David Portz 06/05/2001 05:58 PM

To: Elizabeth Johnston/ENRON@enronXgate@ENRON cc: Subject: Re: SPSA

For your review. -David

Elizabeth Johnston/ENRON@enronXgate 06/05/2001 04:33 PM

To: David Portz/HOU/ECT@ECT cc: Subject: SPSA

Elizabeth Johnston East Power Origination 1400 Smith Street EB3111b Houston, TX 77002 713-853-5888

Message 168 of 230

November 20, 2000 Executive Committee meeting	
Sender	elizabeth.sager@enron.com
Recipients	['brenda.whitehead@enron.com']
File	sager-e/sent/159.

reservations for the 19th ----- Forwarded by Elizabeth Sager/HOU/ECT on 10/30/2000 10:51 AM -----

"WINNIE HOWARD" <HOWARD@wrightlaw.com> 09/26/2000 10:46 AM

To: <elizabeth.sager@enron.com>, <jhartso@enron.com>, <sstack@enron.com> cc: Subject: November 20, 2000 Executive Committee meeting

On November 20, 2000, from 9:30 a.m. to noon, there will be an Executive Committee meeting in San Diego. The purpose of the meeting will be to vote on the latest contract revisions and to elect new officers. If any member has any additional matters for the agenda, please let me know. An agenda will be circulated shortly. The contract revisions will be on the WSPP homepage (www.wspp.org). The meeting will be at the following location:

Sheraton San Diego Hotel & Marina 1380 Harbor Island Drive San Diego, CA 92101 (619) 291-2900

Please RSVP with my secretary Winnie Howard (Howard@wrightlaw.com), if you plan to attend.

Message 169 of 230

Re: FW: August 10, 2001 Meeting - Call if you will

Sender	elizabeth.sager@enron.com
Recipients	[christian.yoder@enron.com]
File	sager-e/sent_items/291.

done ... and not just that; I'm cruising the internet, investigating the Broadmoor's "professional" tennis camp for the weekend of August 10, 11, 12 and booking rooms. I asked for 4. How's your game?

In the meanwhile I've been trying to call you but I can't get through to Portland. Is it raining there? Give me a call.

Christian Yoder/ENRON@enronXgate 06/11/2001 04:10 PM To: Elizabeth Sager/HOU/ECT@ECT cc: Subject: FW: August 10, 2001 Meeting

Don't forget to book the court at the same time as the room! ----cgy

-----Original Message-----

From: "WINNIE HOWARD" <HOWARD@wrightlaw.com>@ENRON Sent: Monday, June 11, 2001 12:52 PM To: cyoder@ect.enron.com; hkrebs@ect.enron.com Subject: August 10, 2001 Meeting

We have set up a meeting at the Broadmoor Hotel in Colorado Springs:

The Broadmoor Hotel 1 Lake Avenue Colorado Springs, CO 80906 719-577-5777

The meeting will run from 8:00 a.m. - 2:00 p.m. on August 10.

Please note that the WSPP has guaranteed 10 rooms at the rate of \$269.00/night. [Other rooms will also be available.] You need to reserve by July 16, 2001 or the WSPP will be charged. Please refer to the Western Systems Power Pool in making your arrangements.

Message 170 of 230

Re: FW: August 10, 2001 Meeting - Call if you will

Sender	elizabeth.sager@enron.com
Recipients	[christian.yoder@enron.com]
File	sager-e/all_documents/1064.

done ... and not just that; I'm cruising the internet, investigating the Broadmoor's "professional" tennis camp for the weekend of August 10, 11, 12 and booking rooms. I asked for 4. How's your game?

In the meanwhile I've been trying to call you but I can't get through to Portland. Is it raining there? Give me a call.

Christian Yoder/ENRON@enronXgate 06/11/2001 04:10 PM

To: Elizabeth Sager/HOU/ECT@ECT cc: Subject: FW: August 10, 2001 Meeting

Don't forget to book the court at the same time as the room! ----cgy

-----Original Message-----

From: "WINNIE HOWARD" <HOWARD@wrightlaw.com>@ENRON Sent: Monday, June 11, 2001 12:52 PM To: cyoder@ect.enron.com; hkrebs@ect.enron.com Subject: August 10, 2001 Meeting

We have set up a meeting at the Broadmoor Hotel in Colorado Springs:

The Broadmoor Hotel 1 Lake Avenue Colorado Springs, CO 80906 719-577-5777

The meeting will run from 8:00 a.m. - 2:00 p.m. on August 10.

Please note that the WSPP has guaranteed 10 rooms at the rate of \$269.00/night. [Other rooms will also be available.] You need to reserve by July 16, 2001 or the WSPP will be charged. Please refer to the Western Systems Power Pool in making your arrangements.

Message 171 of 230

RESUME

Sender	michelle.cash@enron.com
Recipients	['barbara.gray@enron.com', 'diane.goode@enron.com', 'sheila.tweed@enron.com', 'jeffrey.hodge@enron.com', 'moll...]
File	sager-e/all_documents/3192.

Attached is a resume from Les Adams, who is a friend of Bob Williams. He saw the ad in the Texas Lawyer and contacted Bob about how to apply. His resume does not indicate law school grades, but when I asked, he said he doesn't remember specifically since it has been 20 years, but that he seems to recall a B average, which was around top 20%.

Let me know if you want to talk with this applicant.

Michelle

Michelle Cash Enron North America Corp. 1400 Smith Street, EB 3823 Houston, Texas 77002 (713) 853-6401
michelle.cash@enron.com

This message may contain confidential information that is protected by the attorney-client and/or work product privileges.

----- Forwarded by Michelle Cash/HOU/ECT on 04/25/2001 05:06 PM -----

LeslieWmAdams@aol.com 04/25/2001 03:49 PM

To: Michelle.Cash@enron.com cc: Subject: RESUME

Dear Michelle:

As we discussed, Bob Williams indicated that you would be willing to review my resume for the wholesale marketing position you are trying to fill. ?In my experience with The Coastal Corporation prior to the merger, I handled a very diverse range of marketing issues, from antitrust to collections, and have drafted marketing contracts for everything from coal to catalyst (and of course, oil and gas).

I have attached a resume and cover letter. ?Please don't hesitate to call if I can provide you with any more information.

Regards,

Les Adams - RESUMELWAnoref.ZIP

Message 172 of 230

ISDA Energy Conference	
Sender	brenda.whitehead@enron.com
Recipients	['elizabeth.sager@enron.com', 'losullivan@isda.org']
File	sager-e/notes_inbox/490.

per Elizabeth Sager's requests, attached are her revisions to your agenda.

----- Forwarded by Brenda Whitehead/HOU/ECT on 12/11/2000 01:50 PM -----

Elizabeth Sager 12/11/2000 12:01 PM

To: Brenda Whitehead/HOU/ECT@ECT cc: Subject: ISDA Energy Conference

----- Forwarded by Elizabeth Sager/HOU/ECT on 12/11/2000 12:05 PM -----

"Liz O'Sullivan" <LOSULLIVAN@isda.org> 11/27/2000 02:49 PM

To: "elizabeth.sager@enron.com" <elizabeth.sager@enron.com> cc: Subject: ISDA Energy Conference

Elizabeth:

ISDA is holding an Energy conference on March 6th, 2001 at The Four Seasons Hotel in Houston. We would be delighted to have you speak again on the same issues you discussed at our North American Energy and Developing Products Committee meeting last October at The Regency Hyatt.

Please find attached a DRAFT agenda for the morning discussion for your information. I am in the process of finalizing the agenda and would appreciate advice on selecting bullet points to describe briefly the discussion on the Comparison of Master Agreements used in North America and Europe. I have allowed 45 minutes for the discussion (12:15 PM - 1:00 PM). In addition, we would welcome any suggestions you may have on inviting an ISDA member from a another company to help you discuss topic.

<<elizabeth.sager.doc>>

I will call you soon to discuss.

Thanks and regards, Liz

Ms. Liz O'Sullivan International Swaps and Derivatives Association, Inc. 600 Fifth Avenue - 27th Floor Rockefeller Center New York, NY 10020 (212) 332-2559

- elizabeth.sager.doc

Message 173 of 230

RE: FW: August 10, 2001 Meeting - Call if you will	
Sender	christian.yoder@enron.com
Recipients	['elizabeth.sager@enron.com']
File	sager-e/notes_inbox/7.

So great is the humor about all this WSPP stuff and the tennis backdrop that I would be willing to "come out of retirement" and enter the doubles combat zone. The thought of Clyde Durham, itinerant journeyman, former Bible School doubles player from Kansas, striding on to the court to do battle with that little runt of a Mike Small, this fuels my competitive imagination to the point of red hot coals. I need to go see my cousin in Boulder and could work something in around this event. If there is room for me to go to the WSPP meeting, not the full camp thing, and you don't mind, consider me in.

-----cg

-----Original Message-----

From: Sager, Elizabeth Sent: Monday, June 11, 2001 2:31 PM To: Yoder, Christian Subject: Re: FW: August 10, 2001 Meeting - Call if you will

done ... and not just that; I'm cruising the internet, investigating the Broadmoor's "professional" tennis camp for the weekend of August 10, 11, 12 and booking rooms. I asked for 4. How's your game?

In the meanwhile I've been trying to call you but I can't get through to Portland. Is it raining there? Give me a call.

Christian Yoder/ENRON@enronXgate 06/11/2001 04:10 PM To: Elizabeth Sager/HOU/ECT@ECT cc: Subject: FW: August 10, 2001 Meeting

Don't forget to book the court at the same time as the room! ----cgy

-----Original Message-----

From: "WINNIE HOWARD" <HOWARD@wrightlaw.com>@ENRON Sent: Monday, June 11, 2001 12:52 PM To: cyoder@ect.enron.com; hkrebs@ect.enron.com Subject: August 10, 2001 Meeting

We have set up a meeting at the Broadmoor Hotel in Colorado Springs:

The Broadmoor Hotel 1 Lake Avenue Colorado Springs, CO 80906 719-577-5777

The meeting will run from 8:00 a.m. - 2:00 p.m. on August 10.

Please note that the WSPP has guaranteed 10 rooms at the rate of \$269.00/night. [Other rooms will also be available.] You need to reserve by July 16, 2001 or the WSPP will be charged. Please refer to the Western Systems Power Pool in making your arrangements.

Message 174 of 230

New Albany Schedules

Sender	david.portz@enron.com
Recipients	[elizabeth.sager@enron.com]
File	sager-e/notes_inbox/556.

FYI.=20 ----- Forwarded by David Portz/HOU/ECT on 06/07/2001 12:58 PM -----

=09Stuart Zisman/ENRON@enronXgate =0906/07/2001 11:27 AM =09=09=20 =09=09 To: Ross Newlin/NA/Enron@Enron, Chris Meyer/ENRON@enronXgate, Jim=20 Homco/ENRON@enronXgate, Dave Kellermeyer/ENRON@enronXgate, Gus=20 Eghneim/Corp/Enron@Enron, Lloyd Will/ENRON@enronXgate, Mitch=20 Robinson/ENRON@enronXgate, Matthew F Gockerman/ENRON@enronXgate, Jeffrey=20 Keenan/ENRON@enronXgate, Kathleen Carnahan/ENRON@enronXgate, Robert H=20 George/NA/Enron@Enron, Don Miller/ENRON@enronXgate, David Portz/HOU/ECT@ECT= ,=20 Jonathan Hoff/HOU/ECT@ect, Bill Miller(IBEW)/ENRON@enronxgate, Mike J=20 Miller/ENRON@enronXgate, Jim Curry/ENRON@enronXgate, Theresa=20 Vos/ENRON@enronXgate, Ben Jacoby/ENRON@enronXgate, James=20 Murray/Corp/Enron@Enron =09=09 cc:=20 =09=09 Subject: New Albany Schedules

Please plan to attend a meeting on Monday, June 11th at 11:00am in EB 3143b= .

It is imperative that each of you participate and provide any and all input= =20 that you might have. We are in discussions with a few potential buyers for= =20 the New Albany plant and have agreed to try to reach a final agreement in t= he=20 next two weeks.

Attached are the form of Purchase and Sale Agreement (in draft form) and th= e=20 most recent version of the Schedules that are to be attached. The purpose = of=20 the meeting is to finalize the form of the Schedules. Please peruse the=20 Schedules and make any changes that you feel are necessary (please error on= =20 the side of over-disclosure). Bring your notes, comments and/or thoughts t= o=20 the meeting on Monday. If you are unable to attend in person, please call =

in=20 using the following call in information:

Call in Number: 800-713-8600

Passcode: 65186

Duration: 11:00 am =01) 1:00 pm

As an additional incentive to participate in the meeting, lunch is being=20 served.=20

Thank you in advance for your time and effort. I look forward to seeing ea= ch=20 on you on Monday.

Stuart

=20

Message 175 of 230

Another trial balloon: Edison threatens bankruptcy unless CA

Sender	steve.hall@enron.com
Recipients	['tracy.ngo@enron.com', 'christopher.calger@enron.com', 'christian.yoder@enron.com']
File	sager-e/notes_inbox/857.

SoCal Ed Exec Sees Bankruptcy If Lawmakers Reject Deal

Updated: Friday, April 20, 2001 02:54 PM?ET

? ?

LOS ANGELES (Dow Jones)--Edison International (EIX, news, msgs) unit Southern California Edison will go into bankruptcy if state legislators don't approve a deal for the state to buy the company's transmission lines, an Edison executive told reporters Friday. "It's the agreement or bankruptcy. Legislators need to understand the consequences of having no agreement," said Bob Foster, SoCal Ed's senior vice president of external affairs. "We've had almost a year of instability and chaos, and having 2-3 more years of uncertainty isn't the way to handle public policy."

?In This Article

?Symbol Last Change

?EIX 10.32 -0.66?

?PCG 8.90 +0.17?

?SRE 24.45 -0.65?

?Index

?Dow Jones 10579.85 -113.86?

?NASDAQ 2163.29 -18.85?

?

?

It wasn't immediately clear if Foster meant SoCal Ed would declare bankruptcy, or if he thought the utility would be forced into bankruptcy by creditors if legislative approval of the deal falls through. Gov. Gray Davis is having a tough time convincing legislators to accept the deal, which must have legislative backing in order to be implemented. As previously reported, several key lawmakers have said the deal would need to be heavily amended before it could pass.

The terms of the deal, signed last week by Davis and Edison International Chief Executive John Bryson, call for the state to buy SoCal Ed's 12,000 miles of transmission lines for \$2.76 billion and to allow the utility to issue bonds backed by

ratepayers so that it can recoup \$5.5 billion in unrecovered power costs. Davis told Senate Democrats Wednesday he would consider amending the agreement based on their input, and asked the lawmakers to appoint a special committee to work with his administration on possible revisions. Foster said that while small changes may be acceptable, the meat of the agreement must not change. "I'd be foolish to say you can't change a word, but the fact is that the essence of the agreement must stay the same. It's an integrated, balanced agreement and it must stay that way. If you pull something out, you need to add something in," Foster said. The deal's "essence" ensures the utility will eventually become creditworthy again, Foster said. As reported, some lawmakers have said ratepayers and taxpayers may be better off if SoCal Ed declares bankruptcy, especially now that PG&E Corp. (PCG, news, msgs) unit Pacific Gas & Electric Co. has sought bankruptcy-law protection and is no longer negotiating with the state. "I still don't see how ratepayers could be any worse off with (SoCal Ed) in bankruptcy than they would with the governor's plan," State Sen. Debra Bowen, D-Redondo Beach, said Thursday. Bowen is chairwoman of the senate energy committee. Bankruptcy would be worse than any perceived shortcomings in the SoCal Ed agreement, Foster said, and the utility will spend the next week trying to educate lawmakers on why that is so. One reason is that the state may need to purchase more "net-short" power to keep the lights on if the utility's contracts with small generators, or qualifying facilities, are rejected by a bankruptcy judge "Twenty-seven percent of our customer demand is met by qualifying facility contracts. If those get rejected, the state's net-short expands from its current 32%...Also, our distribution systems are old and require a substantial amount of investment (to keep running). If we go into bankruptcy, there'll be no investment," Foster said.

Foster said he thought legislators' skepticism about the deal was partly due to lack of knowledge about its intricacies. "I believe when members fully understand what this agreement is, they will understand it's decent and preferable to bankruptcy. The agreement is 38 pages but it's packed and requires explanation...there are real benefits here for the state," Foster said. Foster also said it wasn't yet clear whether the deal would require another rate hike on top of the 3-cent-kilowatt-hour increase passed by regulators last month. That's partly because regulators haven't yet determined how revenue from that rate hike will be divided between the utility and the state's Department of Water Resources for its power purchases. "We need to understand how the present rates will be allocated, and that depends on what the DWR is going to need. Under some assumptions we will be able to fit the deal under current rates. If we can get qualifying facility costs to a manageable level and the DWR can clearly indicate what it needs in revenue going forward, it's possible," Foster said. -By Jessica Berthold; Dow Jones Newswires; 323-658-3872; jessica.berthold@dowjones.com

Message 176 of 230

FW:	
Sender	carol.st.@enron.com
Recipients	[elizabeth.sager@enron.com]
File	sager-e/inbox/465.

Carol St. Clair EB 4539 713-853-3989 (phone) 713-646-3393 (fax) 281-382-1943 (cell phone) 8774545506 (pager) 281-890-8862 (home fax) carol.st.clair@enron.com

-----Original Message-----

From: Gilbert, George N. Sent: Wednesday, December 12, 2001 12:33 PM To: St. Clair, Carol Subject: RE:

One benefit would be customer satisfaction. We will need all the counterparties we can get when the trading floor re-opens.

The customer wants to do it because (right or wrong) he thinks it gives the bankruptcy time to "run its course."

GNG

-----Original Message-----

From: St. Clair, Carol Sent: Wednesday, December 12, 2001 12:13 PM To: Gilbert, George N. Cc: Sager, Elizabeth; Mellencamp, Lisa Subject: RE:

George: We need to be able to demonstrate some measurable benefit to Enron in doing this. Since we are not making any post-bankruptcy settlement payments, pushing the payment date back is not enough. What other benefit would there be? Why again does the customer want to do this?

Carol St. Clair EB 4539 713-853-3989 (phone) 713-646-3393 (fax) 281-382-1943 (cell phone) 8774545506 (pager)
281-890-8862 (home fax) carol.st.clair@enron.com

-----Original Message-----

From: Gilbert, George N. Sent: Wednesday, December 12, 2001 9:48 AM To: St. Clair, Carol Subject:

Carol, in regards to our discussion yesterday evening. I have a customer who wants to roll some of his hedges back a few months. We are "out of the money" on the hedges. The roll will be done where it does not change our liability. This is better for ENE because it pushes our liabilities due out into the future by about six months.

Please let me know ASAP. Thanks for your help.

GNG X35222

Message 177 of 230

RE: Credit issues	
Sender	lisa.mellencamp@enron.com
Recipients	['carol.st.@enron.com', 'elizabeth.sager@enron.com']
File	sager-e/inbox/500.

happy to talk to bill. do you want to go elizabeth??=20 -----Original Message----- From: =09St. Clair, Carol =20 Sent:=09Wednesday, December 19, 2001 4:34 PM To:=09Mellencamp, Lisa; Sager, Elizabeth Cc:=09Shackleton, Sara Subject:=09RE: Credit issues

Lisa: I have already I think "burned my bridges" with both Tanya and Debbie altho= ugh I am not entirely sure about what I did to make them act the way they a= re. It may be better if you and/or Elizabeth meet with Bill and talk gener= ally about how he wants credit issues to be handled and maybe he can shed s= ome light on what is going on.=20

Carol St. Clair EB 4539 713-853-3989 (phone) 713-646-3393 (fax) 281-382-1943 (cell phone) 8774545506 (pager)
281-890-8862 (home fax) carol.st.clair@enron.com

-----Original Message-----

From: =09Mellencamp, Lisa =20 Sent:=09Wednesday, December 19, 2001 4:30 PM To:=09St. Clair, Carol; Sager, Elizabeth Cc:=09Shackleton, Sara Subject:=09RE: Credit issues

i am thinking we should meet (i will bring the baseball bat in lyons's offi= ce). bradford, rohauer and brackett???

-----Original Message-----

From: =09St. Clair, Carol =20 Sent:=09Wednesday, December 19, 2001 4:13 PM To:=09Mellencamp, Lisa; Sager, Elizabeth Cc:=09Shackleton, Sara Subject:=09Credit issues

Lisa and Liz; I am very concerned about the way that credit is handling and coordinating = with us on margin issues. For over a week we have been waiting for them to= compile and send to us information on LC's that are due to expire at the e= nd of December. We finally received a very cryptic spreadsheet this aftern= oon which requires alot of follow up in order for us to determine what our = rights are. I get the sense that credit assumes that since we are in bankr= uptycy we will never have the right to draw on LC's that we are holding when= in fact we know that this is not necessarily true. For example, this afte= rnoon I found out that we are holding an \$8 million LC for trades done with= Enserco under an ISDA. The drawing condition is a failure to pay. Under = the ISDA, they were required to renew this LC within 20 Business days of th= e expiry date which is 12/31. If they don't renew I'm hoping that we can d= eclare an Event of Default, terminate, request payment of a termination pay= ment and if they don't pay draw. I'm not sure that by following all of the= cure periods in the ISDA we can be in a position to draw on the 31st. Tha= t's just one example. Do you have any thoughts on

this?

Carol St. Clair EB 4539 713-853-3989 (phone) 713-646-3393 (fax) 281-382-1943 (cell phone) 8774545506 (pager)
281-890-8862 (home fax) carol.st.clair@enron.com

Message 178 of 230

RE: Attached UCC and Exhibts

Sender	lisa.mellencamp@enron.com
Recipients	['elizabeth.sager@enron.com', 'robert.eickenroht@enron.com']
File	sager-e/inbox/201.

we have this. no idea of schedule right now. probably tomorrow am. waiting to hear from them.

-----Original Message-----

From: David.Burns@bakerbotts.com@ENRON
[mailto:IMCEANOTES-David+2EBurns+40bakerbotts+2Ecom+40ENRON@ENRON.com] Sent: Wednesday, October 03, 2001 4:10 PM To: Eickenroht, Robert; Mellencamp, Lisa; Sager, Elizabeth Cc: Wesley.Shields@bakerbotts.com; Elizabeth.Guffy@bakerbotts.com; Tribolet, Michael Subject: FW: Attached UCC and Exhibts

Attached is a suggested form of UCC1 financing statement for use with New Power. Note that the Tax ID numbers need to be added for the Enron parties and we need to determine if New Power is a transmitting utility. Assuming New Power is largely a power marketer, we would not want to make an affirmative election on that issue. Do you have any views on this the facts or this issue?

I assume that by now NPW has and is reading the documents. They may need turn around on these documents at a time none of us can anticipate. Please let us know when you get wind of the need. We really do want to be of help. David

Burns--Office-- 713.229.1267 Home-- 713.525.8137 Cell-- 713.385.6858 Home Fax-- 713.521.1932 My cell will take a message but I will never get it.

Guffy--Home 713.529.4490 Cell 713.815.3662

Shields--Home 713.465.6907

-----Original Message-----

From: Carney, Barbara Sent: Wednesday, October 03, 2001 3:22 PM To: Burns, David Subject: Attached UCC and Exhibts

- ENRON-New Power UCC Ex. A Collateral.DOC << File: ENRON-New Power UCC Ex. A Collateral.DOC >> -
ENRON-New Power UCC-1.PDF << File: ENRON-New Power UCC-1.PDF >>

Message 179 of 230

RE: Master Netting, Setoff and Security Agreement

Sender	elizabeth.sager@enron.com
Recipients	['carol.st.@enron.com', 'mary.cook@enron.com']
File	sager-e/sent_items/84.

I think Mary's idea is good - like with Calpine, we can just let them know that the draft is only for consideration.

Elizabeth Sager 713-853-6349

-----Original Message-----

From: Cook, Mary Sent: Wednesday, September 19, 2001 11:11 AM To: St. Clair, Carol; Sager, Elizabeth Subject: RE: Master Netting, Setoff and Security Agreement Importance: High

I am overloaded on end of quarter deals and market disruption etc. I suggest just sending out the current status of the form to begin negotiations, with the suggestion by comment that the parties may wish to develop a CSA type of attachment. Then I can catch up to you on the flip side and Tanya will see that things are moving forward. What do you think?

-----Original Message-----

From: St. Clair, Carol Sent: Wednesday, September 19, 2001 10:56 AM To: Cook, Mary; Sager, Elizabeth Subject: FW: Master Netting, Setoff and Security Agreement

Mary and Elizabeth: Tanya is desperate for me to send something to Williams and I keep putting her off. I have run out of delay tactics. Any suggestions on what I should send out?

Carol St. Clair EB 4539 713-853-3989 (phone) 713-646-8537 (fax) 281-382-1943 (cell phone) 281-890-8862 (home fax)
carol.st.clair@enron.com

-----Original Message-----

From: Keohane, Peter Sent: Tuesday, September 18, 2001 6:59 PM To: St. Clair, Carol Cc: Crawford, Sharon Subject: FW: Master Netting, Setoff and Security Agreement

It has taken some time, but attached is the for of Master Netting Agreement, blacklined and annotated to incorporate Robert Anderson's and my comments.

-----Original Message-----

From: "ROBERT ANDERSON" <robert.anderson@blakes.com>@ENRON [mailto:IMCEANOTES-+22ROBERT+20ANDERSON+22+20+3Crobert+2Eanderson+40blakes+2Ecom+3E+40ENRON@ENRON.com] Sent: Tuesday, September 18, 2001 5:50 PM To: Keohane, Peter Subject: Master Netting, Setoff and Security Agreement

Attached is a clean copy and a blacklined version

A. Robert Anderson Blake, Cassels & Graydon LLP 3500, 855 Second Street SW Calgary, AB T2P 4J8

Tel: 403.260-9624 Fax: 403.260.9700 E-mail: raa@blakes.com

This e-mail communication is confidential and legally privileged. If you are not the intended recipient, please notify me at the telephone number shown above or by return e-mail and delete this communication and any copy immediately. Thank you.

- 30389944.DOC << File: 30389944.DOC >> - 30395543.DOC << File: 30395543.DOC >>

Message 180 of 230

Re: Reliant surety bonds

Sender	janice.moore@enron.com
Recipients	['carol.clair@enron.com', 'elizabeth.sager@enron.com']
File	sager-e/notes_inbox/242.

I'm not surprised, altho for a while, it wasn't a very high priority with anyone here. I've put my file on your chair. No outside counsel has been involved to date. Regards, Janice

EB3861 Assistant General Counsel, Enron North America Corp. 713-853-1794 (Fax: 713-646-4842)

Carol St Clair 05/02/2001 09:12 AM

To: Janice R Moore/HOU/ECT@ECT cc: Subject: Re: netting agreements

Janice: Thanks. Bill was anxious to pursue the Reliant surety bond issue. Do you have a file on this? Did you consult with outside counsel and if so, who?

Carol St. Clair EB 3889 713-853-3989 (Phone) 713-646-3393 (Fax) carol.st.clair@enron.com

Janice R Moore 05/01/2001 04:31 PM

To: Carol St Clair/HOU/ECT@ECT cc: Subject: netting agreements

Here are the master netting agreements we discussed briefly this a.m. The draft sent to Calpine:

Mary's "form"

PG&E's final one

Regards, Janice

EB3811 Assistant General Counsel, Enron North America Corp. 713-853-1794 (Fax: 713-646-3490)

Message 181 of 230

Forward Contract Advice

Sender	carol.st.@enron.com
Recipients	['david.mitchell@cw.com', 'elizabeth.sager@enron.com', 'e-mail <.rick@enron.com']
File	sager-e/inbox/134.

David: We need your and your firms' assistance regarding various forward contract issues that we continually seem to face as we develop new trading products and as we deal with our existing contracts in a distressed counterparty or bankruptcy situation. I thought that it would be helpful to summarize what we need done before we talk to you. Here are the areas that we need your advice on:

1. Obtaining Forward Contract Status

a. All requirements deals b. bundled service contracts c. can only forward contract merchants terminate? If enter into single output contracts, does that affect our status as a forward contract merchant? (ewg, QF issues) d. review of Polaroid contract e. Review of EES retail contracts in general f. spot masters - are they forward contracts?

2. Termination Payments - is it considered a pre-petition or post-petition claim?

3. Utility Status - is any Enron entity a utility under the Code?

4. Swaps - can some of our "physical" contracts be recharacterized as swaps?

5. Collateral other than cash and LC's - can it be liquidated without relief from the stay?

Ed Essandoh, an attorney with EES, will be faxing to you a copy of the Energy Management Agreement that EES has with Polaroid Corporation. We would like for you to review it and give us your thoughts on whether it would qualify as a forward contract. Ed's direct dial number is 713-345-8939.

Can you contact my assistant, Sandy Haldeman, to schedule some time for Ed and I to talk to you about the above? Sandy's direct dial number is 713-345-3879. I will be out of pocket most of tomorrow morning but feel free to call Ed directly with respect to the Polaroid contract. We have assumed that your firm will not have a conflict on this but if this is a problem, please let us know.

As always David, we look forward to working with you on this. Carol St. Clair EB 4539 713-853-3989 (phone) 713-646-8537 (fax) 281-382-1943 (cell phone) 8774545506 (pager) 281-890-8862 (home fax) carol.st.clair@enron.com

Message 182 of 230

RE: Entergy Services

Sender	janice.moore@enron.com
Recipients	[william.bradford@enron.com', 'edward.sacks@enron.com', 'elizabeth.sager@enron.com']
File	sager-e/notes_inbox/864.

After you and I talked, we did these confirms and faxed them out. As for a meeting to discuss the agency issues (and, secondarily, the EEI Master), I'm asking Keegan Farrell to coordinate the schedules of the following people and set up a meeting w/ Entergy. In light of my future plans, it's not necessary for me to be there. Here are the Enron people (Keegan: get some dates/times when all of these people can meet): Elizabeth Sager Rogers Herndon Ed Sacks

The Entergy name(s) should come from Rogers. (Keegan: After you get the Enron people's schedules, if you haven't heard from Rogers, call him for the Entergy contacts, then call them and coordinate the meeting.)

Regards, Janice

EB3861 Assistant General Counsel, Enron North America Corp. 713-853-1794 (Fax: 713-646-4842)

Edward Sacks/ENRON@enronXgate 04/18/2001 09:29 AM

To: Janice R Moore/HOU/ECT@ECT, Elizabeth Sager/HOU/ECT@ECT cc: William S Bradford/ENRON@enronXgate
Subject: RE: Entergy Services

This is another one of those agencies that we have no documentation evidencing the "authority" to transact on behalf of the utilities. EPMI continues to trade a significant volume of trades in both the term and daily mkt. Given that the option premium is prepaid, we should not hold the confirm up. We do however need to arrange a time to meet with the counterparty to get everything resolved. Rogers has mentioned in the past he is available and will arrange a conference call. My calendar is open, so please let me know which atty we should be coordinating this through.

Ed Sacks

-----Original Message-----

From: Moore, Janice Sent: Wednesday, April 18, 2001 8:55 AM To: Denton, Rhonda Cc: Yoder, Christian; Sager, Elizabeth; FitzGerald, Genia; Cason, Sharen; Sacks, Edward Subject: Re: Entergy Services

If EAS is here, that would be better, b/c more likely to meet Rogers's deadline.... Has credit signed off on these deals???

Regards, Janice

EB3861 Assistant General Counsel, Enron North America Corp. 713-853-1794 (Fax: 713-646-4842)

Rhonda L Denton 04/18/2001 08:49 AM To: Janice R Moore/HOU/ECT@ECT cc: Genia FitzGerald/HOU/ECT@ECT, Christian Yoder/HOU/ECT@ECT, Sharen Cason/HOU/ECT@ECT, Elizabeth Sager/HOU/ECT@ECT Subject: Re: Entergy Services << OLE Object: StdOleLink >>

Janice, can you look at it as soon as you get off the conference call. Rogers wanted the confirms out by 9:00 this morning. Otherwise, can we get Elizabeth to look at it. Sharen dropped the language into the confirm that Shari had drafted for the previous deals with Entergy confirmed under the WSPP. We have used this language in the past with the only difference being these are options.

Janice R Moore 04/18/2001 08:34 AM To: Genia FitzGerald/HOU/ECT@ECT cc: Christian Yoder/HOU/ECT@ECT, Rhonda L Denton/HOU/ECT@ECT, Sharen Cason/HOU/ECT@ECT Subject: Re: Entergy Services << OLE Object: StdOleLink >>

I'm on a conference call til 9:00 -- if they can wait til then, I'd be glad to. Regards, Janice

EB3861 Assistant General Counsel, Enron North America Corp. 713-853-1794 (Fax: 713-646-4842)

Genia FitzGerald 04/18/2001 08:27 AM To: Janice R Moore/HOU/ECT@ECT cc: Christian Yoder/HOU/ECT@ECT, Rhonda L Denton/HOU/ECT@ECT, Sharen Cason/HOU/ECT@ECT Subject: Entergy Services

Janice,

I found out these involve an "east" delivery point and the trader, Rodgers Herndon needs them looked at this morning. Is it possible for you to review these ASAP?

Thanks, Genia

P.S. Christian, you are "off the hook"!!!

----- Forwarded by Genia FitzGerald/HOU/ECT on 04/18/2001 08:24 AM -----

Genia FitzGerald 04/18/2001 07:34 AM To: Christian Yoder/HOU/ECT@ECT cc: Sharen Cason/HOU/ECT@ECT Subject: Entergy Services

Christian,

Since this involves the WSPP, would you have time to look at these and respond to Sharen?

Thanks, Genia ----- Forwarded by Genia FitzGerald/HOU/ECT on 04/18/2001 07:30 AM -----

Sharen Cason 04/17/2001 05:12 PM To: Genia FitzGerald/HOU/ECT@ECT cc: Subject: Entergy Services

Shari Stack had agreed to confirm non-firm deals with Entergy Services under the WSPP. Then she reluctantly agreed to use the WSPP for a few month long term deals. Well, now we have two options that they want to confirm under the WSPP. We do not have any other existing agreement with Entergy Services. I have dropped in the language Shari prepared for the month long deal. Can someone take a look at these and see if this will confirm the deal.

Thanks!

<< File: sample.doc >> << File: sample2.doc >> 584221 584226

Message 183 of 230

RE: Select guarantee

Sender	janice.moore@enron.com
Recipients	['rhonda.denton@enron.com', 'genia.fitzgerald@enron.com', 'edward.sacks@enron.com', 'elizabeth.sager@enron.com...]
File	sager-e/notes_inbox/811.

Ed/Genia: Would you please follow up with Becky Kalmick at ANPower if we don't receive this guarantee amendment (see the note at the bottom) early next week? Thanks. Regards, Janice

EB3861 Assistant General Counsel, Enron North America Corp. 713-853-1794 (Fax: 713-646-4842) ----- Forwarded by Janice R Moore/HOU/ECT on 05/04/2001 09:46 AM -----

"Kalmick, Becky" <BKalmick@anpower.com> 05/02/2001 11:33 AM

To: "'Janice.R.Moore@enron.com'" <Janice.R.Moore@enron.com> cc: Subject: RE: EEI Master -- this time it's attached

Janice, We have signed the EEI and two originals should be delivered to you shortly. In the meantime, here's a copy with our signature. Thanks, Becky

-----Original Message-----

From: Janice.R.Moore@enron.com [mailto:Janice.R.Moore@enron.com] Sent: Tuesday, May 01, 2001 3:45 PM To: bkalmick@anpower.com Cc: Edward.Sacks@enron.com; Genia.FitzGerald@enron.com; Rhonda.L.Denton@enron.com Subject: Re: EEI Master -- this time it's attached Importance: High

(See attached file: ANP Marketing Company CS 050101.doc)

Janice R

Moore To: bkalmick@anpower.com

cc: Rhonda L Denton/HOU/ECT@ECT, Genia FitzGerald/HOU/ECT@ECT, Edward 05/01/2001
Sacks/Enron@EnronXGate

03:13 PM Subject: EEI Master -- with credit terms

Becky: Here's a revised cover sheet that includes everything we've discussed so far (including the clause I sent you yesterday), plus credit terms. These terms have been based on general discussions b/w your credit people and ours. If you can get agreement quickly from your credit department, we can execute this agreement this week. If there are any questions, please have your credit person get in touch w/ Ed Sacks directly (713-345-7712) or call me if there are problems w/ anything at all. As I mentioned this morning, the guarantee we have now from American National Power, Inc. says that it will expire this month, so we'll be needing an appropriate amendment. May I suggest that you amend it to use the language in Enron's standard guarantee, as follows: Guarantor may terminate this Guarantee by providing written notice of such termination to Counterparty and upon the effectiveness of such termination, Guarantor shall have no further liability hereunder, except as provided in the last sentence of this paragraph. No such termination shall be effective until five (5) business days after receipt by Counterparty of such termination notice. No such termination shall affect Guarantor's liability with respect to any Transaction (as defined in the Agreement) entered into prior to the time the termination is effective, which Transaction shall remain guaranteed pursuant to the terms of this Guarantee.

I have not been able to obtain a copy of this guarantee from our files, but we also need to check to be sure that it covers power purchase and sale transactions of ANP Marketing Company. Friday is my last day at Enron, and it would be most efficient if we could wrap this up before then. Thanks so much for your kind assistance.

Regards, Janice

EB3811 Assistant General Counsel, Enron North America Corp. 713-853-1794 (Fax: 713-646-3490)

- ENRON-AM.pdf

Message 184 of 230

RE: Sager and Taylor comments on Agmt - 11-3 draft

Sender	rob.walls@enron.com
Recipients	['elizabeth.sager@enron.com', 'legal <.taylor@enron.com']
File	sager-e/inbox/782.

Thanks guys! This is great.

-----Original Message-----

From: Sager, Elizabeth Sent: Monday, November 05, 2001 2:48 PM To: Walls Jr., Rob Cc: Taylor, Mark E (Legal) Subject: RE:Sager and Taylor comments on Agmt - 11-3 draft

CONFIDENTIAL

Here are some thoughts and comments on Sections 5 and 7 of the Merger Agreement and the Disclosure Statement. For ease I have spoken with Mark Taylor and tried to incorporate his thoughts as well. I have a meeting that will tie me up for awhile but will reread sections one more time and email if I have any further comments. Call me to discuss whenever you want. Office 713 853 6349; Cell 713 854 5747. Thanks

1. Section 5.6(a) Disclosure Statement - in certain case (unusual contracts may permit termination right upon a change in control) can we add the following words at the end of Section 5.6(a) ---- "and/or the contract may be terminated."
2. Section 5.6(b) Disclosure Statement - NYMEX, European exchanges, US/Canadian power pools will need to be notified and credit requirements may change as a result. I would proposes adding at end of sentence --- "(e.g., NYMEX, NEPOOL, state retail licensing authorities). Additional or substitute credit support may be required to be provided by Gipper and/or its Subsidiaries as a result of such notifications."

3. Section 5.8 Disclosure Statement- Additional threatened litigation on power side includes PG&E (termination of transactions), New Power (posting of collateral as well as possible shareholder claims), VEPCO (contractual obligations under power contract), NRG (existence of financial trade). I'm assuming Richard has decided against adding these but we should check. I have a call into him now.

4. Section 5.9 Absence of Changes, Merger Agreement - Section 5.9(iv) states that Ee compensation has been in ordinary course since Dec 2000. Without knowing for sure, I thought allot of new agreements/arrangements were made. This may need to be checked.

5. Section 7.1(a) Conduct of Business, Merger Agreement - Section only talks about introducing new products. Should we include the right to stop providing products and services, either in there entirety or only in certain geographical areas as well. (Business mix is frequently changing particularly I think at EES)(Also do we have the right to stop offering by way of example, steel products, without their approval?). Should we also include the right to expand geographically the marketing of existing/new products (eg new Canadian markets may open up in next several months - Enron's trading activities there may be construed as new products in a new market).

Finally, as a result of Enron's credit situation, we are doing transactions that are not "ordinary course" - we are being asked to help CP's reduce exposures through various means including netting arrangements, ring trades with third parties, assignments, posting collateral based on adequate assurance. Can we qualify "ordinary course" by adding "taking into consideration credit concerns of our trading partners."

6. Section 7.1(i), MA - Prohibition on sales of assets - would this include contractual assets? We are doing assignment transactions w/ trading CP's whereby we terminate and assign trades in order to reduce exposures for our CP's.

7. Section 7.1(n), MA -No Liens - We are entering into Mater Netting Agreements to alleviate CP credit concerns. Each Master Netting Agreement is a grant of a security interest in all receivables (including termination payments) under the designated trading contracts. CPs, if alert, will file UCCs to perfect. We will perfect ours.

8. Section 7.1(q), MA VAR Limits - Again should we expressly state that we can operate at lower limits? Should we define new products as being old products offered in new geographical regions?

Elizabeth Sager 713-853-6349

-----Original Message-----

From: Walls Jr., Rob Sent: Monday, November 05, 2001 10:19 AM To: Taylor, Mark E (Legal); Sager, Elizabeth Subject: FW: Agmt - 11-3 draft

per our conversation. thanks guys.

-----Original Message-----

From: Hicks, Debra Sent: Monday, November 05, 2001 10:09 AM To: Walls Jr., Rob Subject: Agmt - 11-3 draft

Here you go.

<< File: Redline - Merger Agmt 11-3 draft.rtf >>

Debra Hicks Enron Corp. - Legal Assistant to Rob Walls debra.hicks@enron.com Phone: 713-345-5416 Fax: 713-646-6227

Message 185 of 230

Amendment

Sender	carol.st.@enron.com
Recipients	['william.bonnell@tres.bnc.ca', 'tanya.rohauer@enron.com', 'elizabeth.sager@enron.com']
File	sager-e/inbox/1013.

Mr. Bonnell: At Tanya's request I am sending you a draft of the amendment agreement which would include cash as eligible collateral. I look forward to hearing from you and your attorney. The reason why a cash margin payment is not a preference under the Bankruptcy Code is because Section 546 (g) specifically excludes payments made under swap agreements from the preference provisions. I would be happy to speak with your attorney about this.

Carol St. Clair EB 4539 713-853-3989 (phone) 713-646-8537 (fax) 281-382-1943 (cell phone) 8774545506 (pager)
281-890-8862 (home fax) carol.st.clair@enron.com

*Message 186 of 230***EPMI Collateral**

Sender	carol.st.@enron.com
Recipients	['sara.shackleton@enron.com', 'tanya.rohauer@enron.com', 'leslie.reeves@enron.com']
File	sager-e/inbox/496.

Leslie: It is my understanding that settlement payments are due tomorrow for EPMI trades done with the following counterparties:

El Paso Electric Company LG&E Energy Marketing Inc. Great Bay Power Corporation Niagra Mohawk Energy Marketing Inc.

EPMI is holding LC's that expire 12/31/01 as collateral. Please advise me ASAP as soon as you know whether payment has been made as we may have a right to draw prior to the expiry date.

Is anyone aware of any other defaults that would give us a right to draw? Carol St. Clair EB 4539 713-853-3989 (phone) 713-646-3393 (fax) 281-382-1943 (cell phone) 8774545506 (pager) 281-890-8862 (home fax) carol.st.clair@enron.com

*Message 187 of 230***RE: SRP**

Sender	tracy.ngo@enron.com
Recipients	['legal <.hall@enron.com', 'carol.st.@enron.com', 'elizabeth.sager@enron.com', 'harlan.murphy@enron.com']
File	sager-e/inbox/855.

Steve Hall.

-----Original Message-----

From: St. Clair, Carol Sent: Monday, November 12, 2001 10:25 AM To: Ngo, Tracy Cc: Murphy, Harlan; Hall, Steve C. (Legal); Sager, Elizabeth Subject: SRP

Tracy: Could you please e-mail to the group the 11/8 letter that you sent to Mark Russell at SRP. We received a letter on 11/9 stating that they disagreed with our assertion that SRTP's request for additional collateral is subject to the disputes resolution section of the Agreement. Who is handling this on the legal side?

Carol St. Clair EB 4539 713-853-3989 (phone) 713-646-8537 (fax) 281-382-1943 (cell phone) 8774545506 (pager)
281-890-8862 (home fax) carol.st.clair@enron.com

Message 188 of 230

RE: Security agreement and Ratification of Guaranty Agreements

Sender	lisa.mellencamp@enron.com
Recipients	['william.cronin@newpower.com', 'michael.tribolet@enron.com', 's..bradford@enron.com', 'elizabeth.sager@enron....']
File	sager-e/inbox/202.

elizabeth sager's home number is 713-864-4023 lisa mellencamp's is 713-942-8515--cell is 713-305-2501 please feel free to call with questions etc.

-----Original Message-----

From: Sager, Elizabeth Sent: Wednesday, October 03, 2001 3:45 PM To: 'jhalprin@newpower.com'; 'william.cronin@newpower.com' Cc: Mellencamp, Lisa; Wright, Alice Subject: Security agreement and Ratification of Guaranty Agreements

Attached are additional drafts of agreements required in connection with the proposed Second Amendment to Master Netting Agreement, a draft of which I forwarded to you earlier. Please excuse the inconsistent reference to Sections - we are still trying to clean that up.

Elizabeth Sager 713-853-6349

<< File: SecAgr.doc >> << File: NPGuar.doc >> << File: E-Guaranty.doc >>

Message 189 of 230

RE: Dynegy

Sender	carol.st.@enron.com
Recipients	['suzanne.adams@enron.com', 'harlan.murphy@enron.com', 'sheila.tweed@enron.com', 'lisa.mellencamp@enron.com']
File	sager-e/inbox/885.

Sheila; My only comment to this is that do we really want automatic acceleration on bankruptcy?

Carol St. Clair EB 4539 713-853-3989 (phone) 713-646-8537 (fax) 281-382-1943 (cell phone) 8774545506 (pager) 281-890-8862 (home fax) carol.st.clair@enron.com

-----Original Message-----

From: Tweed, Sheila Sent: Wednesday, November 14, 2001 3:51 PM To: Mellencamp, Lisa; St. Clair, Carol; Murphy, Harlan; Sager, Elizabeth Cc: Adams, Suzanne Subject: Dynegy

Attached is an amendment to the ENA/ Dynegy agreement regarding the Sithe deal. It may require some clean-up but if you would please consider whether this meets the objectives of cross defaulting ENA's payment obligations under the Letter Agreement and netting and setoff with the Master Netting Agreement. Please call me with your comments as soon as possible. Thanks!

<< File: Dynegy LA amendmt.doc >>

Message 190 of 230

Tax Review of California Senate Bill No. 1

Sender	matthew.gockerman@enron.com
Recipients	['jeff.dasovich@enron.com', 'mark.haedicke@enron.com', 'edward.coats@enron.com', 'stephen.douglas@enron.com', ...]
File	sager-e/notes_inbox/196.

Attached please find a Tax Review of California Senate Bill No. 1 ("SB 1X"). The Tax Review sets out the practical implication (likely cessation of electricity sales and curtailment of investment in new generation assets) and constitutional deficiencies of SB 1X. Please note, SB 1X will not apply to sales of electricity made pursuant to binding written contracts executed on or before the date SB 1X is signed into law (if ever).

The California Senate has passed SB 1X. The California Assembly has drafted their own version, Assembly Bill No. 128 ("AB 128X"), which the Assembly is presently debating. A Tax Review of AB 128X is also attached.

We will keep you advised regarding the progress of both SB 1X and AB 128X. Please advise if you have questions and/or comments. Thanks.

Ed Coats - 713.853.6369 Steve Douglas - 713.853.0938 Gavin Russo - 713.853.6296 Matt Gockerman - 713.853.3979

Message 191 of 230

RE: Expiring LC's

Sender	greg.johnston@enron.com
Recipients	['sara.shackleton@enron.com', 'carol.st.@enron.com', 'elizabeth.sager@enron.com', 'peter.keohane@enron.com']
File	sager-e/inbox/502.

Thanks Carol. We are dealing with these. I believe that Energy West is another that expires before the end of December. I will try to give you a call tomorrow on the inter-company swaps under the services agreement, and the effect of counterparty terminations on the book.

Cheers Greg

-----Original Message-----

From: St. Clair, Carol Sent: Wednesday, December 19, 2001 3:19 PM To: Keohane, Peter; Johnston, Greg Cc: Shackleton, Sara; Sager, Elizabeth Subject: Expiring LC's

Peter and Greg:

We are holding LC's that expire at the end of December with respect to the following counterparties:

EPCOR Energy Services (Alberta) Inc. (\$25 million)(physical) Engage Energy Canada LP (\$19 million)(financial)

I am assuming that you are aware of this situation and are handling it.

Carol St. Clair EB 4539 713-853-3989 (phone) 713-646-3393 (fax) 281-382-1943 (cell phone) 8774545506 (pager) 281-890-8862 (home fax) carol.st.clair@enron.com

Message 192 of 230

LC's	
Sender	carol.st.@enron.com
Recipients	['tanya.rohauer@enron.com', 'sara.shackleton@enron.com', 's..bradford@enron.com', 'elizabeth.sager@enron.com']
File	sager-e/inbox/507.

tanya: Just a quick update on the LC situation. We sent a renewal request to Enserco yesterday and they said they would get back to us tomorrow. If they don't renew by tomorrow I think that we should send them a notice of Event of Default letter which would give them until Wednesday to cure. If not cured by Wednesday, we could terminate and be in a position to draw on Thursday/Friday. Who can I coordinate with next week on this?

Leslie Reeves is checking on a few of them that owe payments this week to see if they have paid.

On Vitol, Tom is obtaining a copy of the LC and seeing if they have paid. He is also checking into Ballarpur.

Greg Johnston e-mailed me to say that they were handling EPCORE and Engage.

We have concluded that nothing can be done on Energy Service Providers, Trafigura and Glencore.

Carol St. Clair EB 4539 713-853-3989 (phone) 713-646-3393 (fax) 281-382-1943 (cell phone) 8774545506 (pager)
281-890-8862 (home fax) carol.st.clair@enron.com

Message 193 of 230

work inventory - this time it's attached	
Sender	janice.moore@enron.com
Recipients	['elizabeth.sager@enron.com']
File	sager-e/all_documents/3193.

Regards, Janice

EB3861 Assistant General Counsel, Enron North America Corp. 713-853-1794 (Fax: 713-646-4842) ----- Forwarded by Janice R Moore/HOU/ECT on 04/25/2001 08:06 PM -----

Janice R Moore 04/25/2001 08:06 PM

To: Elizabeth Sager/HOU/ECT@ECT cc: Subject: work inventory

This is still very much a work in progress, but this is where things stand tonight. The Atlantic City Electric EEI Master was executed this afternoon (and the Enron Corp. guarantee is completely negotiated, too) so that we can actually get all signed up w/ a confirm if we win the 300MW bid on Friday, so it's no longer on the list. Let me know if you'd like to discuss any of this. I'm planning to leave all the files in my office when I go, and to update the power contracts database w/ comments about outstanding issues as one of the last things I do next week before I go. Regards, Janice

EB3861 Assistant General Counsel, Enron North America Corp. 713-853-1794 (Fax: 713-646-4842)

Message 194 of 230

EEI Qusetion	
Sender	carol.st.@enron.com
Recipients	['tanya.rohauer@enron.com', 's..bradford@enron.com', 'elizabeth.sager@enron.com', 'lisa.mellencamp@enron.com']
File	sager-e/inbox/511.

Lisa and Liz:

Each of Great Bay, El Paso Electric and LG&E Power have issued LC's to us that have has a drawing condition the fact that they have failed to provide alternate security and less than 20 days are left before expiration. Another drawing condition is that a "default" has occurred under the EEI.

The LG&E and the Great Bay EEI master have a default that occurs if a party fails to establish, maintain, extend or increase Performance Assurance when required pursuant to the Agreement. The definition of Letter of Credit in each Master does NOT have language to the effect that it has to be acceptable to us.

In the El Paso Master the default is based on a party's failure to meet the collateral requirements in Article 8. In that Master, the LC must be acceptable to us.

Do you think that we can argue that the failure to renew the LC is a "default" that would permit us to terminate and draw?

Carol St. Clair EB 4539 713-853-3989 (phone) 713-646-3393 (fax) 281-382-1943 (cell phone) 8774545506 (pager) 281-890-8862 (home fax) carol.st.clair@enron.com

Message 195 of 230

Re: Resume	
Sender	carol.clair@enron.com
Recipients	['elizabeth.sager@enron.com']
File	sager-e/all_documents/718.

Elizabeth: This is one of Suzanne's friends. Do you have any interest in talking to her about the legal assistant position?

Carol St. Clair EB 3889 713-853-3989 (Phone) 713-646-3393 (Fax) carol.st.clair@enron.com ----- Forwarded by Carol St Clair/HOU/ECT on 05/14/2001 12:23 PM -----

Suzanne Adams 05/14/2001 12:22 PM

To: Carol St Clair/HOU/ECT@ECT cc: Subject: Re: Resume

Thanks!

Carol St Clair 05/14/2001 12:20 PM

To: Suzanne Adams/HOU/ECT@ECT cc: Subject: Re: Resume

Suzanne: Send me Penny's resume and I will take a look at it.i

Carol St. Clair EB 3889 713-853-3989 (Phone) 713-646-3393 (Fax) carol.st.clair@enron.com

Suzanne Adams 05/14/2001 11:32 AM

To: carol.st.clair@enron.com cc: Subject: Resume

Carol, did you look over Penny's resume? Interested? She just called this morning and said her job has been eliminated. She's freaking out!

Did you find a restaurant for your mom and sister? I didn't get the voice mail until this morning. I'm so sorry. I don't know any vegetarian restaurants though.

Message 196 of 230

RE: Duke Master Netting Agreement

Sender	s..bradford@enron.com
Recipients	['t..hodge@enron.com', 'carol.st.@enron.com', 'elizabeth.sager@enron.com', 'harlan.murphy@enron.com']
File	sager-e/inbox/345.

Please send agreements to Janna Blanter only.

-----Original Message-----

From: St. Clair, Carol Sent: Tuesday, November 06, 2001 2:16 PM To: Murphy, Harlan Cc: Bradford, William S.; Sager, Elizabeth; Hodge, Jeffrey T. Subject: Duke Master Netting Agreement Importance: High

Harlan: Per my voice mail message here is what needs to be done with Duke on a first priority basis:

1. Master Netting Agreement - please send the current template form to Janna Blanter (jxblanter@duke-energy.com), Greg Norman (gnorman@duke-energy.com) and George Brown (gvbrown@duke-energy.com).
2. In the short term we have agreed to net margin payments with respect to the ENA ISDA and the EPMI Master Power Agreement. Please prepare an agreement to do this which will terminate once the Master Netting Agreement is signed.
3. The Enron Corp. Guaranty needs to be increased from \$100MM to \$250 MM.
4. Jeff Hodge will be working on a Master Gas Agreement

Carol St. Clair EB 4539 713-853-3989 (phone) 713-646-8537 (fax) 281-382-1943 (cell phone) 8774545506 (pager) 281-890-8862 (home fax) carol.st.clair@enron.com

Message 197 of 230

RE: new power

Sender	elizabeth.sager@enron.com
Recipients	['William S.; Golden', 'Elizabeth; Tribolet', 'Robert; Sager', 'Michael; Bradford', 'Jeff', 'Eickenroht', 'lis...']
File	sager-e/sent_items/57.

great - email to <mailto:Elizabeth.Sager@enron.com> I will be able to pick up at home and read early in am before going in to work. thank

-----Original Message-----

From: Mellencamp, Lisa Sent: Mon 10/1/2001 6:55 PM To: 'david.burns@bakerbotts.com'; 'wesley.shields@bakerbotts.com'; 'elizabeth.guffy@bakerbotts.com'; 'joseph.cialone@bakerbotts.com'; 'd.bristow@bakerbotts.com' Cc: Eickenroht, Robert; Sager, Elizabeth; Tribolet, Michael; Bradford, William S.; Golden, Jeff Subject: new power

david, trying to call you and the main number and just rings and rings.wesley, you ring and ring too. we left a couple other voicemails for you all.

we want to proceed as we discussed earlier with the amendment to the trading contracts and not the new loan route. can you send draft of what we discussed to my house by email AND by fax (713-942-8030). please call me when coming no matter how late at 713-942-8515

(home) or 713-305-2501 (cell). elizabeth sager will also look at so send to her too by email. robert will read behind us and we will consolidate comments here and get back to you in the morning.

michael tribolet will send you the minimum cash collateral stuff by separate email very shortly.his cell number is 713-515-3577 if you have questions.

rick buy wants to look at in the am. someone please call me that this is being worked on. put in release language. thanks.

Message 198 of 230

RE: Mirant exposure relationship

Sender	carol.st.@enron.com
Recipients	['credit <.williams@enron.com>', 'edward.sacks@enron.com', 'elizabeth.sager@enron.com']
File	sager-e/inbox/508.

Jay: We have received termination letters from Mirant covering the following:

1. Letter dated 11/30 from Mirant Americas Energy Marketing LP covering (a) 5/11/99 Master Coal Purchase and Sale Agreement; (b) 1/1/99 Coal Purchase and Sale Agreement; (c) 11/1/92 Master Firm Purchase and Sale Agreement; (d) GISB confirms; and (e) emission transaction confirms with ENA, ENA II Corp., EGM, EPMI, ERMS and ENA Upstream.
2. Letter dated 11/28 from Mirant Americas Energy Marketing LP covering (a) 4/1/97 Master energy Purchase and Sale Agreement; (b) 1/1/96 GISb; and (c) 6/1/94 ISDA.
3. Letter dated 11/30 from Mirant Canada Energy Marketing Ltd. covering all transactions for the sale and purchase of natural gas.

Do these letters cover all of the Mirant relationships? What does the collateral hat they are holding cover? In the US, are we only out of the money on the EPMI trades?

Carol St. Clair EB 4539 713-853-3989 (phone) 713-646-3393 (fax) 281-382-1943 (cell phone) 8774545506 (pager) 281-890-8862 (home fax) carol.st.clair@enron.com

-----Original Message-----

From: Williams, Jason R (Credit) Sent: Thursday, December 20, 2001 11:06 AM To: St. Clair, Carol Subject: Mirant exposure relationship

Carol -

Per your request, attached is exposure profile for Mirant relationship. Please let me know if you have any questions.

JRW

<< File: Mirant relationship COB 12192001.xls >>

Message 199 of 230

RE: PG&E Enron Stand-Still Agreement

Sender	elizabeth.sager@enron.com
Recipients	['christian.yoder@enron.com', 'Christian.Yoder@enron.com']
File	sager-e/all_documents/707.

CY

Can you call Larry and find out if he received and if not, resend, thanks. Phone no. is on lower email. ----- Forwarded by Elizabeth Sager/HOU/ECT on 05/14/2001 08:23 AM -----

"Witalis, Lawrence (Law)" <LCW4@pge.com> 05/11/2001 02:31 PM

To: "Elizabeth.Sager@enron.com" <Elizabeth.Sager@enron.com> cc: Subject: RE: PG&E Enron Stand-Still Agreement

Elizabeth: No sign of the document yet. Are you sending a signature-ready copy on Enron letterhead, or should I simply print off a copy, perhaps re-addressed from Roy to Mike, and send that to you or to someone else at Enron? For the life of me, I can't recall what arrangements we made yesterday (I'm getting so much older, it seems, and so rapidly!). Thanks.
Larry

-----Original Message-----

From: Elizabeth.Sager@enron.com [mailto:Elizabeth.Sager@enron.com] Sent: Thursday, May 10, 2001 11:06 AM To: Witalis, Lawrence (Law) Cc: Christian.Yoder@enron.com Subject: Re: PG&E Enron Stand-Still Agreement

In accordance with my voice message, attached is the Standstill Agreement, which by copy of this letter I am asking Christian Yoder, one of Enron's lawyers in Portland, to have executed by Tim Belden and then faxed to you at 415 973 5520 (fax) 415 973 3817 (telephone) . If all is in order, please have the agreement signed by PG&E and returned to me at fax number 713 646 3490. If there are any problems, please call me at 713 853 6349. Thanks for all your assistance in getting this finalized.

(See attached file: standstill3.doc)

Message 200 of 230

EEI Comments

Sender	carol.st.@enron.com
Recipients	[elizabeth.sager@enron.com]
File	sager-e/inbox/779.

Liz: Here is a summary of comments I have not yet incorporated:

1. Fritz raised the point that if Fixed Independent Amount is selected then both parties could be posting collateral. If this occurs, he thinks that only Sections 6, 7 and 9 should apply but that Sections 3 and 4 should not.
2. In clause (b) of the definition of Exposure, should we add language at the end that says: "when such sum is a positive value, and when such sum is a negative value it represents, conversely, Exposure of Party Y to Party X."
3. Fritz wanted to eliminate the "demand" requirement in Section 4 and make collateral posting automatic.
4. Should we eliminate the consent requirement in the last sentence of Section 5(a) (reducing LC's)?
5. Reliant wanted to delete the "mid point" language in the definition of Current mark to Market value.
6. Reliant wants to add to Section 6(b)(iii) the phrase "Secured Party notifies the Pledging party as to the" after the 1 and 5 day triggers such that the delivery requirement begins after notice.
7. Reliant wants to extend the time frames in Section 8.
8. AEP wants to limit the definition of Credit Rating Event to a ratings drop only.
9. AEP wants to add language to the definition of Letter of Credit that requires it to be acceptable to the Secured Party.

I will forward to you PacifiCorp's and Duke's comments as I found most of them to be problematic.

Carol St. Clair EB 4539 713-853-3989 (phone) 713-646-8537 (fax) 281-382-1943 (cell phone) 8774545506 (pager)
281-890-8862 (home fax) carol.st.clair@enron.com

Message 201 of 230

RE: B of A setoff provisions

Sender	carol.st.@enron.com
Recipients	['julia.murray@enron.com', 'elizabeth.sager@enron.com']
File	sager-e/deleted_items/57.

Julia and Liz: I reviewed the ISDA agreements with B of A, one with Enron Corp. and one with ENA. The one with Enron Corp. does not have a ratings trigger and as we discussed, there is no financial statement rep. The one with ENA does have a ratings trigger (below BBB- by S&P and below Baa3 by Moody's). The ratings trigger is both an Event of Default (curable by posting collateral) and an event that lowers the collateral threshold to zero. Setoff rights are triggered upon the designation of an early termination date and only extend to agreements between ENA and B of A.

Carol St. Clair EB 4539 713-853-3989 (phone) 713-646-8537 (fax) 281-382-1943 (cell phone) 8774545506 (pager) 281-890-8862 (home fax) carol.st.clair@enron.com

-----Original Message-----

From: Murray, Julia Sent: Monday, November 26, 2001 12:51 PM To: St. Clair, Carol; Sager, Elizabeth Subject: FW: B of A setoff provisions

fyi [Murray, Julia]

Original Message----- From: Ephross, Joel Sent: Monday, November 26, 2001 12:43 PM To: Murray, Julia Cc: Mintz, Jordan Subject: B of A setoff provisions

According to Mary, we do not have a written agreement with B of A. Notwithstanding that, from time to time B of A sends out standard Ts and Cs regarding corporate accounts. The last one available, effective October 2001, contains a setoff provision. This purports to allow the bank a right of setoff, either before or after an event of default, and to apply both to the bank, and its affiliates. [It does not purport to apply to the debtor or any of its affiliates, except in circumstances not applicable here -- such as sole proprietor, or partnership situations.]

Message 202 of 230

Undeliverable: RE: Netting Agreement - Southern Company

Sender	exchange.administrator@enron.com
Recipients	['Holley S.', 'carol.890-8862@enron.com', 'D. Wayne; Ciza', 'John J.; Caldwell', 'Moore']
File	sager-e/deleted_items/102.

----- Inline attachment follows -----

From: </O=ENRON/OU=NA/CN=RECIPIENTS/CN=ESAGER> To: Sacks, Edward </O=ENRON/OU=NA/CN=RECIPIENTS/CN=ESACKS>, Carol St. Clair (Home Fax) <Carol.St.Clair@+1 (281) 890-8862>, Cook, Mary </O=ENRON/OU=NA/CN=RECIPIENTS/CN=MCOOK> Date: Wednesday, November 7, 2001 10:44:14 GMT Subject:

I don't think this has been assigned. Looks like Southern wants to use their own form (ugh). Any thoughts on priority or who should get this one. Sarah or Leslie? Thanks Elizabeth Sager 713-853-6349

-----Original Message-----

From: Sacks, Edward Sent: Tuesday, November 06, 2001 1:54 PM To: Sager, Elizabeth Subject: Netting Agreement - Southern Company Services/EPMI Importance: High

Elizabeth - Attached is a netting agreement from Southern Company Services, Inc. Please see if one of the EPMI attys can work on this.

Ed

-----Original Message-----

From: Markham, Robert F. [mailto:RFMARKHA@southernco.com] Sent: Tuesday, November 06, 2001 10:35 AM To: Sacks, Edward Cc: Moore, D. Wayne; Ciza, John J.; Caldwell, Holley S. Subject: Netting Agreement - Enron - SOCO

As we discussed last week, attached is netting agreement for Electric Power. In my opinion the agreement is standard in nature and as you should agree, in my opinion of course. Please review and comment if you would like to modify.

As you know, I will be question frequently regarding the status of this agreement, therefore anything I can do to help complete this agreement in a timely manner will be appreciated.

<<Enron SOCO Netting 110601.doc>>

Robert F. Markham Southern Company Generation and Energy Marketing Risk Control 205-257-5835 205-257-5858 fx rfmarkha@southernco.com

Message 203 of 230

Collateral Issues

Sender	carol.st.@enron.com
Recipients	['tanya.rohauer@enron.com', 'mary.cook@enron.com', 'sara.shackleton@enron.com', 'r..brackett@enron.com', 'eliz...]
File	sager-e/inbox/461.

Debbie and Tanya: I thought it might be helpful to summarize how certain of the collateral provisions in our trading agreements are impacted by the filing of bankruptcy:

1. ISDA Credit Support Annex - Paragraph 4 provides that our counterparties do not have to post or release collateral to us if either an Event of Default, Potential Event of Default or Specified Condition has occurred or if an Early Termination Date has been designated for which an unsatisfied payment obligation exists. In addition, as you are aware, we can no longer hold cash or LC's, and as we discussed, since this language technically applies to LC's as well, it might be worth it to appoint a QI to hold our LC's for us.
2. Industrial Master - same as above except that the limitation on holding collateral only applies to cash.
3. Annex B - the Event of Default/Early Termination Date conditions only apply to requests to reduce collateral, not to a demand to post collateral. There is no QI requirement for holding collateral.
4. EEI Master (without new collateral annex attached)- no conditions precedent in the EEI to posting or releasing collateral. There is no QI requirement for holding collateral. The new collateral annex works like the ISDA Credit Support Annex except that the limitation on holding collateral only applies to cash
5. Enfolio Master Purchase and Sale Agreement - no conditions precedent in the Enfolio to posting or releasing collateral. There is no QI requirement for holding collateral.

Hope this helps. Call me if you have any questions. Carol St. Clair EB 4539 713-853-3989 (phone) 713-646-3393 (fax) 281-382-1943 (cell phone) 8774545506 (pager) 281-890-8862 (home fax) carol.st.clair@enron.com

Message 204 of 230

Draft Agreement with NHEC

Sender	elizabeth.sager@enron.com
Recipients	['chaundra.woods@enron.com', 'Paul.Racicot@gte.net', 'Paul Racicot/HOU/ECT@ECT']
File	sager-e/sent/951.

----- Forwarded by Elizabeth Sager/HOU/ECT on 03/13/2000

03:19 PM -----

John Llodra@ENRON 03/10/2000 03:53 PM To: Elizabeth Sager/HOU/ECT@ECT cc: Paul Racicot/HOU/ECT@ECT, Paul.Racicot@gte.net Subject: Draft Agreement with NHEC

Elizabeth:

Per Paul Racicot's voicemail to you, please find attached a draft power supply agreement between Enron and New Hampshire Electric Coop. (Reference to PSEG in the message body must have been inadvertant). Tracy Ngo ran a credit check on them and found they have been running a deficit, but didn't see that as a problem since we are purchasing non-LD unit contingent power from them.

We need to have comments to them by noon Eastern, 11 Am Houston time. Thanks very much for your help, and I'll need to swing by and introduce myself next time I'm down in Houston. I can be reached today, over the weekend, or Monday at the following numbers:

Office: 978-449-9936 Home: 978-448-9260 If neither of these work, then: Cell: 978-314-5614 Pager: 877-246-3206

Regards, John

----- Forwarded by John Llodra/Corp/Enron on 03/10/2000

04:20 PM -----

"Wayne Frigard" <wfrigard@rubinrudman.com> on 03/10/2000 02:56:59 PM To: <jllodra@enron.com> cc: <kaminski@nhec.com>, <teichm@nhec.com>, <mayhews@plmnet.com>, "Kenneth Barna" <kbarna@rubinrudman.com>

Subject: Draft Agreement with NHEC

Attached for your review and comment is a draft Power Supply Agreement between PSEG and NHEC. This draft reflects Enron's most recent offer for the period July 2000 through August 2000. Please have your comments on this draft to me by noon on Monday, March 13. Please plan to be available during the afternoon of March 13 for further discussions with NHEC.

If you have any questions, please call.

- 8QHY01!.DOC

Message 205 of 230

RE: Summary of LC Issues

Sender	alan.aronowitz@enron.com
Recipients	['amy.clemons@enron.com', 'sara.shackleton@enron.com', 'carol.st.@enron.com', 'harlan.murphy@enron.com', 'eliz...']
File	sager-e/deleted_items/4.

Carol:

On item no. 1, as you and I just confirmed with Michelle Bruce, the \$958,000 owed by Vitol to EGLI due on 11/29/01 has not been paid. We are pulling the sale confirmation to see what the payment terms are. I have left a voice mail for Tom

Moran who was travelling to NY today to learn where the l/c is so it can be reviewed for drawing requirements. We'll have to revisit about this on Wednesday, Dec 26 assuming we hear back from Tom.

Is there anyone else from Credit who can get us access to the l/c?

Alan

-----Original Message-----

From: St. Clair, Carol Sent: Friday, December 21, 2001 11:45 AM To: Mellencamp, Lisa; Murphy, Harlan; Bradford, William S.; Rohauer, Tanya Cc: Shackleton, Sara; Sager, Elizabeth; Clemons, Amy; Reeves, Leslie; Aronowitz, Alan; Reasoner, Monica Subject: Summary of LC Issues Importance: High

Here is where I understand things stand based on our discussions this morning:

1. Vitol SA - Tom Moran sent an e-mail to Mark Leskowitz asking if Vitol has paid Enron. I have not heard from Mark or Tom. The LC expires on 12/28.
2. El Paso - I just sent an e-mail summarizing the netting situation. If the netting was proper then our only grounds for drawing is failure to renew the LC. We sent them a letter yesterday about this. Credit was going to contact them. We can draw as early as next Wednesday.
3. Great Bay - same as El Paso absent the netting issue.
4. LG&E Energy Marketing - they owe us a payment next Wednesday. We will wait to see if they have paid and if they haven't we can declare them in default and draw. If they have, we can draw based on a failure to renew the LC.
5. Enserco - I will draft for Monica a follow up letter to send to them. Credit will begin calculating Exposure/termination Amounts in anticipation of a termination as of Thursday, December 27th. The letter today will give them until Wednesday to renew.
6. Niagra Mohawk/ENA, Metromedia energy/ENA, Simpson Tacoma/ENA, The Energy Authority/ENA, Energy Production/ENA, Rising Star Energy LLC/ENA - I am waiting on payment history info from Leslie to see if we have any right to draw. Could someone in credit confirm that we are in-the-money on all of these?
7. City of Santa Clara - Harlan to send out default notice.

Carol St. Clair EB 4539 713-853-3989 (phone) 713-646-3393 (fax) 281-382-1943 (cell phone) 8774545506 (pager) 281-890-8862 (home fax) carol.st.clair@enron.com

Message 206 of 230

FW: Updates

Sender	carol.st.@enron.com
Recipients	['s..bradford@enron.com', 'elizabeth.sager@enron.com', 'mary.cook@enron.com']
File	sager-e/inbox/1014.

Mary: Are you working on this? If so, what is the assignment language that we need?

Carol St. Clair EB 4539 713-853-3989 (phone) 713-646-8537 (fax) 281-382-1943 (cell phone) 8774545506 (pager) 281-890-8862 (home fax) carol.st.clair@enron.com

-----Original Message-----

From: Bradford, William S. Sent: Monday, November 26, 2001 1:41 PM To: Kitchen, Louise; Brackett, Debbie R.; Deffner, Joseph Cc: St. Clair, Carol Subject: RE: Updates

Please have an attorney send me the required language. Who is working on this? Carol?

-----Original Message-----

From: Kitchen, Louise Sent: Monday, November 26, 2001 11:37 AM To: Bradford, William S.; Brackett, Debbie R.; Deffner, Joseph Subject: FW: Updates

As we move to send out letters to the counterparties where we have rights to call collateral and we have not, we need to recognize that if they provide us with LCs instead we need to try and implement the assignment language which will allow Joe to finance them.

Thanks

Louise

-----Original Message-----

From: Deffner, Joseph Sent: Monday, November 26, 2001 9:48 AM To: Kitchen, Louise Subject: Updates

Here is an update on ongoing activities to get liquid.

Metals Inventory: \$70mm was sold early. I have a call into Anne on status update. Hanover: Shares were sold via Bear Stearns on 10/31. Net proceeds to Enron of \$106mm has been received. SO2 Inventory: \$151mm of inventory was financed with \$60mm collateral posted. Matures in 10 months. Copel Shares: Sold for \$19mm on 11/2. El Paso Swaps: El Paso had rejected notion of Master Netting as not legally sound or tested. Ward and Duran in talks to settle NYMEX swaps with Tenaska. Pledge of Contracts: No legally sound structure to provide bankruptcy remoteness. NUI Receivable: Banks not willing to discuss financing the payment. I have a call into Eric Moon to identify if they are willing to prepay at a discount. Kevin Cline: Not interested in prepaying. Receivables Securitization: Having to restructure deal due to credit status. Preference issues et al. No definitive answer from lenders coming out of bank meeting on timing or willingness. Catalytica: Sold for \$6.7mm on 11/14. Qwest Note: Deal verbally agreed to Wednesday. \$60mm approx to Enron after netting Enron payables to Qwest. Awaiting written confirmation. Might happen by end of week. Peoples Gas Inventory: I understand Peoples will not touch the contract. New Surety Capacity: Sureties are out. TXU Contract: London running this issue. TEAC Muni Prepay: Not going to happen. Linder: Sold for \$9.4mm on 11/13. Crown Energy: Sold for \$263,000 on 11/2. Venoco: Attempting to sell for \$30mm. \$11.25mm for Enron's share of JEDI and \$7.5mm to Whitewing.

Message 207 of 230

Re: Entergy Services

Sender	janice.moore@enron.com
Recipients	['christian.yoder@enron.com', 'rhonda.denton@enron.com', 'elizabeth.sager@enron.com']
File	sager-e/notes_inbox/869.

If EAS is here, that would be better, b/c more likely to meet Rogers's deadline.... Has credit signed off on these deals???
Regards, Janice

EB3861 Assistant General Counsel, Enron North America Corp. 713-853-1794 (Fax: 713-646-4842)

Rhonda L Denton 04/18/2001 08:49 AM

To: Janice R Moore/HOU/ECT@ECT cc: Genia FitzGerald/HOU/ECT@ECT, Christian Yoder/HOU/ECT@ECT, Sharen Cason/HOU/ECT@ECT, Elizabeth Sager/HOU/ECT@ECT Subject: Re: Entergy Services

Janice, can you look at it as soon as you get off the conference call. Rogers wanted the confirms out by 9:00 this morning. Otherwise, can we get Elizabeth to look at it. Sharen dropped the language into the confirm that Shari had drafted for the previous deals with Entergy confirmed under the WSPP. We have used this language in the past with the only difference being these are options.

Janice R Moore 04/18/2001 08:34 AM To: Genia FitzGerald/HOU/ECT@ECT cc: Christian Yoder/HOU/ECT@ECT, Rhonda L Denton/HOU/ECT@ECT, Sharen Cason/HOU/ECT@ECT Subject: Re: Entergy Services

I'm on a conference call til 9:00 -- if they can wait til then, I'd be glad to. Regards, Janice

EB3861 Assistant General Counsel, Enron North America Corp. 713-853-1794 (Fax: 713-646-4842)

Genia FitzGerald 04/18/2001 08:27 AM

To: Janice R Moore/HOU/ECT@ECT cc: Christian Yoder/HOU/ECT@ECT, Rhonda L Denton/HOU/ECT@ECT, Sharen Cason/HOU/ECT@ECT Subject: Entergy Services

Janice,

I found out these involve an "east" delivery point and the trader, Rodgers Herndon needs them looked at this morning. Is it possible for you to review these ASAP?

Thanks, Genia

P.S. Christian, you are "off the hook"!!!

----- Forwarded by Genia FitzGerald/HOU/ECT on 04/18/2001 08:24 AM -----

Genia FitzGerald 04/18/2001 07:34 AM

To: Christian Yoder/HOU/ECT@ECT cc: Sharen Cason/HOU/ECT@ECT Subject: Entergy Services

Christian,

Since this involves the WSPP, would you have time to look at these and respond to Sharen?

Thanks, Genia ----- Forwarded by Genia FitzGerald/HOU/ECT on 04/18/2001 07:30 AM -----

Sharen Cason 04/17/2001 05:12 PM

To: Genia FitzGerald/HOU/ECT@ECT cc: Subject: Entergy Services

Shari Stack had agreed to confirm non-firm deals with Entergy Services under the WSPP. Then she reluctantly agreed to use the WSPP for a few month long term deals. Well, now we have two options that they want to confirm under the WSPP. We do not have any other existing agreement with Entergy Services. I have dropped in the language Shari prepared for the month long deal. Can someone take a look at these and see if this will confirm the deal.

Thanks!

584221 584226

Message 208 of 230

RE: Draft Credit Annex

Sender	linda.simmons@enron.com
Recipients	['william.bradford@enron.com', 'elizabeth.sager@enron.com']
File	sager-e/notes_inbox/156.

SENT ON BEHALF OF JANET MOORE

Per my voice mail.

----- Forwarded by Linda J Simmons/HOU/ECT on 05/25/2001 01:37 PM -----

pbradley@lawsonlundell.com 05/24/2001 06:12 PM

To: Janet.H.Moore@enron.com cc: Subject: RE: Draft Credit Annex

Janet, sorry I was unable to return your call today, but I was tied up most of the day in meetings, one of which was with Powerex. Though it dealt with other matters I did have a chance to briefly discuss this matter with Powerex and I am advised that the issue of the credit annex may be or become academic. The original \$340,000,000 has been reduced to \$240,000,000 and is to be further reduced as a result of pricing changes. In addition, Enron is apparently providing a new

or increased letter of credit, which will be sufficient to cover the reduced liability. As a result it is expected that the necessity for the cash deposit will disappear next week, perhaps as early as Tuesday. If this proves to be the case, the credit annex will not be required, thereby making life easier for both of us. If the foregoing result does not occur as early in the week as contemplated or if it becomes necessary for your cash management purposes, Powerex has no objection to signing a letter extending the interim letter agreement for, say, another 2 weeks (if it becomes apparent that the cash deposit will still be required after that time we will have to revisit the drafting of the credit annex).

-----Original Message-----

From: Janet.H.Moore@enron.com [mailto:Janet.H.Moore@enron.com] Sent: May 23, 2001 9:40 AM To: pbradley@lawsonlundell.com Subject: Draft Credit Annex

I look forward to receiving your comments. As you know, we are anxious to finalize this. Please feel free to contact me at 713-345-7400. Janet ----- Forwarded by Janet H Moore/HOU/ECT on 05/23/2001 11:38 AM -----

Janet H Moore

To: gcraig@lawsonlundell.com

04/05/2001 cc: William S Bradford/Enron@EnronXGate, Elizabeth Sager/HOU/ECT@ECT 11:02 AM Subject: Draft Credit Annex

Gordon:

As discussed earlier this week, I am sending you by email our proposed Credit Annex between EPMI and PowerEx. Please call me with any comments at 713-345-7400 or Elizabeth Sager at 713-853-6349.

Janet Moore

(See attached file: BC PowerEx 1bCl.doc)

= This electronic mail transmission and any accompanying attachments contain confidential information intended only for the use of the individual or entity named above. Any dissemination, distribution, copying or action taken in reliance on the contents of this communication by anyone other than the intended recipient is strictly prohibited. If you have received this communication in error please immediately delete the E-mail and either notify the sender at the above E-mail address or by telephone at (604) 685-3456. Thank you.

=

Message 209 of 230

RE: NEW SPP Credit Policy !!

Sender	tracy.ngo@enron.com
Recipients	['carol.st.@enron.com', 'Amr', 'Nicolay', 's..bradford@enron.com', 'Christi L.; Carson', 'elizabeth.sager@enro...]
File	sager-e/deleted_items/32.

Based on the credit aggregation system, EPMI has purchased \$3,914 from the pool however we show an invoice due EPMI (from SAP) i/a/o \$21,419 resulting in a net payable to EPMI of \$17,505 if the numbers are correct.

The SPP policy states that if a cp experiences a debt downgrade or negative watch, a cp must give SPP notice. We need to give notice of downgrade/neg watch if we haven't done so already.

-----Original Message-----

From: Bradford, William S. Sent: Tuesday, November 20, 2001 1:31 PM To: Ngo, Tracy; St. Clair, Carol; Sager, Elizabeth Subject: FW: NEW SPP Credit Policy !!

FYI.

Tracy - can you figure out our exposure?

Bill

-----Original Message-----

From: Maurer, Luiz Sent: Tuesday, November 20, 2001 1:17 PM To: Bradford, William S. Cc: Nicolay, Christi L.; Carson, Mike; Steffes, James D.; Ibrahim, Amr Subject: FW: NEW SPP Credit Policy !!

Bill

SPP is proposing a new credit policy which may affect our credit requirements.

I have already informed Mike Carson, who will be analyzing the commercial implications.

In the mean time, to expedite things, I am also sending you the new SPP Credit Policy.

Tks

LM

-----Original Message-----

From: Nicolay, Christi L. Sent: Saturday, November 17, 2001 7:01 AM To: Maurer, Luiz Cc: Steffes, James D.; Ibrahim, Amr Subject: FW: SPP Credit Policy

Luiz -- (See my other email re: SPP). I now found the email. Thanks for handling. I will be out of the office next week, so call me at home 713-666-0304 if necessary. THANKS!

-----Original Message-----

From: McCraw, Phil Sent: Thu 11/15/2001 10:33 AM To: SPP TRANSMISSION CUSTOMERS Cc: Subject: Credit Policy

Southwest Power Pool, Inc. (SPP) continues to make changes to its Credit Policy to reflect changes in overall market conditions. The current Credit Policy was posted on our web site on November 14, 2001. It reflects a marked shift in the way SPP has administered its Credit Policy in the past.

SPP wants all of our customers to be made aware of this change and we want to give each a certain period of time to make the necessary adjustments in any areas that may be necessary. To this end SPP is attaching the new Credit Policy for your review. We ask that it be directed to the proper person within your organization to assure that your company is compliant with all conditions of the Credit Policy. We ask that you also complete the attached Credit Agreement and return it to SPP as soon as possible.

SPP expects all customers to be compliant with the Credit Policy by December 15, 2001. Please review the Credit Policy and take the necessary steps to be in compliance by that date so that there are no interruptions of service or your ability to make future reservations.

If you have any questions concerning the new policy please feel free to contact me. I look forward to working with you to make these changes as smooth as possible.

<<Form-SPPCreditPolicy2CS111401.doc>> <<Form-SPPCreditAgreement111201.doc>>

Phil McCraw Southwest Power Pool Financial Coordinator Phone: 501-664-0146X243 or 501-614-3243 Fax: 501-280-9446 Email: pmccraw@spp.org

Message 210 of 230

FW: Short Payment Notice

Sender	david.portz@enron.com
Recipients	[elizabeth.sager@enron.com]
File	sager-e/inbox/156.

forwarding. -----Original Message----- From: =09Day, Smith L. =20 Sent:=09Monday, October 15, 2001 3:28 PM
To:=09Portz, David Subject:=09FW: Short Payment Notice Importance:=09High

Hi David:

This note appears more alarming than it is because the impact is only \$6,50= 0.00 for the entire Ercot wide system according to our ERCOT client represe= ntative in a phone conversation. In light of this Kevin Presto wanted to g= et ideas from the legal world of what the impact might be if the shortfall = was 65,000,000. =20

In my reading of 9.4.4 of the protocols ERCOT would have had to go after th= e credit line of the non-paying QSE before taking the step of reducing paym= ent of other QSE's.

I have to assume that these steps were taken and if so, then I would have t= o assume that the initial shortfall was greater than \$6,500.00 to begin wit= h. If the credit lines of the offending QSE were not reached for by ERCOT = then my question is, why not. These steps are clearly outlined in the Prot= ocol.

I have contacted Thane Twiggs who is in Austin now to find more facts and w= ill let you know when I hear from him.

Regards,

Smith L. Day Enron Power Marketing, Inc. Ph. 713-853-4201 Fax: 713-646-8272 Pager: 877-306-9429

-----Original Message-----

From: =09"Hailu, Ted" <THailu@ercot.com>@ENRON =20 Sent:=09Monday, October 15, 2001 12:35 PM To:=09Amie Jackson; Amy L. Pratka; Andy Mitrey; Angela Williams; Beth Garza= ; Bill Palmer; Bob Cooper; Brady Edwards; Brenda Green; Carl Smith; Carl Sm= ith; Dan Carey; Dan Sarti; Dana Leger; David Wessels; Debbie Pawlik; Debra = Bailey; Dennis Dyc; Eric Slover; Frances Nitschmann; Gary Herndon; Ginger G= eissler; James Striedel; Janet Holland; Miller, Jeffrey; Jenny Doyas; Jerry= Burt; Joe Barker; Joe Favalora; John Forney; Kathy Fitzmaurice; kelly Mine= ar; Kim Koliba; Lee Star; Linda Le Master; Lisa Jones; Liz Ramirez; Lora Ki= nner; Marc Rubenstein; Maria Colby; Maria Gardner; Marianne Deane; Marice N= ealy; Mark Wright; Martha Murphy; Max Bulk; Jacobson, Michael; Mike Coyle; = Mike Tejada; Pat Vogelei; Paul Krebs; Radous, Paul; Peter Pavluk; Phillip R= obinson; Ramesh Ganesh; Rhonda Hager; Rick Rucker; Rick Vick; Rick Williams= on; Rosalie Day; Sam Davis; Sandra Eubank; Shannon Wagner; Shonda McKnight;= Sonya Francois; Stacy Schamel; Stephanie Mullen; Susan Potters; Tamila Nik= azm; Thomas Ho; Allen, Thresa A.; Tom White; Troy Martin; Valentin Petrov; = Walt Kuhn Cc:=091 Client Service Reps; Grendel, Steven; Bojorquez, William \"Bill\"; = Noel, Tom; Jones, Sam; Tindall, Heather; 1 SCS Leads; Buckles, Maxine; Saat= hoff, Kent; 1 Settlements & Billing Department Subject:=09Short Payment Notice Importance:=09High

QSEs that are owed monies from ERCOT on invoices that are due today, Octobe= r 15, 2001, will notice that the amount of funds transferred is short of th= e balance due on the invoice. This is a notification that ERCOT will follow= the "short payment" procedure stated in the ERCOT protocols for payments b= eing made to QSEs today. Due to short payments by one or more QSEs, ERCOT = is insufficient of funds to pay all amounts in full. As described in the E= RCOT protocols, section 9.4.4, ERCOT will deduct ERCOT administrative fees = and reduce payments to all invoice recipients that are owed monies. The red= uctions will be based on a pro rata basis of monies owed to each ERCOT cred= itor for this invoice to the extent necessary to clear ERCOT's accounts on = the payment date to insure revenue neutrality for ERCOT. ERCOT will distrib= ute past due funds on a pro rata basis of monies owed on the next business = day after receipt of the monies.=20 If you have any questions, please call your ERCOT client service representa= tive.=20 Ted Hailu=20 Client Relations Manager=20 Electric Reliability Council of Texas=20 E-mail: Thailu@ercot.com=20 Telephone: (512) 248-3873

Message 211 of 230

Fwd: FYI	
Sender	jklauber@llgm.com
Recipients	['elizabeth.sager@enron.com', 'michael.tribolet@enron.com']
File	sager-e/all_documents/3505.

John Klauberg LeBoeuf, Lamb, Greene & MacRae, L.L.P. 212 424-8125 john.klauberg@llgm.com

This e-mail, including attachments, contains information that is confidential and may be protected by the attorney/client or other privileges. This e-mail, including attachments, constitutes non-public information intended to be conveyed only to the designated recipient(s). If you are not an intended recipient, please delete this e-mail, including attachments, and notify me. The unauthorized use, dissemination, distribution or reproduction of this e-mail, including attachments, is prohibited and may be unlawful.

Content-Transfer-Encoding: quoted-printable Date: Fri, 01 Jun 2001 11:37:35 -0400 From: "DOUGLAS CINQUE" <DVCINQUE@LLGM.COM> To: "JOHN KLAUBERG" <JKLAUBER@LLGM.COM> Subject: FYI MIME-Version: 1.0 Content-Type: text/plain; charset="us-ascii" Content-Disposition: inline

Duke Energy Releases Average Prices Charged for Electricity in California Average Price of \$76 Per Megawatt-Hour for 2000, \$136 for First Quarter 2001 CHARLOTTE, N.C., June 1 /PRNewswire/ -- Duke Energy (NYSE: DUK - news) today released average prices the company charged over the last 15 months for wholesale electricity in California. The average prices of \$76 per megawatt- hour charged in 2000 and \$136 per megawatt-hour in first quarter 2001 are well below average spot market prices for the same periods.

"Clearly by selling the vast majority of our electricity into the forward markets through long-term contracts we have demonstrated that low average prices can be achieved for California's consumers," said Jim Donnell, president and chief executive officer of Duke Energy North America.

"The way for California to stabilize prices is to enter into long-term contracts at fixed prices. We continue to work with the California Department of Water Resources to negotiate long-term contracts to help the state avoid purchasing power on the volatile spot market. Just last July, we offered to sell 2,000 megawatts to the state at a fixed price of \$50 per megawatt-hour for five years. The state did not act upon our offer," Donnell said.

Duke also reported that the highest price charged during first quarter 2001 was \$3,880 per megawatt-hour. That price was for less than 1/10 of 1 percent of the volume sold to California by the company in first quarter 2001 and reflected the significant credit risks associated with selling power through the California Independent System Operator (ISO) to Pacific Gas & Electric (NYSE: PCG - news; PG&E) and Southern California Edison (Amex: SCEQ - news) at that time.

"The few sales made at the highest price reflected the fact that the parties receiving the power were insolvent and would likely declare bankruptcy. In determining the price to charge, we took into account the likelihood that we would only be able to collect a fraction of the sales price if PG&E filed for bankruptcy protection. Obviously our concerns were valid because on April 6 PG&E did file for bankruptcy protection and we still have not been paid," Donnell said.

"On March 26 we said that if we are paid we will not seek to collect the portion of the price charged for the poor credit risk," Donnell added.

Donnell emphasized Duke Energy's commitment to California -- citing the company's announcement in 1998 of its intention to add additional generation in California. Duke has currently under construction a 1,060-megawatt plant and eventually could add as much as 1,500 additional megawatts. He also said Duke Energy's California power plants generated 50 percent more electricity in 2000, providing 15.8 million megawatt-hours versus 9.5 million in 1999.

Duke Energy supplies just over 5 percent of California's electricity from four power plants in the state with a capacity of 3,351 megawatts -- enough energy to serve about 3.4 million households.

For more information about Duke Energy's California operations, our modernization projects and our perspective on the state's electricity crisis, see our Web site at www.Duke-Energy.com/California.

Duke Energy, a diversified multinational energy company, creates value for customers and shareholders through an integrated network of energy assets and expertise. Duke Energy manages a dynamic portfolio of natural gas and electric supply, delivery and trading businesses -- generating revenues of more than \$49 billion in 2000. Duke Energy, headquartered in Charlotte, N.C., is a Fortune 100 company traded on the New York Stock Exchange under the symbol DUK. More information about the company is available on the Internet at: www.duke-energy.com.

CONTACT: Cathy Roche, 704-373-4860, or Tom Williams, 805-595-4270, or 24-Hour, 704-382-8333, all of Duke Energy

SOURCE: Duke Energy

Message 212 of 230

Summary of Enron Canada Contracts

Sender	mark.powell@enron.com
Recipients	['elizabeth.sager@enron.com', 'peter.keohane@enron.com']
File	sager-e/notes_inbox/933.

Please find attached a copy of a summary I prepared relating to Enron Canada Corp. and its dealings with various "PG&E" entities. We have prepared copies of the relevant documents referenced in the summary. However, due to poor road conditions, we have no courier service available. We will make sure that the copies go out first thing Monday morning. In the meantime, the summary contains most of the relevant language and may be helpful.

If you have any questions, please give me a call. In addition to my work number ((403) 974-6708) I can be reached at home at ((403) 263-1323) or on my cell ((403) 540-1640.

Thanks,

Mark.

Message 213 of 230

FW: Amendment to Master Netting Agreement

Sender	elizabeth.sager@enron.com
Recipients	['william.cronin@newpower.com']
File	sager-e/sent_items/47.

forwarded at your request

Elizabeth Sager 713-853-6349

-----Original Message-----

From: Sager, Elizabeth Sent: Wednesday, October 03, 2001 2:45 PM To: 'jhalprin@newpower.com' Cc: Mellencamp, Lisa; Wright, Alice Subject: Amendment to Master Netting Agreement

At the request of Robert Eickenroht, attached is a draft of the Second Amendment to the Master Netting Agreement between New Power and the Enron Parties. In order to get this draft to you as soon as possible, I am at the same time circulating it for internal review; accordingly, there may be additional comments from Enron. Please call either me or Lisa Mellencamp (713 853 7986) with any questions or comments. Thanks Elizabeth Sager 713-853-6349

Message 214 of 230

Re: Nov. 12 Drafting Committee Meeting

Sender	ecomer@eei.org
Recipients	['harlan.murphy@enron.com', 'akatz@eei.org', 'elizabeth.sager@enron.com', 'fmdutton@aep.com']
File	sager-e/inbox/764.

I will be at an EEI meeting in Dallas on November 9 to discuss the NERC/EISB/GISB issues. I believe that Dede Russo will be there as well. My basic position re the EEI contract is that there are many other standardization issues that EISB

should focus on first. If you don't agree, please let me know.

Is anyone else from our group, or any of your colleagues, planning to attend? If so, please let me know. .

<fmdutton@aep.com> 11/02/01 12:00PM >>>

Recipients: I plan on flying in Monday, November 12 for the meeting. I would like to add to the agenda GISB/EISB and WSPP. F. Mitchell Dutton Senior Counsel Wholesale & Energy Services American Electric Power audionet 205.4568 614.223.1605 Fax 614.324.5096 Cellular 614.203.7861

Message 215 of 230

Escrow Provision

Sender	elizabeth.sager@enron.com
Recipients	['brenda.whitehead@enron.com']
File	sager-e/sent/222.

----- Forwarded by Elizabeth Sager/HOU/ECT on 11/21/2000 02:45 PM -----

Shari Stack 11/20/2000 08:47 PM

To: Elizabeth Sager/HOU/ECT@ECT cc: John Llodra/Corp/Enron@ENRON Subject: Escrow Provision

Here is my attempt to flesh out the Escrow Provision. Feel free to mark it up all you want, If you can - mark it up by hand and fax it to me before you go to Ella's school function. (My FAX NO. is (503) 464-8058.) I will then turn the document around in advance of our call with Gayle McKenzie at Morgan Lewis which is confirmed w/ her and has been set up for 2pm Houston time on Tuesday.

If you need to reach me - please call Jan King on (503) 464-8814 or my direct number (503) 464-8782.

Thanks so much for all your help,

Shari

Message 216 of 230

RE: Amendment to Master Netting Agreement

Sender	elizabeth.sager@enron.com
Recipients	['lisa.mellencamp@enron.com']
File	sager-e/sent_items/46.

I'm getting a blackline done also and will circulate to internal group

Elizabeth Sager 713-853-6349

-----Original Message-----

From: Mellencamp, Lisa Sent: Wednesday, October 03, 2001 2:50 PM To: Tribolet, Michael; Golden, Jeff; Bradford, William S.; Eickenroht, Robert; Buy, Rick Cc: Sager, Elizabeth Subject: FW: Amendment to Master Netting Agreement

-----Original Message-----

From: Sager, Elizabeth Sent: Wednesday, October 03, 2001 2:45 PM To: 'jhalprin@newpower.com' Cc: Mellencamp, Lisa; Wright, Alice Subject: Amendment to Master Netting Agreement

At the request of Robert Eickenroht, attached is a draft of the Second Amendment to the Master Netting Agreement between New Power and the Enron Parties. In order to get this draft to you as soon as possible, I am at the same time circulating it for internal review; accordingly, there may be additional comments from Enron. Please call either me or Lisa

Mellencamp (713 853 7986) with any questions or comments. Thanks Elizabeth Sager 713-853-6349

<< File: 2ndAmend.doc >>

Message 217 of 230

Re: Tennis Anyone?

Sender	carol.clair@enron.com
Recipients	['elizabeth.sager@enron.com']
File	sager-e/notes_inbox/245.

Elizabeth: Sorry I haven't got back to you sooner. Can you give me your home number? I think that weekends would be easier to schedule since weekdays are still fairly hectic. I'll call you soon. How about this heat? Fortunately, I've been playing early in the mornings or late at night so it's not too bad. I've also am hooked on watching the Open every day - a fringe benefit to maternity leave. Tonight should be great. I hope one of the Williams' gets beat. talk to you soon.

Carol St. Clair EB 3892 713-853-3989 (Phone) 713-646-3393 (Fax) carol.st.clair@enron.com

Elizabeth Sager 08/30/00 08:59 AM

To: Carol St Clair/HOU/ECT@ECT cc: Subject: Re: Tennis Anyone?

Hi Carol!

Thrilled to hear all is going well. I would love to play tennis anytime (hopefully sooner rather than later so I can take advantage of that lingering fatigue that takes months? years? to abate). We can play at the Met either around lunchtime or sometime after 4:00. Weekends would also work. Can you play next Tuesday or Wednesday? Call or write.

See you soon Elizabeth 713 853 6349

Message 218 of 230

Re: December 6 Meeting Time & Scope

Sender	ecomer@eei.org
Recipients	['harlan.murphy@enron.com', 'elizabeth.sager@enron.com', 'fmdutton@aep.com']
File	sager-e/inbox/951.

Mitch - DeDe and I are each arriving the prior night, so we can begin early. I have not heard back from others as to when their plances arrive, so I suggested 10:30 in my original e-mail on this. But subject to plane schedules, the earlier the better.

If I remember correctly, AEP uses business casual dress. Is that appropriate for this meeting? Your call, Mitch.

It would be helpful if attendees advise me or my assistant of the names and e-mails of the perions you are bringing with, so we have a good talley of the attendees and can contact them, if necessary. Ed

<fmdutton@aep.com> 11/20/01 11:06AM >>>

Recipients Noel Trask inquired when is the December 6 meeting supposed to start and end and whether we ask business people familiar with the MISO rules to also attend -- maybe allow each company to bring one person if they want to? I think it is important that we all agree how to proceed so, please advise how all of you would like to proceed. F. Mitchell Dutton Senior Counsel Wholesale & Energy Services American Electric Power audionet 205.4568 614.223.1605 Fax 614.324.5096 Cellular 614.203.7861

Message 219 of 230

RE: PG&E and Enron Standstill Agreement

Sender	elizabeth.sager@enron.com
Recipients	['lcw4@pge.com']
File	sager-e/sent/587.

In accordance with my voice mail, here is a revised standstill that incorporates the concept I referred to in my voice mail. Please give me a call after you've had a chance to review.

Thanks Elizabeth Sager 713 853 6349

"Witalis, Lawrence (Law)" <LCW4@pge.com> 05/08/2001 02:38 PM

To: "'Elizabeth.Sager@enron.com'" <Elizabeth.Sager@enron.com> cc: "Anderson, David W (Law)" <DWA3@pge.com>, "Pearce, Karola (Law)" <KKP2@pge.com> Subject: RE: PG&E and Enron Canadian Gas Master

Elizabeth: Good to hear from you. David Anderson is immersed in the agreement, and he should be the one youwork with on it (415-973-6659; dwa@pge.com). By the way, we seem to have stalled a bit on finalizing the stand-still agreement, which, as I last understood it, had only one remaining issue, namely, the wording of the drawing provision for the LCs. Can we get that one behind us, also? Thanks. Larry

-----Original Message-----

From: Elizabeth.Sager@enron.com [mailto:Elizabeth.Sager@enron.com] Sent: Tuesday, May 08, 2001 6:24 AM To: LCW4@pge.com Subject: RE: PG&E and Enron Canadian Gas Master

Hi Larry

I spoke with Peter Keohane and Mark Powell from our Canadian office and they would be available at any time today, Tues the 8th , to go over the Canadian Gas Master between ECC and PG&E. Let me know what time works for you.

Thanks Elizabeth 713 853 6349

Message 220 of 230

RE: Shhhh.... it's a SURPRISE !

Sender	elizabeth.sager@enron.com
Recipients	['sstack@reliant.com']
File	sager-e/sent_items/192.

Hi Shari

Hope all is well. Count me in for the group present. See ya next week if not earlier

Elizabeth Sager 713-853-6349

-----Original Message-----

From: SStack@reliant.com@ENRON [mailto:IMCEANOTES-SStack+40reliant+2Ecom+40ENRON@ENRON.com] Sent: Monday, July 30, 2001 2:24 PM To: Sager, Elizabeth; Murphy, Harlan; jcrespo@hess.com; wfhenze@jonesday.com; dperlman@powersrc.com; rosteen@powersrc.com; babak.pooya@southernenergy.com; drusso@reliant.com; AKatz@eei.org; fmdutton@aep.com; sonnet.edmonds@mirant.com; nagels@epenergy.com Cc: ntillett@reliant.com Subject: Shhhh.... it's a SURPRISE !

Dede Russo and I are planning to have a surprise baby shower for Marty Jo Rogers from Axia at some point during the two-day EEI Working Group session next week. We will arrange to have cake, balloons and a few presents. All you participants are invited to the shower and if I have missed sending someone on this email - please forward it on to them.

Regarding presents, I will buy group presents for the baby this weekend. You can either contribute to this or do something on your own (p.s. it is a boy). If you would like to go in on the group present, you can discreetly give me money next week but please let me know if so by email NO LATER THAN THIS FRIDAY so I can plan accordingly. I would imagine that \$10 per person would be plenty.

Please call me (713) 207-5233 or Dede (713) 207-5240 if you have any questions.

Thanks!

Shari

Message 221 of 230

RE: master netting draft 11-1-01

Sender	david.portz@enron.com
Recipients	[dtmusselman@aep.com]
File	sager-e/inbox/767.

Dave -- Per Elizabeth Sager's voicemail to you earlier, attached are revised documents showing responses to your comments on the Master Netting Agreement and specifying \$190 M as the Collateral Threshold with respect to EPMI in the Amendment. Please respond to Elizabeth or me with any questions or comments. --David

-----Original Message-----

From: dtmusselman@aep.com@ENRON Sent: Friday, November 02, 2001 11:11 AM To: Sager, Elizabeth Cc: Portz, David; dtmusselman@aep.com; fhilton@aep.com; dtmusselman@aep.com@ENRON; lrgroff@aep.com; Bradford, William S.; m_sigal@stblaw.com Subject: RE: master netting draft 11-1-01

Attached is a revised Master Setoff. I have made changes & asked for some help on a couple of points. Please review the list of entities, and we are finalizing our list as well. We also obviously need clean up some cosmetic things as well. Finally, if we can get this done, we have lined up our CFO to sign this today, and would expect you to be working on identifying your signatory(ies) as well. Call me after you have reviewed this. Thanks.(See attached file: 86452.DOC)

This e-mail message from the Legal Department of American Electric Power is for the sole use of the intended recipient(s) and may contain confidential and privileged information. Any unauthorized review, use, disclosure or distribution is prohibited. If you are not the intended recipient, please contact the sender by reply e-mail and destroy all copies of the original message. - 86452.DOC << File: 86452.DOC >>

Message 222 of 230

FW: Request for Letter of Credit

Sender	s..bradford@enron.com
Recipients	[edward.sacks@enron.com', 'elizabeth.sager@enron.com']
File	sager-e/inbox/1005.

FYI

-----Original Message-----

From: Brackett, Debbie R. Sent: Monday, November 26, 2001 9:14 AM To: Bradford, William S. Cc: St. Clair, Carol Subject: FW: Request for Letter of Credit

-----Original Message-----

From: Allen, Thresa A. Sent: Monday, November 26, 2001 8:54 AM To: Brackett, Debbie R. Cc: Will, Lloyd Subject: FW: Request for Letter of Credit

Please let me know if you need any other information.

Thanks Thresa

-----Original Message-----

From: Jacobson, Michael Sent: Monday, November 26, 2001 7:35 AM To: Allen, Thresa A. Subject: FW: Request for Letter of Credit

Not sure who should get this...

-----Original Message-----

From: "McCraw, Phil" <pmccraw@spp.org>@ENRON Sent: Tuesday, November 20, 2001 12:05 PM To: Jacobson, Michael Subject: Request for Letter of Credit

Michael,

If you are not the proper person to receive this request will you please forward it to the proper person within your organization.

We have recently made significant changes to our credit policy and we have requested all customers be compliant with the credit policy by December 15 of this year. I have attached a copy of the credit policy reflecting these changes for your review.

After reviewing your company's last 24 calendar months of activity it would appear that we will need a letter of credit in the amount of at least \$100,000 for you to be compliant with the terms of the policy. Approved language for the letter of credit is at the end of the credit policy as attachment 2. The issuing bank must also be acceptable to SPP and these requirements can be located in the financial security section of the policy under Letter of Credit. Also, we have mailed and emailed the policy with a request to send back the credit agreement. I have also attached a copy of this agreement. If you would have it signed and sent back as well it would be greatly appreciated.

<<Form-SPPCreditPolicy2CS111401.doc>> <<SPPCreditAgreement110101.doc>>

If you have any questions please feel free to contact me.

Thanks,

Phil McCraw Southwest Power Pool Financial Coordinator Phone: 501-664-0146X243 or 501-614-3243 Fax: 501-280-9446 Email: pmccraw@spp.org

- Form-SPPCreditPolicy2CS111401.doc - SPPCreditAgreement110101.doc

Message 223 of 230

FW: Bill Moyers /MOYERS IN CONVERSATION

Sender	marc_sekula@bmc.com
Recipients	['e-mail <jerry@enron.com', 'e-mail <mary@enron.com']
File	sager-e/inbox/233.

To All,

Please see transcript for Moyers in Conversation with Robert Lipton. 'America Responds' section: www.pbs.org/americaresponds/moyers.html. I believe the perspective is interesting and correct.

Let me know what you think?

Marc

MOYERS IN CONVERSATION Broadcast September 17, 2001 BILL MOYERS (BM): It's been almost a week now, and the questions continue to pile up: What kind of people would do this? What do they want? How do we witness death on this scale and go on with our lives? What do we do about the rage we feel? What does it mean to realize how vulnerable we suddenly are?

My guest tonight is uniquely qualified to help us answer these questions. Robert Lifton has wrestled with some of the most disturbing events of the time. Trained in psychology and psychiatry, 40 years ago he went to Hiroshima to listen to the survivors of the world's first nuclear bombing explosion. His book won the National Book Award.

-----Original Message-----

From: Public Affairs [mailto:PublicAffairs@thirteen.org] Sent: Thursday, September 20, 2001 2:30 PM To: 'Marc_Sekula@bmc.com' Subject: RE: Bill Moyers /MOYERS IN CONVERSATION

Thank you for your comments about Moyers in Conversation. All transcripts, guests' information and names are posted on the pbs.org website under the 'America Responds' section: www.pbs.org/americaresponds/moyers.html. We hope that you find this information helpful.

Best wishes, Joelle Jaffe Public Affairs Television

-----Original Message-----

From: Marc_Sekula@bmc.com [mailto:Marc_Sekula@bmc.com] Sent: Tuesday, September 18, 2001 11:59 AM To: publicaffairs@thirteen.org Subject: Bill Moyers /MOYERS IN CONVERSATION

User Information - Name : Marc Sekula Zip Code : 77007 Email : Marc_Sekula@bmc.com Program Name : Bill Moyers /MOYERS IN CONVERSATION Nature of Comments : neutral Mailing List Opt-in : Wants previews : on Wants catalog : Comments : Type your comments here: (limit

I could not find information on your website regarding the September 17, 2001 - Bill Moyers coverage of the terrorist attacks on the United States that on which he had a conversation, I believe, with a professor from NYU. I would like to get a transcript of that conversation, the name of that individual plus a list of books, articles etc., this individual may have written. The conversation focused on religious fundamentalism. The dialogue was very enlightening.

Thanks for your help in providing the requested information.

Marc Sekula 739 Cortlandt Houston, Texas 77007 Please helthis Catalog Name : Marc Sekula Catalog Street Address : 739 Cortlandt Catalog City : Houston Catalog State : Texas Catalog Zip Code : 77007

Message 224 of 230

RE: MISO Registration

Sender	andy.rodriquez@enron.com
Recipients	['david.portz@enron.com', 'susan.lindberg@enron.com', 'elizabeth.sager@enron.com', 'lloyd.will@enron.com']
File	sager-e/inbox/852.

David,

I'm sorry if this wasn't clear. I actually work with Christi and Susan (they both sit right behind me). We have looked at all the regulatory issues, and have collected the majority of the necessary data to move forward. At this point, I am working with Leslie Reeves and Ed Sacks to nail down some of the financial details. After that, we just need to get Kevin Presto to sign everything and submit the application/registration.

However, before we do so, I assumed and Ed Sacks confirmed that we will need a legal review of those documents. This does not mean reviewing the industry issues that Christi and Susan might do, but reviewing all the contractual provisions to ensure we are not entering into anything we find unfair, onerous, or contrary to our established procedures for such contracts.

Again, my apologies for not making this more clear in my letter to Elizabeth..

Andy Rodriquez Regulatory Affairs - Enron Corp. andy.rodriquez@enron.com 713-345-3771

-----Original Message-----

From: Portz, David Sent: Friday, November 09, 2001 5:23 PM To: Nicolay, Christi L. Cc: Lindberg, Susan; Will, Lloyd; Rodriquez, Andy Subject: FW: MISO Registration

Christi -- Had this crossed your path? Would you or yours take a look and see if it is your zone? I have printed it out but wouldn't be able to dig into it until next week sometime. Thanks, David

-----Original Message-----

From: Sager, Elizabeth Sent: Friday, November 09, 2001 3:58 PM To: Portz, David Subject: FW: MISO Registration

Hi David

Can you follow up on this for me? I'm not sure we are the right ones to review but... call Christi if any questions Elizabeth Sager 713-853-6349

-----Original Message-----

From: Rodriquez, Andy Sent: Friday, November 09, 2001 3:36 PM To: Sager, Elizabeth Cc: Sacks, Edward Subject: MISO Registration

Elizabeth,

Attached please find some contractual documents related to the Midwest ISO and our ability to take service under their OATT. I need to have them reviewed as well as get some aid completing them. I have attempted to complete as much of the documents as possible.

Can you please task someone to look at these as soon as possible? The MISO is expected to start offering service on November 15. Unfortunately, they have not given us a lot of lead time on this. I have already been working with Ed Sacks and Leslie Reeves to deal with credit and billing issues, but now have collected much of the information and need to get the documents reviewed.

Thanks for your help. One annoying problem with Sections 3-7 - they are in Adobe Acrobat, and can only be edited with Acrobat Writer. I have tried getting the editable originals from MISO, but have not had a lot of luck. I just placed another call to them to request them again.

Please call me if you have any questions.

Andy Rodriquez Regulatory Affairs - Enron Corp. andy.rodriquez@enron.com 713-345-3771

Message 225 of 230

RE: NRG and Reliant

Sender	elizabeth.sager@enron.com
Recipients	[genia.fitzgerald@enron.com]
File	sager-e/sent_items/186.

GF - Talk to CY or SH about the West Reliant request. Thanks

Elizabeth Sager 713-853-6349

-----Original Message-----

From: Fitzgerald, Genia Sent: Wednesday, August 01, 2001 8:06 AM To: Portz, David; Piwetz, Stephanie Cc: Sager, Elizabeth Subject: RE: NRG and Reliant Importance: High

The two Reliant deals that were sent to Legal (the EOL and non EOL) have already been given to Leslie Hansen for review.

As for the Schedule C being added to the west trades, should Christian or Steve be the attorney to handle those? Do we have an attorney in the group in Houston familiar with the WSPP?

Genia

-----Original Message-----

From: Portz, David Sent: Tuesday, July 31, 2001 4:22 PM To: Piwetz, Stephanie Cc: Fitzgerald, Genia; Sager, Elizabeth Subject: FW: NRG and Reliant Importance: High

-----Original Message-----

From: Piwetz, Stephanie Sent: Tuesday, July 31, 2001 2:00 PM To: Portz, David Subject: NRG and Reliant Importance: High

David, I understand you are speaking with Shari Stack of Reliant regarding the wording of the option confirmation letters. I had two other questions that you might help us with. Sent to legal (deal 702644.01, 700154.01) EOL and non EOL deal, Enron states: Firm (LD) Energy Reliant is striking through and placing firm (ld) Energy in lowercase. [Portz, David] I think Genia has already allocated these to another attorney(s) in the group, or if she hasn't already, will. I think it matters which Reliant affiliate you are speaking of, because we only have the EEI in effect with one of them, and "Firm (LD)" is a defined product type under the EEI.

Also on our West trades, Product: West Firm Energy Reliant is adding service schedule C. [Portz, David] I am requesting that Genia Fitzgerald designate an attorney who will help you with this.

I can refax the above confirmations for your review if needed.

NRG Power Marketing: The past trades that have not been signed by the counterparty, are those considered executed now that we have an EEI agreement? Does it cover the additional language in confirmations such as SP 15, NP 15, Nepoch language? [Portz, David] Past trades brought under the EEI Master were referenced on an Attachment A to the EEI Master dated effective June 29th 2001, prepared by Rhonda in coordination with NRG. As such, the commercial terms of those confirms (corresponding with the numbers on the Attachment A spreadsheet) have clearly been affirmed in writing by the parties; price has not been specifically affirmed in writing however, and the remaining confirmation boilerplate is intended by the parties to be superseded by the EEI Master's terms. It would thus seem advisable to reconfirm any currently outstanding trades on using the format(s) of EEI confirmation agreed between the parties. The specific language re SP 15, NP 15, & Nepoch would remain in effect as to the underlying trades -- the EEI Master's text does not treat those matters anyway.

Thanks for your help!

Stephanie Piwetz Enron Power Marketing, Inc (713) 853-9210 (713) 646-2443 FAX

Message 226 of 230

RE: PG&E and Enron Standstill Agreement

Sender	elizabeth.sager@enron.com
Recipients	['lisa.mellencamp@enron.com', 'jklauber@llgm.com']
File	sager-e/all_documents/664.

please let me know if you have any comments asap. thanks ----- Forwarded by Elizabeth Sager/HOU/ECT on 05/09/2001 09:25 AM -----

"Witalis, Lawrence (Law)" <LCW4@pge.com> 05/08/2001 07:56 PM

To: "Elizabeth.Sager@enron.com" <Elizabeth.Sager@enron.com> cc: "Pearce, Karola (Law)" <KKP2@pge.com>, "Wan, Fong (Corp)" <Fong.Wan@pge-corp.com>, "Kuga, Roy" <RMK4@pge.com>, "Bar-Lev, Joshua (Law)" <JXB7@pge.com>, "Sena, David" <DJSt@pge.com>, "Foley, Jack" <JRFc@pge.com>, "Witalis, Lawrence (Law)" <LCW4@pge.com>, "lisa.mellencamp@enron.com" <lisa.mellencamp@enron.com> Subject: RE: PG&E and Enron Standstill Agreement

Elizabeth: PG&E cannot accept the added language as you have presented it; as you well appreciate, it arguably would have the effect of diminishing PG&E's current rights. I have accepted your changes and provided a revision that I think more fairly preserves each party's status quo rights. Please keep in mind that PG&E already is agreeing to a modification of the LC drawing events as an accommodation to Enron. In light of that and of our need to cooperate and move forward, I hope you can leave things as they appear in this revision. I'll try to call you tomorrow to confirm. And, thanks for attending to this. Larry

-----Original Message-----

From: Elizabeth.Sager@enron.com [mailto:Elizabeth.Sager@enron.com] Sent: Tuesday, May 08, 2001 1:41 PM To: Witalis, Lawrence (Law) Subject: RE: PG&E and Enron Standstill Agreement

In accordance with my voice mail, here is a revised standstill that incorporates the concept I referred to in my voice mail. Please give me a call after you've had a chance to review.

Thanks Elizabeth Sager 713 853 6349

(See attached file: standstill2.doc)

"Witalis,

Lawrence To: "Elizabeth.Sager@enron.com" <Elizabeth.Sager@enron.com> (Law)" cc: "Anderson, David W (Law)" <DWA3@pge.com>, "Pearce, Karola (Law)" <LCW4@pge.com <KKP2@pge.com>

Subject: RE: PG&E and Enron

Canadian Gas Master

05/08/2001

02:38 PM

Elizabeth: Good to hear from you. David Anderson is immersed in the agreement, and he should be the one you work with on it (415-973-6659; dwa@pge.com). By the way, we seem to have stalled a bit on finalizing the stand-still agreement, which, as I last understood it, had only one remaining issue, namely, the wording of the drawing provision for the LCs. Can we get that one behind us, also? Thanks. Larry

-----Original Message-----

From: Elizabeth.Sager@enron.com [mailto:Elizabeth.Sager@enron.com] Sent: Tuesday, May 08, 2001 6:24 AM To: LCW4@pge.com Subject: RE: PG&E and Enron Canadian Gas Master

Hi Larry

I spoke with Peter Keohane and Mark Powell from our Canadian office and they would be available at any time today, Tues the 8th, to go over the Canadian Gas Master between ECC and PG&E. Let me know what time works for you.

Thanks Elizabeth 713 853 6349

- enronstandstill3.doc

Message 227 of 230

Additoinal thoughts re Maine SOS transaction

Sender	janice.moore@enron.com
Recipients	['janet.dietrich@enron.com', 'john.llodra@enron.com', 'george.wood@enron.com', 'jim.meyn@enron.com', 'jeffery....
File	sager-e/notes_inbox/304.

All: I haven't heard from Woody yet, but I thought I'd chime in to add something to John's excellent summary of the Maine SOS potential deal.

Perhaps the biggest legal risk is that Enron would be subjected to Maine rules and regulations on SOS, which could be changed at any time. During phone conversations over the last 2 weeks, we explained to Maine PUC staff that, in a wholesale contract, we usually do not retain this risk. We explained the clauses in the UI deal (anonymously, of course) that (1) prohibit UI from advocating change that would adversely affect us and (2) if such change occurs anyway, requires UI to negotiate w/ us to restore the original economic bargain. The staff indicated a willingness to have the PUC issue its order awarding the SOS contract also say that the PUC would not change the rules for the term of that award. But we don't know how they would do that (we might see a draft early this week), and that still doesn't really remove the regulatory change risk -- only a statute could do that, and they don't appear to have much of an appetite for that.

On the damages issues, the contract w/ the T&D company gives Enron no comfort at all. The T&D company has virtually no liability to Enron, nor does anyone else. However, under SOS Rule 301, if Enron defaults, the Maine PUC will order the T&D company how to handle finding replacement service and Enron would be exposed to the full replacement costs, in spite of the cap on the Enron Corp. guarantee. Effectively, this means that Enron Corp.'s liability is capped, but the Enron entity that provides the SOS can potentially be sued by the Maine Attorney General for additional amounts needed to pay for the additional costs -- or the PUC can approve a rate increase from customers. (Sounds like this would be a political decision, eventually.) The difference between this exposure and how we usually handle this issue is that our contract usually sets parameters on calculating replacement costs and requires commercially reasonable behavior, standards for which are widely accepted and ultimately interpreted by commercial arbitrators in a neutral forum. In the Maine situation, if we want to dispute the amounts claimed, we'd have to argue about whether commercially reasonable behavior was even required, and we'd be doing that in litigation in a Maine court facing the Maine Attorney General.

Please let me know if you'd like any other info or wish to discuss further. Regards, Janice

EB3861 Assistant General Counsel, Enron North America Corp. 713-853-1794 (Fax: 713-646-4842)

John Llodra@ENRON 11/27/2000 09:23 AM

To: Janet R Dietrich/HOU/ECT@ECT cc: George Wood/Corp/Enron@Enron, Janice R Moore/HOU/ECT@ECT, Jeffery Ader/HOU/ECT@ECT, Jim Meyn/NA/Enron@Enron, Pearce W Hammond/Corp/Enron@ENRON Subject: Summary of Maine SOS transaction

Janet:

As promised, here is a brief synopsis of the Maine SOS transaction terms and issues. I am in the office all day and free to discuss if you like. Woody is actually on the way to Houston and is available after about noon central time.

Janice Moore (x31794) has worked on the many legal issues and can elaborate more fully on the issues there, including the lack of a real contract counterparty. Jim Meyn and Pearce Hammond in structuring can give you more details on the load stats, etc in each of the classes for each utility.

I will also forward some old email correspondence I have which discusses the various legal issues and bidder qualification requirements, etc.

Please feel free to call to discuss. (978-449-9936).

Regards, John

Message 228 of 230

RE: Application

Sender	elizabeth.sager@enron.com
Recipients	[catsag@aol.com]
File	sager-e/sent_items/41.

my cell phone is 713 854 5747

Elizabeth Sager 713-853-6349

-----Original Message-----

From: CATSAG@aol.com@ENRON [mailto:IMCEANOTES-CATSAG+40aol+2Ecom+40ENRON@ENRON.com] Sent: Thursday, October 04, 2001 7:23 AM To: Sager, Elizabeth Subject: Fwd: Application

Hi Liz: These are the directions to Mike Larkin's house in Centerville where you will pick up the keys. You will need to give him two checks..one for \$500.00 and a deposit of \$150.00. I will reimburse you the \$500.00 and will get the deposit check back when I pick up the keys. A separate e-mail will follow wirh directions to the house. I am asking Mike for a number to the house. Call me when you get there and leave a number. I'm not sure when I will head out of town tomorrow, but it will be by 2:30pm to avoid traffic. Also send me you cell phone number. My cell phone which I will keep on on my trip down is (202) 260-6132. Also give me a call when you get into Dullus. If you guys want to sleep here we can have a slumber party. I have new sleeper couch and the kids could sleep on the floor. Chi Return-Path: <mikelarkin@sheehy.com> Received: from rly-za01.mx.aol.com (rly-za01.mail.aol.com [172.31.36.97]) by air-za01.mail.aol.com (v81.8) with ESMTP id MAILINZA14-1003150240; Wed, 03 Oct 2001 15:02:40 -0400 Received: from mail.caseyauto.com ([141.152.136.70]) by rly-za01.mx.aol.com (v80.21) with ESMTP id MAILRELAYINZA14-1003150133; Wed, 03 Oct 2001 15:01:33 -0400 Received: from ns1.amarkcom.net [12.28.253.94] by mail.caseyauto.com with ESMTP (SMTPD32-6.06) id A5ED1047031C; Wed, 03 Oct 2001 15:24:29 -0400 Received: from Mike [66.92.169.61] by ns1.amarkcom.net (SMTPD32-7.04) id A05781E0106; Wed, 03 Oct 2001 15:00:39 -0400 Reply-To: <mikelarkin@sheehy.com> From: "Mike Larkin" <mikelarkin@sheehy.com> To: <CATSAG@aol.com> Subject: RE: Application Date: Wed, 3 Oct 2001 15:00:43 -0400 Message-ID: <NEBBLEIDILCECEKKINHDMEMMCFAA.mikelarkin@sheehy.com> MIME-Version: 1.0 Content-Type: multipart/mixed; boundary="-----=_NextPart_000_007E_01C14C1C.2CF16F60" X-Priority: 3 (Normal) X-MSMail-Priority: Normal X-Mailer: Microsoft Outlook IMO, Build 9.0.2416 (9.0.2910.0) X-MimeOLE: Produced By Microsoft MimeOLE V5.00.2919.6600 Importance: Normal In-Reply-To: <a1.1c22cafb.28ec7639@aol.com>

Attached are directions/info- there are 4 restaurants on mountain plus a market that has subs/pizza plus more in the valley and the house has everything plus a grillTo get to my house from Dulles go 28 south to 66 west one exit to 29 south go 3-4 miles to right on Bull Run Post Office Road (big sign for Fairfax National Golf Club) go 2 miles to left on Sudley Rd and 3rd right on Fairfax National Way- We are 6316- ? mile on left -----Original Message----- From: CATSAG@aol.com [mailto:CATSAG@aol.com] Sent: Wednesday, October 03, 2001 10:10 AM To: mikelarkin@sheehy.com Subject: Application Dear Mike: Attached is the rental application. Our plans are taking shape for the trip to Wintergreen. My sister will be flying into Dullus Thursday night and will head for Charlottesville. Could she pick the keys up Thursday evening around 8:30 or 9pm and drop off a check at that time? She plans to stay in a hotel Thursday night, but will be the first to arrive at the house on Friday. Several questions - Could you e-mail me directions to your house and to the house in Wintergreen? I am planning on giving you two checks- one for \$500. for the three nights and one for \$150.00 for the deposit. Is that correct? Does Wintergreen have a pool and or a clubhouse of any sort that serves lunch or dinner? Is there a grill at the house. I look forward to hearing from you. Catherine Sager - DIRECTIONS.doc << File: DIRECTIONS.doc >> - 45 Marble Lane.doc << File: 45 Marble Lane.doc >>

Message 229 of 230

TVA/Gleason - second transmission credits doc

Sender	elizabeth.sager@enron.com
Recipients	['Amy Copeland/HOU/ECT@ECT', 'Jody', 'janice.moore@enron.com', 'Lloyd Will/HOU/ECT@ECT']
File	sager-e/all_documents/1469.

This is the subject of the meeting w Larry for 230 today on 31 in control room ----- Forwarded by Elizabeth Sager/HOU/ECT on 05/17/2000 09:54 AM -----

Larry Soderquist 05/17/2000 09:42 AM

To: Elizabeth Sager/HOU/ECT@ECT cc: Larry Soderquist/HOU/ECT@ECT, Thresa A Allen/HOU/ECT@ECT, Lloyd Will/HOU/ECT@ECT, Mitch Robinson/Corp/Enron@Enron, Amy Spode/HOU/ECT@ECT Subject: TVA/Gleason - second transmission credits doc

Elizabeth, we discussed this matter intently yesterday, with the following conclusions:

We want to be able to apply Gleason Network credits to all transmission costs (from all TVA-related control areas) We want to be able to go negative on application of the credits - when network upgrade invoices to Gleason have not yet caught up to transmission credit requests from all of the control areas. We do not want to make a monthly declaration of transmission requirements. We need to agree with TVA on a process to keep track of the credit usage and balance.

We would like to go over them with you in our 2:30 pm meeting today - at the control room conference table.

Larry.

----- Forwarded by Larry Soderquist/HOU/ECT on 05/17/2000

09:30 AM -----

Ben F Jacoby 05/13/2000 11:11 AM Sent by: Ben Jacoby To: Larry Soderquist/HOU/ECT@ECT cc: Lloyd Will/HOU/ECT@ECT, Amy Copeland/HOU/ECT@ECT, Jody Pierce/HOU/ECT@ECT, Tammy R Shepperd/HOU/ECT@ECT Subject: Re: Ltr to Soderquist - Designate Recipients of Trans Credit

Larry:

Please make sure folks are up to speed on this. In any current month, the amount of the transmission credit is equal to the then current amount of capital costs paid by Gleason to TVA for the Shelby upgrade, less any transmission credits previously used. I think the way to go is first to see if we can use the credits to offset transmission charges from our other TVA plants (on this point, TVA said no, but since Luke is out of the picture, we should make another run at this). If that does not fly, (that is, if the amount of credits we can use in any month is limited to the transmission charges otherwise due from Gleason on the power it generates), we obviously want to make sure we designate a credit amount equal to only as much as we actually need.

Given that I believe we are the first IPP to be in this situation with TVA, and given that TVA is to repay us in 2009 for the actual cost of the Shelby upgrade less transmission credits actually used, we also need to make sure we are accurately tracking both upgrade costs and transmission credits used, and that TVA agrees with what we believe to be the correct balance. Jody Pierce and Amy Copeland are aware of this, but I caution that we need to be extremely careful given the amount of money involved. Toward this end, I have asked Jody and Amy to make sure each TVA Shelby upgrade invoice is adequately labelled as such by TVA before we make payments. I strongly suggest we put in place a similar system for transmission credits whereby we receive TVA signoff as part of the process Dennis To references below.

Please follow up with Jody, Amy, and Lloyd to make sure everyone is up to speed on this as we proceed, and please make sure that an adequate process is set up to account for transmission charges, credits, and balance of Shelby upgrade costs.

Thanks much,

Ben

"To, Dennis P." <dpto@tva.gov> on 05/12/2000 02:56:14 PM To: "'Larry Soderquist'" <Larry.Soderquist@enron.com> cc: "'Jack W. Simmons'" <infinergy@earthlink.net>, "'Ben Jacoby'" <Ben.Jacoby@enron.com>, "'Mitch.Robinson@enron.com'" <Mitch.Robinson@enron.com> Subject: Ltr to Soderquist - Designate Recipients of Trans Credit

The original of this letter has been mailed to you. Call me if you have any questions. <<Soderquist Letter - Designate TC Recipient 5-11-00_.doc>> Dennis P. To, P.E. Transmission Strategy Specialist Executive VP's Staff MR 3H-C Phone 423-751-7109 Fax 423-751-4187 Pager 1-800-443-7243, code 011944 Internet dpto@tva.gov

- Soderquist Letter - Designate TC Recipient 5-11-00_.doc

Message 230 of 230

FW: E-Notes: Risk Considerations for Enron Counterparties:

Sender	l.nicolay@enron.com
Recipients	[elizabeth.sager@enron.com]
File	sager-e/inbox/881.

-----Original Message-----

From: Fulton, Donna Sent: Wednesday, November 14, 2001 3:25 PM To: Nicolay, Christi L.; Taylor, Mark E (Legal)
Subject: FW: E-Notes: Risk Considerations for Enron Counterparties: Failure to Exercise Rights May Constitute Waiver

-----Original Message-----

From: Zimmer, Michael J [mailto:Michael.J.Zimmer@BAKERNET.com] Sent: Wednesday, October 31, 2001 4:22 PM
Subject: E-Notes: Risk Considerations for Enron Counterparties: Failure to Exercise Rights May Constitute Waiver

<<...OLE_Obj...>> E-Notes provides regular briefings on new developments in global energy and public utility law. October 31, 2001 RISK CONSIDERATIONS FOR ENRON COUNTERPARTIES: FAILURE TO EXERCISE RIGHTS MAY CONSTITUTE WAIVER The reduction by Moody's Investor Service Inc. of Enron Corp.'s senior unsecured long-term debt to Baa2 from Baa1 this week may be an issue of concern for companies that are counterparts to Enron obligations. This downgrade may have immediate consequences under existing transactions with Enron given that its current credit rating is now two levels above non-investment grade. Any further downgrade into non-investment grade levels could seriously affect relationships between counterparties and Enron, and possibly Enron counterparties and their counterparties. Enron is the principal in nearly one-quarter of all electricity and natural gas trades in the United States. For Enron's power and gas trading counterparties, a credit event such as a downgrade by Moody's may precipitate certain obligations under the terms of their trading transactions. For example, any downgrade, not just a downgrade resulting in a sub-investment grade rating, may entitle a counterparty to require Enron to provide additional credit in support of Enron's purchase obligations. Counterparties should examine all power, gas or other commodity purchase and sale documentation to confirm whether they possess this right. The failure to exercise this right may constitute a waiver and foreclose access to critical performance and payment assurance, threatening to alter the risk assessment and mitigation considerations upon which the transactions were originally based. Furthermore, a failure to declare a credit event or default against Enron could cause a default on the part of the counterparty itself in collateral or ancillary arrangements, such as its financing. The potential for a domino effect, causing defaults or credit events in a series of transactions, is considerable. It is uncertain whether Enron's efforts to obtain new lines of credit will be sufficient to overcome the current difficulties. Regardless, it is prudent to review the terms of existing transactions with Enron or its affiliates, including any guarantees or other forms of corporate credit support. It is also advisable to examine the terms of transactions dependent on, or otherwise ancillary to, transactions with Enron or its affiliates to avoid any consequential effects of the Enron credit ratings downgrade. For further information on how Enron's current financial situation could impact your firm's transaction risk profile, please contact Michael Zimmer at 202.452.7055 or michael.j.zimmer@bakernet.com, Jonathan W. Gottlieb at 202.452.7084 or jonathan.w.gottlieb@bakernet.com or Samir Desai at 202.452.7057 or samir.s.desai@bakernet.com . Michael J. Zimmer Jonathan W. Gottlieb Samir S. Desai

_____ E-Notes is a publication of Baker & McKenzie. It does not constitute legal advice or a legal opinion on any specific facts or circumstances. The contents are intended as general information only. You are urged to consult your attorney concerning your situation and specific legal questions you may have. For further information on the subjects discussed in E-Notes, contact Michael J. Zimmer, mailto:michael.j.zimmer@bakernet.com or Jonathan W. Gottlieb, mailto:jonathan.w.gottlieb@bakernet.com. For more

*information about BAKER & McKENZIE and our global energy and utility practice, click on our electronic business card:
<<...OLE_Obj...>> or visit our website at <<http://www.bakerinfo.com/Practice Areas/nabfmp/energy/viewme.htm>> .*
